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HKDA Brief

Hong Kong digital-asset rules for a bank's head of compliance

Volume 1

The rules

Parts A to E: the regulators, the regimes, what they mean for a bank, capital, AML, technology, tax and the policy pipeline. Plus a profile of every official project.

For general information only. Not legal or regulatory advice. Always check the official source.

Official sources: Hong Kong Monetary Authority (HKMA), Securities and Futures Commission (SFC), Financial Services and the Treasury Bureau (FSTB), the Legislative Council and other Hong Kong government bodies.

How to read this edition

This is a printed copy of HKDA Brief, a private learning site. It reflects official publications up to **25 September 2026**. It does not update. Before you rely on any point, check the official source and the live site.

Notes

Every fact carries a small number. The number points to a note at the end of the chapter. The note gives the publisher, the document, its date, the exact paragraph or page, and the web address.

The words that carry legal weight

must / required	The law or a binding rule requires it.
should / expects	The regulator expects it. It is guidance rather than law.
may	It is allowed, not required.
proposes / would	A proposal. It is not law yet.
stated target	A plan or date the government or a regulator has announced. It is not a forecast by this guide.

Status labels

In force	The rule applies now.
Issued, not yet in force	Published, but it starts later.
Consultation	The regulator is asking for views. Nothing is final.
Conclusions published	The consultation is finished and the policy is set, but the law may not be made yet.
Bill	A draft law is before the Legislative Council (LegCo).
Pilot	A trial with selected firms.
Exploratory	Regulators are studying the idea. No rule or live service yet.
Stated target	An announced plan or date.
Superseded	Replaced by a newer document. Kept for history.

Non-official sources (Business section only)

A note that starts with [Industry estimate], [Company filing], [International official] or [Foreign regulator] is not an official Hong Kong source. Industry figures are estimates, not facts. Company figures are quoted without comment.

Other marks

CONCEPT	A plain explanation of how a business works in general. It is not a fact about Hong Kong.
(illustrative)	A round, made-up number used to show how something works. It is not an estimate.
Analysis — not official	A shaded box that gives a way to think about a question. It asks one question, explains how to think about it, lists what the answer depends on and the official signposts to watch, and says what it is not. It is not a forecast and not advice.

For general information only. Not legal or regulatory advice. Always check the official source.

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PART A

Orientation

PART A · MODULE A1

A1 The Hong Kong digital-asset map

This module is for the bank's Head of Compliance (digital assets). After it, you can name who regulates each digital-asset activity in Hong Kong. You can also say which regimes are live and which are still coming.

In 60 seconds

Hong Kong splits digital-asset regulation among several bodies. Each body covers particular activities. The Hong Kong Monetary Authority (HKMA) supervises banks, known in law as Authorized Institutions (AIs). ¹ The HKMA also licenses stablecoin issuers (firms that issue tokens designed to hold a steady value against a currency). ² Virtual assets (VAs) are digital tokens such as cryptocurrencies. The Securities and Futures Commission (SFC) licenses virtual-asset (VA) trading platforms (VATPs). ³ The SFC also sets codes of conduct for regulated securities activities. ⁴ The Financial Services and the Treasury Bureau (FSTB) sets policy. ⁵ The FSTB and the SFC consult the public on new laws. ⁶ The Legislative Council (LegCo) passes bills. ⁷

A bank that carries on SFC-regulated activities must register with the SFC as a Registered Institution (RI). ⁸ Even so, the HKMA is the bank's day-to-day, frontline supervisor. ⁸

Live today (see Status board):

- the VA trading-platform regime
- the Stablecoins Ordinance
- the joint SFC–HKMA circulars
- HKMA guidance on custody (holding assets for clients) and on tokenisation (recording assets as tokens on a blockchain)
- the Basel cryptoasset capital standard (global rules on how much capital banks hold against cryptoassets)

Coming:

- statutory licensing (licensing set by law) for VA dealing, custody, advisory and management ^{9,10}
- crypto-asset tax reporting under the Crypto-Asset Reporting Framework (CARF) ¹¹

Where things stand

As of 25 Sep 2026.

Instrument	Issuer	Date	Status (chip)	Applies to	Source
Anti-Money Laundering and Counter-Terrorist Financing Ordinance (AMLO) Part 5B VA trading platform (VATP) licensing + VATP Guidelines	LegCo / SFC	1 Jun 2023	In force	VATPs. Banks and other intermediaries (SFC-licensed or SFC-registered firms) may deal in VAs only through SFC-licensed VATPs.	12,13,14
Stablecoins Ordinance (Cap. 656)	LegCo / HKMA	1 Aug 2025	In force	Stablecoin issuers. Only regulated entities specified in the Ordinance may offer stablecoins to the public.	15,16
Joint circular on intermediaries' VA-related activities (Dec 2023) + supplement (Sep 2025)	SFC + HKMA	22 Dec 2023; 30 Sep 2025	In force	Licensed corporations (LCs), the non-bank firms the SFC licenses. RIs (banks), with the HKMA as frontline supervisor.	17,18
RI circular on Relevant Stablecoins	HKMA (with SFC)	27 May 2026	In force	RIs	19
Banks' interface with VAs and VA service providers (VASPs)	HKMA	28 Jan 2022	In force	All AIs	20
Updated custody guidance (replaces the Feb 2024 version)	HKMA	27 May 2026	In force	AIs + subsidiaries of locally incorporated AIs	21
Sale and distribution of tokenised products	HKMA	20 Feb 2024	In force	AIs	22
Risk-management considerations for distributed ledger technology (blockchain-type systems)	HKMA	16 Apr 2024	In force	AIs (non-binding considerations)	23
Basel cryptoasset standard (amendment rules + HKMA manual module CRP-1)	HKMA / LegCo	1 Jan 2026	In force	All AIs	24,25
VA dealing + VA custodian licensing	FSTB + SFC	24 Dec 2025	Conclusions published	Banks would register with the SFC. HKMA proposed as frontline regulator.	9,26,27,28
VA advisory + VA management licensing	FSTB + SFC	26 May 2026	Conclusions published	Only banks could register for these services, rather than be licensed. Current RIs would need to register.	29,10

Instrument	Issuer	Date	Status (chip)	Applies to	Source
CARF / amended Common Reporting Standard (CRS) bill	FSTB / Inland Revenue Department (IRD) / LegCo	22 May 2026	Bill before LegCo	Reporting crypto-asset service providers	³⁰
Ensemble TX (tokenised deposits: bank deposits recorded as tokens)	HKMA	13 Nov 2025	Pilot	Participating banks	³¹

Key facts

- The HKMA does not currently plan to stop banks taking on VA exposures, as long as controls and senior-management oversight are adequate. ³²
- A bank intending any VA activity should discuss it with the HKMA before launch, and get feedback on its risk controls. ³³
- A bank carrying on regulated activities (securities business the SFC regulates) must register with the SFC as an RI. ⁸ The SFC keeps ultimate responsibility, but the HKMA supervises the RI day to day. ⁸ The SFC may rely on that HKMA supervision. ⁸
- Banks follow the joint circular in their role as RIs, with the HKMA as frontline supervisor. ³⁴ The circular reminds intermediaries to tell the SFC, and the HKMA where applicable, before they start or change VA-related activities. ³⁵
- The SFC and HKMA require intermediaries to offer VA dealing services only by partnering with SFC-licensed VATPs. ¹⁴
- The Stablecoins Ordinance came into force on 1 August 2025. ¹⁵
- The HKMA register lists two licensed stablecoin issuers. ³⁶ They are Anchorpoint Financial Limited (FRS01) and The Hongkong and Shanghai Banking Corporation Limited (FRS02). ³⁶ Both licences took effect on 10 April 2026. ³⁶
- The Secretary for Financial Services and the Treasury (SFST) told LegCo that the HKMA received 36 applications in the initial application period. ³⁷ The SFST also said any further licences would keep the overall number very limited. ³⁷
- The SFC's online list showed 13 licensed VATPs at its 29 May 2026 update. ³⁸ Being on the applicant list is not the same as being licensed. ³⁸
- The HKMA's 2026 custody annex expects banks to keep 98% of client VAs in cold storage (offline). ³⁹ The annex also expects banks to create, store and back up seeds and private keys in Hong Kong. ³⁹ Private keys are the secret codes that control the assets, and seeds are used to generate them.
- The Basel cryptoasset rules on capital, disclosure and exposure limits came into force on 1 January 2026. ²⁴
- CRP-1 is the HKMA's Supervisory Policy Manual (SPM) module on classifying cryptoassets. ⁴⁰ Under it, a bank that acquires a new type of cryptoasset must notify the HKMA. ⁴⁰ The bank must treat the asset as Group 2b until the HKMA agrees the bank's own classification. ⁴⁰ Group 2b is the capital category where the bank gets no credit for hedging.
- For the coming VA dealing and custody regimes, the Government proposed that the SFC lead licensing and standard-setting. The HKMA would be the frontline regulator for banks. ⁴¹
- Under the proposed dealing regime, banks would need to register with the SFC to deal in VAs. The SFC would register banks in consultation with the HKMA. ²⁷
- No arrangement is planned to let existing providers carry on while they apply once the VA dealing and custody regimes start. ^{42,43} SFC-licensed VATPs, LCs, RIs and banks already providing these services are to get a faster (expedited) approval process. ^{42,43}
- The CARF bill was published in the Gazette (the Government's official record) on 22 May 2026. ¹¹ It had its First Reading (the first formal stage of a bill) in LegCo on 3 June 2026. ¹¹ If the bill passes, CARF duties start on 1 January 2027. ^{11,44}
- The IRD plans a dedicated CARF portal. ⁴⁵ The bill proposes that every in-scope reporting crypto-asset service provider register an account on it. ⁴⁵

What your bank must or should do

Obligations

- ☐ Discuss any planned VA activity with the HKMA before launch. ²⁰
- ☐ As an RI, notify the SFC and HKMA when the bank intends to start or change VA dealing, advice or asset management. This includes a change of client type. ⁴⁶
- ☐ From 1 January 2026, classify cryptoasset exposures under Part 12 of the Banking (Capital) Rules. Read CRP-1 alongside Part 12. ⁴⁷

Controls & monitoring

- ☐ Set prudent limits on VA exposures. Set conservative loan-to-value ratios (loan size compared with collateral value) when VAs are used as collateral. ⁴⁸
- ☐ Keep client digital assets held in custody separate (segregated) from the bank's own assets. ⁴⁹

Notify / consult HKMA or SFC

- ☐ Notify the HKMA when the bank acquires any new type of cryptoasset. ⁴⁰
- ☐ Discuss custody plans with the HKMA before offering custody. ⁵⁰

Counterparty due diligence

- ☐ For VA dealing, route business only through SFC-licensed VATPs.¹⁴
- ☐ Check a VATP's status on the SFC's licensed list, not the applicant list.⁵¹
- ☐ Check a stablecoin issuer against the HKMA register. The HKMA says the register holds the latest list of licensees.⁵²

Talking points

To the chief compliance officer (CCO)

- The bank's VA conduct duties (rules on how it treats clients) apply to the bank as an RI. The HKMA supervises the bank day to day, not the SFC directly.³⁴
- The bank must comply with the HKMA's anti-money laundering (AML) and counter-financing of terrorism (CFT) Guideline.⁵³ As an RI, it must also take into account the SFC's AML/CFT Guideline, including its Chapter 12 on VAs.⁵³

To business heads

- Any new VA product needs an HKMA discussion before launch.²⁰ RIs must also tell the SFC and HKMA in advance.⁴⁶
- Only two stablecoin issuers are licensed.³⁶ The Government says any further licences would keep the total very limited.⁵⁴

To the CEO

- The Government proposed that the SFC lead licensing for VA dealing and custody. The HKMA would be the banks' frontline regulator.⁴¹
- No arrangement is planned to let existing firms carry on while they apply when these regimes start.⁵⁵

To Risk / chief risk officer (CRO)

- The Basel cryptoasset standard applies from 1 January 2026.⁵⁶ Until the HKMA agrees the bank's classification, two things stay in Group 2b: exposures held before that date and any new cryptoasset type.⁵⁶
- The HKMA's custody annex expects banks to keep 98% of client VAs in cold storage.⁵⁷

Common misunderstandings

- **Myth:** "The SFC supervises our VA business directly." **Fact:** The SFC holds ultimate responsibility. But the HKMA is the RI's day-to-day supervisor.³⁴
- **Myth:** "The 50%/100% insurance rule applies to our custody." **Fact:** That rule is an SFC expectation for VATPs.⁵⁸ It calls for an SFC-approved compensation arrangement covering 50% of client VAs in cold storage and 100% in hot (online) and other storage.⁵⁸ The HKMA's 2026 annex takes a different approach. It makes the bank liable to clients for losses from incidents the bank is responsible for.⁵⁹ It also expects the bank to hold adequate financial resources to cover such losses.⁵⁹
- **Myth:** "A platform on the SFC's applicant list is licensed." **Fact:** Applicants are not licensed, even those allowed to keep operating while they apply. Only the licensed list shows licensed platforms.⁵¹
- **Myth:** "The 2022 joint circular still applies." **Fact:** The December 2023 joint circular replaced the January 2022 and October 2023 versions.⁶⁰
- **Myth:** "The dealing and custody bills are law." **Fact:** They are at the consultation-conclusions stage.⁵⁵ The Government's stated target was to introduce a bill in 2026.⁶¹

Official documents to read first

1. **Regulatory approaches to AIs' interface with VAs and VASPs** — HKMA, 28 Jan 2022. Read pp.3-5 on prudential rules (bank safety and soundness), anti-money laundering, investor protection and prior discussion. This document sets out the HKMA's base position on banks and VAs. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/20220128-1-EN>
2. **SPM SB-1 Supervision of Regulated Activities of SFC-Registered AIs (V.4)** — HKMA, 12 Sep 2025. Read paras 2.1.3, 2.2.4, 4.16.1 and 5.6. This module explains why the HKMA, not the SFC, supervises your RI business day to day. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20250909-3-EN/SB-1.PDF>
3. **Policy Statement 2.0 on the Development of Digital Assets in Hong Kong** — FSTB, 26 Jun 2025. Read paras 4-6 and 16. This statement sets out the LEAP framework. LEAP stands for Legal and regulatory streamlining, Expanding tokenised products, Advancing use cases and collaboration, and People and partnership development. The statement also proposes that the SFC lead the new regimes, with the HKMA as frontline regulator for banks. https://gia.info.gov.hk/general/202506/26/P2025062600269_500089_1_1750909574183.pdf

Open questions

- The VA dealing, custodian, advisory and management bill: the SFST said on 24 June 2026 that it would be introduced this year.¹⁶ As of 25 Sep 2026, no bill text or Gazette notice appears in the documents reviewed for this guide.
- CARF bill: it had its First Reading on 3 June 2026. No document reviewed for this guide records its passage.¹¹
- No Insurance Authority rulebook on digital assets is in the documents reviewed for this guide. Rules for insurers are a gap.
- The VATP list is live and changes over time. The 13-platform count is a snapshot from 29 May 2026.⁶²

Related modules

A2, A3, B1, B2, B3

Notes

1. HKMA. *SB-1 Supervision of Regulated Activities of SFC-Registered Authorized Institutions*, 12 September 2025. Para 2.1.1. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20250909-3-EN/SB-1.PDF>
2. HKMA. *Hong Kong Monetary Authority - Register of Licensees under the Stablecoins Ordinance (Cap. 656)*, 23 April 2026. Register introduction. <https://www.hkma.gov.hk/eng/regulatory-resources/registers/register-of-licensed-stablecoin-issuers/>
3. SFC. *Lists of virtual asset trading platforms*, 29 May 2026. Licensed platforms table. <https://www.sfc.hk/en/Welcome-to-the-Fintech-Contact-Point/Virtual-assets/Virtual-asset-trading-platforms-operators/Lists-of-virtual-asset-trading-platforms>
4. HKMA. *SB-1 Supervision of Regulated Activities of SFC-Registered Authorized Institutions*, 12 September 2025. Para 2.1.2. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20250909-3-EN/SB-1.PDF>
5. FSTB. *Policy Statement 2.0 on the Development of Digital Assets in Hong Kong*, 26 June 2025. Para 2. https://gia.info.gov.hk/general/202506/26/P2025062600269_500089_1_1750909574183.pdf
6. FSTB. *Consultation Conclusions Legislative Proposal to Regulate Dealing in Virtual Assets and Further Public Consultation Legislative Proposal to Regulate Virtual Asset Advisory Service Providers and Virtual Asset Management Service Providers*, 24 December 2025. Cover page. <https://apps.sfc.hk/edistributionWeb/gateway/EN/consultation/doc?refNo=25CP12>
7. HKMA. *Passage of Anti-Money Laundering and Counter-Terrorist Financing (Amendment) Bill 2022*, 7 December 2022. P.1. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/20221207-1-EN>
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13. SFC. *Guidelines for Virtual Asset Trading Platform Operators*, 1 June 2023. Para 1.2. <https://www.sfc.hk/-/media/EN/assets/components/codes/files-current/web/guidelines/Guidelines-for-Virtual-Asset-Trading-Platform-Operators/Guidelines-for-Virtual-Asset-Trading-Platform-Operators.pdf>
14. HKMA, SFC. *Joint circular on intermediaries' virtual asset-related activities*, 22 December 2023. Para 17. <https://apps.sfc.hk/edistributionWeb/gateway/EN/circular/doc?refNo=23EC66>
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A2 How Hong Kong rules are made and how to read them

This module is for the bank's Head of Compliance (digital assets). After it, you can place any document on the law-making path. You can also tell how binding it is and cite it to the paragraph.

In 60 seconds

Hong Kong's stablecoin regime shows the path a digital-asset rule can take. ^{1,2,3,4} The path has five steps:

- A consultation paper lays out the proposals. ¹
- The Government publishes its conclusions on the consultation. ¹
- A bill is gazetted (published in the Government Gazette) and passed by the Legislative Council (LegCo). ^{2,3}
- A notice in the Gazette sets the date the law starts. ⁴
- A transition period follows. ³

Below Ordinances (the main laws) sit other documents with different legal force. ⁵ They include:

- rules made as subsidiary legislation (detailed law made under an Ordinance) ⁵
- Supervisory Policy Manual (SPM) modules, the supervisory guidance chapters of the Hong Kong Monetary Authority (HKMA) ^{6,7}
- guidelines
- circulars.

Each SPM module states its own classification on its cover, so check it. ^{6,7}

For a bank, one key reading rule sits in the HKMA's anti-money-laundering (AML) Guideline. In that Guideline, both *must* and *should* mark a mandatory requirement. ⁸

Where to find the documents:

- The HKMA publishes its circulars and SPM modules in its Banking Regulatory Document Repository (BRDR). ⁹
- Circulars of the Securities and Futures Commission (SFC) open from its e-Distribution site. ¹⁰
- Conclusions of the Financial Services and the Treasury Bureau (FSTB) record the legislative milestones. ¹¹
- Government press releases record them too. ¹²

Where things stand

As of 25 September 2026. Each row is a worked example of one stage.

- AI = authorized institution (a bank). AIs = authorized institutions.
- RIs = registered institutions (banks registered with the SFC).
- LCs = licensed corporations (firms licensed by the SFC).
- VA = virtual asset. VATP = VA trading platform. VATPs = VA trading platforms.

Instrument	Issuer	Date	Status (chip)	Applies to	Source
Stablecoin issuer regime: consultation paper, then conclusions (July 2024)	FSTB + HKMA	27 December 2023	Superseded	Future issuers	¹³
Stablecoins Bill gazetted; First Reading (formal start in LegCo) set for 18 December 2024	Government / LegCo	6 December 2024	Superseded	Issuers	²
Notice setting the start date of the Stablecoins Ordinance (Cap. 656), made by the Secretary for Financial Services and the Treasury (SFST)	SFST	Gazetted 6 June 2025; started 1 August 2025	In force	Issuers, offerors	¹⁴
Banking (Capital) (Amendment) Rules 2025, plus matching amendment rules on Disclosure and Exposure Limits	HKMA / LegCo	HKMA letter on gazettal 11 July 2025; applies from 1 January 2026	In force	All AIs	¹⁵
HKMA letter clarifying para 2.6.4 of CRP-1 (the SPM module on classifying cryptoassets)	HKMA	3 June 2026	In force	All AIs	¹⁶
VA dealing and VA custodian regimes	FSTB + SFC	24 December 2025	Conclusions published	VA dealing and custodian service providers, including LCs and RIs	^{17,18}
VA advisory and VA management regimes	FSTB + SFC	May 2026	Conclusions published	Advisory and management providers, including SFC-licensed or registered intermediaries	¹⁹

Instrument	Issuer	Date	Status (chip)	Applies to	Source
Bill for the Crypto-Asset Reporting Framework (CARF) and the amended Common Reporting Standard (CRS), both tax reporting standards	FSTB / LegCo	Gazetted 22 May 2026; First Reading 3 June 2026	Bill before LegCo	Reporting crypto-asset service providers	²⁰

Key facts

- The July 2024 stablecoin conclusions said a bill was being prepared for LegCo later that year. ²¹
- The Stablecoins Bill was gazetted on 6 December 2024. Its First Reading in LegCo was set for 18 December 2024. ²
- LegCo passed the bill on 21 May 2025. The government release refers to a six-month grace period. ³
- The SFST made a notice setting 1 August 2025 as the start date. It was gazetted on 6 June 2025. ²² The notices were due to go to LegCo on 11 June 2025 for negative vetting. ²² Under negative vetting, a notice stands unless LegCo amends or repeals it within a set period.
- The Banking (Capital), (Disclosure) and (Exposure Limits) (Amendment) Rules 2025 went through 28 days of negative vetting in LegCo. That period expired without extension. ⁵
- LegCo passed amendments to the Anti-Money Laundering and Counter-Terrorist Financing Ordinance (AMLO) on 7 December 2022. ²³ The HKMA said the changes relevant to banks would start on 1 June 2023. It said the gap allowed time to prepare. ²³
- Transition periods can end in a hard stop. ²⁴ VATPs operating before 1 June 2023 could carry on for 12 months, to 31 May 2024, without breaching the licensing rules. ²⁴ Only applications made by 29 February 2024 could qualify for the transitional arrangement that treated existing platforms as licensed. The SFC had no power to extend that deadline. ²⁴
- Under current plans, the conclusions on the coming VA dealing and custodian regimes offer existing providers no arrangement that treats them as licensed while they apply. ^{25,18}
- The HKMA issues its AML Guideline under section 7 of AMLO and section 7(3) of the Banking Ordinance. Compliance is enforced through both Ordinances. ²⁶
- In that Guideline, both *must* and *should* mean a mandatory requirement. ⁸
- Each SPM module states its own force on its cover. ^{6,7}
- SB-1 (the module on supervising banks' SFC-regulated activities) is a statutory guideline under section 7(3) of the Banking Ordinance. ⁶ CRP-1 is a non-statutory guideline, issued as a guidance note. ⁷
- Where CRP-1 and the Banking (Capital) Rules (BCR) differ, the BCR take priority. ²⁷
- Some HKMA papers say they are not binding. ²⁸ One example is the April 2024 paper on distributed ledger technology (DLT), such as blockchain. ²⁸ That paper is non-binding and does not cover every case. The HKMA discusses its detailed expectations with each AI one to one. ²⁸
- A circular can change how a module applies at once. ¹⁶ The HKMA's letter of 3 June 2026 clarified the condition in CRP-1 para 2.6.4. ¹⁶ The condition may also be met where a financial market regulator supervises the business activities of the tokenised asset. ¹⁶ A tokenised asset is a traditional asset recorded as a token on a blockchain. The change took effect immediately, and the module's wording is to be updated later. ¹⁶
- The SFC issues its Guidelines for VATP operators under two laws. ²⁹ These are section 399 of the Securities and Futures Ordinance (SFO) and section 53ZTK of AMLO. ²⁹
- A later circular can replace earlier ones outright. ³⁰ The December 2023 joint circular replaced the January 2022 and October 2023 versions. ³⁰
- The HKMA's custody letter of 27 May 2026 replaces its custody circular of 20 February 2024. ³¹
- Budget speeches announce plans, not rules. ³² The 2026-27 Budget said a bill would be introduced in 2026 for VA dealing and custodian licensing. ³² It gave the first half of 2026 as the timing for a CARF amendment bill. ³²

What your bank must or should do

Obligations

- ☐ Treat *should* in the HKMA AML Guideline as mandatory, not optional. ⁸
- ☐ Follow the BCR where CRP-1 and the BCR differ. Part 12 of the BCR sets the classification principles. ²⁷
- ☐ Apply the 3 June 2026 clarification of CRP-1 para 2.6.4. It took effect immediately. ¹⁶

Controls & monitoring

- ☐ Keep a register of regulatory documents. Record each document's classification and whether a later document replaced it. ³¹ For example, the 2026 letter replaced the 2024 custody circular. ³¹
- ☐ Track start dates separately from passage dates. ²³ For example, LegCo passed the AMLO amendments in December 2022. The relevant changes applied from 1 June 2023. ²³

Notify / consult HKMA or SFC

- ☐ Note that the dealing conclusions encourage firms that provide, or plan, VA dealing to contact the SFC or HKMA (as applicable) early.³³ One example is to start pre-application (early talks before a formal licence application).³³ The conclusions say dealing providers that do not make contact for pre-application will have to stop operating when the regime starts.³³

Counterparty due diligence

- ☐ Tell a formally licensed VATP apart from two kinds of applicant: an ordinary applicant, and an applicant that the law treats as licensed while its application is pending.³⁴ The SFC keeps them on separate lists, last updated 29 May 2026.³⁴

Talking points**To the CCO (Chief Compliance Officer)**

- Our AML Guideline says *should* is mandatory, the same as *must*.⁸
- Check each SPM module's classification. SB-1 is statutory; CRP-1 is a guidance note that gives way to the BCR.^{6,27}

To business heads

- Conclusions papers are not law. The FSTB and SFC aim to put a dealing bill into LegCo in 2026.¹¹
- The Budget said the same for the dealing and custodian regimes.³⁵
- The conclusions state no plan to treat existing firms as licensed while they apply. They encourage early talks with the SFC or HKMA.³⁶

To the CEO

- Hong Kong rules move from consultation to conclusions, bill, start date and transition.^{1,12} For stablecoins, consultation began on 27 December 2023.¹ The Ordinance started on 1 August 2025, about 19 months later.¹²
- Planned bills in the Budget are stated intentions, not obligations.³²

To Risk / CRO (Chief Risk Officer)

- LegCo's negative-vetting period for the cryptoasset capital rules expired without extension. The rules apply from 1 January 2026.³⁷
- HKMA letters can change how capital guidance applies with immediate effect, as one did in June 2026.¹⁶

Common misunderstandings

- **Myth:** "Should in HKMA guidance means best practice." **Fact:** In the AML Guideline, *should* is mandatory.⁸
- **Myth:** "All SPM modules have the same force." **Fact:** SB-1 is statutory. CRP-1 is non-statutory and gives way to the BCR.^{6,27}
- **Myth:** "The June 2026 CRP-1 letter tightened the Group 1 tests." **Fact:** It widened the ways to meet para 2.6.4.³⁸ Group 1 is the class of cryptoassets that meets the CRP-1 classification conditions.
- **Myth:** "Once LegCo passes a law, it is in force." **Fact:** LegCo passed the AMLO amendments in December 2022. The HKMA said the relevant changes would start in June 2023.²³
- **Myth:** "Existing firms can carry on under the new VA regimes while they apply." **Fact:** The dealing conclusions state no plan for that.²⁵

Official documents to read first

1. **Guideline on AML/CFT (For Authorized Institutions), revised May 2023** — HKMA, 25 May 2023. This is the HKMA's guideline for banks on anti-money laundering and counter-financing of terrorism. Read Chapter 1, paras 1.1-1.8 and footnote 1. These parts set out how binding the text is and whom it binds. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20230525-4-EN/AML-2.pdf>
2. **SPM CRP-1 Classification of Cryptoassets** — HKMA, 27 November 2025 (V.1, applies from 1 January 2026). Read the cover page and paras 1.1.4 and 1.4.1-1.4.2. They show how a guidance note sits under statutory rules. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251125-15-EN/CRP-1.pdf>
3. **Rules on cryptoassets standard and other updates** — HKMA, 15 August 2025. Read paras 1-2 of the letter. They give a short view of negative vetting and start dates. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/20250815-1-EN>

How to use paragraph references. Cite HKMA SPM modules and guidelines by paragraph, for example CRP-1 para 2.1.2. HKMA circulars often have no numbered paragraphs. Cite them by heading and page, for example Implementation, p.2.³¹ SFC circulars number their paragraphs, for example joint circular para 31.³⁹ BRDR landing pages (brdr.hkma.gov.hk/eng/doc-ldg/docId/...) link to the PDF and related documents. SFC circulars open from apps.sfc.hk/edistributionWeb by reference number, for example 23EC66.

Open questions

- The documents reviewed for this guide do not show how SFO section 399 guidelines are weighed in proceedings. They include no FAQ, code of practice or SFC Code of Conduct text on this point. This module does not state their legal effect beyond what the documents say.
- The CRP-1 text itself had not yet been updated for the June 2026 clarification at the date of the letter.⁴⁰
- When the conclusions came out, the Government and the SFC had still to decide start dates for the VA dealing, custodian, advisory and management regimes.^{41,42,43}
- The CARF bill had its First and Second Readings on 3 June 2026.⁴⁴ LegCo adjourned the Second Reading debate (the debate on the bill's general principles).⁴⁴ The documents reviewed for this guide do not record its passage.

Related modules

A1, A3, B1, B2

Notes

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PART A · MODULE A3

A3 Where policy is heading

For the bank's Head of Compliance (digital assets). After this module, you can say what each body has officially said it will do next, and by when. The bodies are the government, the Securities and Futures Commission (SFC) and the Hong Kong Monetary Authority (HKMA). This module uses only their own words and dates.

In 60 seconds

A short set of official strategy papers sets Hong Kong's direction on digital assets. The Financial Services and the Treasury Bureau (FSTB) issued a Policy Statement in 2022. ¹ It set out the government's founding principle for regulation (quoted in Key facts below). ¹ The FSTB's 2025 Policy Statement 2.0 added a framework called LEAP (four policy areas, spelled out in Key facts below). ² It also proposed the SFC as the lead licensing authority for digital-asset dealing and custody (holding assets for clients). ² The HKMA's role in that model is frontline regulator for banks, meaning the regulator that supervises them directly. ² ASPIRe (the SFC's roadmap for the digital-asset market, issued in Feb 2025) lists 12 initiatives. ³ Half of them are framed as things the SFC will explore or consider. ³ The HKMA closed its Fintech 2025 strategy and launched Fintech 2030. ⁴ It then published a Fintech Promotion Blueprint (Feb 2026). ⁵ It also asked bank boards to endorse a plan for their business model. ⁶ The 2026-27 Budget and the 16 Sep 2026 Policy Address add dated targets. ^{7,8} These targets include a digital-asset licensing bill in 2026. ⁷ They also include upgrades to EnsembleTX (the HKMA's live pilot for settling tokenised money between banks). ^{7,8} The targets also cover tests of tokenised Exchange Fund Bills (short-term HKMA debt issued as digital tokens). ⁸

Where things stand

As of 25 Sep 2026.

Instrument	Issuer	Date	Status (chip)	Applies to	Source
Policy Statement on Development of Virtual Assets in Hong Kong	FSTB	31 Oct 2022	Superseded	Whole market (Policy Statement 2.0 is the next phase)	9,10
Fintech 2025	HKMA	8 Jun 2021	Superseded	Banks (ended when the HKMA unveiled Fintech 2030)	11,4
ASPIRe roadmap	SFC	19 Feb 2025	Exploratory	Virtual-asset service providers and SFC-regulated firms. Only the custody law timeline has a date.	12
Policy Statement 2.0 (LEAP)	FSTB	26 Jun 2025	Stated target	Whole market; banks through the HKMA	2
Fintech 2030 (DART)	HKMA	3 Nov 2025	Stated target	Banks	13
Fintech Promotion Blueprint	HKMA	3 Feb 2026	Stated target	Banks, fintech providers	14
Strategic Review of Business Models circular	HKMA	9 Mar 2026	In force	All authorized institutions	6
2026-27 Budget	Financial Secretary	25 Feb 2026	Stated target	Whole market	15
Chief Executive's 2026 Policy Address	Chief Executive	16 Sep 2026	Stated target	Whole market	16

Authorized institution: a bank or other deposit-taker authorized by the HKMA. Virtual asset: the legal term for crypto-type assets. Chip meanings: Superseded means a later document replaced it. Exploratory means ideas the regulator will study. Stated target means an official goal, not yet law. In force means it applies now.

Key facts

- The 2022 Policy Statement said the government would follow the principle of "same activity, same risks, same regulation". ¹⁷ It said its next step was a licensing regime for virtual-asset service providers. ¹⁷
- The 2022 Policy Statement also named stablecoins (tokens designed to hold a steady value) as another key area of focus. ¹⁸ It listed three pilots: issuing non-fungible tokens, tokenised government green bonds, and e-HKD (a possible central bank digital currency for public use). ¹⁸
- Policy Statement 2.0 says the government will use the term *digital assets* instead of *virtual assets*. ¹⁹ The anti-money-laundering law still uses the legal term *virtual asset*. ²⁰ That law is the Anti-Money Laundering and Counter-Terrorist Financing Ordinance (AMLO), section 53ZRA. ²⁰
- LEAP stands for: Legal and regulatory streamlining; Expanding the suite of tokenised products; Advancing use cases and cross-sectoral collaboration; People and partnership development. ²¹
- Policy Statement 2.0 proposes the SFC as the lead authority for licensing and registering digital-asset dealers and custodians. ²² For banks, it names the HKMA as frontline regulator of their dealing and custody activities. ²²

- Policy Statement 2.0 also said the government would propose laws on profits tax concessions (tax breaks).²³ Privately offered funds and family-owned investment holding vehicles already get these breaks.²³ The change is to extend them to cover specified digital assets.²³ The start date is the 2025/26 tax year, if the Legislative Council (LegCo) approves.²³
- ASPIRe has five pillars and 12 initiatives.²⁴ The pillars are Access, Safeguards, Products, Infrastructure and Relationships.²⁴ ASPIRe says the government-led work to prepare laws for a custodian licensing regime aimed to finish by end-2025.²⁵
- ASPIRe says the SFC will explore new custody standards.²⁶ The idea is standards that focus on outcomes and suit any technology, instead of fixed hardware and cold-storage ratios.²⁶ Cold storage means keeping the keys to client assets offline.
- Fintech 2030 has four pillars, known as DART, and over 40 initiatives.²⁷ DART stands for Data and payment infrastructure, Artificial intelligence, Resilience and Tokenisation.²⁷ The initiatives include regular issuance of tokenised government bonds and the Project Ensemble pilot.²⁷
- The Fintech Promotion Blueprint announced four flagship projects.²⁸ One is a Quantum Preparedness Index.²⁸ Another is a Fintech Cybersecurity Baseline for fintech firms using artificial intelligence and distributed ledger technology (DLT).²⁸ DLT is the shared-ledger technology behind blockchains.
- The HKMA expects each authorized institution's board to oversee and endorse a formal strategic business plan covering DLT and other technology change.⁶ The board has six months from the 9 March 2026 circular.⁶
- The 2025 Policy Address set a target: a bill in LegCo in 2026 to license digital-asset dealing and custody service providers.²⁹
- The 2026-27 Budget repeated the plan for a licensing bill in 2026.³⁰ It said the government would change the Inland Revenue Ordinance over the coming two years.³¹ The change puts into effect two international tax-reporting standards.³¹ They are the amended Common Reporting Standard (CRS) and the Crypto-Asset Reporting Framework (CARF).³¹ Both help tax authorities share information across borders. The bill was due in the first half of 2026.³¹
- CMU OmniClear: the company that runs the HKMA's Central Moneymarkets Unit (CMU), a system for holding and settling bonds. The Budget said CMU OmniClear would set up a digital asset platform in 2026.³² The platform is for issuing and settling digital bonds.³²
- The 2026 Policy Address says the HKMA will test tokenised Exchange Fund Bills by year-end.³³ The tests are meant to help banks use more than HK\$1.3 trillion of these bills more efficiently.³³ Banks could then use them around the clock.³³
- The HKMA plans to add two features to EnsembleTX by around end-2026.³⁴ One is settlement in central bank digital currency (CBDC). The other is round-the-clock operation.³⁴ The HKMA will also keep exploring uses for tokenised deposits (bank deposits in digital token form).³⁴
- The Policy Address lists three SFC steps:³⁵
 - improve its virtual-asset licensing regimes;³⁵
 - promote trading of regulated stablecoins on licensed platforms;³⁵
 - start running its digital-asset custody monitoring system in the second half of 2026.³⁵
- The Customs and Excise Department aims to launch a Digital Asset Transaction Analytics System by 2029.³⁶

What your bank must or should do

Obligations

- ☐ Have the board oversee and endorse a formal strategic business plan covering DLT and related technology. The deadline is six months after 9 March 2026.⁶

Controls & monitoring

- ☐ Track the 2026 target for a bill to license digital-asset dealing and custody.³⁰ Policy Statement 2.0 proposes the SFC as lead licensing and registration authority, with the HKMA as frontline regulator for banks.²²
- ☐ Track the start dates proposed in the CARF bill. These are 1 Jan 2027 for the CARF part and 1 Jan 2028 for the amended CRS part.³⁷

Notify / consult HKMA or SFC

- ☐ Discuss any new digital-asset activity with the HKMA before launch. The March 2026 circular restates this.⁶
- ☐ Be ready to submit the business plan through the HKMA Survey Tool if invited.⁶

Counterparty due diligence

- ☐ None set by the policy documents in this module. See B2 and B3 for the current rules.

Talking points

To the CCO (Chief Compliance Officer)

- The 2026 licensing regime is still only a target. The bill has yet to go to LegCo.²⁹ By contrast, the business-model circular already sets a board expectation for every authorized institution.⁶
- The government now says *digital assets*, but AMLO still says *virtual asset*.^{19,20}

To business heads

- The SFC will promote trading of regulated stablecoins on licensed platforms.³⁸ It will also promote their use to settle tokenised money market funds.³⁸
- EnsembleTX is to add CBDC settlement and 24/7 operation by around end-2026.³⁴

To the CEO

- The HKMA sees a chance for banks to link traditional finance and digital assets as a key intermediary.³⁹ It expects a board-endorsed plan.³⁹
- The government's stated 2026 target is a bill to license digital-asset dealing and custody.²⁹

To Risk / CRO (Chief Risk Officer)

- The Blueprint's Quantum Preparedness Index measures how ready banks are for post-quantum cryptography.⁴⁰ Post-quantum cryptography is encryption built to resist future quantum computers. The first index reading was 2.3 out of 10.⁴¹
- ASPIRe may shift custody rules toward outcome-based standards. That idea is still exploratory.²⁶

Common misunderstandings

- **Myth:** "Policy Statement 2.0 changed the law." **Fact:** It sets directions. The tax breaks, for example, need LegCo approval.²³
- **Myth:** "ASPIRe items are rules." **Fact:** Half of the 12 initiatives are framed as things the SFC will explore or consider.⁴²
- **Myth:** "The first stablecoin licences came in March 2026, as the Budget said." **Fact:** The Budget (25 Feb 2026) said the first licences would come the next month.⁴³ The HKMA granted them on 10 April 2026.⁴⁴
- **Myth:** "The business-model circular is about crypto only." **Fact:** It covers DLT, agentic AI (systems that act on their own) and cloud computing.³⁹ It also reminds banks to discuss new digital-asset activities before launch.³⁹

Official documents to read first

1. **Policy Statement 2.0 on the Development of Digital Assets in Hong Kong** — FSTB, 26 Jun 2025. Read paras 3-6, 9-11, 15-16. It sets out the current government framework (LEAP) and each regulator's role. https://gia.info.gov.hk/general/202506/26/P2025062600269_500089_1_1750909574183.pdf
2. **Strategic Review of Business Models amid Digital Transformation** — HKMA, 9 Mar 2026. Read both pages. It is the one policy document here that asks something of your board. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260309-1-EN/20260309-1-EN.pdf>
3. **The Chief Executive's 2026 Policy Address** — 16 Sep 2026. Read paras 35, 49-51 and 99 (PDF pp.22-23, 26-27, 33). It has the latest dated targets for the HKMA, the SFC and CMU OmniClear. https://www.policyaddress.gov.hk/2026/public/pdf/policy/policy-full_en.pdf

Open questions

- The 2026 virtual-asset licensing bill was not in the documents reviewed for this guide by 25 Sep 2026. In June 2026 the government said it and the SFC would introduce the bill this year.⁴⁵ The bill is to cover providers of virtual-asset dealing, custody, advisory and management services.⁴⁵
- The detailed documents for the Blueprint's Fintech Cybersecurity Baseline and Quantum Preparedness Index are not in the documents reviewed for this guide.
- The 2023 Policy Address does not mention virtual assets. Its nearest items are blockchain-based e-licences and a green fintech subsidy scheme.⁴⁶
- Locator correction: the 2026 Policy Address digital-bond items are in para 35(ii)-(iv) on p.23. One entry in our internal source notes says para 34. This module follows the Policy Address text.

Related modules

A1, A2, B2, B3

Notes

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PART B

Your bank as a regulated entity

PART B · MODULE B1

B1 Your bank's legal status for digital assets

For the bank's Head of Compliance (digital assets). After this module you can explain the bank's legal role in each digital-asset activity. You can also say who supervises each activity and which rules bind which company in the group.

In 60 seconds

A bank in Hong Kong is an Authorized Institution (AI). The Banking Ordinance governs how it is authorized and supervised.¹ Some banks carry on "regulated activities", a term the Securities and Futures Ordinance (SFO) defines. A bank doing so must register with the Securities and Futures Commission (SFC) as a Registered Institution (RI).² The Hong Kong Monetary Authority (HKMA) is the RI's front-line (day-to-day) supervisor. Its Supervisory Policy Manual (SPM) module SB-1 explains how.² A company the SFC licenses under SFO section 116 or 117 is a Licensed Corporation (LC).³ The joint SFC–HKMA circulars on virtual-asset (VA) activities address "intermediaries". That term covers both licensed corporations (LCs) and registered institutions (RIs).^{3,4} Under the proposed VA dealing and custody regimes, banks would register with the SFC, with the HKMA as their frontline regulator.^{5,6} VA custodians owned by locally incorporated banks would be regulated by the SFC instead.^{5,6} Some May 2026 HKMA circulars go to all authorized institutions (AIs), and others only to RIs. So always check which firms a circular covers.^{7,8}

Where things stand

As of 25 September 2026.

Instrument	Issuer	Date	Status (chip)	Applies to	Source
SPM SB-1 (V.4) Supervision of SFC-registered AIs	HKMA	12 Sep 2025	In force	RIs	⁹
Guideline on Anti-Money Laundering (AML) and Counter-Financing of Terrorism (CFT) for AIs	HKMA	25 May 2023	In force	All AIs, including RIs	¹⁰
Joint circular on VA-related activities, plus supplement	SFC + HKMA	22 Dec 2023; 30 Sep 2025	In force (changed for Relevant Stablecoins by the 27 May 2026 RI circular)	LCs; RIs	^{4,11,12}
RI circular: Relevant Stablecoins	HKMA (formulated jointly with SFC)	27 May 2026	In force	RIs only	¹³
AI letter: Relevant Stablecoin-related activities	HKMA	27 May 2026	In force	All AIs	⁷
RI circular: VA financing, shared order book, withdrawals	HKMA	27 May 2026	In force	RIs only	¹⁴
Custody guidance (updated)	HKMA	27 May 2026	In force	AIs, plus subsidiaries of locally incorporated AIs	¹⁵
VA dealing regime (banks register; HKMA is frontline regulator)	Financial Services and the Treasury Bureau (FSTB) + SFC	24 Dec 2025	Conclusions published	Banks and stored value facilities register. LCs, RIs and SFC-licensed VA trading platforms (VATPs) get fast-track approval	^{5,16}
VA custodian regime	FSTB + SFC	24 Dec 2025	Conclusions published	Banks, bank subsidiaries, custodians	^{17,18}
VA advisory and management regimes	FSTB + SFC	24 Dec 2025 (proposal); 26 May 2026 (conclusions)	Conclusions published	Proposal: only banks could register (others licensed)	^{19,20}

Key facts

- An AI that carries on business in regulated activities is required to register with the SFC as an RI. The SFC registers AIs under SFO section 119.²¹
- The SFC holds ultimate responsibility for RIs. The HKMA is the RI's front-line supervisor. Under SFO section 5(3), the SFC may rely on the HKMA's supervision.²²
- Each RI needs at least two executive officers for each regulated activity. Executive officers are the senior staff who directly supervise that activity.²³
- Each executive officer needs the written consent of the Monetary Authority (MA). At least one of them must be available at all times.²³
- Only people entered on the HKMA Register (the HKMA's public list of RI staff) may perform a regulated function for an RI. So the RI should submit their details before they start.²⁴

- An associated entity is a company linked to an RI through control that receives or holds the RI's client assets in Hong Kong. ³
- An RI should tell the SFC and HKMA if it plans to start any VA activity. It should also tell them before changing one, including the type of clients it serves. ²⁵
- The HKMA AML/CFT Guideline applies to all AIs, including RIs. ²⁶
- RIs, and associated entities that are AIs, must also take into account the SFC's AML/CFT guideline. That includes its Chapter 12 on virtual assets. ²⁶
- The joint circular addresses intermediaries, meaning LCs and RIs. ^{4,3}
- The joint circular reminds intermediaries to tell the SFC (and the HKMA, where relevant) before starting or changing VA activities. ^{4,3}
- The September 2025 supplement lets LCs and RIs offer staking to clients they deal in virtual assets for. Staking means locking up clients' tokens to help run a blockchain, in return for rewards. ²⁷
- Firms may offer staking only through segregated (ring-fenced) accounts. Those accounts are held with an SFC-licensed platform, an AI, or a subsidiary of a locally incorporated AI. ²⁷
- The May 2026 Relevant Stablecoin circular is addressed to RIs. Relevant Stablecoins are stablecoins issued by HKMA-licensed issuers. ¹³
- That circular's VA dealing, advisory and asset management rules do not apply to AIs that are not RIs. The same goes for the joint circulars' rules. ¹³
- Those rules also do not apply to an HKMA-licensed issuer for the coin it issues itself. The HKMA expects these firms to meet similar standards that it issues separately. ¹³
- A separate HKMA letter covers all AIs that deal in, advise on or manage portfolios of Relevant Stablecoins. They should follow the RI standards. ²⁸
- The same letter reminds these AIs to discuss their plans with the HKMA in advance. ²⁸
- Under the Stablecoins Ordinance, only specified licensed institutions may offer a fiat-referenced stablecoin (one tied to an official currency) in Hong Kong. ²⁹
- The HKMA register of licensed stablecoin issuers lists The Hongkong and Shanghai Banking Corporation Limited. Its licence is FRS02, effective 10 Apr 2026. ³⁰
- The HKMA's guideline for licensed stablecoin issuers sets board expectations in para 7.1.3. These include having at least one-third independent non-executive directors. Those expectations do not apply to a licensed issuer that is an AI. ³¹
- Such an issuer should follow the Banking Ordinance and related guidance instead. ³¹
- The June 2025 VA dealing proposal said banks would have to register with the SFC. The SFC would register them in consultation with the HKMA. ³²
- The proposal also said the HKMA would be the frontline regulator for banks' VA dealing, with powers to inspect premises and investigate suspected breaches. ³³
- For VA custody, the proposal made the HKMA the frontline regulator for banks. VA custodians owned by locally incorporated banks would be regulated by the SFC. ⁶
- The December 2025 custody conclusions describe a minimum capital level (a floor) for custodians: HK\$10m paid-up capital and HK\$3m liquid capital. ³⁴
- The conclusions exempt banks from that floor because existing HKMA capital requirements already apply to them. ³⁴
- The December 2025 further consultation proposed that only banks could register with the SFC, rather than be licensed, for VA advisory or VA management services. ¹⁹

What your bank must or should do

Obligations

- ☐ Hold SFC registration for each regulated activity the bank carries on. ³⁵
- ☐ Have at least two executive officers per activity, each with HKMA consent. ³⁵
- ☐ Register relevant individuals (staff who carry out the RI's regulated activities) on the HKMA Register before they start. ²⁴
- ☐ Apply the HKMA AML/CFT Guideline across the whole bank. ³⁶
- ☐ For the RI and any associated entities that are AIs, also take into account Chapter 12 of the SFC AML/CFT guideline. ³⁶
- ☐ If the bank is locally incorporated, check that its subsidiaries meet the HKMA standards when they provide digital-asset custody or staking from custody. ^{15,37}

Controls & monitoring

- ☐ Before applying a circular, map each digital-asset activity to the company and role doing it: AI, RI, LC subsidiary or associated entity. ³⁸
- ☐ Keep the relevant-individual database up to date. ³⁹
- ☐ Report Register changes and specified fitness information within 7 business days. ³⁹

Notify / consult HKMA or SFC

- ☐ Tell the SFC and HKMA before starting or changing VA activities.²⁵
- ☐ Tell the HKMA in advance before applying to the SFC for registration.⁴⁰
- ☐ Consider early contact with the SFC or HKMA before applying under the coming dealing regime. The conclusions encourage this.⁴¹

Counterparty due diligence

- ☐ Check that any stablecoin issuer you deal with is on the HKMA register.⁴²
- ☐ Check that VA dealing partners are SFC-licensed VATPs.^{43,44}
- ☐ For Relevant Stablecoins only, treat the HKMA-licensed issuer of that coin as an allowed dealing partner too.^{43,44}

Talking points**To the Chief Compliance Officer (CCO)**

- Our VA conduct rules apply to us because we are an RI. The HKMA supervises us; the SFC keeps ultimate responsibility.²²
- Check who each paper covers. The May 2026 Relevant Stablecoin circular is addressed to RIs. The separate stablecoin letter covers all AIs.^{13,7}

To business heads

- As an RI, we should tell the SFC and HKMA when we plan to start or change VA services.²⁵
- Under the proposed custodian regime, the SFC would regulate a custody subsidiary. The HKMA would be frontline regulator for the bank itself.⁶

To the CEO

- Under the proposed dealing and custody regimes, the SFC would license and register providers. The HKMA would be frontline regulator for banks.⁴⁵
- The MA can withdraw or suspend an executive officer's consent for misconduct. Each regulated activity must always have at least one executive officer available.⁴⁶

To Risk / Chief Risk Officer (CRO)

- A bank VA custodian would use existing HKMA capital rules, not the custodian capital floor.¹⁸
- The RI financing circular requires loans secured only by virtual assets to be treated as clean (unsecured) loans for capital purposes.⁴⁷

Common misunderstandings

- **Myth:** "SFC AML Chapter 12 binds the whole bank." **Fact:** It reaches only RIs, and associated entities that are AIs. They must take it into account, but it does not bind the rest of the bank.³⁶
- **Myth:** "The joint circular is an SFC rule for brokers, not us." **Fact:** It addresses RIs too. It reaches banks through HKMA frontline supervision.^{4,48}
- **Myth:** "The May 2026 RI stablecoin circular covers all AIs." **Fact:** It is addressed to RIs. A separate HKMA letter covers AIs that are not RIs.^{13,7}
- **Myth:** "A custodian owned by a bank is supervised like the bank." **Fact:** Under the proposal, the SFC would regulate it.⁶
- **Myth:** "VA financing rules apply to every AI." **Fact:** The May 2026 financing circular is addressed to RIs.⁴⁹

Official documents to read first

1. **SPM SB-1 Supervision of Regulated Activities of SFC-Registered AIs (V.4)** — HKMA, 12 Sep 2025. Read paras 1.1.1, 2.1-2.2, 4.3, 4.16.1 and 5.6. This is the rulebook for your RI status. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20250909-3-EN/SB-1.PDF>
2. **Public Consultation on Legislative Proposal to Regulate Dealing in Virtual Assets** — FSTB/SFC, 27 Jun 2025. Read paras 1.10 and 2.36. They show how banks would be registered and supervised. https://www.fstb.gov.hk/fsb/en/publication/consult/doc/VADEALING_consultation_paper_en.pdf
3. **Virtual asset-related activities in relation to relevant stablecoins** — HKMA, 27 May 2026. Read footnote 3 (p.2), paras (1)-(4) and Implementation (p.9). It is a worked example of a circular that covers RIs only. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-2-EN/20260527-2-EN.pdf>

Open questions

- On 24 Jun 2026 the Government said it would put a bill to the Legislative Council this year. The bill would cover the VA dealing, custodian, advisory and management regimes.⁵⁰
- The documents reviewed hold no bill text. So the final rules on how banks register are not yet in law.⁵⁰

- The HKMA and SFC documents reviewed do not say how registration under the new VA regimes will fit with an RI's existing SFO registration. They mention only fast-track approval.^{16,51}
- The documents reviewed do not include the Banking Ordinance or SFO text on executive officers. SB-1 is the only source used here.

Related modules

A1, A2, B2, B3

Notes

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5. FSTB. *Public Consultation on Legislative Proposal to Regulate Dealing in Virtual Assets*, 27 June 2025. Paras 1.10, 2.36. <https://apps.sfc.hk/edistributionWeb/gateway/EN/consultation/doc?refNo=25CP6>
6. FSTB. *Public Consultation on Legislative Proposal to Regulate Virtual Asset Custodian Services*, 27 June 2025. Para 2.12(a). <https://apps.sfc.hk/edistributionWeb/gateway/EN/consultation/doc?refNo=25CP7>
7. HKMA. *Relevant Stablecoin-related Activities*, 27 May 2026. P.1. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/20260527-4-EN>
8. HKMA. *Virtual asset-related activities in relation to relevant stablecoins issued by licensed stablecoin issuers*, 27 May 2026. P.1. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-2-EN/20260527-2-EN.pdf>
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PART B · MODULE B2

B2 Engaging the HKMA and SFC

For the bank's Head of Compliance (digital assets): the HKMA (Hong Kong Monetary Authority) and the SFC (Securities and Futures Commission) are your two regulators. After this module you can list the main duties to talk to a regulator before acting on digital-asset plans. You can also explain the HKMA's engagement channels: the Supervisory Incubator, the 2026 business-model review and the superseded (replaced) stablecoin issuer sandbox.

In 60 seconds

In HKMA rules, banks are called authorized institutions (AIs). Virtual assets (VAs) are crypto tokens and similar digital assets. Since January 2022, the HKMA has expected any bank planning a virtual-asset (VA) activity to discuss it with the HKMA first. ¹ The bank should get the HKMA's feedback on its risk controls before launch. ¹

Later HKMA circulars (formal letters to banks) repeat this discuss-first step for:

- tokenised products (assets recorded as digital tokens on a blockchain) ²
- custody (holding digital assets for clients) ³
- staking (locking up tokens to help run a blockchain, in return for rewards) ⁴
- services in Relevant Stablecoins (stablecoins issued under an HKMA licence) ⁵

Some banks are also registered with the Securities and Futures Commission (SFC) for securities business. These banks are called registered institutions (RIs). A bank acting as a registered institution (RI) should tell both regulators before it starts or changes VA dealing, advice or asset management. ⁶

The capital rules (rules on how much capital a bank holds against its risks) add a separate trigger. A bank must notify the HKMA when it acquires a new type of cryptoasset. ⁷

For distributed ledger technology (DLT) projects, the HKMA runs a Supervisory Incubator. ⁸ DLT means shared digital records, such as blockchains. The Incubator offers a dedicated HKMA team and optional live trials. ⁸

In March 2026 the HKMA said it expects every bank's board to endorse a strategic business plan on digital change within six months. ⁹

Where things stand

As of 25 Sep 2026.

Instrument	Issuer	Date	Status (chip)	Applies to	Source
AIs' interface with VAs and VA service providers (VASPs)	HKMA	28 Jan 2022	In force	All Authorized Institutions (AIs)	¹⁰
Joint circular on intermediaries' VA-related activities	SFC + HKMA	22 Dec 2023	In force	Licensed corporations (LCs); RIs via HKMA	¹¹
Sale and distribution of tokenised products	HKMA	20 Feb 2024	In force	AIs	²
Custody circular (first version)	HKMA	20 Feb 2024	Superseded	AIs	³
Updated custody guidance and Annex	HKMA	27 May 2026	In force	AIs and subsidiaries of local AIs	³
Staking from custodial services	HKMA	7 Apr 2025	In force	AIs and subsidiaries of local AIs	⁴
Supervisory Incubator for DLT	HKMA	8 Jan 2025	Pilot	AIs	¹²
Supervisory Policy Manual (SPM) SB-1 (V.4)	HKMA	12 Sep 2025	In force	RIs	⁶
Supplemental joint circular	SFC + HKMA	30 Sep 2025	In force	LCs; RIs	¹³
SPM CRP-1 Classification of Cryptoassets	HKMA	27 Nov 2025 (applies from 1 Jan 2026)	In force	All AIs	⁷
SPM CR-L-5 Major Acquisitions (V.3)	HKMA	27 Nov 2025	In force	Locally incorporated AIs	¹⁴
Strategic Review of Business Models	HKMA	9 Mar 2026	In force	All AIs	⁹
RI circular and AI letter on Relevant Stablecoins	HKMA (with SFC)	27 May 2026	In force	RIs; all AIs	^{15,5}
SFC circular 26EC26 on Relevant Stablecoin services	SFC	27 May 2026	In force	VA trading platforms (VATPs); LCs	¹⁶
Stablecoin issuer sandbox	HKMA	12 Mar 2024	Superseded	Would-be issuers	¹⁷

Key facts

- A bank planning any VA activity should discuss it with the HKMA, and with other regulators where relevant, before launch. ¹ The bank should get feedback on its risk controls before launch. ¹

- Before selling or issuing tokenised products, a bank should have policies and controls in place and discuss its plans with the HKMA in advance.²
- A bank, or a local bank's subsidiary, that intends to offer digital-asset custody should first discuss it with the HKMA.³ It should also satisfy the HKMA that it meets the custody standards in the guidance's Annex.³
- The February 2024 custody circular asked existing custodians to confirm compliance to the HKMA within six months.¹⁸ The May 2026 letter supersedes (replaces) that circular.³ The new letter simply asks existing custodians to review and revise their controls.³
- Before offering staking from custody, a bank should have adequate policies and controls and discuss its plans with the HKMA in advance.⁴
- Intermediaries (firms licensed or registered with the SFC, including RIs) should give the SFC advance notice before starting or changing VA activities.¹¹ Where relevant, they should also give the HKMA advance notice.¹¹ A change in client type counts as a change.¹¹
- The September 2025 supplementary joint circular lists changes that need prior notice:¹³
 - a change in client type
 - first VA deposits or withdrawals
 - first staking service
 - first subscriptions or redemptions (buying into or cashing out of a product) paid in VAs
 - other material changes
- SB-1 is the Supervisory Policy Manual (SPM) chapter on supervising RIs. It expects an RI to tell the SFC and the HKMA when it plans to start or change VA activities.⁶
- An RI needs at least two executive officers (senior staff who directly supervise the business) for each regulated activity.¹⁹ Each executive officer needs written consent from the Monetary Authority (MA), applied for through the HKMA.¹⁹
- RIs should give the HKMA and SFC advance notice before they do any of these:¹⁵
 - distribute products linked to Relevant Stablecoins
 - deal in, advise on or manage Relevant Stablecoins
 - materially change those arrangements
- All AIs, not only RIs, should discuss Relevant Stablecoin dealing, advice or portfolio management with the HKMA before starting.⁵
- CRP-1 is the SPM chapter on classifying cryptoassets. Under CRP-1, a bank that acquires a new type of cryptoasset must notify the HKMA.⁷ It must treat the asset as Group 2b (the group with the strictest capital treatment) until the HKMA agrees to the bank's own classification.⁷
- A locally incorporated AI (one set up in Hong Kong) needs the MA's written consent for some share purchases.¹⁴ Consent is needed when the shares bought are worth at least 5% of the bank's own Tier 1 capital (its core capital).¹⁴ Equity-like cryptoassets (tokens that act like shares) count as shares for this test.¹⁴
- The HKMA launched the Supervisory Incubator on 8 January 2025.¹² The Incubator gives banks one supervisory contact point to confirm DLT risk controls before a full launch.¹² Live trials are optional.¹² Tokenised deposits (bank deposits recorded as digital tokens) were an initial focus.¹²
- Incubator participants may get some supervisory flexibility, decided case by case.²⁰
- The HKMA expects each bank's board to oversee and endorse a formal strategic business plan for these technology changes.⁹ The deadline is six months from 9 March 2026.⁹
- The same March 2026 circular repeats that banks should discuss new digital-asset activities with the HKMA before launch.²¹
- The stablecoin issuer sandbox (March 2024) let would-be issuers test their plans on a limited scale.²² Admission did not mean HKMA endorsement or regulation.²² A licence would need a separate application.²²
- The HKMA later said sandbox participation is not a condition for a licence and does not guarantee one.²³

What your bank must or should do

Obligations

- ☐ Discuss each new VA product or service with the HKMA before launch, and get its feedback on risk controls.¹⁰
- ☐ Have the board oversee and endorse the strategic business plan that the March 2026 circular asks for.⁹
- ☐ Get the MA's written consent for each RI executive officer, applying through the HKMA.²⁴

Controls & monitoring

- ☐ Track the changes that trigger prior notice: new client type, first VA deposits or withdrawals, first staking, first VA-funded subscriptions and other material changes.¹³
- ☐ If the bank already offers custody, review and revise its controls against the 2026 Annex.³
- ☐ If a cryptoasset stops meeting the conditions for its HKMA-agreed group (1a, 1b or 2a), move it to Group 2b at once.²⁵ Any later move to another group needs the HKMA's agreement.²⁵

Notify / consult HKMA or SFC

- ☐ Discuss tokenised products, custody and staking with the HKMA in advance. ^{26,27,28}
- ☐ Notify the SFC and the HKMA in advance of RI VA activities and of changes to them. ^{6,11}
- ☐ Relevant Stablecoin activities: if the bank is an RI, notify the HKMA and SFC. ²⁹ Every bank: discuss them with the HKMA. ³⁰
- ☐ Notify the HKMA when the bank acquires a new type of cryptoasset. ⁷
- ☐ Seek consent before taking a stake in equity-like tokens worth 5% or more of Tier 1 capital. ³¹ Give the MA at least one month's notice of other significant acquisitions. ³¹

Counterparty due diligence

- ☐ Do not treat a firm's sandbox status as a licence. ³² Check the HKMA's Register of Licensed Stablecoin Issuers instead. ³³

Talking points

To the CCO

- Every new VA, tokenisation, custody, staking or stablecoin launch starts with an HKMA discussion. ¹⁰ For RI activities, the SFC and HKMA also expect advance notice. ⁶
- The 2026 custody letter dropped the six-month confirmation. ³ Existing custodians should review and revise their controls instead. ³

To business heads

- We talk to the HKMA before go-live on any new digital-asset activity. The March 2026 circular restates that step. ²¹
- We should flag a new client type to the SFC in advance, and to the HKMA where relevant. ¹³ The same goes for our first VA deposits, staking or VA-funded subscriptions. ¹³

To the CEO

- The HKMA asked each board to endorse a digital-transformation business plan within six months of 9 March 2026. ⁹
- The Supervisory Incubator gives us a dedicated HKMA team for feedback before a full DLT launch. ⁸ Live trials there are optional. ⁸

To Risk / CRO

- We must notify the HKMA when we acquire a new type of cryptoasset. ⁷ The asset sits in Group 2b until the HKMA agrees with our classification. ⁷
- Equity-like tokens count as shares for the 5%-of-Tier-1 consent test. ³⁴

Common misunderstandings

- **Myth:** Telling the SFC is enough. **Fact:** SB-1 expects RIs to tell both regulators. ⁶ The HKMA's own circulars add a discuss-first step. ¹⁰
- **Myth:** The advance-notice rule in SFC circular 26EC26, on admitting Relevant Stablecoins, binds us. **Fact:** That circular is addressed to VATPs and LCs. ¹⁶ For RIs, the HKMA's RI circular sets the advance-notice duty. ¹⁵
- **Myth:** Every crypto trade needs a CRP-1 notice. **Fact:** Only a new type of cryptoasset does. ³⁵ A first Bitcoin position triggers a notice. ³⁵ Bitcoin futures after existing spot (direct) holdings do not. ³⁵
- **Myth:** The six-month custody confirmation still applies. **Fact:** It belonged to the 2024 circular. ¹⁸ That circular has been superseded. ³
- **Myth:** Incubator or sandbox entry means approval. **Fact:** Incubator flexibility is case by case. ³⁶ Sandbox admission was not an endorsement. ³²

Official documents to read first

1. **Regulatory approaches to AIs' interface with VAs and VASPs**, HKMA, 28 Jan 2022. Read pp.3-5, ending with the AIs' VA-related proposals section. This is where the discuss-first expectation starts. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/20220128-1-EN>
2. **SPM SB-1 Supervision of Regulated Activities of SFC-Registered AIs (V.4)**, HKMA, 12 Sep 2025. Read paras 2.1.3, 2.2.4, 4.3 and 5.6. It sets the RI duties to notify regulators and to get consent for executive officers. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20250909-3-EN/SB-1.PDF>
3. **HKMA circular to RIs on VA-related activities involving Relevant Stablecoins**, HKMA, 27 May 2026. Read Background (pp.1-2) and Implementation (p.9). It sets the newest advance-notice duty. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-2-EN/20260527-2-EN.pdf>

Open questions

- The documents reviewed for this guide contain no HKMA form, template or response timeline for the discuss-first step.

- The six-month window in the March 2026 business-model circular ran to about 9 September 2026.⁹ No document reviewed for this guide shows any HKMA follow-up on these plans.
- No document reviewed for this guide has a public list of Supervisory Incubator participants.
- The December 2025 consultation conclusions on VA custodian services cover banks that safekeep private keys (the secret codes that control crypto) for client VAs.³⁷ They also cover subsidiaries of locally incorporated banks that do so.³⁷ These firms would need a licence or registration under the proposed regime.³⁷ The stated aim is to introduce a bill into the Legislative Council in 2026.³⁷ No bill text is in the documents reviewed for this guide (see A1).

Related modules

A1, B1, B3, C1, C3, C4

Notes

1. HKMA. *Regulatory approaches to Authorized Institutions' interface with Virtual Assets and Virtual Asset Service Providers*, 28 January 2022. Als' VA-related proposals section, p.5. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/20220128-1-EN>
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4. HKMA. *Provision of Staking Services for Virtual Assets from Custodial Services*, 7 April 2025. P.3, Implementation. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20250407-1-EN/20250407-1-EN.pdf>
5. HKMA. *Relevant Stablecoin-related Activities*, 27 May 2026. Implementation, p.2. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/20260527-4-EN>
6. HKMA. *SB-1 Supervision of Regulated Activities of SFC-Registered Authorized Institutions*, 12 September 2025. Para 5.6. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20250909-3-EN/SB-1.PDF>
7. HKMA. *CRP-1 Classification of Cryptoassets*, 27 November 2025. Para 2.1.2. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251125-15-EN/CRP-1.pdf>
8. HKMA. *HKMA launches Supervisory Incubator to foster responsible adoption of distributed ledger technology*, 8 January 2025. Para 3. <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2025/01/20250108-3/>
9. HKMA. *Strategic Review of Business Models amid Digital Transformation*, 9 March 2026. Letter body, para 4. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260309-1-EN/20260309-1-EN.pdf>
10. HKMA. *Regulatory approaches to Authorized Institutions' interface with Virtual Assets and Virtual Asset Service Providers*, 28 January 2022. P.5. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/20220128-1-EN>
11. HKMA, SFC. *Joint circular on intermediaries' virtual asset-related activities*, 22 December 2023. Para 31. <https://apps.sfc.hk/edistributionWeb/gateway/EN/circular/doc?refNo=23EC66>
12. HKMA. *HKMA launches Supervisory Incubator to foster responsible adoption of distributed ledger technology*, 8 January 2025. Paras 2-3. <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2025/01/20250108-3/>
13. HKMA, SFC. *Supplemental joint circular on intermediaries' virtual asset-related activities*, 30 September 2025. Para 10. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20250930-1-EN/20250930-1-EN.pdf>
14. HKMA. *CR-L-5 Major Acquisitions and Investments: BELR Part 3*, 27 November 2025. Para 1.1 and fn 1. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251125-5-EN/CR-L-5.pdf>
15. HKMA. *Virtual asset-related activities in relation to relevant stablecoins issued by licensed stablecoin issuers*, 27 May 2026. Implementation, p.9. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-2-EN/20260527-2-EN.pdf>
16. SFC. *Circular on provision of Relevant Stablecoin service by virtual asset trading platforms and licensed corporations*, 27 May 2026. Para 12. <https://apps.sfc.hk/edistributionWeb/gateway/EN/circular/doc?refNo=26EC26>
17. HKMA. *Stablecoin Issuer Sandbox*, 12 March 2024. Opening para. <https://www.hkma.gov.hk/eng/news-and-media/insight/2024/03/20240312/>
18. HKMA. *Provision of Custodial Services for Digital Assets*, 20 February 2024. Implementation, p.2. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/20240220-12-EN>
19. HKMA. *SB-1 Supervision of Regulated Activities of SFC-Registered Authorized Institutions*, 12 September 2025. Paras 2.2.4, 4.3.9-4.3.10. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/202509-3-EN/SB-1.PDF>
20. HKMA. *Supervisory Incubator for Distributed Ledger Technology (DLT)*, 8 January 2025. P.1 and fn 2. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/20250120-1-EN>
21. HKMA. *Strategic Review of Business Models amid Digital Transformation*, 9 March 2026. Letter body, para 5. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260309-1-EN/20260309-1-EN.pdf>
22. HKMA. *Stablecoin Issuer Sandbox*, 12 March 2024. Testing in the sandbox section, paras 1-2. <https://www.hkma.gov.hk/eng/news-and-media/insight/2024/03/20240312/>
23. HKMA. *Robust and Sustainable Development of Stablecoins*, 23 June 2025. Licensing regime section, para 5. <https://www.hkma.gov.hk/eng/news-and-media/insight/2025/06/20250623/>
24. HKMA. *SB-1 Supervision of Regulated Activities of SFC-Registered Authorized Institutions*, 12 September 2025. Para 2.2.4. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20250909-3-EN/SB-1.PDF>
25. HKMA. *CRP-1 Classification of Cryptoassets*, 27 November 2025. Paras 2.1.3, 2.1.5. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251125-15-EN/CRP-1.pdf>
26. HKMA. *Sale and distribution of tokenised products*, 20 February 2024. P.6. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/20240220-10-EN>
27. HKMA. *Updated Guidance on Provision of Custodial Services for Digital Assets*, 27 May 2026. P.2. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/20260527-6-EN>
28. HKMA. *Provision of Staking Services for Virtual Assets from Custodial Services*, 7 April 2025. P.3. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20250407-1-EN/20250407-1-EN.pdf>
29. HKMA. *Virtual asset-related activities in relation to relevant stablecoins issued by licensed stablecoin issuers*, 27 May 2026. P.9. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-2-EN/20260527-2-EN.pdf>
30. HKMA. *Relevant Stablecoin-related Activities*, 27 May 2026. P.2. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/20260527-4-EN>
31. HKMA. *CR-L-5 Major Acquisitions and Investments: BELR Part 3*, 27 November 2025. Paras 1.1, 2.9.1. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251125-5-EN/CR-L-5.pdf>
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33. HKMA. *Granting of stablecoin issuer licences*, 10 April 2026. Paras 4-5. <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2026/04/20260410-4/>
34. HKMA. *CR-L-5 Major Acquisitions and Investments: BELR Part 3*, 27 November 2025. Fn 1. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251125-5-EN/CR-L-5.pdf>
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36. HKMA. *Supervisory Incubator for Distributed Ledger Technology (DLT)*, 8 January 2025. P.1. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/20250120-1-EN>
37. FSTB, SFC. *Consultation Conclusions: Legislative Proposal to Regulate Virtual Asset Custodian Services*, 24 December 2025. Paras 35(b), 65. https://www.fstb.gov.hk/fsb/en/publication/consult/doc/Custodian_consultation_conclusion_e.pdf

PART B · MODULE B3

B3 Governance, risk and technology expectations

This module is for the bank's Head of Compliance (digital assets). After it, you can explain what the Hong Kong Monetary Authority (HKMA) expects in four areas. You can also point to the paragraph for each:

- the board's role;
- risk assessment of new products;
- distributed ledger technology (DLT), the shared-database technology behind crypto, and vendor risk;
- control of private keys (the secret codes that move digital assets).

In 60 seconds

The HKMA's Supervisory Policy Manual (SPM) has a Pillar 2 module, CA-G-5. ¹ Pillar 2 is the HKMA's review of whether a bank holds enough capital for all its risks. ¹ CA-G-5 applies to locally incorporated authorized institutions (AIs), meaning banks and deposit-takers set up as companies in Hong Kong. ¹ CA-G-5 says the board and senior management should understand the risks of new or complex activities. ¹ It names cryptoasset activities as an example. ¹

The HKMA has a guideline on anti-money laundering (AML) and counter-financing of terrorism (CFT). ² Before any new product, business practice or technology goes live, that guideline requires a risk assessment. ² The assessment covers money laundering (ML) and terrorist financing (TF) risks. ²

For DLT, the HKMA published ten risk considerations in April 2024, and they are not binding. ³ It followed with a longer research study in March 2025. ⁴

Circulars on custody (holding assets for clients), staking and tokenised products add concrete expectations. They cover vendor due diligence (checks on suppliers) and key management. ^{5,6,7} The main key-management expectations are:

- keys held in tamper-resistant devices; ⁸
- keys generated and backed up in Hong Kong; ⁸
- no "single point of failure" (one part whose loss stops everything); ⁸
- 98% of client virtual assets (VA) in cold storage, with keys kept offline. ⁹

If a bank's capital or risk management around cryptoassets falls short, the HKMA may consider extra measures. ¹⁰ These include capital add-ons (extra capital), provisioning (money set aside for losses), limits or other measures. ¹⁰

Where things stand

As of 25 September 2026.

Instrument	Issuer	Date	Status (chip)	Applies to	Source
SPM CA-G-5 Supervisory Review Process (V.7)	HKMA	19 December 2025	In force	Locally incorporated AIs	11
AML/CFT Guideline for AIs (revised May 2023)	HKMA	25 May 2023	In force	AIs, including Registered Institutions (RIs)	12
DLT risk-management considerations (cover letter + Annex)	HKMA	16 April 2024	In force	AIs (non-binding considerations)	3,13
DLT in the Financial Sector: study	HKMA	19 March 2025	Exploratory	AIs (research, not a rule)	4
Sale and distribution of tokenised products	HKMA	20 February 2024	In force	AIs (tokenised products not regulated under the Securities and Futures Ordinance)	14
Staking from custodial services	HKMA	7 April 2025	In force	AIs and subsidiaries of locally incorporated AIs	15
Updated custody guidance Annex	HKMA	27 May 2026	In force	AIs and subsidiaries of locally incorporated AIs	16
SPM CRP-1 Classification of Cryptoassets	HKMA	1 January 2026	In force	All AIs	17
Strategic Review of Business Models	HKMA	9 March 2026	In force	All AIs	18

Key facts

- Directors and senior managers of a locally incorporated AI should understand the firm-wide risks of new or complex products and activities. ¹⁹ CA-G-5 names cryptoasset activities as an example. ¹⁹
- CA-G-5 notes: "Cryptoasset activities and associated risks are relatively new and evolving." ²⁰ For related gaps in capital adequacy (having enough capital) or risk management, the HKMA may consider these measures: ²⁰
 - capital add-ons (extra capital on top of the minimum);
 - provisioning (setting money aside) for foreseeable and estimable cryptoasset losses;
 - limits;

- other measures.
- The HKMA expects each AI's board to oversee and endorse a formal strategic business plan.¹⁸ The board has six months from the 9 March 2026 circular.¹⁸ The plan looks at adapting products, revenue models, customer engagement, risk management and operations.¹⁸
- A bank should identify and weigh the ML/TF risks of:²¹
 - new products;
 - new business practices, including delivery mechanisms (how the product reaches customers);
 - new or developing technologies.

It should do this assessment before launch. It should then take measures to manage and reduce the risks it finds.²¹
- In the HKMA AML/CFT Guideline, the word "should" signals a mandatory requirement, just as "must" does.²²
- The April 2024 DLT considerations are non-binding and non-exhaustive (not a complete list).²³ The HKMA supervises on a risk-based, technology-neutral basis.²³ It checks whether a bank has adequate systems and controls for the extra risks DLT may bring.²³
- The board and senior management carry full responsibility for DLT adoption.²⁴ The bank should update its technology-risk, business-continuity and outsourcing policies for DLT factors as needed, and have enough staff with DLT expertise.²⁴
- A bank should choose a DLT network type that suits the application's nature and risks.²⁵ It should also consider whether the node operators (the parties that validate and confirm changes to the ledger) are trustworthy, reliable and diverse.²⁵ A permissionless network (one anyone can join) would likely be inappropriate for highly critical or sensitive functions without adequate compensating controls.²⁵
- Where a bank uses DLT for critical functions, its business continuity plans should include DLT test scenarios such as:²⁶
 - cyberattacks;
 - loss or theft of private keys;
 - forks (splits of a blockchain into two versions).
- The March 2025 study drew on input from three other regulators.²⁷ They are the Insurance Authority, the Mandatory Provident Fund Schemes Authority and the Securities and Futures Commission (SFC).²⁷ It surveyed 113 financial institutions and builds on the 2024 circular.²⁷ The study is research, not a new rule.²⁷
- For outsourced DLT work, the study suggests three steps:²⁸
 - assess vendors at every stage;
 - set contract terms on performance and data security;
 - line up backup vendors or failover plans (switching to a backup) in advance.
- Before launching custody, a bank should complete a comprehensive risk assessment, with effective oversight by the board and senior management before and after launch.²⁹
- As a general principle, a bank may delegate or outsource VA custody only to one of three types of firm:³⁰
 - another AI, or a subsidiary of an AI incorporated in Hong Kong;
 - a VA trading platform licensed by the SFC;
 - an HKMA-licensed stablecoin issuer that has HKMA consent to hold the stablecoins it issues.
- Due diligence on a custody delegate covers, among other things, independent code reviews and the provider's software release process.³¹ After that, the bank keeps reviewing the provider's security controls and disaster-recovery testing.³¹ Ultimate responsibility stays with the bank.³¹
- The HKMA sets these key-management expectations for client VAs:⁸
 - Keep keys in tamper-resistant devices such as hardware security modules (HSM), and do due diligence on the HSM vendor.
 - Generate, store and back up seeds (master secrets that create keys) and keys in Hong Kong.
 - Use key sharding (splitting a key into parts held separately) or similar, so no single point of failure exists.
 - Show signers the transaction details in human-readable form.
- If the client assets in custody are VAs, 98% should sit in cold storage.⁹
- Some tokenised products (assets recorded as tokens on a DLT network) fall outside the Securities and Futures Ordinance.³² For these, due diligence on issuers and their technology vendors should cover:³²
 - key management;
 - safeguards against theft and hacking;
 - smart-contract audits (checks of the code that runs on the blockchain);
 - contingency plans for DLT failures.
- For staking (locking up tokens to help run a blockchain, for rewards), the bank should do three things:³³

- Keep possession or control of the means to unstage client VAs, such as the private keys of withdrawal addresses.
- Do due diligence on each blockchain protocol.
- Vet and monitor any third-party staking provider.
- CRP-1 says AIs must have policies, governance, staff and information technology able to assess cryptoasset risk.³⁴ They must document the basis for each classification and make it available to the HKMA on request.³⁴

What your bank must or should do

Obligations

- ☐ Run the ML/TF risk assessment before launching any new product, new business practice or new technology. Examples of new products are a VA, tokenisation or stablecoin service.²¹
- ☐ Brief the board so it understands cryptoasset risks firm-wide and can set limits. Those limits sit within the bank's risk appetite (the level of risk it is willing to accept).³⁵
- ☐ Complete a comprehensive risk assessment before custody launch, under board oversight.²⁹

Controls & monitoring

- ☐ Update technology-risk, continuity and outsourcing policies for DLT factors.²⁴
- ☐ Apply the para 11 key controls to client VAs, including 98% cold storage.³⁶
- ☐ Monitor custody security 24/7, test system changes before deployment and monitor dependencies.³⁷
- ☐ Keep documented classification evidence for each cryptoasset exposure.³⁴

Notify / consult HKMA or SFC

- ☐ Take the DLT considerations into account when preparing DLT-related submissions. The HKMA encourages this.³
- ☐ Obtain HKMA consent before appointing an HKMA-licensed stablecoin issuer to hold the stablecoins it issues.³⁸ The issuer's keys must be kept in Hong Kong or a location the HKMA accepts.³⁸

Counterparty due diligence

- ☐ Document due diligence on custody delegates and HSM vendors, and review them regularly.³⁹
- ☐ Vet tokenisation platforms and staking providers before use, and monitor them afterwards.^{7,40}
- ☐ Consider whether DLT node operators are trustworthy, reliable and diverse.⁴¹

Talking points

To the CCO

- The HKMA AML/CFT Guideline requires an ML/TF risk assessment before any new product, practice or technology launch. In that guideline, "should" is mandatory.²
- The DLT considerations are non-binding. Even so, the HKMA encourages banks to take them into account in DLT-related submissions.³

To business heads

- As a general principle, we can outsource VA custody only to another AI, an SFC-licensed platform, or a licensed stablecoin issuer. A stablecoin issuer qualifies only for the coins it issues, and only with HKMA consent.³⁰
- Before we offer tokenised products to customers, we need due diligence on the issuer and its technology vendors.⁷

To the CEO

- The HKMA expects the board to understand cryptoasset risks.⁴² It also expects the board to endorse a digital-transformation business plan within six months of 9 March 2026.¹⁸
- If our capital or risk management for crypto falls short, the HKMA may consider capital add-ons, provisioning or limits.¹⁰

To Risk / CRO

- For custody keys, the HKMA looks for HSM devices, a Hong Kong location and sharding.³⁶ It also looks for no blind signing (approving unseen details) and 98% of client VAs in cold storage.³⁶
- DLT continuity plans should test key loss, cyberattacks and forks.²⁶

Common misunderstandings

- **Myth:** "The DLT considerations are rules with deadlines." **Fact:** They are non-binding and set no deadline.³ The firm numbers sit in the custody Annex.⁴³
- **Myth:** "The March 2025 DLT study sets new rules." **Fact:** It is a research study. It builds on the 2024 circular.⁴⁴
- **Myth:** "Outsourcing custody moves the risk away." **Fact:** Ultimate responsibility stays with the bank.⁴⁵
- **Myth:** "Insurance must cover 100% of hot-wallet assets." **Fact:** That fixed cover came from the February 2024 guidance.⁴⁶ It set 50% cover for cold storage, and 100% for hot storage (keys kept online) and other storage.⁴⁶ The May 2026 circular

replaced that guidance.⁴⁷ The 2026 Annex instead makes the bank liable for losses attributable to it.⁴⁸ It also requires adequate financial resources, which may include insurance.⁴⁸

- **Myth:** "The SFC's VA chapter on money laundering sets our new-product rule." **Fact:** For a bank, the HKMA guideline governs.⁴⁹ RIs must also take into account the SFC guideline, including its VA chapter.⁴⁹

Official documents to read first

1. **Risk management considerations related to the use of DLT (Annex)**, HKMA, 16 April 2024. Read all ten items. This is the HKMA's DLT checklist. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20240416-2-EN/20240416-2-EN.pdf>
2. **Updated Guidance on Expected Standards on Custodial Services (Annex)**, HKMA, 27 May 2026. Read paras 1, 10-11, 14-19 and 23-25. It covers governance, keys and outsourcing in one place. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-7-EN/20260527-7-EN.pdf>
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Open questions

- The HKMA AML/CFT Guideline for AIs has no provisions on stablecoins, unhosted wallets (wallets held without a service provider) or VA red flags (warning signs).⁵⁰ The guideline mentions VAs only in passing, in two places:⁵⁰
 - VA transfers as occasional transactions (one-off dealings outside an ongoing relationship);
 - VA service providers in correspondent-type relationships (a bank providing services similar to correspondent banking to another firm).

See D3 for how the gap is handled.

- No general HKMA outsourcing or technology-risk module is among the documents reviewed for this guide. Only DLT- and custody-specific outsourcing text is covered.
- Two copies of CA-G-5 V.7 exist. One is dated 27 November 2025 and has a placeholder header date (xx.12.2025). The other is the 19 December 2025 version.^{51,52} This module cites the 19 December 2025 text, and the crypto paragraphs match.^{51,52}

Related modules

B2, C3, C5, D3, D4

Notes

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PART C

Activities

PART C · MODULE C1

C1 Selling, dealing and advising on virtual assets

This module is for the Head of Compliance at a bank that is also a Registered Institution (RI). An RI is a bank registered with the Securities and Futures Commission (SFC) for securities business. After this module you can explain what the bank can do with virtual assets (VAs), such as bitcoin. That covers selling, dealing, advising and staking. You can also explain what the bank must check first. The rules come from a joint regime of the SFC and the Hong Kong Monetary Authority (HKMA).

In 60 seconds

Since January 2022, the SFC and the HKMA have set out their expectations in a joint circular on virtual-asset (VA) activities ¹. The circular covers intermediaries, including banks registered with the SFC ¹. The current base text is dated 22 December 2023. It replaced the two earlier versions ². A supplemental circular of 30 September 2025 added refinements and relaxations ³. HKMA guidance of 27 May 2026 eased the rules for licensed stablecoins ⁴. Licensed stablecoins are tokens pegged to one or more official currencies ⁴. The same guidance allowed VA financing, meaning credit for VA dealing ⁵. The regulators say VA-related products are very likely complex ⁶. Complex ones should generally go only to professional investors (PIs), who meet set wealth or institutional tests ⁷. Firms should test the VA knowledge of clients other than institutional and qualified corporate PIs ⁸. Dealing should go through SFC-licensed platforms ⁸. For licensed stablecoins, dealing can also go through the licensed issuer ⁹. The SFC imposes the detailed conduct rules as conditions on the bank's SFC registration ¹⁰. The bank should tell the SFC in advance of new VA activities or changes, and the HKMA where applicable ¹⁰.

Where things stand

As of 25 September 2026.

LCs = licensed corporations (firms licensed by the SFC). RIs = registered institutions (banks registered with the SFC). AIs = authorized institutions (banks licensed under the Banking Ordinance). VATPs = VA trading platforms licensed by the SFC. PI = professional investor. FSTB = Financial Services and the Treasury Bureau. T&Cs = terms and conditions.

Instrument	Issuer	Date	Status (chip)	Applies to	Source
Joint circular on intermediaries' VA-related activities	SFC + HKMA	28 Jan 2022	Superseded	LCs, RIs	¹
Joint circular (revised)	SFC + HKMA	20 Oct 2023	Superseded	LCs, RIs	^{11,2}
Joint circular (current base) + Appendices 1–7	SFC + HKMA	22 Dec 2023	In force	LCs, RIs	^{12, 13}
Supplemental joint circular (staking, off-platform trades, in-kind flows)	SFC + HKMA	30 Sep 2025	In force	LCs, RIs	¹⁴
HKMA circular on Relevant Stablecoin activities + Appendix A1 (dealing and advice T&Cs) and A2 (portfolio management T&Cs)	HKMA (with SFC)	27 May 2026	In force	RIs	^{15, 16}
Letter on Relevant Stablecoin-related activities	HKMA	27 May 2026	In force	All AIs	¹⁷
Circular on Relevant Stablecoin services (26EC26)	SFC	27 May 2026	In force	VATPs, LCs (bank's counterparties)	¹⁸
Guidance on VA financing, shared order book and client VA withdrawals	HKMA	27 May 2026	In force	RIs	¹⁹
Standalone licensing regimes for VA dealing, advisory and management	FSTB + SFC	Dec 2025 / May 2026	Conclusions published	Banks would register with the SFC for VA advisory and management	^{20, 21}

Key facts

- The 22 December 2023 circular fully replaced both earlier joint circulars ².
- VA-related products mainly invest in VAs, get their value mainly from VAs, or track VA returns ⁶. The regulators say such products are very likely complex ⁶. So suitability checks (does the product fit the client?) apply even without a solicitation or recommendation ⁶. The exception is the exchange-traded products in paras 7 and 9 ⁶.
- Complex VA-related products should be offered only to PIs, apart from a limited set of products ²². The set covers certain VA derivatives traded on exchanges the SFC specifies, plus SFC-authorized VA funds ²³. For the funds, the exchange is the Stock Exchange of Hong Kong (SEHK). For these exchange-traded products, a firm can execute a client's order without a suitability check if it made no solicitation or recommendation ²³. The knowledge test still applies ²³.
- Firms should assess the VA knowledge of every client except institutional PIs and qualified corporate PIs ²⁴. A one-off test is acceptable ²⁴. A client without the knowledge may trade only after the firm has trained them ²⁴.
- Firms should partner only with SFC-licensed platforms for VA dealing ²⁵. They can introduce clients to the platform or use an omnibus account (one account holding many clients' assets) ²⁵. They should offer VA dealing only to clients of their Type 1

(dealing in securities) business ²⁵.

- Before serving retail dealing clients, a firm should set an exposure limit for each client ²⁶. The limit should reflect the client's financial situation, including net worth ²⁶. The firm should also restrict these clients to tokens the platform offers to retail investors ²⁶.
- Advice on VAs is limited to Type 1 or Type 4 (advising on securities) clients ²⁷. Any VA recommended to a retail client should appear in at least two acceptable indices ²⁷. Those indices should come from at least two different index providers ²⁷.
- Appendix 7 sets extra terms for managing some portfolios that invest in VAs (RA9: Type 9 regulated activity, asset management) ²⁸. A portfolio triggers these terms if it has a stated VA objective ²⁸. It also triggers them if it plans to put 10% or more of gross asset value (GAV) into VAs ²⁸. Discretionary VA dealing that is only incidental to Type 1 business should stay below 10% of GAV ²⁸.
- The September 2025 supplement allows staking for clients the firm already deals VAs for ²⁹. Staking means locking up tokens to help run a blockchain in return for rewards. Staking should go only through segregated accounts at an SFC-licensed platform or an AI ²⁹. Segregated accounts keep client assets apart from the firm's own.
- The same supplement allows trades through a licensed platform's off-platform trading services ³⁰. These are services the platform runs outside its main trading venue. The regulators do not treat a client's subscription for, or redemption of, products using VAs as providing VA dealing services ³⁰. The same applies to in-kind fund flows (paying in or taking out VAs instead of cash) ³⁰.
- The net-worth check and the VA-futures risk disclosure do not apply to institutional or qualified corporate PIs ³¹.
- From May 2026, RIs may partner with the licensed issuer of a Relevant Stablecoin as well as with VATPs ³². A Relevant Stablecoin is a specified stablecoin issued under a Stablecoins Ordinance licence ³². The same guidance removes paragraph 20(a)(iii) ³². So retail omnibus dealing may now go through a VA trading platform (VATP) that serves PIs only ³². The condition is that retail clients trade only tokens that VATP has admitted for retail trading ³².
- Some clients have accounts clearly marked as Relevant-Stablecoin-only. For them, no knowledge test or exposure limit is needed ^{33,34}. For any client, Relevant Stablecoin holdings need not count towards the exposure limit ^{33,34}.
- RIs providing VA dealing may now offer VA financing, but only to their securities margin clients ³⁵. Where the RI relies on VA collateral, only bitcoin, ether and Relevant Stablecoins are eligible ³⁵. Bitcoin and ether get a haircut of at least 60% ³⁵. A haircut is a cut to the value the lender counts.
- In January 2026 the SFC reprimanded and fined a licensed broker HK\$4 million ³⁶. Between November 2018 and November 2022, the broker let retail clients trade VA products that the 2018 and 2022 circulars limited to PIs ³⁶. The 1,446 trades involved 32 VA products ³⁶. The broker did not assess VA knowledge or give VA-specific warnings ³⁶. It had no specific product due diligence procedures for VA products ³⁶.

What your bank must or should do

Obligations

- Classify every VA-linked product ³⁷. Then apply the PI-only, suitability and knowledge-test rules that follow from that classification ³⁷.
- Carry out extra due diligence, using Appendix 4, on any VA fund the SFC has not authorised ³⁸.
- Give VA risk disclosures and warning statements to clients other than institutional or qualified corporate PIs ³⁹.
- Receive or withdraw client VAs only through segregated accounts ⁴⁰. Use accounts held at the partner platform or at an AI that meets HKMA custody standards ⁴⁰.
- For Relevant Stablecoins, disclose material information on how the coin keeps its value and how redemption works ⁴¹. Commission rebates or other benefits should not be the main basis for soliciting or recommending a coin ⁴¹.

Controls & monitoring

- Have adequate policies, procedures and controls for Relevant Stablecoin activities, and train staff ⁴².
- Keep Relevant-Stablecoin-only clients to Relevant Stablecoins ⁴³. Apply the full rules, including the knowledge test, before dealing in any other VA for them ⁴³.
- Keep the listed records on client VAs, staking and VA financing for at least seven years ⁴⁴. Keep records of orders and instructions on client VAs for at least two years ⁴⁴.
- Get a signed staking-risk acknowledgement before staking for clients other than institutional or qualified corporate PIs ⁴⁵.
- Monitor the volatility of VA collateral in real time when relying on it ⁴⁶. Treat loans secured only by VAs as clean loans, meaning unsecured for capital purposes ⁴⁶. The reason is that the Banking (Capital) Rules do not recognise VA collateral ⁴⁶.

Notify / consult HKMA or SFC

- Tell the SFC in advance, and the HKMA where applicable, about any new VA activity or change to one ⁴⁷. That includes a change in the type of client served ⁴⁷.
- Notify before the first client VA deposit or withdrawal, the first staking service, or the first VA-funded subscription or redemption ⁴⁸.
- A bank that is an AI but not an RI should follow the same standards ⁴⁹. It should discuss any Relevant Stablecoin dealing, advice or portfolio management with the HKMA before starting ⁴⁹.

- Report any actual or suspected material breach of the terms to the SFC and the HKMA as soon as practicable ⁵⁰.

Counterparty due diligence

- Confirm that the platform holds an actual SFC licence ⁵¹. Some platforms are only treated as licensed under Schedule 3G of the Anti-Money Laundering and Counter-Terrorist Financing Ordinance (AMLO). Those platforms do not count ⁵¹.
- Use only an SFC-licensed platform or an AI as the staking service provider ⁵². Confirm it has SFC approval or has discussed the service with the HKMA ⁵².
- For in-kind or VA-funded subscriptions, hold the VAs only at SFC-licensed platforms or AIs ⁵³. For those transfers, comply with the VA chapter (Chapter 12) of the SFC's anti-money-laundering (AML) guideline ⁵³.

Talking points

To the CCO

- The regime reaches us as an RI through conditions the SFC puts on our registration, consulting the HKMA where applicable ^{54,55}. The HKMA is our frontline, day-to-day supervisor ^{54,55}.
- Our AML baseline is the HKMA AML Guideline ⁵⁶. As an RI we are also required to take into account the VA chapter (Chapter 12) of the SFC guideline ⁵⁶.

To business heads

- SFC-authorized VA funds are not PI-only, and retail clients can buy listed ones on SEHK ⁵⁷. We should still assess VA knowledge first. Overseas VA exchange-traded products that are not derivatives remain PI-only ⁵⁷.
- Since May 2026, clearly ring-fenced Relevant-Stablecoin-only accounts need no knowledge test and no exposure limit ⁵⁸. The coin must come from an HKMA-licensed issuer ⁵⁸.

To the CEO

- The regulators relaxed parts of the regime in December 2023, September 2025 and May 2026 ^{59,3,4}. Complex-product rules, knowledge tests and licensed venues remain ⁶⁰.
- In January 2026 the SFC fined a broker HK\$4 million for VA distribution failures from 2018 to 2022 ⁶¹.

To Risk / CRO

- Margin clients can get VA financing ⁶². Only bitcoin, ether and Relevant Stablecoins count as VA collateral, with at least a 60% haircut on bitcoin and ether ⁶². VA collateral gets no capital recognition ⁶².
- Discretionary VA exposure under Type 1 should stay below 10% of the client account's GAV ⁶³.

Common misunderstandings

- **Myth:** All VA products are PI-only. **Fact:** SFC-authorized VA funds are not PI-only ⁶⁴. Certain VA derivatives traded on specified exchanges are also exempt. A knowledge test is still needed ⁶⁴.
- **Myth:** VA financing is banned. **Fact:** For RIs, that was true until May 2026 ⁶⁵. RIs providing VA dealing may now offer it to their securities margin clients under HKMA conditions ⁶⁵.
- **Myth:** The 2026 stablecoin relief covers any stablecoin and any bank. **Fact:** It covers only Relevant Stablecoins and only RIs ⁶⁶. It does not cover a licensed issuer for its own coin ⁶⁶. A separate letter tells AIs that are not RIs to follow the same standards ¹⁷.
- **Myth:** Deleting para 20(a)(iii) only matters for stablecoins. **Fact:** The deletion lets RIs serve retail clients in any VA through PI-only VATPs ⁹. This works only if each token has been admitted for retail trading ⁹.
- **Myth:** The 2022 circular still sets the rules. **Fact:** The December 2023 circular replaced the 2022 and October 2023 circulars ². Firms could keep serving existing clients found to have VA knowledge by tests done before 22 December 2023 ⁶⁷.

Official documents to read first

1. **Joint circular on intermediaries' VA-related activities**, SFC + HKMA, 22 Dec 2023. Read paras 5–15 (distribution), 16–22 (dealing), 23–29 (management and advice) and 30–31 (implementation). This is the base rulebook. <https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=23EC66>
2. **Supplemental joint circular**, SFC + HKMA, 30 Sep 2025. Read paras 4–10. They cover staking, off-platform trades, in-kind flows, carve-outs for PIs and notifications. <https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=25EC50>
3. **VA-related activities in relation to relevant stablecoins**, HKMA to RIs, 27 May 2026. Read Sections I–IV, paras (1)–(17), fn 3–4 and Implementation (p.9). This is the current relief for banks that are RIs. It removes para 20(a)(iii). <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-2-EN/20260527-2-EN.pdf>

Open questions

- The standalone licensing regimes for VA dealing, advisory and management are at the conclusions stage ²¹. The conclusions state that they will replace the current approach of putting terms and conditions on SFC registrations ²¹.

- No arrangement is planned to let existing VA advisory or management providers carry on while they apply for a licence⁶⁸. Instead, a faster approval process is planned for LCs and RIs already providing those services⁶⁸. The sources reviewed contain no bill text or start date.
- A June 2026 reply to a Legislative Council (LegCo) question covered a bill for VA dealing, custodian, advisory and management regimes⁶⁹. The reply said the bill would go to LegCo within 2026⁶⁹. The sources reviewed do not show that it has been introduced.
- The SFC press release on the January 2026 fine refers to a Statement of Disciplinary Action⁷⁰. We have not reviewed that statement here.
- Footnote 25 of the 2023 circular says firms should not provide financial accommodation (credit) for clients to acquire VAs⁷¹. For RIs, the May 2026 terms now allow it where the firm engages in securities margin financing^{72,73}. Registry summaries of the 2023 circular that still describe financing as prohibited are out of date.

Related modules

C2 (VA funds and exchange-traded funds), C3 (Custody and key management) and C4 (Stablecoins). Also see the modules on AML and counter-terrorist financing, and on VATPs.

Business angle: Virtual-asset distribution and brokerage and Virtual-asset financing and margin in the Business tab.

Notes

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5. HKMA. *Guidance on Offering of Financing for Virtual Asset Dealing, Shared Order Book, and Client Virtual Asset Withdrawals*, 27 May 2026. P.2. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-1-EN/20260527-1-EN.pdf>
6. HKMA, SFC. *Joint circular on intermediaries' virtual asset-related activities*, 22 December 2023. Para 5. <https://apps.sfc.hk/edistributionWeb/gateway/EN/circular/doc?refNo=23EC66>
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PART C · MODULE C2

C2 VA funds and ETFs

This module covers virtual asset (VA) funds and exchange-traded funds (ETFs). It is for the Head of Compliance at a bank that sells funds or acts as a participating dealer. A participating dealer is a firm allowed to create and redeem units in an exchange-traded fund. Tokenised funds are funds whose units are recorded as digital tokens. After this module, you can explain which crypto funds and tokenised funds may be sold in Hong Kong, and on what terms. You can also explain what the bank checks before it sells, creates or redeems units.

In 60 seconds

In October 2022 the Securities and Futures Commission (SFC) began taking applications to authorise VA ETFs ^{1,2}. These ETFs got their exposure to virtual assets (VAs) mainly through futures (contracts to buy or sell at a set price on a future date) ^{1,2}. A December 2023 circular let authorised funds invest directly in spot VAs (the crypto itself, not contracts on it) ³. An April 2025 revision added staking (locking up tokens to help run a blockchain in return for rewards) and other VA-related activities ⁴. A new version, reference 26EC31, replaced the April 2025 revision on 27 May 2026 ⁵. A fund that wants more than 10% of its net asset value (NAV) in VAs needs to consult the SFC and get its approval first ⁶. Such a fund should invest only in tokens that the Hong Kong public can trade on SFC-licensed virtual asset trading platforms (VATPs) ⁷. The fund should not use leverage (borrowing or derivatives that magnify exposure) to increase its VA exposure at fund level ⁷. The fund's trustee may delegate VA custody (safekeeping) only to three types of firm ⁸. These are licensed VATPs, qualifying authorized institutions (AIs), and other firms the SFC accepts ⁸. A qualifying AI is a bank or other AI that meets the Hong Kong Monetary Authority (HKMA) custody standards ⁸. Separate SFC circulars allow tokenised versions of authorised products, including tokenised fund classes ⁹. Since the 20 April 2026 revision, investors may also trade these tokenised products with each other on licensed VATPs ^{10,11}. When a bank sells SFC-authorised VA funds, the joint SFC–HKMA circular sets the selling rules ^{12,13}. Participating dealers (PDs) for spot VA ETFs should be SFC-licensed corporations (LCs) or registered institutions (RIs), meaning banks registered with the SFC ¹⁴. The SFC may add extra terms for these PDs ¹⁴.

Where things stand

As of 25 Sep 2026.

Instrument	Issuer	Date	Status (chip)	Applies to	Source
Circular on VA futures ETFs (22EC60)	SFC	31 Oct 2022	Superseded	Fund managers, distributors	¹⁵
Circular on SFC-authorised funds with VA exposure (23EC65)	SFC	22 Dec 2023	Superseded	Funds, LCs, RIs	¹⁶
Same circular, revised to add staking (25EC21)	SFC	7 Apr 2025	Superseded	Funds	¹⁷
Same circular, revised (26EC31)	SFC	27 May 2026	In force	Funds, managers, PDs, custodians	¹⁸
Tokenisation of SFC-authorised products (26EC22, revising 23EC53 of 2 Nov 2023)	SFC	20 Apr 2026	In force	Product providers, distributors	¹⁹ , ²⁰
Secondary trading of tokenised SFC-authorised products (26EC23)	SFC	20 Apr 2026	In force	VATPs, LCs, RIs, product providers	²¹
Sale and distribution of tokenised products	HKMA	20 Feb 2024	In force	AIs	²²
Joint circular (distribution rules) + Sep 2025 supplement	SFC + HKMA	22 Dec 2023 / 30 Sep 2025	In force	LCs, RIs	²³ , ²⁴

Key facts

- The first VA ETFs that the SFC allowed were based on futures ²⁵. At first, the only futures allowed were bitcoin and ether futures traded on the Chicago Mercantile Exchange ²⁵. The fund manager needed at least three years of experience managing ETFs ²⁵.
- The 2022 circular also capped each fund's net derivative exposure (its overall derivatives position after offsets) at 100% of NAV ²⁶. It also required intermediaries to run a VA-knowledge test (a check that the client understands VAs) when serving clients in these ETFs ²⁶.
- Under the December 2023 circular, funds could invest directly in spot VAs ²⁷. The first spot VA ETFs listed on the Hong Kong stock exchange on 30 April 2024 ²⁸.
- The current circular, 26EC31, covers public funds with more than 10% of NAV in VAs ²⁹. It replaced the April 2025 version ²⁹.
- Circular 26EC31 does not cover a fund's exposure to Relevant Stablecoins or tokenised deposits ³⁰. Relevant Stablecoins are stablecoins tied to one or more official currencies and issued under a licence under the Stablecoins Ordinance ³⁰. Tokenised deposits are bank deposits recorded as digital tokens. For fund exposure to either of them, the SFC points to question 20G of its FAQs on the Code on Unit Trusts and Mutual Funds ³⁰.

- Eligible VAs are limited to tokens that the Hong Kong public can trade on SFC-licensed VATPs³¹. VA futures must trade on conventional regulated futures exchanges³¹. Funds should not use leverage to increase their VA exposure at fund level³¹.
- Funds should buy and sell spot VAs through one of two routes³². The first is SFC-licensed VATPs, either on the platform or over the counter (a direct deal off the platform)³². The second is AIs, or subsidiaries of locally incorporated AIs, that comply with HKMA requirements³².
- Spot VA ETFs may create and redeem units in cash or in kind (paying with the VAs themselves)³³. For in-kind creations, PDs are expected to move VAs into the fund's custody accounts at VATPs or AIs³³. The VAs may have been held in Hong Kong or overseas³³.
- PDs for spot VA ETFs should be LCs or RIs¹⁴. The SFC's Intermediaries Division may impose extra terms on them¹⁴. Appendix 6 of the joint circular sets out these terms¹⁴.
- The trustee may delegate VA custody only to SFC-licensed VATPs, qualifying AIs, or other firms the SFC accepts³⁴. Qualifying AIs are AIs, or subsidiaries of locally incorporated AIs, that meet HKMA custody standards³⁴. Custodians should keep most VA holdings in cold wallets (storage kept offline)³⁴. They should store seeds and private keys (the secret codes that control the VAs) securely in Hong Kong³⁴.
- The SFC may allow VA funds to stake through licensed VATPs or, where applicable, AIs³⁵. The conditions include disclosing how much of the fund may be staked, and reporting on staking in interim and annual reports³⁵. The fund also needs to consult the SFC and get its approval first³⁵. In April 2025, the SFC said it caps fund staking to manage liquidity risk (the risk of running short of cash for redemptions)³⁶.
- SFC-authorized VA funds are not restricted to professional investors (PIs)³⁷. For units listed on the Stock Exchange of Hong Kong (SEHK), an intermediary can execute on-exchange orders without a suitability check or warning statements³⁷. This applies only where the intermediary did not solicit or recommend the trade³⁷. A VA-knowledge test still applies³⁷. Unlisted classes, and trades off exchange, need a suitability check, warnings and the knowledge test³⁷.
- The tokenisation circular looks through the token to the product underneath (a see-through approach)³⁸. It permits primary dealing (buying units from, and selling them back to, the product provider) in tokenised authorised products³⁸. Product providers should use public permissionless blockchains (open networks anyone can join) only if they add proper controls³⁸.
- Retail investors may be offered secondary trading (buying and selling between investors) in tokenised products³⁹. This trading runs through on-screen order matching on SFC-licensed VATPs³⁹. One control is an alert when the price moves away from the indicative NAV (a live estimate of the fund's value)³⁹.
- In March 2026, the Hong Kong public could buy 13 tokenised products⁴⁰. Their tokenised classes held about \$10.7 billion in assets⁴⁰. The SFC expects the first products offered for secondary trading to be mainly tokenised money market funds⁴⁰.

What your bank must or should do

Obligations

- Apply the joint circular's selling rules when you sell any SFC-authorized VA fund^{12,41}. These rules include the VA-knowledge test for all clients except institutional and qualified corporate PIs^{12,41}.
- Offer complex VA-related products (products whose terms and risks a retail investor is unlikely to understand) only to PIs⁴². VA funds not authorised by the SFC are one example⁴². Before offering such a fund, do the Appendix 4 due diligence on the fund and its manager⁴³. Cover the firms the fund uses for trading and custody too⁴³.
- Be a licensed corporation or registered institution to distribute tokenised authorised products⁴⁴. Apply the usual onboarding and suitability rules⁴⁴.
- Apply the underlying product's selling rules to tokenised products that the Securities and Futures Ordinance does not cover⁴⁵. The HKMA expects this, and expects the same for tokenised deposits placed by customers⁴⁵. The HKMA also expects AIs to understand and control the extra risks that tokenisation brings⁴⁵. RIs that sell tokenised products other than tokenised securities should follow this HKMA guidance⁴⁶.

Controls & monitoring

- Show clients the price-deviation alert if the bank acts as a Connecting Broker⁴⁷. A Connecting Broker is a licensed corporation or registered institution that routes clients' trades to VATPs⁴⁷. Tell clients they can subscribe or redeem at NAV instead⁴⁷. Get clients to confirm the risks before onboarding them⁴⁷.
- Keep an online screen that shows the indicative NAV and the last NAV⁴⁸. The indicative NAV is usually refreshed at least every 15 seconds while trading is open⁴⁸.
- Build access rights and controls into any online platform that sells VA-related products, so the platform enforces selling restrictions⁴⁹.

Notify / consult HKMA or SFC

- Give the SFC advance notice before first letting clients subscribe or redeem with VAs, including in-kind flows⁵⁰. Tell the HKMA too, where relevant⁵⁰.
- Notify the SFC before first taking part in secondary trading of tokenised products⁵¹. The SFC reminds RIs to notify the HKMA too⁵¹.
- Discuss with the HKMA before starting any activity covered by its tokenised-products circular⁵².

Counterparty due diligence

- Hold VAs for in-kind flows only in accounts with SFC-licensed platforms or AIs ⁵³. For these VA transfers, the supplemental joint circular also points to the SFC's anti-money laundering (AML) guideline ⁵⁴. The relevant part is Chapter 12 of the guideline for LCs and SFC-licensed VA service providers ⁵⁴.
- Do product due diligence on each VA-related product ⁵⁵. Cover its risks and features, its target investors and selling restrictions, and its regulatory status ⁵⁵.
- Do due diligence on the issuer and its technology vendors for tokenised products under the HKMA circular ⁵⁶. Cover smart-contract audits (independent reviews of the token's code) and private key management ⁵⁶. Also cover contingency plans for the distributed ledger (the shared record behind the tokens) ⁵⁶.

Talking points

To the CCO

- The VA fund circular is written for product providers ⁵⁷. Our duties as distributor or participating dealer come from the joint circular and any extra SFC terms for PDs ⁵⁷.
- For secondary trading of tokenised products, intermediaries notify the SFC first ⁵¹. RIs are reminded to notify the HKMA as well ⁵¹.

To business heads

- Retail clients can trade SEHK-listed VA ETFs on exchange without a suitability check if we did not solicit or recommend the trade ⁵⁸. They still need a knowledge test ⁵⁸. Unlisted classes of the same fund need a full suitability check ⁵⁸.
- In-kind creation is allowed, and the VAs may come from overseas holdings ³³. PDs are expected to move the VAs into custody at VATPs or AIs ³³.

To the CEO

- Hong Kong allowed futures-only VA ETFs in 2022 and spot VA funds in 2023 ^{59,27}. Fund staking followed in 2025 ⁶⁰. In 2026 came a pilot of 24/7 secondary trading of tokenised funds ⁶¹.
- As of March 2026, 13 tokenised products held about \$10.7 billion in their tokenised classes ⁶².

To Risk / CRO

- VA funds should not use leverage for VA exposure at fund level ⁶³. Custody can go only to VATPs, qualifying AIs, or firms the SFC accepts ⁶³.
- Staking by funds needs SFC consultation and approval first ⁶⁴. Interim and annual reports should show staked holdings as a share of NAV, along with revenue and costs ⁶⁴.

Common misunderstandings

- **Myth:** Hong Kong only has futures VA ETFs. **Fact:** Funds have been allowed to hold spot VAs directly since the December 2023 circular ²⁷.
- **Myth:** A fund holding licensed stablecoins is a VA fund. **Fact:** Circular 26EC31 excludes Relevant Stablecoins and tokenised deposits ⁶⁵.
- **Myth:** The 2023 or 2025 fund circular still applies. **Fact:** Each was replaced, most recently by 26EC31 on 27 May 2026 ^{66,5}.
- **Myth:** Tokenised funds only allow subscription and redemption. **Fact:** The 20 April 2026 revision allows secondary trading on VATPs ¹⁰. The 2023 version had called for more caution ⁶⁷.
- **Myth:** In-kind subscription makes the bank a VA dealer. **Fact:** The regulators say in-kind subscription is not treated as VA dealing ⁶⁸. Notification, custody and AML conditions still apply ⁶⁸.

Official documents to read first

1. **Circular on SFC-authorized funds with exposure to virtual assets (26EC31)**, SFC, revised 27 May 2026. Read paras 2, 11–22 and 27–31. They cover eligible VAs, PDs, custody, staking and SFC consultation.
<https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=26EC31>
2. **Circular on secondary trading of tokenised SFC-authorized investment products (26EC23)**, SFC, 20 Apr 2026. Read paras 8–16, 19–27 and fn 13. They cover trading channels, Connecting Broker duties, and when RIs notify the HKMA.
<https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=26EC23>
3. **Joint circular on intermediaries' VA-related activities**, SFC + HKMA, 22 Dec 2023. Read paras 5–15 and Appendix 4. They set out the selling rules for distributors and the due diligence on funds.
<https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=23EC66>

Open questions

- Question 20F of the FAQs on the Code on Unit Trusts and Mutual Funds holds the detailed staking requirements for VA funds ⁶⁹. Question 20G covers exposure to stablecoins and tokenised deposits ⁶⁹. Neither question is in the documents reviewed for

this guide.

- For in-kind VA transfers, the supplemental joint circular cites the SFC's AML guideline for LCs and VA service providers⁵⁴. The circular does not say how this fits with the HKMA's own AML guideline for AIs.
- The SFC says it will review the first products offered for secondary trading⁷⁰. It will then consider widening the product range in due course⁷⁰. The SFC has given no timeline⁷⁰.
- The 2026 Policy Address (the Chief Executive's yearly policy speech) says the SFC will promote trading of regulated stablecoins on licensed VATPs⁷¹. It will also promote their use in settling tokenised money market funds⁷¹.

Related modules

C1 (Selling, dealing and advising), C3 (Custody and key management), C4 (Stablecoins), plus the tokenisation and Project Ensemble modules.

Business angle: Roles in virtual-asset ETFs and Tokenised funds and money market fund settlement in the Business tab.

Notes

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- SFC. *Circular on SFC-authorised funds with exposure to virtual assets*, 27 May 2026. Para 20. <https://apps.sfc.hk/edistributionWeb/gateway/EN/circular/doc?refNo=26EC31>
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C3 Custody of digital assets and key management

This module is for the Head of Compliance at a bank that holds, or plans to hold, clients' crypto or tokenised assets. After reading it, you can explain what the Hong Kong Monetary Authority (HKMA) expects in its May 2026 custody standards. You can also explain what changed from 2024 and how staking fits in. Finally, you can explain how rules from the Securities and Futures Commission (SFC) and for stablecoins set the benchmark for counterparties.

In 60 seconds

Custody means safekeeping assets for clients. In virtual asset (VA) custody, the core risk sits with whoever safekeeps the private keys, or similar tools, that can move the assets ¹. A private key is the secret code that authorises a transfer. So much of the rulebook is about key management ². The HKMA set custody standards for banks, which it calls authorized institutions (AIs), in February 2024 ³. On 27 May 2026 it replaced them with an updated annex (a set of detailed standards) of 26 paragraphs ^{3,4}. The new annex keeps the rule that 98% of client virtual assets (VAs) sit in cold storage, meaning their keys are kept offline ⁵. It also keeps the rule that keys stay in Hong Kong ⁵. It adds detailed controls on how wallets, the tools that hold keys, are run ^{6,7}. It drops the fixed insurance percentages ^{6,7}. With HKMA consent, a bank can now appoint a licensed stablecoin issuer to hold that issuer's own coins ^{6,7}. A stablecoin is a token designed to keep a steady value against a currency. The SFC sets custody rules for licensed crypto exchanges, known as virtual asset trading platforms (VATPs) ⁸. These rules are in Part X of the SFC's guidelines for VATP operators, called the VATP Guidelines ⁸. The SFC says the standards in its August 2025 custody circular will also be core expectations for future VA custodians ⁹. A circular is a formal notice to regulated firms. In December 2025, the Financial Services and the Treasury Bureau (FSTB) and the SFC published consultation conclusions on licensing custodians ¹⁰. Consultation conclusions are the final response to public comments. The conclusions stated an aim to put a bill, or draft law, before the Legislative Council (LegCo) in 2026 ¹⁰.

Where things stand

As of 25 Sep 2026.

Instrument	Issuer	Date	Status (chip)	Applies to	Source
Provision of Custodial Services for Digital Assets + Annex	HKMA	20 Feb 2024	Superseded	AIs and subsidiaries of local AIs	¹¹ , ¹²
Updated Guidance on Custodial Services + Annex	HKMA	27 May 2026	In force	AIs and subsidiaries of local AIs	¹³ , ¹⁴
Staking services for VAs from custodial services	HKMA	7 Apr 2025	In force	AIs and subsidiaries of local AIs	¹⁵
Staking services by VATPs + terms and conditions	SFC	7 Apr 2025	In force	VATPs and their associated entities	¹⁶
VATP Guidelines, Part X (custody)	SFC	Jun 2023	In force	VATPs	¹⁷
Circular on custody of VAs (25EC44)	SFC	15 Aug 2025	In force	VATPs and associated entities	¹⁸
Guideline on Supervision of Licensed Stablecoin Issuers, para 6.5.7 (keys)	HKMA	Aug 2025	In force	Licensed stablecoin issuers	¹⁹
VA custodian services licensing regime	FSTB + SFC	24 Dec 2025	Conclusions published	VA custodians, including banks that safekeep keys (licence or registration)	²⁰

Key facts

- The 2026 annex covers client digital assets held by AIs ²¹. It also covers those held by subsidiaries of locally incorporated AIs (AIs set up as companies in Hong Kong) ²¹. Digital assets here include VAs, tokenised securities and other tokenised assets ²¹. Tokenised means ownership is recorded on a blockchain or similar ledger. Two groups fall outside the annex: limited purpose digital tokens, and assets the bank or its group holds for itself ²¹.
- The 2026 letter replaces the February 2024 circular ³. Banks already offering custody should review and revise their systems and controls to meet the latest standards ³. The 2024 circular set a six-month deadline to notify the HKMA and confirm compliance ²². The 2026 letter sets no such deadline ³.
- For client VAs, the annex's key controls are generally required ²³. For other digital assets, the bank may take a risk-based approach, matching controls to the risk ²³. Tokens on public permissionless chains, which anyone can join, call for extra caution ²³.
- The rule to keep 98% of client VAs in cold storage has not changed ^{24,25}.
- **Compensation changed.** The 2024 annex asked banks for insurance or compensation cover ⁷. The cover was 50% of client VAs in cold storage and 100% in hot and other storage ⁷. The 2026 annex drops these figures ²⁶. Instead, the HKMA expects the bank to be liable for losses from incidents attributable to the bank ²⁶. Adequate financial resources, which may include insurance, back that liability ²⁶. The 50%/100% figures still apply to VATPs under an SFC rule ²⁷. For VATPs, the cover takes the form of a compensation arrangement the SFC approves ²⁷.

- **Key location.** Seeds and private keys should still be generated, stored and backed up in Hong Kong ²⁸. A seed is the master secret from which keys are made. There is one new exception ²⁸. With HKMA consent, a bank may appoint an HKMA-licensed stablecoin issuer to hold that issuer's own coins ²⁸. The issuer's keys can then be in Hong Kong or in another location the HKMA accepts ²⁸.
- **New operating controls.** The annex adds cold-wallet whitelists, lists of approved addresses, with a system check on every transfer ²⁹. It also adds detection of intrusions into vaults, signing devices and code repositories, where software code is stored ²⁹. The annex also sets out these controls ³⁰:
 - due diligence on hardware security module (HSM) vendors, who supply secure devices that store keys;
 - no smart contracts, or self-running blockchain programs, in cold wallets on public chains;
 - segregation of duties over wallet code, so no one person controls it alone;
 - dedicated devices for approving transactions;
 - integrity checks on critical transaction data, using devices kept off networks (air-gapped);
 - measures to prevent blind signing.
- Security monitoring should run 24/7 ³¹.
- **Anti-money laundering section removed.** The 2024 annex had a separate paragraph on anti-money laundering (AML) and counter-financing of terrorism (CFT), or AML/CFT ³². The 2026 annex has none. The cover letter reminds AIs that every other law and rule that applies to them still applies ¹³.
- Transfers to third parties are now allowed if effective controls are in place ³³. They can support payment services or carry out client settlement instructions ³³. The definition of client now also covers clients of SFC-licensed VATPs ³³.
- For staking from custody, the annex points to the HKMA's April 2025 staking guidance ³⁴. Staking means locking up tokens to help run a blockchain in return for rewards. The annex asks banks to have due regard to the SFC's staking terms for VATPs ³⁴. Under the HKMA guidance, the bank should keep control of everything needed to unstake, or withdraw staked tokens ³⁵. It should disclose staking risks such as slashing, a penalty that takes away staked tokens ³⁵. It should also discuss its plans with the HKMA before launch ³⁵. VATPs may not use third-party custody for staked assets ³⁶.
- The SFC's August 2025 circular took effect immediately ³⁷. It describes security incidents at overseas platforms. The SFC says these incidents point to potential weaknesses in any custody solution ³⁷. That includes an HSM, multi-party computation (MPC) or multi-signature set-up ³⁷. Its standards will also be core expectations for future VA custodians ³⁷.
- Under the custodian regime conclusions, the licence will cover custodians that safekeep private keys or similar tools that let VAs be transferred ³⁸. Custodians of tokenised securities that do not hold VAs fall outside the regime ³⁸.
- The SFC will set a baseline of HK\$10 million paid-up share capital, the money owners have put in ³⁹. It will also set HK\$3 million liquid capital, meaning assets that can quickly be turned into cash ³⁹. Banks remain subject to HKMA capital requirements ³⁹.
- The FSTB and SFC do not plan to let existing providers carry on while they apply for a licence ⁴⁰. But banks already assessed by the HKMA and already providing VA custody get a faster licensing process ⁴⁰.
- The consultation paper proposed that the SFC license and register VA custodians and set standards ⁴¹. It also proposed that the HKMA act as frontline regulator, supervising banks' VA custodian activities ⁴¹. The conclusions list banks that safekeep keys among those needing a licence or registration ⁴². The list also covers subsidiaries of locally incorporated banks that safekeep keys ⁴².

Key-management terms, as the documents use them

- **Hot and cold wallets.** In a hot wallet the private keys sit online, which makes them easier to attack. In a cold wallet they are kept offline ⁴³.
- **HSM (hardware security module).** A secure, tamper-resistant device that creates and stores seeds and keys. Banks should check that the vendor keeps up patching and re-certification ⁴⁴.
- **Key sharding and multi-signature.** Sharding splits a key among several authorised staff, so no one person holds all of it ⁴⁵. A set number of shard-holders must act together to sign ⁴⁵. Multi-signature uses several keys to approve one transaction. For stablecoin issuers, those keys should be stored in separate, isolated environments ⁴⁶.
- **MPC (multi-party computation).** Another way to spread signing power across parties. For licensing, a key question is whether the provider can move client assets on its own ⁴⁷.
- **Blind signing.** Approving a transaction without reviewing its contents. Banks should show signers every detail in human-readable form before they sign ^{48,49}.
- **Whitelisting.** Deposits and withdrawals go only to approved addresses shown to belong to the client ⁴⁹. The bank can check this, for example, by message signing or by a micropayment test (a tiny trial transfer) ⁴⁹. The third-party transfer exception still applies ⁴⁹. Changes to a cold-wallet whitelist are tightly controlled ⁴⁹.
- **Air-gapped devices.** Devices kept off networks, stored in a cold vault and changed only with physical access. Banks should use them to check that critical transaction data is intact ⁵⁰. Stablecoin issuers should generate, and use, their most significant keys in air-gapped environments ⁵¹.

What your bank must or should do

Obligations

- Keep client assets and wallet addresses separate from the bank's own ⁵².
- Do not lend, pledge or otherwise use client assets as security ⁵². Three exceptions apply: settling transactions or fees the client owes the bank, explicit written client consent given in advance, or where the law requires it ⁵².
- Be liable for losses attributable to the bank, and hold adequate financial resources to cover them ²⁶.
- Disclose the custody arrangements to clients fully and fairly ⁵³. Cover rights on insolvency, segregation, insurance or compensation, and commingling, which means mixing assets together ⁵³. Also explain how forks and airdrops are handled ⁵³. A fork splits a blockchain in two; an airdrop is a free token handout.

Controls & monitoring

- Keep 98% of client VAs in cold storage, and keep seeds, keys and backups in Hong Kong ⁵.
- Train transaction signers in depth and run drills of the business continuity plan ⁵⁴.
- Reconcile, or match, each client's holdings regularly against both on-chain records (on the blockchain) and off-chain records (kept outside it) ⁵⁵. Escalate any discrepancies to senior management ⁵⁵.
- Monitor security 24/7 ⁵⁶. Cover outside dependencies such as vendors, blockchain protocols, encryption methods and shared code libraries ⁵⁶.

Notify / consult HKMA or SFC

- Discuss plans with the HKMA before launching custody, and show that the bank meets the standards ³.
- Discuss staking plans with the HKMA before launch ⁵⁷.
- Provide custody records to the HKMA promptly when asked ⁵⁸.

Counterparty due diligence

- As a general principle, delegate VA custody only to one of three types of firm ⁵⁹:
 - another AI, or a subsidiary of a local AI;
 - an SFC-licensed VATP;
 - a licensed stablecoin issuer for the coins it issues, with HKMA consent.
- Before taking on a custodian, get independent reviews of its code ⁶⁰. Also understand how it builds and releases software ⁶⁰.
- After taking on a custodian, check its security controls regularly ⁶⁰. Require it to report incidents promptly, and test its disaster recovery ⁶⁰.
- For a VATP counterparty, the SFC's own custody standards are in the VATP Guidelines ^{61,62}. Paras 10.6–10.8 cover cold storage, approved addresses and key management ⁶¹. Para 10.22 covers the compensation arrangement ⁶¹. The SFC circular 25EC44 adds detail to these ⁶². The HKMA annex points to the VATP Guidelines for reference on delegation ⁶³.

Talking points

To the CCO (chief compliance officer)

- The 2026 annex replaced the 2024 one. Existing services should review and revise their systems and controls to meet the latest standards. The letter sets no transition period ³.
- The custody annex no longer has an AML/CFT section ¹³. But the cover letter reminds AIs to comply with all applicable requirements ¹³. The HKMA's AML/CFT Guideline sets the standards AIs should meet ⁶⁴.

To business heads

- With HKMA consent, a bank may now delegate custody of a licensed stablecoin to its issuer ⁶⁵.
- Transfers to third parties for payments and settlement are now allowed if effective controls are in place ⁶⁶.

To the CEO

- Fixed insurance percentages are gone ^{26,7}. In their place, the bank is liable for losses attributable to it, backed by adequate financial resources ^{26,7}.
- The FSTB and SFC conclusions propose a custodian licence set by law ⁴⁰. The conclusions give existing providers no right to carry on while they apply. Banks the HKMA has already assessed get a faster process ⁴⁰.

To Risk / CRO (chief risk officer)

- The SFC says weaknesses shown by overseas cybersecurity incidents can arise whichever custody solution is used: HSM, MPC or multi-signature ¹⁸.
- The HKMA lists slashing, lock-up periods and validator inactivity among staking risks to disclose ⁶⁷. A validator is a node that checks blockchain transactions. The bank should keep control of the means to unstake ⁶⁷.

Common misunderstandings

- "Banks need 50%/100% insurance cover." That was the 2024 rule for banks ⁷. It remains the rule for VATPs ²⁷. It is not the rule for banks from 2026 ²⁶.
- "The February 2024 annex is still current." It was superseded on 27 May 2026 ³.
- "Keys may never leave Hong Kong." The general rule stands ⁶⁸. But an issuer appointed to hold its own coins may keep keys elsewhere if the HKMA accepts the location ⁶⁸.
- "The custodian regime covers tokenised securities." It does not, because the legal definition of VA excludes securities ⁶⁹.
- "MPC or HSM equals compliance." The SFC says weaknesses can exist in any custody solution ¹⁸.

Official documents to read first

1. **Updated Guidance on Expected Standards on Provision of Custodial Services for Digital Assets by Authorized Institutions (Annex)**, HKMA, 27 May 2026. Read paras 6–13 on segregation and safeguarding. Read paras 14–19 on delegation. Read paras 23–26 on monitoring and staking. These are the HKMA's current custody standards for AIs. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-7-EN/20260527-7-EN.pdf>
2. **Circular to licensed virtual asset trading platform operators on custody of virtual assets (25EC44)**, SFC, 15 Aug 2025. Read Sections I–VI (paras 1–28) and the good-practice boxes. The SFC says these standards will be core expectations for future VA custodians. <https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=25EC44>
3. **Consultation Conclusions: Legislative Proposal to Regulate Virtual Asset Custodian Services**, FSTB + SFC, December 2025. Read paras 5–16 on scope and paras 25–26 on individuals. Read para 35 on who needs a licence. Read paras 41–52 on capital and transition. https://www.fstb.gov.hk/fsb/en/publication/consult/doc/Custodian_consultation_conclusion_e.pdf

Open questions

- The FSTB and SFC stated an aim to put the custodian bill before LegCo in 2026 ¹⁰. The documents reviewed do not show that it has been introduced. No start date for the regime is set ⁷⁰.
- The SFC said it would consult on custody for private funds, in a separate paper issued the same day ⁷¹. The question is whether firms providing VA management services must use SFC-regulated custodians for private funds' VAs ⁷¹.
- The 2024 annex referred to AML/CFT guidance from the HKMA on custody of digital assets ³². The documents reviewed do not show whether such separate guidance exists.

Related modules

C1 (Selling, dealing and advising), C2 (VA funds and exchange-traded funds (ETFs)), C4 (Stablecoins). Also see the cyber and technology risk module and the AML/CFT module.

Business angle: Virtual-asset custody and Staking services in the Business tab.

Notes

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PART C · MODULE C4

C4 Stablecoins

For the bank's Head of Compliance (digital assets). After this module you can explain Hong Kong's stablecoin law and what a licensed issuer must do. You can also explain each role a bank can play:

- issuer of its own coins;
- offeror (a firm that sells or offers coins to the public);
- dealer or adviser;
- custodian (a firm that keeps coins safe for clients);
- holder of coins on its own balance sheet.

In 60 seconds

A stablecoin is a digital token designed to keep a steady value against a currency or other asset. The Stablecoins Ordinance (Cap. 656) took effect on 1 August 2025. ¹ It covers the fiat-referenced stablecoin (FRS), meaning a stablecoin tied to one or more official currencies. A business needs a licence from the Hong Kong Monetary Authority (HKMA) to issue an FRS in Hong Kong. ² It also needs one to issue a Hong Kong dollar FRS, whether in or outside Hong Kong. ²

Licensed issuers must back each type of coin in full with reserves kept apart from their own assets. ³ They must not pay interest. ⁴ The HKMA expects them to pay out valid redemptions at face value (par), normally within one business day. ³ Its expectations also cover strict control of private keys, the secret codes that move the coins. ³

Only permitted offerors may offer these coins. ⁵ Authorized institutions (AIs), the HKMA's term for banks and other deposit-takers, are permitted offerors. ⁵ Retail investors may only be offered coins from licensed issuers. ⁶

The first two licences took effect on 10 April 2026. ⁷ The HKMA says that if it grants more, the total will remain very limited. ⁸

On 27 May 2026 the HKMA and the Securities and Futures Commission (SFC) eased some conduct rules for these coins. ^{9,10} The circulars call them Relevant Stablecoins. The eased rules are those for virtual asset (VA) services, such as dealing and advice. The HKMA circular covers registered institutions (RIs), meaning banks registered with the SFC for securities business. ⁹ Both regulators kept the duty to notify them in advance. ^{9,10}

For coins a bank holds itself, the bank sorts them into a risk group under CRP-1, the HKMA's capital module on cryptoassets. ¹¹ It treats them under LM-1, the HKMA's liquidity module (rules on managing liquidity risk). ¹²

Where things stand

As of 25 September 2026. Abbreviations used below:

- FSTB = Financial Services and the Treasury Bureau (the Government's policy bureau).
- LegCo = Legislative Council.
- AML/CFT = anti-money laundering (AML) and counter-financing of terrorism (CFT).
- RI = registered institution (a bank registered with the SFC).
- LCs = corporations licensed by the SFC.
- VATPs = virtual asset trading platforms licensed by the SFC.

Instrument	Issuer	Date	Status (chip)	Applies to	Source
Discussion Paper on Crypto-assets and Stablecoins	HKMA	12 Jan 2022	Superseded	Public; AIs	¹³
Consultation paper on stablecoin issuer regime	FSTB + HKMA	27 Dec 2023	Superseded	Public	¹⁴
Consultation conclusions	FSTB + HKMA	17 Jul 2024	Superseded	Public	¹⁵
Stablecoin issuer sandbox (a supervised testing scheme)	HKMA	12 Mar 2024	Superseded	Would-be issuers	¹⁶
Stablecoins Ordinance (Cap. 656)	LegCo / HKMA	1 Aug 2025	In force	Issuers; offerors incl. AIs	¹
Supervisory Guideline and AML/CFT Guideline for licensed issuers	HKMA	1 Aug 2025	In force	Licensed issuers, incl. an AI licensee	¹⁷
Explanatory Note on Licensing	HKMA	Jul 2025	In force	Applicants	¹⁸
Stablecoin Review Tribunal (current membership)	FSTB	1 Nov 2025	In force	People aggrieved by HKMA decisions	¹⁹
Register of licensed issuers	HKMA	10 Apr 2026	In force	Public; counterparties	⁷
Supervisory Policy Manual (SPM) CRP-1 and LM-1 (V.5) cryptoasset treatment	HKMA	1 Jan 2026; 19 Dec 2025	In force	All AIs	^{20,21}

Instrument	Issuer	Date	Status (chip)	Applies to	Source
RI circular and AI letter on Relevant Stablecoins	HKMA (with SFC)	27 May 2026	In force	RIIs; all AIs	22,23
SFC circular 26EC26	SFC	27 May 2026	In force	VATPs; LCs	24

Key facts

- History: the HKMA issued a discussion paper in January 2022. Its conclusions, in January 2023, reported 58 responses.²⁵ The FSTB and HKMA then consulted the public from 27 December 2023 to 29 February 2024.¹⁴ They published consultation conclusions on 17 July 2024, after 108 responses.²⁶
- The Government published the Bill in the Gazette on 6 December 2024.²⁷ LegCo passed it on 21 May 2025.²⁸ The Ordinance took effect on 1 August 2025.¹
- A licence is required to issue an FRS in Hong Kong as a business.² A licence is also needed to issue a Hong Kong dollar FRS, in or outside Hong Kong.²
- For now, only FRS count as specified stablecoins (the coins the law covers). Bank deposits are outside the definition. So is stored value facility (SVF) float, the money customers hold in e-wallets. Securities are outside it too.²⁹
- Permitted offerors are licensed issuers, AIs and SVF licensees.⁵ Virtual asset trading platforms licensed by the SFC also qualify.⁵ So do corporations licensed by the SFC for Type 1 regulated activity (dealing in securities).⁵
- Permitted offerors may offer licensed issuers' coins to anyone. They may offer other specified stablecoins only to professional investors (investors who meet legal wealth or institution tests). Over-the-counter virtual asset shops are not permitted offerors.³⁰
- Only advertisements for licensed FRS issuance may be published. This rule also applied during the six-month grace period for existing issuers.³¹
- An AI incorporated outside Hong Kong may apply without setting up a local subsidiary. The criteria on financial resources and business activity do not apply to AI applicants. No one needs HKMA consent to become an AI applicant's controller, chief executive or director.³²
- A licensed issuer must keep paid-up capital (money shareholders have paid in) of at least HK\$25 million. An AI that holds a licence is exempt. The Banking Ordinance sets its capital instead.³³
- Reserves must be worth at least the face value of all coins in circulation, at all times. Reserves must be kept segregated, meaning separate from the issuer's own assets. The HKMA expects an effective trust arrangement and a qualified custodian. Reserve deposits should have a term of three months or less. Debt securities should have one year or less left to run.³⁴
- Issuers must honour valid redemptions at face value. They cannot charge unreasonable fees or set unduly burdensome conditions. They should process each redemption within one business day, unless the HKMA approves otherwise.³⁵
- Licensees may not pay interest or any yield linked to holding a coin.⁴
- Private-key controls should cover every stage of a key's life. Significant keys should be created offline, on equipment never linked to a network (air-gapped). Keys should be stored in Hong Kong or another place the HKMA accepts.³⁶
- The issuer AML/CFT Guideline sets a HK\$8,000 threshold for two things. One is customer due diligence (identity and risk checks) on one-off transactions. The other is the fuller data set sent with stablecoin transfers.³⁷
- Each holder's identity should be verified. The licensee, a supervised institution or a reliable third party can do this. The exception is where a licensee shows the HKMA that its risk controls are effective.³⁷
- An issuer already operating before the law had to apply by 31 October 2025 if it wanted a licence. If it applied, it could keep operating until 31 January 2026. The exception was an issuer that had entered a closing-down period.³⁸
- The HKMA received 36 applications in the first batch.³⁹ It licensed two issuers, effective 10 April 2026 (register numbers in brackets): Anchorpoint Financial Limited (FRS01) and The Hongkong and Shanghai Banking Corporation Limited (FRS02).^{39,7}
- In June 2026 the Government said that if more licences are granted, the total will remain very limited. It expected the first regulated stablecoin launch as early as mid-2026.⁴⁰
- Complaints: the issuer should acknowledge a complaint within 7 calendar days. It should give a full or interim response within 30 calendar days. It should generally give a full response within 60 calendar days.⁴¹ The HKMA may take up complaints the issuer has not handled properly. It generally does not order compensation.⁴²
- The current Stablecoin Review Tribunal panel serves a three-year term ending 31 October 2028.¹⁹ A person aggrieved by (adversely affected by) an HKMA decision may refer it to the Tribunal in writing. The deadline is 30 days after the HKMA makes the decision, or another period the Tribunal permits.¹⁹
- On 28 April 2026 the HKMA warned about tokens using the tickers (trading symbols) HKDAP or HSBC. The HKMA said the licensed issuers did not issue these tokens and had no link to them. Both licensees had confirmed they had not yet issued any regulated stablecoins.⁴³

What your bank must or should do

Obligations

- ☐ Offer only licensed issuers' coins to retail clients when acting as an offeror. Offer other specified stablecoins only to professional investors.^{6,44}
- ☐ Follow the RI standards when dealing, advising or managing portfolios in Relevant Stablecoins. Follow the terms in Appendices A1 and A2 too. The HKMA expects this of all AIs.²³
- ☐ Disclose material information on each Relevant Stablecoin when dealing or advising. Cover its stabilisation arrangements (how it keeps its value) and its redemption arrangements (how holders get money back).⁴⁵

Controls & monitoring

- ☐ Mark clearly the accounts of clients who trade only Relevant Stablecoins, to use the lighter rules for them. Deal in no other virtual assets for those clients.⁴⁶ Dealing in other virtual assets for a client brings back the full virtual asset rules. These include the knowledge assessment, a check of the client's understanding of virtual assets.⁴⁶
- ☐ Base advice on the client's use case (what the client needs the coin for), not on commission rebates.⁴⁷
- ☐ Classify stablecoin holdings under CRP-1. A coin is Group 1b (a lower-risk stablecoin group) only if it meets classification conditions 1-4. Here, full redeemability means redemption within five calendar days.⁴⁸
- ☐ Treat held stablecoins as debt securities outside high-quality liquid assets (HQLA), if your bank is a category 1 institution for liquidity.¹² Under the liquidity coverage ratio (LCR), a short-term cash stress test, the usual inflow is 0%. The bank counts no cash coming in from them.¹² Under the net stable funding ratio (NSFR), a longer-term funding test, the required stable funding factor is 85%.¹² An issuing bank must apply a 100% LCR outflow if the coin is redeemable within the LCR period. In effect, it assumes holders cash in every such coin. Lower rates are possible where the backing assets qualify as HQLA.¹²

Notify / consult HKMA or SFC

- ☐ RIs: notify the HKMA and SFC before any Relevant Stablecoin activity or material change.⁴⁹
- ☐ All AIs: discuss Relevant Stablecoin services with the HKMA first.⁵⁰
- ☐ Notify the HKMA when you acquire a new type of cryptoasset. Treat it as Group 2b (the highest-risk group) until the HKMA agrees its classification.⁵¹

Counterparty due diligence

- ☐ Check any claimed issuer against the HKMA Register of licensed issuers.⁷ The HKMA points the public to the Register to verify licensees.⁵²
- ☐ Hand custody (safekeeping) of stablecoins to a licensed issuer only for that issuer's own coins. An AI may do so only if the issuer has HKMA consent to provide that custody.⁵³

Talking points

To the Chief Compliance Officer (CCO)

- Banks are permitted offerors. Only licensed issuers' coins may be offered to retail investors.^{5,6}
- RIs notify the HKMA and SFC before Relevant Stablecoin activity. Other AIs discuss it with the HKMA first.^{54,55}

To business heads

- Two issuers hold licences, effective 10 April 2026. The HKMA says any further licences would keep the total very limited.^{7,8}
- Relevant-Stablecoin-only dealing is not limited to RIs registered for Type 1 (dealing in securities). Clearly marked Relevant-Stablecoin-only accounts need no virtual asset knowledge test. The Appendix A1 conditions still apply.⁵⁶

To the Chief Executive Officer (CEO)

- A bank can apply to issue stablecoins. The minimum criteria on financial resources and business activities do not apply to AI applicants.⁵⁷
- In June 2026 the Government expected the first regulated stablecoin launch as early as mid-2026.⁵⁸

To Risk / Chief Risk Officer (CRO)

- For liquidity, a held stablecoin counts as a debt security that is not HQLA.⁵⁹ An issuing bank must apply a 100% LCR outflow if the coin is redeemable within the LCR period. Lower rates are possible with HQLA-eligible backing.⁵⁹
- HKMA-licensed coins can be treated as meeting CRP-1's extra measures for permissionless blockchains (public networks anyone can join). They still need conditions 1-4 to reach Group 1.⁶⁰

Common misunderstandings

- **Myth:** "A Relevant Stablecoin is an investment product." **Fact:** The HKMA letter says its guidance should not be read that way.

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- **Myth:** "Sandbox firms are licensed." **Fact:** Joining the sandbox was not a licence. ⁶¹ The HKMA later said the sandbox is neither a precondition nor a guarantee of a licence. ⁶²
- **Myth:** "A licence means coins are live." **Fact:** On 28 April 2026 both licensees confirmed they had not yet issued any coins. ⁶³
- **Myth:** "The SFC's circular 26EC26 governs our bank." **Fact:** It covers VATPs and LCs. ⁶⁴ For RIs, it points to the HKMA RI circular. ²²
- **Myth:** "Only Hong Kong firms are caught." **Fact:** A business that issues Hong Kong dollar coins needs a licence wherever it issues them. ²
- **Myth:** "The HKMA will get my client compensated." **Fact:** The HKMA generally does not order issuers to pay compensation. ⁴²

Official documents to read first

1. **Explanatory Note on Licensing of Stablecoin Issuers**, HKMA, July 2025. Read Chapter 2 and Chapter 3, especially 3.2-3.5 and 3.13. It covers scope, offerors, licensing criteria and the exceptions for AIs. https://www.hkma.gov.hk/media/eng/doc/key-functions/ifc/stablecoin-issuers/Explanatory_Notes_on_Licensing_of_Stablecoin_Issuers_eng.pdf
2. **Guideline on Supervision of Licensed Stablecoin Issuers**, HKMA, 1 August 2025. Read sections 2-3, 6.5 and 8.4. They cover reserves, redemption, keys and complaints. https://www.hkma.gov.hk/media/eng/doc/key-functions/ifc/stablecoin-issuers/Guideline_on_supervision_of_licensed_stablecoin_issuers_eng.pdf
3. **Circular on virtual asset activities involving Relevant Stablecoins (RI circular)**, HKMA, 27 May 2026. Read all nine pages. It shows how a bank deals, advises and distributes. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-2-EN/20260527-2-EN.pdf>

Open questions

- No document reviewed for this guide confirms that either licensee had launched a regulated stablecoin by 25 September 2026.
- The HKMA has told applicants it has no settled view on the direction and timing of further licensing. ⁶⁵
- On 3 June 2026 the HKMA loosened CRP-1 para 2.6.4 for tokenised traditional assets, not stablecoins. ⁶⁶ Tokenised traditional assets are ordinary assets, such as bonds, recorded as digital tokens. The change took effect at once. The HKMA said it will update the CRP-1 wording in due course. ⁶⁶ No document reviewed for this guide has the updated CRP-1 text.
- The 2026 Policy Address says the SFC will promote the trading of regulated stablecoins on licensed trading platforms for virtual assets. It will also promote their use to settle tokenised money market funds. ⁶⁷ The documents reviewed for this guide contain no detailed measures.
- This guide has not reviewed the text of Cap. 656 on e-Legislation, the official online database of Hong Kong laws. Section numbers here come from HKMA documents.

Related modules

B2, C1, C3, C5, D3

Business angle: Stablecoin roles for banks and Tokenised deposits and payments in the Business tab.

Notes

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C5 Tokenisation: tokenised products, deposits and bonds

This module is for a bank's Head of Compliance (digital assets). After reading it, you can explain which tokenisation rules bind the bank today. You can also explain which Hong Kong Monetary Authority (HKMA) projects the bank may join, and what is still only a stated plan.

In 60 seconds

Tokenisation records a claim on an asset, such as a bond, fund unit, gold or a bank deposit.^{1,2} The claim is recorded on distributed ledger technology (DLT) or similar technology.^{1,2} A distributed ledger is a shared digital record kept in step across many computers.

Hong Kong regulators apply the rules for the underlying product to its tokenised form. They also add expectations on technology, ownership and custody risks.^{3,4}

For authorized institutions (AIs), meaning banks, the HKMA set these expectations in a February 2024 circular.⁵ A circular is a formal notice a regulator sends to the firms it supervises.

The Securities and Futures Commission (SFC) has circulars on tokenised securities. It also has circulars on tokenised SFC-authorized investment products, such as funds the SFC has authorised for sale to the public.^{6,7} These circulars reach SFC licensed corporations (LCs). They also reach banks acting as registered institutions (RIs), meaning banks registered with the SFC for securities business.^{6,7}

The HKMA's Project Ensemble entered a real-value pilot, EnsembleTX (live transactions with real money), in November 2025.^{8,9} Seven named Tokenised Deposit Banks are to offer tokenised deposits through it. They are also to settle payments between banks through it.^{8,9}

The Hong Kong Special Administrative Region (HKSAR) Government has made three tokenised bond issues, in 2023, 2024 and 2025.¹⁰ The Hong Kong Mortgage Corporation (HKMC) priced its first digital bond in June 2026.¹¹

The 2026 Policy Address, the Chief Executive's yearly policy speech, lists these next steps. They are stated targets, not rules.¹²

- Settlement in central bank digital currency (CBDC) for EnsembleTX, and round-the-clock (24/7) operation.
- A digital asset platform at CMU OmniClear, the operator of the Central Moneymarkets Unit (CMU). The CMU is Hong Kong's central system for holding and settling bonds.
- Tests of tokenised Exchange Fund Bills (short-term debt papers the HKMA issues).
- A second-phase legal review with the Financial Services and the Treasury Bureau (FSTB).¹²

Where things stand

As of 25 September 2026.

Instrument	Issuer	Date	Status (chip)	Applies to	Source
Sale and distribution of tokenised products (circular)	HKMA	20 Feb 2024	In force	All AIs (also covers customers placing tokenised deposits)	²
Circular on intermediaries engaging in tokenised securities-related activities	SFC	2 Nov 2023	In force	LCs; RIs (who also notify the HKMA)	⁶
Circular on tokenisation of SFC-authorized investment products (original)	SFC	2 Nov 2023	Superseded	Product providers, distributors	¹³
Circular on tokenisation of SFC-authorized investment products (revised)	SFC	20 Apr 2026	In force	Product providers; distributors that are LCs or RIs	¹⁴
Circular on secondary trading of tokenised SFC-authorized investment products	SFC	20 Apr 2026	In force	SFC-licensed virtual asset trading platforms (VATPs); product providers; distributors that are LCs or RIs; connecting brokers	¹⁵
Project Ensemble launch (Mar 2024), Architecture Community (May 2024), Sandbox (Aug 2024)	HKMA	7 Mar-28 Aug 2024	Historical (the Sandbox phase led to the EnsembleTX pilot)	Architecture Community members; Sandbox participants	^{16,17,18,19}
EnsembleTX (real-value pilot)	HKMA	13 Nov 2025	Pilot (to operate throughout 2026)	7 Tokenised Deposit Banks and 13 other industry pioneers	^{8,20}
CBDC settlement and 24/7 operation under EnsembleTX	HKMA (through the Policy Address)	16 Sep 2026	Stated target (around end-2026)	EnsembleTX participants	²¹

Instrument	Issuer	Date	Status (chip)	Applies to	Source
Government tokenised green bond (HK\$800m, 365-day)	Hong Kong Government / HKMA	16 Feb 2023	Issued (one-off)	Investors, syndicate banks	²²
Government digital green bonds: about HK\$6bn (Feb 2024) and about HK\$10bn (Nov 2025). The Nov 2025 issue gave its Hong Kong dollar and renminbi parts the option to settle in e-HKD (digital Hong Kong dollar) or e-CNY (digital renminbi).	Hong Kong Government / HKMA	7 Feb 2024; priced 10 Nov 2025	Issued (Feb 2024); priced (Nov 2025)	Investors	^{23,24}
HKMC's first digital bond (about HK\$12bn)	HKMC	priced 10 Jun 2026; issued 15 Jun 2026	Issued (one-off)	Investors; 16 arranging financial institutions	²⁵
Digital Bond Grant Scheme (DBGS)	HKMA	28 Nov 2024	Open for applications (initial 3-year period)	Issuers of digital bonds (lead arrangers or DLT platform providers can also apply)	²⁶
Tokenised Bond Expert Group (TBEG)	HKMA	5 Jun 2026	Exploratory	Industry members	²⁷
FSTB and HKMA review of DLT for bonds, phase 1 (includes Companies Registry FAQs on DLT registers of debenture holders)	FSTB + HKMA	29 Jun 2026	Conclusions published	Bond issuers, arrangers	²⁸
Phase 2 legal review (electronic signing; holding and transferring tokenised instruments)	FSTB + HKMA (TBEG involved)	H2 2026	Stated target	Market	^{29,30}
CMU OmniClear digital asset platform	CMU OmniClear (through the Policy Address)	16 Sep 2026	Stated target (this year)	Digital bond issuance and settlement	³¹
Tokenised Exchange Fund Bills tests	HKMA (through the Policy Address)	16 Sep 2026	Stated target (by year-end)	Banks	³²

Note: 'Issued' on a bond row marks a completed one-off deal, not a rule.

Key facts

- The HKMA circular covers tokenised real-world assets. Examples are spot precious metal and structured investment products outside the Securities and Futures Ordinance (SFO). ³³ It excludes stablecoins (tokens built to hold a steady value) and products covered by the SFO. ³³ AIs should also meet its standards when customers place tokenised deposits. ³³ The circular expects: ³³
 - checks on issuers and vendors (due diligence)
 - plain-language risk disclosure
 - HKMA custody standards, where relevant
 - discussion with the HKMA in advance.
- Existing selling and investor-protection rules for a product also apply to its tokenised form. ³⁴ AIs should still assess whether tokenisation changes what the product is. ³⁴ For example, selling small fractions of an asset could turn it into a collective investment scheme (a pooled investment, like a fund). ³⁴
- The SFC treats tokenised securities as traditional securities in a tokenisation wrapper. ³⁵ Whether one is a complex product is judged by looking at the underlying security. This holds as long as the technology risks are well managed. ³⁵ A complex product is one whose risks are hard for retail investors to understand. The SFC no longer imposes its mandatory 2019 restriction that tokenised securities go to professional investors only. Public-offering rules still apply. ³⁵
- RIs that plan activity in digital securities should notify the SFC and the HKMA in advance. ⁶
- The SFC allows primary dealing (buying new units and cashing them in) in tokenised SFC-authorised investment products. ³⁶ Product providers stay responsible for the tokenisation arrangement. ³⁶ They should not use public-permissionless chains (open networks anyone can join) without extra controls. One such control is a permissioned token, which only approved holders can hold. ³⁶
- Since 20 April 2026, the SFC allows secondary trading of these products on SFC-licensed VATPs. Secondary trading means investors buying and selling among themselves after issue. ³⁷ The trading is subject to fair-pricing and other controls. RIs taking part should also notify the HKMA. ³⁷
- Project Ensemble first focused on tokenised deposits, meaning commercial bank deposits held in digital token form. ³⁸ EnsembleTX moved Ensemble from proof-of-concept (a trial to show an idea works) to real-value transactions. ⁸ It starts with tokenised money market funds and treasury (cash management) uses. ⁸ Payments between banks first settle on the Hong Kong dollar Real Time Gross Settlement system. That system settles each payment in full, one by one, as it happens. ⁸
- The HKMA lists seven Tokenised Deposit Banks for EnsembleTX: ⁹

- Bank of China (Hong Kong)
- China Construction Bank (Asia)
- Fubon Bank (Hong Kong)
- Fusion Bank
- Standard Chartered Bank (Hong Kong)
- The Bank of East Asia
- The Hongkong and Shanghai Banking Corporation
- The HKMA's liquidity guideline LM-1 (V.5, Dec 2025) covers tokenised deposits that a bank issues.³⁹ Here, a tokenised deposit is a legally binding claim on the bank, redeemable at face value (par) in ordinary currency (fiat).³⁹ A category 1 bank may treat them as deposits or unsecured funding for the liquidity coverage ratio (LCR).³⁹ The LCR tests whether a bank holds enough easy-to-sell assets to meet cash outflows under stress. The deposits get no stable-deposit or stable-funding treatment, even when retail or small business customers hold them.³⁹ That treatment is for money the rules assume is less likely to leave the bank.
- The DBGS pays 50% of eligible expenses, up to a cap.⁴⁰ The cap is HK\$1.25m for a Half Grant and HK\$2.5m for a Full Grant.⁴⁰ An issuer and its associates (related companies) can get grants for at most two issuances.⁴⁰
- For a Full Grant, all of these conditions must hold:⁴¹
 - The DLT platform provider is not an associate of the issuer.
 - The issue is at least HK\$1bn.
 - The issue goes to five or more investors not associated with the issuer or platform provider.
 - The issue is listed on the Stock Exchange of Hong Kong or on one of the SFC-licensed VATPs.
- The FSTB and HKMA phase-1 review found Hong Kong's legal and regulatory framework already flexible enough for tokenised bond issues.⁴² A debenture is a company's written promise to repay a debt, such as a bond. The Companies Registry's FAQs confirm that a DLT register of debenture holders can be treated as meeting the record-keeping rules of the Companies Ordinance (Cap. 622).⁴²

What your bank must or should do

Obligations

- Apply existing product-selling rules to tokenised products. Add the HKMA's tokenisation-specific expectations on top.³
- Apply the circular's standards when customers place tokenised deposits.⁴³
- As a distributor of tokenised SFC-authorised products, the bank should be a regulated intermediary, such as a registered institution (RI).⁷ It should also follow existing onboarding and suitability rules (checking a product fits the customer).⁷

Controls & monitoring

- Carry out due diligence on the product, its issuer and third-party vendors. Do it before offering the product and at intervals after.⁴⁴ Cover key management (how the keys that control tokens are kept safe) and audits.⁴⁴
- Give customers plain-language disclosures on tokenisation risks.⁴⁵
- Meet the HKMA's digital asset custody standards if the bank holds tokenised products for customers (custody).⁴⁶

Notify / consult HKMA or SFC

- Discuss plans for tokenised products with the HKMA in advance.⁴⁷
- Notify the SFC and the HKMA before starting digital-securities activity as an RI.⁶
- Notify the HKMA as well when taking part, as an RI, in secondary trading of tokenised SFC-authorised products.⁴⁸
- Consider the HKMA's Supervisory Incubator for DLT (optional). Banks can use it to reaffirm their risk controls before a full launch.⁴⁹

Counterparty due diligence

- Assess the track record of the issuer and the tokenisation platform. Also assess their controls over keys and ownership records.⁴⁴
- Consider, for tokenised bonds, the product's legal status and whether settlement is final.⁵⁰ Final settlement means a completed transfer is legally fixed and stays in place. For example, the HKMA states that a law protects the finality of CMU settlement for the Government digital green bonds.⁵¹

Talking points

To the CCO

- Existing product rules apply to tokenised products. The HKMA adds expectations on due diligence, disclosure and early discussion with it.⁵²
- As an RI, the bank should tell the SFC and the HKMA before digital-securities work.⁵³ It should also notify the HKMA before secondary trading of tokenised SFC-authorised products.⁵⁴

To business heads

- EnsembleTX is to run throughout 2026 with real-value tokenised-deposit settlement.⁵⁵ The HKMA invites parties with real-value tokenised-deposit use cases to take part.⁵⁵
- The DBGS Full Grant pays up to HK\$2.5m per issue. It is not available if the DLT platform provider is an associate of the issuer.⁵⁶ A Half Grant of up to HK\$1.25m may still apply.⁵⁶

To the CEO

- The Government has made three tokenised bond issues.¹⁰ The latest raised about HK\$10bn.⁵⁷ The HKMC priced a digital bond of about HK\$12bn in June 2026.¹¹
- The Policy Address targets CBDC settlement and 24/7 operation for EnsembleTX around end-2026. It also targets a CMU OmniClear digital asset platform this year.⁵⁸

To Risk / CRO

- Tokenised deposits the bank issues cannot get stable-deposit treatment in the LCR.³⁹ If the bank cannot always identify the holders, it must treat them as "other unsecured wholesale funding".³⁹
- The HKMA's April 2024 DLT risk considerations are not binding. They cover network choice, smart contracts (code that runs by itself on a ledger), legal risks such as settlement finality, and third parties. They also cover interoperability (systems working together), cybersecurity and private-key security.⁵⁹

Common misunderstandings

- **Myth:** Tokenised securities are automatically complex or for professional investors only. **Fact:** The SFC looks through to the underlying security. It no longer imposes a mandatory professional-investor-only restriction.⁶⁰
- **Myth:** The HKMA tokenised-products circular covers stablecoins. **Fact:** The circular expressly excludes them.⁴³
- **Myth:** Secondary trading of tokenised SFC-authorized products is still barred. **Fact:** That was the 2023 position.⁶¹ The revised April 2026 framework allows it on SFC-licensed VATPs, subject to conditions.⁶²
- **Myth:** EnsembleTX is not an official name. **Fact:** The HKMA uses the name in its own November 2025 announcement and annex.^{63,9}

Official documents to read first

1. **Sale and distribution of tokenised products**, HKMA, 20 Feb 2024. Read the whole circular (6 pages), especially Sections A-D and 'Implementation'. It is the bank's baseline for tokenised products. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20240220-10-EN/20240220-10-EN.pdf>
2. **Circular on secondary trading of tokenised SFC-authorized investment products**, SFC, 20 Apr 2026. Read paragraphs 8-27 and footnotes 13-14. They set out duties for connecting brokers, distributors and RIs. <https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=26EC23>
3. **EnsembleTX announcement and Annexes A/B**, HKMA, 13 Nov 2025. Read the full release and both annexes. They show the pilot's scope and participants. <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2025/11/20251113-3/> and <https://www.hkma.gov.hk/media/eng/doc/key-information/press-release/2025/20251113e3a1.pdf>

Open questions

- The sources reviewed contain no dedicated HKMA framework for issuing tokenised deposits. For now, the anchors are the February 2024 circular and the LM-1 liquidity treatment.^{43,39} A third anchor is the Supervisory Incubator, which has tokenised deposits as a core focus.⁶⁴
- The HKMA said it would soon publish an Ensemble Use Case Report and an Ensemble Taxonomy (a shared set of terms). Neither appears in the sources reviewed as of 25 Sep 2026.⁶⁵
- The findings of the phase-2 legal review are not yet published. That review covers electronic signing, and holding and transferring tokenised instruments.²⁹

Related modules

C6, C7, D1, D2

Business angle: Digital bonds: arranging and custody and Tokenised funds and money market fund settlement in the Business tab.

Notes

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8. HKMA. *HKMA announces the new phase of Project Ensemble to support real-value transactions in tokenised deposits and digital assets*, 13 November 2025. Paras 1-3. <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2025/11/20251113-3/>
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PART C · MODULE C6

C6 Financing, shared order books and client withdrawals

For a bank's Head of Compliance (digital assets) whose bank is a registered institution (RI). An RI is a bank registered with the Securities and Futures Commission (SFC) to do securities business. This module suits RIs that offer, or plan to offer, virtual asset (VA) dealing. VA dealing means buying and selling virtual assets (VAs), such as bitcoin, for clients. The module explains what the SFC changed in February 2026. It shows how the Hong Kong Monetary Authority (HKMA) applied the change to banks in May 2026. It also sets out which controls the regulators expect.

In 60 seconds

An omnibus account holds many clients' assets together in one account at a trading platform. SFC-licensed firms are called licensed corporations (LCs). Under the omnibus-account terms and conditions, LCs and RIs that dealt in VAs for clients could not lend clients money to buy VAs. ¹ On 11 February 2026 the SFC changed this for VA brokers that already offer securities margin financing. Margin financing means lending clients money to buy assets, secured on their holdings. Those brokers can now lend to their securities margin clients to buy VAs. ² If a broker relies on VA collateral, the SFC expects only bitcoin and ether to count. ³ The broker should apply a haircut (a cut to the value it counts) of 60% or more. ³ On 27 May 2026 the HKMA let RIs offer VA financing if they observe similar standards. ⁴ The HKMA also accepts stablecoins from HKMA-licensed issuers as collateral. ⁵ It says loans secured only by VA must be treated as clean (unsecured) loans when the bank works out its capital. ⁵ The same circulars let brokers and RIs trade for clients on a shared order book. A shared order book lets a virtual asset trading platform (VATP) pool its orders with affiliated platforms abroad. ^{6,7} Retail clients get access only after a clear risk explanation and after they expressly opt in. ^{6,7} The circulars also set anti-fraud standards for firms that let clients withdraw VAs. ⁸ The SFC circular is addressed to LCs. ⁹ The HKMA applies the standards to RIs. ¹⁰

Where things stand

As of 25 September 2026.

Instrument	Issuer	Date	Status (chip)	Applies to	Source
Circular on shared liquidity by virtual asset trading platforms (VATPs) (25EC56), plus the Shared Order Book terms and conditions	SFC	3 November 2025	In force	SFC-licensed VATPs (they need written SFC approval first)	^{11,12}
Circular on VA brokers: financing, shared order book, client VA withdrawals (26EC5)	SFC	11 February 2026	In force	LCs that deal in VA through omnibus accounts	⁹
Circular letting VATPs accept affiliated market makers (26EC6)	SFC	11 February 2026	In force	SFC-licensed VATPs	¹³
Guidance on offering of financing for VA dealing, shared order book and client VA withdrawals	HKMA	27 May 2026	In force	All RIs; the financing part covers RIs that provide VA dealing	¹⁴
Circular on VA-related activities involving relevant stablecoins (with revised terms and conditions, Appendices A1 and A2)	HKMA (written jointly with the SFC)	27 May 2026	In force	RIs	^{15,16}
SFC consultation on capital requirements for VA activities, including VA financing	SFC	not dated	Stated target ('in due course')	LCs	¹⁷

Key facts

- Before the SFC's circular of 11 February 2026, LCs and RIs could not give clients credit to buy VA. ¹ The omnibus-account terms and conditions set this ban. ¹
- The revised terms of 27 May 2026 keep the ban, with one exception. ¹⁸ A licensed corporation or RI may give such financing only if it does securities margin financing. ¹⁸ It also needs a Type 1 licence or registration (dealing in securities) with these terms attached as conditions. ¹⁸
- The SFC calls VA financing a first step under Pillar P (Product) of ASPIRe — the SFC's roadmap for the VA market. ¹⁹ Only VA brokers that already provide securities margin financing can offer it. ¹⁹
- The HKMA allows RIs that provide VA dealing to offer VA financing if they observe standards similar to the SFC's. ²⁰ The HKMA lists the standards for RIs as items (1)-(9). ²⁰
- Only the RI's securities margin financing clients can borrow. ²¹ The HKMA does not expect an RI to raise a client's credit limit just because VA financing is available. ²¹
- An RI may take a client's VA holdings into account when it judges the client's financial capability. If it does, its assessment should cover seven risk factors. ²² These include price-gap risk (sudden jumps in price), too much exposure to the digital-asset sector, and shares and digital assets falling together in a crisis. ²²

- An RI can choose to rely on VA collateral. If it does, only bitcoin, ether and stablecoins from HKMA-licensed issuers ('Relevant Stablecoins') should count as eligible collateral, with a prudent haircut.²³
- The haircut for bitcoin and ether should be 60% or more.²⁴ The HKMA may revise the haircut after giving advance notice.²⁴ The HKMA sets no numeric haircut for Relevant Stablecoins.²⁴
- The HKMA generally expects an RI to value VA collateral at prices on the VATP where the client's orders are carried out.²⁵ For Relevant Stablecoins, the RI may use the licensed issuer's prices instead.²⁵ RIs should keep a contingency plan for when the VATP goes down.²⁵
- VA financing counts as part of the client's margin loan.²⁶ Concentration controls (limits on holding too much of one kind of collateral) should cover VA collateral too.²⁶ The RI should not repledge (pledge again to someone else) or reuse VA collateral. The only exception is enforcing it when a client defaults.²⁶
- Two cases call for action. One is when the loan is larger than the collateral value. The other is when a client has an unpaid margin call and a poor record of meeting margin calls.²⁷ In either case the RI should stop new advances, stop VA purchases on margin, and review the client's credit and trading limits.²⁷
- The Banking (Capital) Rules do not recognise VA as collateral.²⁸ So loans secured solely by VA must be treated as clean loans to the client.²⁸
- Until the SFC revises capital requirements, LCs follow the Securities and Futures (Financial Resources) Rules (FRR).¹⁷ The FRR apply a 100% haircut to VA collateral that LCs hold. In effect, that collateral counts for nothing in the capital sums.¹⁷
- The HKMA circular does not cover tokenised products, because the financing ban does not apply to buying them.²⁹ For selling and distributing tokenised products, RIs should refer to HKMA guidance. One example is its circular of 20 February 2024 on tokenised products.²⁹
- A shared order book lets an SFC-licensed VATP combine its order book (its list of buy and sell orders) with those of affiliated platforms abroad.³⁰ The overseas platform should be in a member jurisdiction of the Financial Action Task Force (FATF) or of a FATF-style regional body.³⁰ Its regulation should be substantially aligned with international standards.³⁰
- A shared order book should accept only fully pre-funded orders, where the client has the cash or assets before trading.³¹ Delivery-versus-payment is central to settlement: both sides' assets change hands at the same time.³¹ The VATP is required to hold a client-compensation reserve on trust in Hong Kong. The reserve must be no smaller than the Unsettled Trade Limit (a set cap on trades not yet settled).³¹
- Some RIs trade for clients (as their agent) on a shared order book and also give retail clients access to it. Such RIs should follow SFC circular 26EC5, paras 15-17.³² Before trading, a broker should assess these points:³³
 - conflicts of interest
 - settlement
 - default handling
 - reserve funds and insurance
 - client recourse (how clients can claim if something goes wrong).

Retail access needs a prominent risk explanation and the client's express choice to take part.³³
- Client VAs sometimes stay in custody (safekeeping) at the VATP. In that case, a broker's withdrawal function adds cyber and operational risk.³⁴ If a broker's system is hacked, an impostor could send fake withdrawal instructions.³⁴
- SFC 26EC5 paras 18-20 also apply to RIs that let clients withdraw VAs.³⁵ They apply on top of HKMA requirements, such as those on e-banking and technology risk management.³⁵ The paragraphs expect:³⁶
 - robust authentication (checking who gives an instruction)
 - continuous monitoring
 - the power to suspend withdrawals inside and outside office hours
 - working with VATPs on withdrawal limits.
- SFC circular 26EC6 lets a VATP accept an affiliated market maker, subject to conditions. A market maker is a firm that keeps quoting prices to buy and sell.³⁷ The conditions include:³⁷
 - the market maker works independently of the platform
 - client orders at the same price go first
 - the market maker's trades are identified after execution
 - disclosure.

The VATP must notify the SFC first, with a report from an independent firm.³⁷

What your bank must or should do

Obligations

- Offer VA financing only to securities margin financing clients.³⁸ Base it on the client's financial capability and the collateral the client posts.³⁸
- Treat loans secured solely by VA as clean (unsecured) loans for capital.²⁸
- Do not repledge, reuse or pledge VA collateral as security for anything else. The only exception is enforcing it when a client defaults.³⁹

Controls & monitoring

- If relying on VA collateral, write down in the margin lending policy how the bank assesses VA risks.⁴⁰ Monitor vulnerable VA exposures on an ongoing basis.⁴⁰
- If relying on VA collateral, keep the ability to watch its price swings in real time and act promptly.⁴¹
- Set prudent triggers for margin calls and for stopping new advances. Act on them.²⁷
- Monitor withdrawals continuously. Be able to escalate and suspend withdrawals outside office hours too.^{7,42}

Notify / consult HKMA or SFC

- The HKMA circular sets no separate notification step. For new digital-asset activity, the HKMA's existing expectation is that banks discuss plans with it before launch.⁴³
- The circular names contacts for queries, by topic.⁷

Counterparty due diligence

- Before trading on a shared order book, assess these points about the platform operators:^{7,44}
 - conflicts of interest
 - the settlement mechanism
 - failure and default processes
 - reserve fund and insurance
 - client recourse.
- Work with the partner VATP as needed on withdrawal limits and on blocking suspicious withdrawals.^{7,45}
- Keep a contingency plan for outages at the VATP whose prices the bank uses to value collateral.⁴⁶

Talking points

To the Chief Compliance Officer (CCO)

- Under the HKMA's circular of 27 May 2026, our bank, as an RI, can offer VA margin financing. The condition is that we observe standards similar to the SFC's.⁴⁷ If we rely on VA collateral, it should be only bitcoin, ether or stablecoins from HKMA-licensed issuers.⁴⁷
- The withdrawal and shared-order-book standards come from SFC circular 26EC5, paras 15-20. The HKMA applies them to RIs.⁷

To business heads

- Only securities margin financing clients qualify. Their limits are not expected to rise just because VA financing exists.²¹
- Retail clients can use a shared order book only after a prominent explanation of the overseas risks and their express opt-in.^{7,48}

To the Chief Executive Officer (CEO)

- The SFC calls this a first step to bring margin trading into VA. The aim is more liquidity in a risk-controlled setting.⁴⁹
- The Banking (Capital) Rules give VA collateral no recognition. So loans secured solely by VA are treated as clean loans.²⁸

To Risk / Chief Risk Officer (CRO)

- Bitcoin and ether collateral should get a haircut of 60% or more. For stablecoins, the HKMA asks only for a prudent haircut.⁵⁰
- The HKMA notes that VAs have a short track record in major market-wide shocks.⁵¹ Even the most traded VA has fallen sharply within a day and over several days.⁵¹

Common misunderstandings

- **Myth:** The SFC circular binds banks directly. **Fact:** It is addressed to LCs.⁹ The HKMA's circular of 27 May 2026 brings in banks, as RIs.⁴
- **Myth:** Bank collateral rules are the same as the SFC's. **Fact:** The HKMA adds Relevant Stablecoins as eligible collateral.⁵ Banks treat VA-only loans as clean loans under the Banking (Capital) Rules.⁵ LCs instead apply the FRR 100% haircut.⁵²

- **Myth:** The financing ban covered tokenised products. **Fact:** The HKMA says the ban does not apply to buying tokenised products.²⁹
- **Myth:** A shared order book can link to any overseas exchange. **Fact:** As a first step, it is limited to platforms in the same group.⁵³

Official documents to read first

1. **Guidance on Offering of Financing for VA Dealing, Shared Order Book, and Client VA Withdrawals**, HKMA, 27 May 2026. Read all six pages, especially items (1)-(9) and page 6. This is the text addressed to RIs. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-1-EN/20260527-1-EN.pdf>
2. **Circular on licensed corporations providing VA dealing services (26EC5)**, SFC, 11 February 2026. Read paras 4-11, which the HKMA restates. Read paras 15-20, which the HKMA applies to RIs. <https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=26EC5>
3. **Circular on shared liquidity by VATPs (25EC56)**, SFC, 3 November 2025. Read paras 3-18 and 25-26 to understand the partner platform's settlement risk. <https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=25EC56>

Open questions

- Paragraph numbers differ. SFC 26EC5 cites the financing ban as para 4.4 of the omnibus terms and conditions.⁵⁴ The HKMA cites para 4.3 'as renumbered on 30 September 2025'.⁵⁵ The revised terms of 27 May 2026 also number it 4.3.¹⁸
- Dates differ. The HKMA's footnote 4 dates the joint circular 23 December 2023.⁵⁶ The SFC's version gives 22 December 2023.⁵⁷ So does the HKMA's own stablecoin circular of 27 May 2026.¹⁶
- The SFC has not published a date for its consultation on capital requirements for VA activities.¹⁷
- The revised terms and conditions are Appendices A1 and A2 to the HKMA's stablecoin circular of 27 May 2026.¹⁵ This module reviewed only para 4.3 of Appendix A1.¹⁵
- The HKMA specifies no numeric haircut for Relevant Stablecoin collateral.²⁴

Related modules

C5, C7, D1, D2

Business angle: Virtual-asset dealing and Virtual-asset financing and margin in the Business tab.

Notes

1. HKMA. *Guidance on Offering of Financing for Virtual Asset Dealing, Shared Order Book, and Client Virtual Asset Withdrawals*, 27 May 2026. Background, p.1. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-1-EN/20260527-1-EN.pdf>
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11. SFC. *Circular on shared liquidity by virtual asset trading platforms*, 3 November 2025. Paras 3, 26. <https://apps.sfc.hk/edistributionWeb/gateway/EN/circular/doc?refNo=25EC56>
12. SFC. *Terms and conditions for operating a Shared Order Book (Appendix to the Circular on shared liquidity by virtual asset trading platforms)*, 3 November 2025. Para 3. <https://apps.sfc.hk/edistributionWeb/gateway/EN/circular/doc?refNo=25EC56>
13. SFC. *Circular on permitting virtual asset trading platform operators to accept affiliated market makers*, 11 February 2026. Paras 7, 9. <https://apps.sfc.hk/edistributionWeb/gateway/EN/circular/doc?refNo=26EC6>
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PART C · MODULE C7

C7 VATP counterparties and the SFC platform regime

VATP stands for virtual asset trading platform. SFC stands for the Securities and Futures Commission. This module is for the bank's Head of Compliance (digital assets). After it, you can explain how the SFC licenses these platforms and what its rulebook requires of them. You can also use that rulebook to check a platform that is your bank's partner, customer or counterparty.

In 60 seconds

Since 1 June 2023, a platform needs an SFC licence to run a virtual asset (VA) exchange in Hong Kong. ¹ A VA is a digital token, such as a cryptocurrency. The same applies to a platform that actively markets such an exchange to Hong Kong investors. ¹ The licence comes under the Anti-Money Laundering and Counter-Terrorist Financing Ordinance (AMLO), a Hong Kong law. ¹ Before that date, licensing was opt-in. The SFC could only license platforms that offered at least one security token (a token that counts as a security). ² The SFC's Guidelines for VATP Operators (the Guidelines) are the platforms' rulebook. They cover which tokens a platform lists and which tokens retail clients can buy. They also cover 98% cold storage (keys kept offline), compensation cover and key bans. The Guidelines apply to platform operators, not to banks. ³ But the SFC and the Hong Kong Monetary Authority (HKMA) require banks and other intermediaries to partner only with SFC-licensed platforms for VA dealing. ⁴ So the Guidelines become your benchmark for due diligence (the checks you run on a partner). ⁴ Since November 2025, the SFC has widened what licensed platforms may do. ^{5,6} In May 2026, the HKMA told registered institutions (RIs) which of these SFC standards it expects them to follow. ⁷ RIs are banks registered with the SFC to carry on securities business.

Where things stand

As of 25 September 2026.

Instrument	Issuer	Date	Status (chip)	Applies to	Source
Position paper: opt-in regulation of VA trading platforms	SFC	6 Nov 2019	Superseded	Platforms listing a security token	⁸
AMLO licensing regime for VA trading platforms	AMLO (statute); SFC licenses	1 Jun 2023	In force	All VA trading platforms in or marketing to Hong Kong	¹
Guidelines for VATP Operators	SFC	Jun 2023	In force	Licensed platforms; bank uses as benchmark	⁹
Lists of VA trading platforms (licensed, applicants, removed, closing down)	SFC	live; update 29 May 2026	In force	Public; counterparty checks	¹⁰
Inspection findings on applicants treated as licensed (circular 25EC3)	SFC	16 Jan 2025	In force	Platform operators and applicants	¹¹
Custody circular for licensed platforms	SFC	15 Aug 2025	In force	Licensed platforms	¹²
More products and services; shared liquidity	SFC	3 Nov 2025	In force	Licensed platforms	^{13,14}
Affiliated market makers (AFMM)	SFC	11 Feb 2026	In force	Licensed platforms	¹⁵
High-level framework for perpetual contracts	SFC	11 Feb 2026	Issued (initial framework; SFC invites proposals)	Licensed platforms; professional investors only	¹⁶
HKMA guidance to RIs on VA financing, shared order book and VA withdrawals	HKMA	27 May 2026	In force	RIs (banks)	¹⁷
Circular on phishing-resistant login	SFC	9 Jul 2026	Issued; phishing-resistant authentication due by 8 Jul 2027	Internet brokers and SFC-licensed virtual asset service providers (VASPs)	¹⁸

Key facts

- In 2018, the SFC chose to watch selected platforms in its Regulatory Sandbox (a supervised test setting). ¹⁹ The SFC would then decide whether to license any of them. ¹⁹
- Under its 2019 position paper, the SFC could only license a centralised Hong Kong platform. ² Centralised means the platform trades, clears and settles for clients and controls their assets. That platform also had to trade at least one security token. ² Platforms that traded only non-security tokens were outside the SFC's powers. ²
- The SFC granted the first VATP licence in December 2020. ²⁰ The licence covered Type 1 (dealing in securities) and Type 7 (automated trading services) regulated activities. ²⁰ The platform could serve professional investors only. ²⁰
- The AMLO licensing regime started on 1 June 2023. ¹ The AMLO requires every platform that runs a VA exchange in Hong Kong to hold an SFC licence. ¹ This also covers platforms that actively market a VA exchange to Hong Kong investors. ¹

- Platforms already operating before the regime could carry on until 31 May 2024.²¹ A platform that applied by 29 February 2024 and met set conditions could be treated as licensed from 1 June 2024.²¹ This let existing platforms keep operating while they waited for a licence decision.²¹
- Being treated as licensed is not the same as holding a licence.²² The SFC warns investors that such platforms are not formally licensed.²² The SFC does not expect them to take on new retail clients until they prove their controls work and are formally licensed.²²
- The SFC publishes lists of licensed platforms and of applicants.²³ It also lists removed applicants and platforms that are closing down.²³ At 29 May 2026, the licensed list showed 13 platforms.²³ Being on a list does not mean a platform is creditworthy.²³
- Token admission: a platform should have a token admission and review committee.²⁴ The platform should also do documented due diligence before listing any token.²⁴
- Retail access: a token offered to retail clients should be highly liquid (easy to buy and sell).²⁵ At a minimum, it should be in at least two acceptable indices from at least two different index providers.²⁵
- Custody: a platform and its Associated Entity (the group company that holds client assets) should keep 98% of client virtual assets in cold storage.²⁶ They should also hold an SFC-approved compensation arrangement (cover that pays clients if assets are lost).²⁶ That cover is 50% of client virtual assets in cold storage.²⁶ It is 100% of those in hot storage (keys kept online) and other storage.²⁶
- Prohibitions: outside narrow exceptions, the June 2023 Guidelines say platforms should not do six things.²⁷ Three are lending clients money to buy virtual assets, dealing in VA futures or derivatives, and offering clients algorithmic (computer-run) trading.²⁷ The other three are earning returns on client virtual assets, trading for their own account, and market making (quoting prices) with their own money.²⁷ Two later SFC documents open limited routes.^{28,29} The February 2026 perpetuals framework invites platforms to propose perpetual contracts (futures-style contracts with no end date).²⁸ A February 2026 circular lets a company in the platform's group make markets on the platform, under conditions.²⁹
- The SFC inspected all applicants treated as licensed.¹¹ It checked three areas: cybersecurity, the safety of client assets, and know-your-client (KYC) checks on client identity.¹¹ The SFC then told every platform operator to review its systems and fix gaps at once.¹¹
- In November 2025, the SFC dropped the 12-month track record rule for some tokens.¹³ Under that rule, a token needed a 12-month history before a platform offered it.¹³ The rule no longer covers tokens offered to professional investors.¹³ Nor does it cover stablecoins (tokens meant to hold a steady value) from licensed issuers offered to retail clients.¹³ It still applies to other tokens offered to retail clients.¹³
- Shared liquidity: licensed platforms may share an order book (the list of waiting buy and sell orders) with affiliated overseas platforms.³⁰ They need prior written SFC approval.³⁰ The first step allows only liquidity from within the same group.³⁰
- Since February 2026, a platform may let an affiliated market maker (a group company that quotes buy and sell prices) trade on it.¹⁵ The platform first notifies the SFC and files a report from an independent firm.¹⁵ Client orders keep priority over the market maker's orders at the same price.¹⁵
- The SFC's perpetual contracts framework says these products should go to professional investors only.³¹ It says margin collateral (assets posted to back a trade) should take one of three forms.³¹ These are fiat money (ordinary currency), or stablecoins or tokenised deposits (bank deposits recorded as tokens) regulated by the HKMA.³¹
- The SFC said JPEX (which presented itself as a VA trading platform) was unregulated.³² The SFC said it put JPEX on its Alert List (a public warning list) in July 2022.³² It said JPEX never applied for a licence.³² The SFC referred the matter to the Police on suspicion of fraud.³²
- The SFC expects SFC-licensed VASPs to adopt phishing-resistant login by 8 July 2027.³³ Phishing-resistant means fake websites cannot trick users into handing over login details. The same deadline covers device binding (tying an account to a trusted device).³³ The SFC does not treat a one-time password (OTP) as phishing-resistant.³³

What your bank must or should do

Obligations

- ☐ Partner only with SFC-licensed platforms if the bank offers VA dealing.⁴ Either introduce clients to the platform, or trade through an omnibus account (one account that pools many clients' orders).⁴
- ☐ Offer VA dealing only to clients of the bank's Type 1 (dealing in securities) business.³⁴
- ☐ Follow the SFC's guidance for VA brokers if the bank trades for clients on a shared order book and also gives retail clients access to it.³⁵ The HKMA expects this of RIs.³⁵
- ☐ Apply the SFC's safeguards for client VA withdrawals if the bank, as an RI, lets clients withdraw virtual assets.³⁶ These safeguards apply on top of the HKMA's e-banking and technology rules for RIs.³⁶

Controls & monitoring

- ☐ Re-check a platform's status on the live SFC lists before onboarding it and at each review. The lists can lag between updates.^{37,38}

Notify / consult HKMA or SFC

- ☐ Tell the SFC in advance before the bank starts or changes VA activities.³⁹ Tell the HKMA too, where relevant.³⁹

Counterparty due diligence

- ☐ Run a risk-based anti-money laundering (AML) and counter-financing of terrorism (CFT) assessment when the bank takes VASPs as customers.⁴⁰ The HKMA says extra checks may be needed, depending on the relationship.⁴⁰ These are like the checks used in correspondent banking (where one bank provides accounts to another).⁴⁰ They include understanding the customer's business, licensing status and AML/CFT controls.⁴⁰
- ☐ Find out, for VASPs based outside Hong Kong, whether each account is for the firm's own use or for its clients.⁴¹ If the account serves clients, apply the correspondent-banking measures.⁴¹
- ☐ Benchmark a partner platform against the VATP Guidelines.⁴² Check its token committee and its retail index test.⁴² Check its 98% cold storage and its compensation cover.⁴²
- ☐ Ask whether the platform has fixed the gaps listed in the SFC's inspection findings.⁴³

Talking points**To the chief compliance officer (CCO)**

- The VATP Guidelines bind platforms, not the bank.⁹ We use them as a due diligence benchmark, because our VA dealing must run through SFC-licensed platforms.⁴
- For customers that are VASPs, we follow the HKMA's AML/CFT Guideline.⁴¹ That includes correspondent-banking-style checks on overseas VASPs.⁴¹

To business heads

- Platforms can now share order books with SFC approval.¹⁴ They can also use affiliated market makers after notifying the SFC.⁴⁴ The SFC's framework says perpetual contracts should go to professional investors only.⁴⁵
- If we trade for clients on a platform's shared order book and give retail clients access to it, the HKMA expects us to follow the SFC's broker guidance.³⁵

To the CEO

- From 2019 to 2020, Hong Kong platform licensing was opt-in and for professional investors only.^{46,47} Since June 2023, every platform in or marketing to Hong Kong has needed a licence.¹
- The SFC's licensed list showed 13 platforms at 29 May 2026.¹⁰

To Risk / chief risk officer (CRO)

- The Guidelines say licensed platforms should keep 98% of client virtual assets in cold storage.²⁶ Their compensation cover should equal 50% of cold-stored and 100% of hot-stored client assets.²⁶
- The SFC's inspections of applicants treated as licensed covered cybersecurity, client assets and KYC.¹¹ The SFC said platforms should fix gaps at once.¹¹

Common misunderstandings

- **Myth:** A platform treated as licensed has been vetted. **Fact:** In 2023, the SFC said it had not vetted whether these platforms were fit and proper (suitable to hold a licence).⁴⁸ The SFC also said they may never get a licence.⁴⁸
- **Myth:** The 50%/100% compensation rule applies to our custody. **Fact:** That rule is for licensed trading platforms.⁴⁹ The HKMA's May 2026 custody guidance for banks takes a different approach.⁵⁰ It expects the bank to be liable for losses caused by the bank, and to hold enough financial resources.⁵⁰
- **Myth:** A one-time password sent by text message (SMS) is enough. **Fact:** The SFC does not treat an OTP as phishing-resistant for login or device binding.⁵¹

Official documents to read first

1. **Guidelines for Virtual Asset Trading Platform Operators** — SFC, June 2023. Read paragraphs 7.1-7.8 (token admission and the retail test). Also read 7.24-7.26, 10.6, 10.11, 10.22 and 13.2-13.4. Use this as your benchmark for any platform counterparty. <https://www.sfc.hk/-/media/EN/assets/components/codes/files-current/web/guidelines/Guidelines-for-Virtual-Asset-Trading-Platform-Operators/Guidelines-for-Virtual-Asset-Trading-Platform-Operators.pdf>
2. **Joint circular on intermediaries' VA-related activities** — SFC and HKMA, 22 December 2023. Read paragraphs 17-18 and 31. The circular explains why a bank's VA dealing must go through licensed platforms. <https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=23EC66>
3. **Lists of virtual asset trading platforms** — SFC, live page (29 May 2026 update reviewed). Read the licensed table and the notes on the applicant list. This page is the SFC's own record of each platform's status. <https://www.sfc.hk/en/Welcome-to-the-Fintech-Contact-Point/Virtual-assets/Virtual-asset-trading-platforms-operators/Lists-of-virtual-asset-trading-platforms>

Open questions

- The SFC calls its perpetuals framework an initial approach that may be refined.⁵² The documents reviewed for this guide show no approvals of specific perpetual products.⁵²
- The SFC press release on the first licence is dated 16 December 2020.⁵³ The SFC's licensed list gives 15 December 2020 as the earliest platform's licence date.¹⁰ The documents reviewed do not explain the one-day gap.
- The SFC's VATP lists are a live page. The counts here are a snapshot from 29 May 2026.

Related modules

A1, B1, C1, C2, C5, C6, D1

Business angle: Banking the digital-asset industry and Virtual-asset dealing in the Business tab.

Notes

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PART D

Risk and control

PART D · MODULE D1

D1 Capital and prudential treatment of cryptoassets

This module is for the bank's Head of Compliance (digital assets). After it, you can explain three things. First, how Hong Kong turned the global Basel standard on cryptoassets into binding rules on capital, liquidity and exposure limits. Second, how a cryptoasset gets sorted into a group. Third, what the bank must tell the Hong Kong Monetary Authority (HKMA).

In 60 seconds

The Basel Committee on Banking Supervision (BCBS) sets global standards for banks. It published a standard on banks' cryptoasset exposures in December 2022. It amended that standard in July 2024. ¹ The HKMA consulted on the standard in February 2024, in consultation paper (CP) 24.01. ² In January 2025, the HKMA sent draft rules to the banking industry associations. ³ In July 2025, the government published three sets of amendment rules in the Gazette (the government's official record). ⁴ These rules took effect on 1 January 2026. ⁵ On the same date, the HKMA brought in a new guidance module, CRP-1 (Classification of Cryptoassets). It also revised nine modules of its Supervisory Policy Manual (SPM), the HKMA's set of guidance modules for banks. ⁶ Every cryptoasset a bank is exposed to falls into one of four groups. ⁷ Group 1a is tokenised traditional assets, such as bonds recorded as digital tokens. ⁷ Group 1b is stablecoins (tokens built to hold a steady value) with an effective stabilisation mechanism. ⁷ Group 2a is Group 2 assets that meet hedging criteria, so limited hedging (offsetting one position with another) is recognised. ⁷ Group 2b is everything else, at a 1,250% risk weight. ⁸ A risk weight scales how much capital a bank holds against an asset. At 1,250%, the bank in effect holds capital equal to the whole exposure. A bank must tell the HKMA before acquiring each new type of cryptoasset. ⁹ The asset stays in Group 2b until the HKMA agrees with the bank's assessment. ⁹ In June 2026, the HKMA clarified one Group 1 condition. It covers tokenised traditional assets on permissionless blockchains (open networks anyone can join). A bank can also meet that condition another way. ¹⁰

Where things stand

As of 25 September 2026.

Instrument	Issuer	Date	Status (chip)	Applies to	Source
BCBS standard (December 2022) and amendments (July 2024)	BCBS, put into effect by the HKMA	December 2022; July 2024	Implemented in Hong Kong rules	All authorized institutions (AIs: banks and deposit-taking companies authorized by the HKMA) from 1 January 2026	¹¹
CP 24.01 Cryptoasset Exposures	HKMA	7 February 2024	Superseded	AIs	¹²
Informal industry consultation ("soft consultation") on draft rule amendments	HKMA	13 January 2025	Closed (comments were due 20 February 2025; rules since published in the Gazette)	AIs, through the Hong Kong Association of Banks and The DTC Association (DTC = deposit-taking company)	¹³
Banking (Capital), (Disclosure) and (Exposure Limits) (Amendment) Rules 2025	Government; laid before the Legislative Council	Published in the Gazette 11 July 2025	In force (from 1 Jan 2026)	All AIs	¹⁴
SPM CRP-1 plus nine revised modules and a code of practice	HKMA	Finalised 27 November 2025. Eight revised modules and the code published in the Gazette 19 December 2025	In force (from 1 Jan 2026)	All AIs	^{6,15}
CRP-1 para 2.6.4 clarification	HKMA	3 June 2026	In force	All AIs	¹⁰
Guidance for registered institutions (RIs) on virtual asset financing (clean-loan treatment, meaning unsecured). RIs are banks registered with the Securities and Futures Commission (SFC) for securities business.	HKMA	27 May 2026	In force	RIs	¹⁶
Proposed Banking (Capital) Rules amendments	HKMA	30 April 2026	Consultation closed 1 Jun 2026; no final rules seen	AIs	^{17,18}

Key facts

- CP 24.01 proposed bringing the December 2022 Basel standard into Hong Kong rules no earlier than 1 July 2025. Comments were due by 6 May 2024. ¹⁹

- In January 2025, the HKMA sent draft rule amendments to the industry. It asked for comments by 20 February 2025. It aimed for a 1 January 2026 start, in line with the Basel timetable.³
- The government published the three amendment rules in the Gazette on 11 July 2025. They were due to be laid before the Legislative Council on 16 July 2025. They took effect on 1 January 2026.¹⁴
- On 27 November 2025, the HKMA finalised CRP-1. It also finalised changes to nine other modules and a code of practice. All took effect on 1 January 2026.⁶
- CRP-1 is guidance. The binding classification rules sit in Part 12 of the Banking (Capital) Rules (BCR). If the two differ, the BCR prevails.²⁰
- A cryptoasset reaches Group 1 only if it meets all four classification conditions.²¹ Condition 1: the token carries the same rights and risks as the traditional asset, or has an effective stabilisation mechanism.²¹ Condition 2: its rights are clearly defined and legally enforceable, and settlement is final.²¹ Condition 3: its network risks are sufficiently reduced and managed.²¹ Condition 4: the entities doing key functions are regulated and supervised, or follow suitable risk management standards.²¹
- Group 1a is tokenised traditional assets. Group 1b is stablecoins with an effective stabilisation mechanism. Anything else is Group 2.²²
- A Group 2 asset reaches Group 2a only if it meets three hedging criteria.²³ One is an average market capitalisation (total market value) of at least HK\$78 billion. Another is 100 or more real price observations.²³
- Group 2b exposures take a 1,250% risk weight.⁸ It also covers their credit valuation adjustment risk (the risk that a derivative loses value as the other party's credit weakens).²⁴
- Before acquiring a new type of cryptoasset, a bank must notify the HKMA. The bank then treats the asset as Group 2b until the HKMA agrees with the bank's own classification.⁹
- Exposures held before 1 January 2026 must sit in Group 2b until the HKMA agrees the bank's assessment.²⁵
- If the HKMA disagrees with a bank's classification, the HKMA will override it.²⁶
- Stablecoins issued under the HKMA's licensing regime can be treated as meeting the extra safeguards for permissionless blockchains.²⁷ Other stablecoins on those blockchains must be under a regime the HKMA considers comparable to the Stablecoins Ordinance.²⁷
- The June 2026 letter covers the approval condition for tokenised traditional assets on permissionless blockchains.¹⁰ That condition calls for approval of the tokenised instrument by a financial market regulator.¹⁰ A bank can also meet it where a financial market regulator supervises the tokenisation business. The letter took effect immediately.¹⁰
- CA-G-1 section 8.7 covers the banking book (positions a bank holds rather than trades).²⁸ Group 1a exposures there generally follow the rules for the underlying asset.²⁸ For Group 1b, the bank calculates capital separately for the reference asset and for the redeemer (the party that pays holders back).²⁸
- Group 2 exposure limit: this applies to a systemically important bank. That is a global or domestic bank whose failure could harm the wider system.²⁹ Such a bank faces a capital add-on (extra capital charge) if its Group 2 exposure exceeds 1% of Tier 1 capital.²⁹ Tier 1 capital is a bank's core capital, such as ordinary shares and retained earnings. Above 2%, a different and heavier treatment applies.³⁰
- LM-1 Annex 3 covers liquidity.³¹ High-quality liquid assets (HQLA) are assets a bank can turn into cash quickly in a crisis. The liquidity coverage ratio (LCR) checks that a bank holds enough HQLA to cover 30 days of stressed cash outflows. A category 1 institution is a bank the HKMA has designated to follow the LCR. Such an institution may count a cryptoasset as HQLA only if it passes two tests.³¹ It is a Group 1a token of an asset class that qualifies as HQLA, and it meets the HQLA requirements.³¹ The issuer of a stablecoin that holders can redeem within the LCR period must generally apply a 100% outflow.³¹ In other words, it assumes all such stablecoins are paid out.
- Market risk rules change in three ways.³² Any cryptoasset exposure removes the small-amount exception from market risk capital rules.³² The internal models approach (a bank's own approved risk models) cannot be used for instruments referencing Group 2 cryptoassets.³² For Group 2a, position risk (capital for price risk on a holding) is 100% of the net position.³²
- CR-G-8 values crypto exposures under new Division 5A of the Banking (Exposure Limits) Rules.³³ Some exposures are not linked to a counterparty's credit or default risk. The bank leaves those out when measuring large exposures (big concentrations of risk) to that counterparty or its group.³³
- CR-L-5 covers the rules on HKMA consent for major acquisitions. Under it, a token that carries the economics of equity (the returns and risks of owning shares) counts as share capital.³⁴
- CA-G-5 says the HKMA may respond to crypto-related weaknesses in several ways. These include capital add-ons, provisions (money set aside for losses) and limits.³⁵

What your bank must or should do

Obligations

- ☐ Classify every cryptoasset exposure under BCR Part 12 and CRP-1. Keep reassessing it on an ongoing basis.³⁶
- ☐ Move an asset to Group 2b at once if it stops meeting its conditions or criteria. This covers any asset the HKMA agreed as Group 1a, 1b or 2a.³⁷

- ☐ As a registered institution (RI), treat loans secured only by virtual asset collateral as clean (unsecured) loans for capital purposes.¹⁶

Controls & monitoring

- ☐ Keep policies, staff and technology systems able to assess cryptoasset risk. Document the evidence behind each classification.³⁸
- ☐ For stablecoins, keep a monitoring framework that checks the stabilisation mechanism works as intended.³⁹
- ☐ If the bank is systemically important, track its Group 2 exposure ratio. Compare it with the 1% and 2% thresholds used in disclosure.³⁰

Notify / consult HKMA or SFC

- ☐ Notify the HKMA before acquiring any new type of cryptoasset.⁹
- ☐ Give the HKMA classification evidence when it asks.³⁸

Counterparty due diligence

- ☐ For Group 1 assets, check each entity with a key role.⁴⁰ These roles are redemption, transfer, storage or settlement of the asset, and management of its reserves.⁴⁰ Confirm each entity is regulated and supervised, or meets suitable risk standards.⁴⁰ Confirm it also discloses a governance framework (its rules for oversight and decisions).⁴⁰

Talking points

To the CCO

- The capital rules are law from 1 January 2026. CRP-1 is guidance, and the BCR wins if they differ.⁴¹
- We need to tell the HKMA before we acquire any new type of cryptoasset.⁹

To business heads

- A new cryptoasset sits in Group 2b until the HKMA agrees its classification.⁹ That means a 1,250% risk weight.⁸ With the 8% minimum total capital ratio, $1,250\% \times 8\% = 100\%$, so the bank holds capital equal to the whole exposure.⁴²
- Stablecoins under the HKMA licensing regime can be treated as meeting the permissionless-blockchain safeguards. The four classification conditions still apply.⁴³

To the CEO

- Hong Kong's rules started on 1 January 2026, matching the Basel timetable.⁵
- The HKMA can override our classifications.²⁶ It can also add capital or limits if it sees weaknesses.³⁵

To Risk / CRO

- Any crypto exposure ends our small-amount exception from the market risk capital rules.⁴⁴
- For a category 1 institution, a stablecoin it holds is generally not HQLA. It counts as a 0% inflow under the LCR.⁴⁵ The net stable funding ratio tests that long-term assets have stable funding. Under it, the stablecoin has an 85% required stable funding factor.⁴⁵

Common misunderstandings

- **Myth:** The June 2026 CRP-1 letter tightened the rules. **Fact:** The letter clarified the approval condition in para 2.6.4. A bank can also meet it where a financial market regulator supervises the tokenisation business.¹⁰
- **Myth:** Internal models are barred only for Group 2a. **Fact:** Market risk module MR-1 bars them for all instruments referencing Group 2 cryptoassets.⁴⁶
- **Myth:** The 1%/2% Group 2 limit applies to every bank. **Fact:** Only systemically important banks face the add-on.²⁹ The HKMA's instructions for its regulatory return (a report banks file) have all Hong Kong-incorporated AIs report the ratio.⁴⁷
- **Myth:** Legacy holdings keep their old treatment. **Fact:** Holdings from before 1 January 2026 sit in Group 2b until the HKMA agrees the assessment.²⁵
- **Myth:** Central bank digital currencies are cryptoassets. **Fact:** They sit outside the standard. They are generally treated like the central bank's ordinary currency.⁴⁸

Official documents to read first

1. **SPM CRP-1 Classification of Cryptoassets** — HKMA, version 1, in effect from 1 January 2026. Read paras 1.1.4, 1.4, 2.1, 2.6 and 3.1.1. It sets out how each cryptoasset is grouped. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251125-15-EN/CRP-1.pdf>
2. **SPM CRP-1: update on cryptoassets classification conditions** — HKMA, 3 June 2026. Read page 1. It adds another way to meet para 2.6.4. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260603-1-EN/20260603-1-EN.pdf>
3. **Cryptoassets standard: SPM modules, code of practice, disclosure templates and returns** — HKMA, 27 November 2025. Read pages 1-4. It lists every changed module and the move to the new reporting returns. <https://brdr.hkma.gov.hk/eng/doc->

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Open questions

- The April 2026 BCR proposals closed for comment on 1 June 2026.¹⁷ One of these proposals is to remove cryptoassets from the Part 6 "cash item" definition.⁴⁹ Another is a set of new rules on hedging counterparty credit risk (the risk the other side of a deal defaults).⁴⁹ Those rules cover netting sets (groups of trades that can be offset) holding Group 2b cryptoasset derivatives.⁴⁹ The documents reviewed for this guide hold no final rules.¹⁷
- The June 2026 letter says CRP-1's wording will reflect the clarification in due course. The documents reviewed hold no updated CRP-1 text.¹⁰
- The documents reviewed for this guide do not include the Gazette text of Banking (Capital) Rules Part 12. Section references come from HKMA modules and templates.
- For two sets of HKMA letters, only catalogue pages were reviewed. One is the December 2022 letter passing on the BCBS standard. The others are the July and August 2025 letters on the Gazette publication.

Related modules

A1, C7, D2, D3, D4

Notes

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D2 Regulatory reporting and disclosure

For the bank's Head of Compliance (digital assets). After this module, you can name the Hong Kong Monetary Authority (HKMA) reports that now carry cryptoasset data. You can say when each change applied. You can also say which banks could use the six-month transition.

In 60 seconds

New amendment rules bring the Basel cryptoasset standard into Hong Kong law. The Basel standard is the global rule set for how banks treat cryptoassets. The new rules took effect on 1 January 2026. ¹

For reporting, the HKMA changed seven returns. A return is a regular data report that a bank files with the HKMA. Each return got new or revised templates (the forms) and completion instructions (the guide to filling them in). ^{2,3} The HKMA names its returns with codes such as MA(BS)3. The seven returns are:

- MA(BS)1E: liquidity (whether the bank has enough cash and easy-to-sell assets).
- MA(BS)1F: compliance certificate.
- MA(BS)3: capital. It has a new Part IIIf (a form for extra crypto risk-weighted amounts). A risk-weighted amount is an exposure scaled up or down for its risk. It drives how much capital the bank holds.
- MA(BS)3A: capital for market risk and credit valuation adjustment (CVA) risk. CVA risk is the risk of loss when a trading counterparty's credit quality worsens.
- MA(BS)26: stable funding.
- MA(BS)27: leverage (capital against total exposures, without risk weights).
- MA(BS)28: large exposures (big exposures to a single counterparty).

^{2,3}

Authorized institutions (AIs) are banks and other deposit-takers authorized by the HKMA. Some AIs had no cryptoasset exposure on 1 January 2026. The HKMA calls these 'Transition AIs'. They could keep using the old templates for four of the seven returns until 30 June 2026. ²

For disclosure, Pillar 3 is the public report in which a bank publishes data on its capital and risks. A new Part XII (the crypto section) adds four items to the Pillar 3 package. ⁴ They are:

- Table CAEA (a written description of crypto activities and risks).
- Template CAE1 (crypto exposures and risk-weighted amounts).
- Template CAE2 (accounting classification).
- Template CAE3 (liquidity).

⁴ These items apply to AIs with cryptoasset exposures. ⁴ CAE1 needs extra rows for each material single holding. ⁴

The Supervisory Policy Manual (SPM) is the HKMA's book of supervisory guidance. SPM module CA-D-1 (the disclosure guideline) helps AIs understand the HKMA's approach to applying the Banking (Disclosure) Rules (BDR). ⁵

Where things stand

As of 25 September 2026.

Instrument	Issuer	Date	Status (chip)	Applies to	Source
Banking (Disclosure) (Amendment) Rules 2025	Government / Legislative Council	Gazetted 11 July 2025. In effect 1 January 2026.	In force	All AIs	⁶
Consultation on return templates	HKMA	13 June 2025 (closed 11 July 2025)	Closed; finalised 27 Nov 2025	AIs	^{7,2}
Consultation on revised completion instructions	HKMA	4 September 2025 (closed 3 October 2025)	Closed; finalised 27 Nov 2025	AIs	^{8,2}
Final returns package and transition for Transition AIs	HKMA	27 November 2025	In force	All AIs. Transition AIs could use old templates until 30 June 2026.	⁹
Standard disclosure templates, new Part XII (CAEA, CAE1-CAE3)	HKMA	27 November 2025	In force	AIs with cryptoasset exposures	^{10,2}
SPM CA-D-1 (version 5)	HKMA	1 January 2026	In force	All AIs	¹¹

Chip meanings: In force means it applies now. Closed means the consultation has ended. Gazetted means published in the official Government Gazette.

Key facts

- The HKMA listed seven returns with new templates or instructions.¹² The list covers MA(BS)1E, MA(BS)1F(a) and (b), MA(BS)3, 3A, 26, 27 and 28.¹²
- The HKMA said the final templates would not differ materially from the consultation versions. The only exceptions were wording, formatting and changes agreed with the industry.²
- A Transition AI is an AI with no cryptoasset exposure on 1 January 2026.² It could keep filing four returns on the old templates until 30 June 2026. These are MA(BS)26, MA(BS)1E, MA(BS)3 and MA(BS)3A.²
- Even Transition AIs were expected to use some revised MA(BS)3 instructions from 1 January 2026.¹³ These cover Part II (capital base) and paragraph 6 of Part I. They deal with other changes unrelated to crypto.¹³
- A bank with crypto exposure could agree a temporary alternative arrangement with the HKMA if its systems were not ready.¹⁴ So could a Transition AI that later acquired crypto exposure. The arrangement covered positions from 31 January to 30 June 2026.¹⁴
- The points below come from the September 2025 consultation versions of the completion instructions.² The final versions went to AIs for download in December 2025. The HKMA said they would not differ materially.²
- MA(BS)3 Part IIIf is new.³ Its instructions say every Hong Kong-incorporated AI should complete it. The form works out extra risk-weighted amounts for cryptoassets.³
- The Basel standard sorts cryptoassets into groups. Group 1 assets meet four classification conditions. Group 1b is the stablecoin part of Group 1. Group 2 assets do not meet the conditions. Group 2a assets also meet certain hedging criteria. Group 2b is the rest of Group 2. Part IIIf covers four items:¹⁵
 - An infrastructure add-on for Group 1 exposures in the banking book (assets not held for trading). The add-on is extra capital for risks in the underlying blockchain infrastructure. The HKMA sets it by written notice.¹⁵
 - Redemption-related credit risk. This is the risk that whoever redeems the tokens fails to pay. It covers Group 1b exposures in the trading book (assets held for trading) and Group 2a stablecoins.¹⁵
 - Each Group 2b cryptoasset.¹⁵
 - The Group 2 exposure ratio (Group 2 exposures measured against the bank's capital). All Hong Kong-incorporated AIs report it. Only global and domestic systemically important banks report its add-on.¹⁵
- The consultation version of the Part IIIf instructions carries a March 2026 version stamp (03/2026).¹⁶
- Part IIIa (basic approach) and Part IIIb (standardized approach) are credit-risk forms. Each gains a separate Division A2 for cryptoasset exposures.^{17,18} Both also ask for the top five Group 1 cryptoassets by risk-weighted amount.^{17,18}
- Part IIIc (a credit-risk form) covers the internal ratings-based approach (where a bank uses its own approved models for credit risk).¹⁹ It adds a memorandum form, IRB_CRYPTO, for Group 1 exposures in the banking book.¹⁹
- MA(BS)1E is due no later than 14 days after each month-end.²⁰ Category 1 institutions are AIs the HKMA designates to meet its main liquidity ratio. They report new memo items 1.7(a)-(b). One covers cryptoassets counted as high-quality liquid assets (assets easy to sell for cash in stress). The other covers tokenised claims on customers or counterparties.²⁰
- Tokenised deposits are bank deposits recorded as digital tokens. In MA(BS)1E, some tokenised deposits may be treated like ordinary deposits.²¹ This covers those that meet the criteria in SPM LM-1 (the liquidity risk module).²¹ But they do not get the 3% or 5% stable-deposit outflow rate. That rate is the low run-off assumed for stable deposits in a stress.²¹
- MA(BS)26 is quarterly and due within one month.²² Category 1 institutions add items 3(a)-(b) on tokenised claims and cryptoassets. These feed the net stable funding ratio. This ratio checks that long-term assets have stable funding.²²
- MA(BS)27 includes cryptoassets in the leverage exposure measure. It values them at their financial-reporting value (the value in the bank's accounts).²³
- MA(BS)28 is quarterly and due within one month of quarter-end.²⁴ Some crypto exposures are not tied to a counterparty's credit or default risk. A bank need not include them when it reports exempted exposures.²⁴
- Pillar 3: the revised disclosure package applies to any reporting period ending after 1 January 2026.²
- Table CAEA is annual. It covers crypto activities and risks.²⁵ It also covers how the bank assessed each Group 1 classification condition. The bank includes public information it used, but not confidential or proprietary information.²⁵
- Hong Kong-incorporated banks with crypto exposures publish two templates twice a year.²⁶ CAE1 shows exposures and risk-weighted amounts by Group. CAE2 shows accounting classification.²⁶
- CAE1 needs extra rows for each material stablecoin or unbacked cryptoasset.²⁷ A Group 2 exposure is material if two tests are met. The Group 2 ratio is at least 0.3%, and the single asset exceeds 5% of total Group 2 exposure.²⁷
- The CAE1 narrative must state the market value of cryptoassets the bank holds in custody for clients, split by type.²⁸
- CAE3 (liquidity) is published twice a year in a fixed format.^{29,30} It applies to category 1 institutions with crypto exposures, whether incorporated locally or overseas.^{29,30}

What your bank must or should do

Obligations

- ☐ File the revised crypto items in MA(BS)1E, 3, 3A, 26, 27 and 28 on the stated schedules.^{2,31,32,33}
- ☐ Complete MA(BS)3 Part IIIf if the bank is incorporated in Hong Kong. Include the Group 2 exposure ratio.³⁴

- ☐ Publish Table CAEA and Templates CAE1-CAE3 as they apply to the bank. ^{35,4}

Controls & monitoring

- ☐ Use daily averages over the period for certain CAE1 columns. ³⁶ These are the Group 2a long and short columns, and the Group 2b total, long and short columns. ³⁶
- ☐ Run the 0.3% / 5% materiality test at each period end. The test decides which Group 2 assets need their own CAE1 row. ²⁷
- ☐ Use the HKMA's explanatory notes, alongside the BDR, when filling in each standard template and table. ⁵

Notify / consult HKMA or SFC

- ☐ Agree a temporary arrangement with the HKMA if your systems are not ready for the revised returns. ¹⁴

Counterparty due diligence

- ☐ Be ready to describe, for each Group 1 asset, how the bank assessed the four classification conditions. Include the public information used. Table CAEA asks for this. ³⁷

Talking points

To the CCO

- Crypto reporting started on 1 January 2026. The transition window for banks with no crypto ended on 30 June 2026. ²
- CA-D-1 is general guidance on the HKMA's approach. If it conflicts with the Disclosure Rules, the Rules prevail. ⁵

To business heads

- A Transition AI that picked up crypto exposure after 1 January 2026 was grouped with exposed banks. ⁹ If its systems were not ready, it could agree a temporary arrangement with the HKMA. ⁹
- The public CAE1 narrative shows the total market value of crypto we hold in custody for clients, split by type. ²⁸

To the CEO

- If we have crypto exposures, our public Pillar 3 report has a crypto section. It has a yearly narrative plus numbers twice a year. ³⁵
- Seven HKMA returns changed at once for the cryptoasset standard. ²

To Risk / CRO

- Every Hong Kong-incorporated AI reports its Group 2 exposure ratio in Part IIIf. Only global and domestic systemically important banks report the add-on. ³⁸
- Tokenised deposits do not get stable-deposit outflow rates in the liquidity return. ²¹

Common misunderstandings

- **Myth:** "No crypto, no reporting change." **Fact:** Transition AIs were still expected to apply some revised MA(BS)3 instructions. ¹³ These cover non-crypto items and applied from 1 January 2026. ¹³
- **Myth:** "The transition covered all seven returns." **Fact:** It covered only four: MA(BS)26, 1E, 3 and 3A. ²
- **Myth:** "Part IIIf redemption risk is a banking-book item." **Fact:** It sits in the trading book. ³⁹ The instructions place Group 1b redemption-related credit risk on trading-book exposures. ³⁹ The legal basis is section 376 of the Banking (Capital) Rules. ⁴⁰
- **Myth:** "Banks incorporated overseas disclose nothing." **Fact:** Two items apply to them too. ⁴¹ CAEA covers their crypto activities that create liquidity risk. CAE3 applies if they are category 1. ⁴¹
- **Myth:** "Every stablecoin needs its own row." **Fact:** Group 2 rows follow the 0.3% / 5% test. ⁴² Group 1b follows the general materiality test in the Disclosure Rules. ⁴²

Official documents to read first

1. **Cryptoassets standard: SPM modules, code of practice, disclosure templates and tables, and banking returns** — HKMA, 27 Nov 2025. Read pp.3-4. It gives the returns list and the transition rules. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251127-1-EN/20251127-1-EN.pdf>
2. **Standard Disclosure Templates and Tables (Annex 4), Part XII** — HKMA, 27 Nov 2025. Read pp.210-219. It holds the crypto Pillar 3 templates and their notes. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20251027-8-EN/20251027-8-EN.pdf>
3. **Completion Instructions, MA(BS)3 Part IIIf** — HKMA, consultation version stamped March 2026. Read paras 1-12. It explains the new crypto capital add-on form. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20250903-22-EN/20250903-22-EN.pdf>

Open questions

- The documents reviewed hold the consultation versions of the completion instructions. They do not hold the December 2025 finals. The HKMA said there would be no material changes. ²
- The documents reviewed for this guide do not include the gazetted text of the BDR amendment. BDR section numbers (such as 16ZQH-16ZQK) come from the templates and CA-D-1. ^{43,11}

- No HKMA statement in the documents reviewed for this guide says whether any bank used the temporary alternative reporting arrangement.

Related modules

A1, D1, D3, D4

Notes

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PART D · MODULE D3

D3 AML/CFT for digital assets at a bank

AML (anti-money laundering) and CFT (countering the financing of terrorism) rules exist to stop criminals using a bank to move or hide money. This module is for the Head of Compliance (digital assets) at a Hong Kong bank. After it, you can name the AML and CFT texts that actually bind the bank for virtual asset (VA) business. A virtual asset is a digital token such as a cryptocurrency. You can also point to where the rules written for virtual assets (VAs) sit. And you can tell which Securities and Futures Commission (SFC) material is only background. The same goes for Financial Action Task Force (FATF) material. Some of this material only sets expectations for the bank's counterparties. The FATF is the global standard-setter for anti-money laundering.

In 60 seconds

The bank's AML rulebook for digital assets is the Hong Kong Monetary Authority (HKMA) AML/CFT Guideline for Authorized Institutions (AIs).^{1,2} Authorized institutions are the banks and deposit-takers the HKMA supervises. The HKMA revised the Guideline in May 2023, and it took effect on 1 June 2023.^{1,2} The bank follows this HKMA Guideline, not the SFC's guideline.^{1,2}

The Guideline says little about VAs. It covers four points:³

- A HK\$8,000 trigger for customer due diligence (CDD) on one-off VA transfers. CDD means checking who a customer is and what they do. The trigger applies to people with no business relationship with the bank.³
- A footnote pointing to Schedule 2, section 13A of the Anti-Money Laundering and Counter-Terrorist Financing Ordinance (AMLO).³
- Record keeping for five years.³
- Correspondent-style checks on virtual asset service providers (VASPs) located outside Hong Kong. A VASP (such as a crypto exchange) offers VA services to others. Correspondent-style checks are the due diligence a bank does before serving another financial firm.³

Other HKMA and SFC guidance calls the section 13A requirements the travel rule.^{4,5} The travel rule means sender and recipient details go along with each VA transfer.

The HKMA's January 2022 circular sets further expectations.⁶ It asks banks to:

- watch customers' flows to and from VA platforms;⁶
- assess the risk of each VASP customer;⁶
- talk to the HKMA before launching VA products or services.⁶

The SFC's AML guideline applies to licensed corporations (LCs) and SFC-licensed VASPs.⁷ LCs are firms licensed by the SFC. Chapter 12 of that guideline covers VAs.⁷ The bank's SFC-registered business is a registered institution (RI). An RI is a bank registered with the SFC to do securities business. The RI must take the SFC guideline into account.⁸ The RI must comply with Chapter 12 when it handles client VA deposits or withdrawals.⁹

Recent SFC circulars describe current money laundering patterns.^{10,11} One is scam money layered through brokers and platforms.¹⁰ Layering means moving money through many transactions to hide where it came from. Another is misuse of simplified Electronic Direct Debit Authorisation (eDDA) deposits.¹¹ eDDA lets a customer approve direct debits from a bank account online. The SFC also passed on a March 2026 FATF report on stablecoins and unhosted wallets.¹² A stablecoin is a token designed to keep a steady value, for example against a currency. An unhosted wallet is a crypto wallet the owner controls directly, not through a service provider.

Where things stand

As of 25 September 2026. Registered institutions (RIs) are banks registered with the SFC. The Legislative Council (LegCo) is Hong Kong's law-making body.

Instrument	Issuer	Date	Status (chip)	Applies to	Source
AML/CFT Guideline (For AIs), revised May 2023	HKMA	25 May 2023 (effective 1 Jun 2023)	In force	All AIs, including RIs	13,2
AMLO (Amendment) Bill 2022, creating VASP licensing	LegCo, passed on by the HKMA	Passed 7 Dec 2022. Banking-sector changes in force from 1 Jun 2023	In force	VASPs. AIs through CDD changes	14,15
Circular on managing money laundering and terrorist financing risks from VAs and VASPs	HKMA	16 Dec 2019	In force (shown as current on the HKMA site; updated by the 2022 guidance)	AIs	16,17
Circular on how AIs deal with VAs and VASPs	HKMA	28 Jan 2022	In force	AIs	6
SB-1 (supervision of RIs), AML cross-reference	HKMA	12 Sep 2025	In force	RIs	18

Instrument	Issuer	Date	Status (chip)	Applies to	Source
AML/CFT Guideline for LCs and SFC-licensed VASPs (Chapter 12)	SFC	1 Jun 2023	In force	LCs and SFC-licensed VASPs. RIs take it into account	^{7,8}
Joint circular on intermediaries' VA activities, para 20(b)	SFC + HKMA	22 Dec 2023	In force	LCs and RIs	⁹
Supplemental joint circular, para 7(c)	SFC + HKMA	30 Sep 2025	In force	LCs and RIs	¹⁹
AML/CFT Guideline for Licensed Stablecoin Issuers	HKMA	Aug 2025	In force	Licensed stablecoin issuers	²⁰
Circular on layering activities (25EC62)	SFC	17 Nov 2025	In force	LCs, SFC-licensed VASPs, associated entities	²¹
Circular passing on FATF news, including a report on stablecoins and unhosted wallets (26EC13)	SFC	13 Mar 2026	In force	LCs, SFC-licensed VASPs, associated entities	²²
Circular on simplified eDDA deposits (26EC51)	SFC	20 Aug 2026	In force	LCs, SFC-licensed VASPs, associated entities	²³

Key facts

- The HKMA Guideline is the AML rulebook for every AI, including AIs registered with the SFC. ²⁴ The Guideline treats both "must" and "should" as signalling a mandatory requirement. ²⁴
- One-off VA transfers: an AI should complete CDD before carrying out an occasional VA transfer worth HK\$8,000 or more. ²⁵ It should also watch for linked smaller transfers that together reach that amount, and carry out CDD if they do. ²⁵
- For VA transfers, the Guideline points readers to AMLO Schedule 2, section 13A (footnote 15). ²⁶ Chapter 10 of the Guideline, on wire transfers, does not mention VAs. ²⁶
- The HKMA has stated that the AMLO does not stop AIs making VA transfers for customers if they meet the section 13A requirements. ²⁷
- The bank should keep records of occasional VA transfers of HK\$8,000 or more for at least five years after the transaction. ²⁸ For relationship records, the period is the life of the relationship plus at least five years after it ends. ²⁸
- This point covers a bank that gives correspondent-like services to financial institutions (FIs) or VASPs located outside Hong Kong. ²⁹ That bank should apply the cross-border correspondent measures in paras 11.6 and 11.13 (where they apply). ²⁹ FIs as defined in the AMLO are left out of this rule. ²⁹
- For an overseas VASP customer, the bank should find out whether the account is for the VASP's own use or for serving its clients. ³⁰ The bank could consider encouraging or requiring separate accounts for the two. ³⁰
- RIs are required to take the SFC's AML Guideline into account, including Chapter 12 on VAs. ^{31,18} The same applies to AIs that are associated entities of SFC licensees. An associated entity is a company linked to an SFC licensee that holds client assets for it. ^{31,18}
- The HKMA expects AIs to watch for customers who often send money to or receive money from VA platforms. ³² AIs should understand those flows and, where there are grounds, file suspicious transaction reports (STRs). ³²
- For VASP customers, the bank's risk assessments should tell individual VASPs apart. ³³ Depending on the relationship, extra CDD may be needed. ³³ Examples: ³³
 - understand the VASP's business model;
 - check its licensing, and whether the overseas rules are comparable;
 - assess the VASP's own AML controls.
- An AI planning VA activity should discuss it with the HKMA before launch. ³⁴ It should also get the HKMA's feedback on its risk controls before launch. ³⁴
- Intermediaries are LCs and RIs. Those that let clients deposit or withdraw VAs should comply with SFC Chapter 12 for those movements. ^{9,19} The same applies when clients use VAs to subscribe for or redeem investment products. ^{9,19}
- SFC Chapter 12 requires the ordering firm to get, record and pass on sender (originator) and recipient details for VA transfers. ³⁵ The ordering firm is the one that sends the transfer for its customer. The full set of details applies at HK\$8,000 or more, and a shorter set below that. ³⁵ For unhosted wallets, the firm should collect similar details from its own customer. ³⁵
- Licensed stablecoin issuers that send transfers must collect full sender and recipient details for transfers of HK\$8,000 or more. Fewer details apply below that. ³⁶ The HKMA expects every holder's identity to be checked, unless an issuer shows the HKMA its controls work. ³⁶
- The SFC, citing police intelligence, reports scam money being layered through licensed firms. ³⁷ Some of it was turned into VAs and withdrawn to unhosted wallets. ³⁷
- A Government reply to LegCo on 21 Feb 2024 gave the number of VA-related criminal cases: ³⁸
 - 2021: 1,397 cases, with HK\$824 million involved;

- 2022: 2,336 cases, with HK\$1,704 million involved;
- 2023: 3,415 cases, with HK\$4,398 million involved.
- An HKMA speaker said Hong Kong recorded over 44,000 deception cases in 2024. That was a rise of close to 12% on the year before.³⁹

What your bank must or should do

Obligations

- Complete CDD before any occasional VA transfer of HK\$8,000 or more. Watch for linked transfers.⁴⁰
- Meet AMLO Schedule 2, section 13A for VA transfers the bank carries out.^{41,27}
- Assess money laundering and terrorist financing risk before launching any VA-related product, service or new technology. Put controls in place to reduce that risk.^{42,43}
- Keep VA transfer and relationship records for the periods in para 8.4.²⁸

Controls & monitoring

- Monitor customers' flows to and from VA platforms, and look into what they are for.³²
- Write down the settings and thresholds that trigger transaction-monitoring alerts. Review them regularly and have them checked independently.⁴⁴
- In the RI business, apply SFC Chapter 12 when handling client VA deposits and withdrawals.⁹

Notify / consult HKMA or SFC

- Discuss any planned VA activity with the HKMA before launch.³⁴
- For the RI: tell the SFC and HKMA before it starts VA activities or changes them.⁴⁵ This covers dealing, advice and asset management, and changes to the type of clients served.⁴⁵
- File STRs with the Joint Financial Intelligence Unit (JFIU) where the bank finds grounds for suspicion. The JFIU is the unit that receives these reports.⁴⁶

Counterparty due diligence

- For overseas VASPs that get correspondent-like services, do the following:⁴⁷
 - understand the business;
 - check its reputation and how it is supervised;
 - assess its AML controls;
 - get senior management approval.
- Confirm with each VASP customer that its operations do not break the laws that apply in Hong Kong or elsewhere.³³
- Note that the SFC expects licensed firms to register the client bank accounts used for deposits and withdrawals.⁴⁸ It also expects them to whitelist client wallet addresses, meaning they keep a list of approved addresses.⁴⁸

Talking points

To the CCO

- Our main AML text for VAs is the HKMA Guideline for AIs.⁴⁹ Our RI business must take SFC Chapter 12 into account, and comply with it for client VA deposits or withdrawals.^{49,9}
- For our own VA transfers, the Guideline points to AMLO Schedule 2, section 13A, not the wire-transfer chapter.⁴¹

To business heads

- Any VA product needs a written money laundering and terrorist financing risk assessment.⁵⁰ It also needs a conversation with the HKMA before launch.⁵¹
- If we serve an overseas VASP like a correspondent bank, we need correspondent-style checks and senior management approval.⁴⁷

To the CEO

- The HKMA has said the AMLO does not prohibit AIs from making VA transfers for customers if they meet the section 13A requirements.²⁷
- The Government told LegCo that money involved in VA-related crime reached HK\$4,398 million in 2023. That was up from HK\$824 million in 2021.³⁸

To Risk / CRO

- The SFC's red flags for licensed firms include deposits and withdrawals with little or no trading.⁵² Another is a new eDDA setup followed by whitelisting a new wallet address.⁵³
- An SFC circular notes that the FATF published a report on stablecoin and unhosted wallet risks on 3 March 2026.⁵⁴

Common misunderstandings

- **Myth:** SFC Chapter 12 binds the bank. **Fact:** It applies to LCs and SFC-licensed VASPs.⁷ The HKMA said AIs, including RIs, should keep complying with its own Guideline. RIs take the SFC text into account.⁵⁵
- **Myth:** Chapter 10 of the HKMA Guideline is our crypto travel rule. **Fact:** Chapter 10 covers wire transfers. The link to VA transfers is footnote 15, which points to section 13A.⁵⁶
- **Myth:** All VASP customers need correspondent banking measures. **Fact:** Para 11.23 targets VASPs located outside Hong Kong.⁵⁷ For other VASP customers, the HKMA expects a risk-based assessment, with extra CDD depending on the relationship.³³
- **Myth:** VASPs are automatically high-risk. **Fact:** The HKMA asks banks to assess each VASP's risks separately. There is no single approach.³³
- **Myth:** The 2026 custody guidance removed AML duties. **Fact:** The 2024 annex had its own AML paragraph, and the 2026 text does not.^{58,59} But the AML Guideline still applies to all AIs.¹

Official documents to read first

1. **Guideline on AML/CFT (For Authorized Institutions), revised May 2023** — HKMA, 25 May 2023. Read footnote 1 (printed p.1) and paras 2.10–2.11. Then read paras 4.2.1–4.2.5 with footnotes 14–15. Then read paras 8.4, 11.6 and 11.23–11.25. Why: this is the text that binds the bank. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20230525-4-EN/AML-2.pdf>
2. **Regulatory approaches to AIs' interface with VAs and VASPs** — HKMA, 28 Jan 2022. Read pp.3–5. Why: it sets out what the HKMA expects on VA flows, VASP customers and talks before launch. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/20220128-1-EN>
3. **AML/CFT Guideline for LCs and SFC-licensed VASPs, Chapter 12** — SFC, 1 Jun 2023. Read 12.1, 12.11, 12.13–12.14. Why: it shows what the RI business must take into account, and what counterparties must do. https://www.sfc.hk/-/media/EN/assets/components/codes/files-current/web/guidelines/guideline-on-anti-money-laundering-and-counter-financing-of-terrorism-for-licensed-corporations/AML-Guideline-for-LCs-and-SFC-licensed-VASPs_Eng_1-Jun-2023.pdf

Open questions

- The 2023 consultation conclusions cite an HKMA circular of 27 April 2023.²⁷ That circular is not in the documents reviewed for this guide, so its content is unverified here.
- The text of AMLO Schedule 2, section 13A is not in the documents reviewed. So this guide does not restate the data fields it sets for banks.
- In May 2025, the HKMA said it was writing an extra AML/CFT guideline for digital asset activities.⁶⁰ It was to cover AIs and stablecoin licensees. The HKMA said it would consult later in 2025.⁶⁰ No consultation or final version appears in the documents reviewed.
- The HKMA's document page still lists the 16 Dec 2019 circular as current.¹⁶ The AML guidance in the 28 Jan 2022 circular follows it, updated for the FATF guidance of October 2021.¹⁷
- The documents reviewed contain no official VA crime statistics after 2023. The FATF report on stablecoins and unhosted wallets is also not among them.
- The SFC eDDA and layering circulars go to LCs, SFC-licensed VASPs and associated entities. The documents reviewed contain no matching HKMA circular for banks as payer banks. A payer bank is the bank that holds the customer's account being debited.

Related modules

B-series (HKMA supervision of VA activity), C-series (RI conduct and custody), D4, D5, E1, E3.

Notes

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3. HKMA. *Guideline on Anti-Money Laundering and Counter-Financing of Terrorism (For Authorized Institutions) (Revised May 2023)*, 25 May 2023. Paras 4.2.1 fn 15, 8.4, 11.23. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/20230525-4-EN>
4. HKMA. *Guideline on Anti-Money Laundering and Counter-Financing of Terrorism (For Licensed Stablecoin Issuers)*, 1 August 2025. Paras 6.1–6.2. https://www.hkma.gov.hk/media/eng/doc/key-functions/banking-stability/aml-cft/Guideline_on_Anti-Money_Laundering_and_Counter-Financing_of_Terrorism_For_Licensed_Stablecoin_Issuers_eng.pdf
5. SFC. *Guideline on Anti-Money Laundering and Counter-Financing of Terrorism for Licensed Corporations and SFC-licensed Virtual Asset Service Providers*, 1 June 2023. Paras 12.11.1–12.11.2. https://www.sfc.hk/-/media/EN/assets/components/codes/files-current/web/guidelines/guideline-on-anti-money-laundering-and-counter-financing-of-terrorism-for-licensed-corporations/AML-Guideline-for-LCs-and-SFC-licensed-VASPs_Eng_1-Jun-2023.pdf
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D4 Cyber, fraud and technology risk

This module is for the Head of Compliance (digital assets) at a Hong Kong bank. After it, you can:

- Name the technology-risk expectations the Hong Kong Monetary Authority (HKMA) sets for the bank.
- Tell them apart from the rules the Securities and Futures Commission (SFC) sets for the bank's platform and broker counterparties.
- Name the dated SFC deadlines.
- Describe the scam patterns that regulators have flagged.

In 60 seconds

For a bank, the technology-risk texts on digital assets come from the HKMA.^{1,2} The first is an April 2024 list of risk points for authorized institutions (AIs). AIs are banks and other deposit-takers that the HKMA authorizes.¹ It covers AIs that use distributed ledger technology (DLT), the shared record-keeping technology behind blockchains.¹ The second is the HKMA custody standards. In May 2026 the HKMA added detailed controls for wallets and for managing the secret keys that control digital assets.²

The SFC has a parallel, more detailed set of rules. It covers licensed virtual asset trading platform (VATP) operators and internet brokers. Four SFC circulars stand out:

- An August 2025 custody circular, prompted by incidents at overseas platforms.³
- A January 2025 circular on what SFC inspections found.⁴
- A June 2026 circular on cyberattacks that use artificial intelligence.⁵
- A July 2026 circular on client login. It expects firms to stop relying on one-time passwords (OTPs) when clients log in or bind (register) a device.⁶ Firms are to move to phishing-resistant methods by 8 July 2027.⁶ Phishing means fake messages or websites that trick people into giving away login details. Phishing-resistant methods are logins that a fake website is unable to capture and reuse.

These SFC circulars are addressed to SFC-licensed firms, not to the bank.⁷ But they show what the bank's VATP and broker counterparties are expected to have.⁷ Also, many controls in the HKMA's 2026 custody update use the same wording as the SFC's 2025 custody circular.^{8,9}

On fraud, the HKMA has warned the public about three things:

- Crypto firms that call themselves 'banks'.¹⁰
- Tokens falsely linked to licensed stablecoin issuers.¹¹
- Entities that falsely claim to be part of its e-HKD (digital Hong Kong dollar) Pilot Programme.¹²

Where things stand

As of 25 Sep 2026.

Instrument	Issuer	Date	Status (chip)	Applies to	Source
Risk management considerations related to the use of DLT	HKMA	16 Apr 2024	In force	AIs	¹
Updated custody expected standards (key management, wallet controls)	HKMA	27 May 2026	In force	AIs and subsidiaries of locally incorporated AIs	¹³
Inspection findings on platforms treated as licensed while applying (25EC3)	SFC	16 Jan 2025	In force	VATP operators	⁴
Cybersecurity webinar materials (25EC11)	SFC	20 Feb 2025	Superseded	Licensed corporations (LCs), licensed virtual asset service providers (VASPs), associated entities	¹⁴
Custody of virtual assets (25EC44)	SFC	15 Aug 2025	In force	VATP operators	¹⁵
Cyberattacks enabled by artificial intelligence (26EC32)	SFC	2 Jun 2026	In force	LCs, VASPs, associated entities	⁵
Phishing-resistant authentication and surveillance (26EC35)	SFC	9 Jul 2026	Issued, effective 8 Jul 2027 (authentication deadline; other sections immediate or as soon as practicable)	Internet brokers, SFC-licensed VASPs	¹⁶

Instrument	Issuer	Date	Status (chip)	Applies to	Source
Alert: crypto firms misusing 'bank'	HKMA	15 Nov 2024 (updating 15 Sep 2023 alert)	In force	Public	10,17
Alert: tokens using licensed issuers' names	HKMA	28 Apr 2026	In force	Public	11

Note: the SFC's own record lists 25EC11 as historical webinar material. 'Superseded' is the closest status chip. HKMA alerts are one-off public notices, recorded as historical. 'In force' is shown only because it is the closest chip.

Key facts

- The HKMA says an AI's board and senior management carry full responsibility for using DLT and for its risks.¹⁸ The HKMA also says the AI should update its policies on technology risk, business continuity and outsourcing for DLT as needed.¹⁸
- The HKMA expects banks to understand the types of DLT network and pick one that suits the application's risks.¹⁹ Anyone can join a permissionless network. The HKMA sees such networks as likely unsuitable for highly critical or sensitive functions.¹⁹ The exception is where adequate compensating controls (extra safeguards that offset the risk) exist.¹⁹
- A bank acting as custodian (holding assets for clients) would generally be expected to have stricter procedures for private keys.²⁰ A private key is the secret code that controls a digital asset. The procedures cover creating, storing and backing up keys securely.²⁰ Examples include limited access, cold storage (keys kept offline) and offsite backups.²⁰
- The HKMA's May 2026 custody update includes three controls:²¹
 - System-based whitelists (lists of pre-approved addresses) for transfers out of cold wallets. A cold wallet is one whose keys are kept offline.
 - No smart contracts in cold wallets on public blockchains. A smart contract is code on a blockchain that runs by itself.
 - Measures to prevent 'blind signing', which means approving a transaction without seeing its details.
- Keys and seeds should be created and stored in tamper-resistant devices, such as hardware security modules (HSMs).²² A seed is a master secret from which keys can be rebuilt. HSMs are sealed devices built to protect keys. Keys and seeds should also be created, stored and backed up in Hong Kong.²²
- Where the assets in custody are virtual assets (VAs), a bank custodian should hold 98% of client VAs in cold storage.²³
- Wallet software code must be managed with strictly enforced segregation of duties, so no single person controls the whole process.²⁴ Administrator access should follow least privilege, meaning staff get only the access their job needs.²⁴ The segregation line is the annex's only 'must'.²⁴
- Custody security monitoring should run 24/7, including holidays.²⁵ It should also cover outside dependencies, such as vendors, blockchain protocols and encryption algorithms.²⁵
- The SFC's August 2025 custody circular took effect immediately for VATP operators.²⁶ The SFC says overseas incidents showed potential critical weaknesses, whatever custody solution was used.²⁶ Examples of such solutions are HSMs, multi-signature wallets and multi-party computation (MPC). A multi-signature wallet needs several approvers to sign a transfer. MPC splits a key into shares held by different parties or devices.
- The SFC inspected platforms that were treated as licensed while their applications were pending.²⁷ It found four problems:²⁷
 - Keys for one hot wallet (a wallet connected to the internet) were kept partly outside Hong Kong.
 - One cold wallet was built as a multi-signature smart contract.
 - Some encryption algorithms were outdated.
 - Hot-wallet calculations under the 98/2 rule had errors. The rule keeps 98% of client assets in cold storage and at most 2% in hot wallets.
- The SFC's June 2026 circular reminds firms that senior managers bear ultimate responsibility for cybersecurity risk.²⁸ These managers include the Manager-in-Charge of information technology.²⁸ The circular asks firms to review five areas:²⁸
 - patching (installing security fixes);
 - access controls;
 - detection of attacks;
 - supply chain;
 - incident response.
- The Hong Kong Computer Emergency Response Team Coordination Centre (HKCERT) recorded 15,877 cybersecurity incidents in 2025.²⁹ That was up from 12,536 in 2024, as cited by the SFC.²⁹
- The SFC does not consider OTPs sent by text message (SMS) or email to be phishing-resistant.³⁰ Internet brokers and VASPs are expected to adopt robust login methods no later than 8 July 2027.³⁰ Examples include passkeys and bound devices.³⁰ A passkey is a password-free login stored on the client's device. A bound device is a phone or computer linked to the client's account. Large internet brokers are expected to act immediately.³⁰
- This point is about large-scale unauthorised transactions through client accounts after hacking incidents.³¹ If a firm lacks adequate measures to prevent, detect and halt them, the SFC will hold it accountable for clients' losses.³¹

- In February 2025 the SFC only strongly urged licensed corporations to drop OTPs for login and device binding.³² The July 2026 circular goes further.³²
- Under the Banking Ordinance, only AIs may take deposits.³³ A business that is not a bank commits an offence if it uses the word 'bank' in its business name.³³ The exception is where the Monetary Authority has given written consent (section 97).³³
- In April 2026 the HKMA warned about tokens with the tickers (trading symbols) 'HKDAP' and 'HSBC'.³⁴ These tokens were not issued by, or linked to, licensed stablecoin issuers.³⁴ Both licensed issuers had confirmed they had not issued any regulated stablecoins.³⁴
- An HKMA presentation of 25 September 2026 gives the sector's first Quantum Preparedness Index score as 2.3 out of 10.³⁵ The index tracks how ready the sector is for risks from quantum computing. The objective is full readiness across the sector by 2030.³⁵

What your bank must or should do

Obligations

- Keep the board and senior management in charge of DLT risk.¹⁸ Update technology-risk, continuity and outsourcing policies.¹⁸
- For custody, run a full risk assessment before launch.³⁶ Make sure the board and senior management oversee the activity before and during it.³⁶
- For client VAs, meet the key-management controls in para 11 of the custody annex:³⁷
 - use HSMs;
 - keep keys in Hong Kong;
 - keep smart contracts out of cold wallets on public blockchains;
 - prevent blind signing;
 - hold 98% in cold storage.

Controls & monitoring

- Use system controls and whitelists to stop unauthorised transfers out of cold wallets.³⁸ Check each transaction through a systematic process.³⁸
- Run security monitoring 24/7.³⁹ Test system changes thoroughly before they go live.³⁹
- Add DLT-specific scenarios to continuity plans for critical functions.⁴⁰ Examples are cyberattacks, loss or theft of keys, and forks (a split of a blockchain into two versions).⁴⁰
- An HKMA speech says banks should secure their own cyber basics and those of critical service providers.⁴¹ It also says the risks of frontier artificial intelligence (the most advanced models) should not be underestimated.⁴¹

Notify / consult HKMA or SFC

- Discuss virtual asset activity with the HKMA before launch, and get its feedback on risk controls.⁴²
- SFC-licensed firms in the bank's group should promptly report material cyber incidents to the SFC.⁴³
- Internet brokers or VASPs should tell their SFC case officer at once if they expect trouble meeting the July 2027 login deadline.⁴⁴

Counterparty due diligence

- Before relying on a DLT network, check that its node operators are trustworthy, reliable and diverse.⁴⁵ Node operators are the parties that run the computers that keep the network going.
- For custody delegates (firms the bank hands custody to), check for:⁴⁶
 - independent code reviews;
 - an understanding of how software releases are made;
 - regular evaluation of security controls and disaster-recovery testing.
- A bank may delegate custody of VAs to an SFC-licensed VATP operator after due diligence.⁴⁷ The SFC's own custody standards for VATP operators show what such a platform is expected to have.⁴⁸ They include:⁴⁸
 - HSMs;
 - air-gapped signing devices (devices never connected to a network);
 - a security operations centre (a team that watches for attacks);
 - 24/7 monitoring.

Talking points

To the chief compliance officer (CCO)

- The SFC circular on OTPs is addressed to internet brokers and VASPs, not the bank.⁷ Our own custody baseline is the HKMA custody annex.⁴⁹
- Several wallet controls in the HKMA's 2026 custody annex use the same wording as the SFC's 2025 custody circular.^{2,50}

To business heads

- Custody keys are to be kept in Hong Kong, in tamper-resistant devices such as HSMs.⁵¹ Smart contracts are ruled out for cold wallets on public blockchains.⁵¹
- Counterparty platforms and internet brokers are expected to move client login and device binding off OTPs by 8 July 2027.⁶

To the CEO

- The HKMA places responsibility for DLT adoption and its risks with the board and senior management.¹⁸
- Phishing made up 57% of security incidents reported to HKCERT in 2025, as cited by the SFC.⁵²

To Risk / chief risk officer (CRO)

- The HKMA's first quantum readiness score for the sector is 2.3 out of 10.³⁵ The objective is full readiness by 2030.³⁵
- The HKMA has warned about crypto firms presenting themselves as 'banks'.⁵³ It has also warned about tokens falsely linked to licensed stablecoin issuers.¹¹

Common misunderstandings

- **Myth:** "MPC or multi-signature makes custody safe." **Fact:** The SFC says overseas incidents pointed to potential critical weaknesses, whatever the custody solution.³
- **Myth:** "The 50%/100% compensation cover applies to bank custodians." **Fact:** That cover is an SFC requirement for VATP operators.⁵⁴ It covers potential loss of 50% of client VAs in cold wallets and 100% in hot wallets (VATP Guidelines para 10.22).⁵⁴ The 2026 HKMA annex takes a different approach. It makes the bank liable for losses from incidents attributable to the bank.⁵⁵ It also requires adequate financial resources, which may include insurance.⁵⁵
- **Myth:** "OTPs are fine for client login." **Fact:** Not for SFC-licensed internet brokers and VASPs. They are expected to stop using OTPs for login and device binding by 8 July 2027.⁶
- **Myth:** "The HKMA DLT considerations are hard rules." **Fact:** The HKMA calls them non-binding and not a complete list. It discusses detailed expectations with each bank one to one.⁵⁶
- **Myth:** "A licensed issuer's name on a token means it is regulated." **Fact:** The HKMA warned these tokens were not issued by, or linked to, the licensed issuers.³⁴

Official documents to read first

1. **Updated Guidance on Expected Standards on Provision of Custodial Services for Digital Assets by AIs** — HKMA, 27 May 2026. Read paras 10–11, 14–15, 23–25. Why: it sets the bank's own baseline for key and wallet controls. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-7-EN/20260527-7-EN.pdf>
2. **Risk management considerations related to the use of DLT** — HKMA, 16 Apr 2024. Read all ten items. Why: it shows how the HKMA reviews bank DLT projects. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20240416-2-EN/20240416-2-EN.pdf>
3. **Circular 26EC35 on robust authentication and surveillance** — SFC, 9 Jul 2026. Read paras 5–13, 21–25. Why: it sets the counterparty deadline and the line on liability for losses. <https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=26EC35>

Open questions

- The documents reviewed for this guide include no HKMA circular on phishing-resistant authentication for banks. The 2026 Policy Address says the HKMA is driving the use of 'iAM Smart' step-up authentication in banks.⁵⁷ The iAM Smart app is the government's digital identity tool. Step-up authentication means an extra identity check for riskier actions. First-phase testing on remote account opening is under way.⁵⁷
- The SFC cybersecurity circular of 6 February 2025 is referred to, but it is not among the documents reviewed for this guide.³²
- Two items are outside this module. One is the staking guidance that the HKMA custody annex cross-refers to. Staking means locking up tokens to help run a blockchain in return for rewards. The other is the SFC's November 2024 circular on generative artificial intelligence.

Related modules

D3, D5, E1, E2, E3.

Notes

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3. SFC. *Circular to licensed virtual asset trading platform operators on custody of virtual assets*, 15 August 2025. P.1. <https://apps.sfc.hk/edistributionWeb/gateway/EN/circular/doc?refNo=25EC44>
4. SFC. *Circular to Licensed Corporations, SFC-licensed Virtual Asset Service Providers and Associated Entities Findings from inspections on deemed-to-be-licensed virtual asset trading platform applicants and expected standards of conduct for virtual asset trading platform operators*, 16 January 2025. P.1. <https://apps.sfc.hk/edistributionWeb/gateway/EN/circular/doc?refNo=25EC44>

5. SFC. *Circular to licensed corporations, SFC-licensed virtual asset service providers and associated entities Enhanced cybersecurity measures to address evolving risks arising from artificial intelligence-enabled cyberattacks*, 2 June 2026. Para 1. <https://apps.sfc.hk/edistributionWeb/gateway/EN/circular/doc?refNo=26EC32>
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11. HKMA. *Beware of tokens purported to be associated with licensed stablecoin issuers*, 28 April 2026. Para 2. <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2026/04/20260428-5/>
12. HKMA. *Fraudulent claim to be entities associated with the HKMA’s e-HKD Pilot Programme*, 20 March 2024. Para 1. <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2024/03/20240320-3/>
13. HKMA. *Updated Guidance on Expected Standards on Provision of Custodial Services for Digital Assets by Authorized Institutions*, 27 May 2026. Opening para; paras 10–11. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/20260527-7-EN>
14. SFC. *Circular to licensed corporations, SFC-licensed virtual asset service providers and associated entities Cybersecurity webinar materials*, 20 February 2025. P.1. <https://apps.sfc.hk/edistributionWeb/gateway/EN/circular/doc?refNo=25EC11>
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25. HKMA. *Updated Guidance on Expected Standards on Provision of Custodial Services for Digital Assets by Authorized Institutions*, 27 May 2026. Paras 23–24. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/20260527-7-EN>
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27. SFC. *Circular to Licensed Corporations, SFC-licensed Virtual Asset Service Providers and Associated Entities Findings from inspections on deemed-to-be-licensed virtual asset trading platform applicants and expected standards of conduct for virtual asset trading platform operators*, 16 January 2025. Appendix 2 paras 6, 18, 22. <https://apps.sfc.hk/edistributionWeb/gateway/EN/circular/doc?refNo=25EC3>
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D5 Tax and information reporting

For the bank's Head of Compliance (digital assets). After this module you can explain three things:

- what the Crypto-Asset Reporting Framework (CARF) bill would require;
- where CARF overlaps with the bank's existing Common Reporting Standard (CRS) duties;
- what the government has said about tax concessions (tax breaks) for digital-asset funds.

CRS is the global standard under which banks and other financial institutions report accounts held by foreign tax residents to the tax authority.

In 60 seconds

CARF is a global tax standard from the Organisation for Economic Co-operation and Development (OECD). ¹ Under CARF, tax authorities exchange tax data on crypto-asset transactions once a year. ¹ Hong Kong committed to CARF in December 2024. ² The government consulted on it in December 2025. ³

The bill is the Inland Revenue (Amendment) (CARF and Amended CRS) Bill 2026. ¹ The bill appeared in the Gazette (the government's official journal) on 22 May 2026. ¹ It had its First Reading in the Legislative Council (LegCo) on 3 June 2026. ¹ The documents reviewed do not show the bill passing as of 25 September 2026. ¹

If passed, CARF duties would start on 1 January 2027, and amended CRS duties on 1 January 2028. ⁴

The bill calls a business that carries out crypto exchange transactions for customers a reporting crypto-asset service provider (RCASP). ⁵ An RCASP with a Hong Kong link would have to register, check its customers (due diligence), report and keep records. ⁵ Failures could lead to fines. ⁵

CRS already covers bank accounts. ⁶ The amended CRS adds crypto-linked assets and digital money products. ⁶

Separately, the government said it would extend fund and family-office tax breaks to digital assets. ^{7,8} It is aiming at the 2025/26 tax year (year of assessment). ^{7,8}

Where things stand

As of 25 September 2026.

Abbreviations in this table:

- FSTB = Financial Services and the Treasury Bureau
- IRD = Inland Revenue Department (Hong Kong's tax authority)
- HKMA = Hong Kong Monetary Authority
- SFC = Securities and Futures Commission
- RCASPs = reporting crypto-asset service providers

Instrument	Issuer	Date	Status (chip)	Applies to	Source
Commitment to implement CARF (first exchanges from 2028)	FSTB	13 Dec 2024	Stated target	Hong Kong government	⁹
CARF and amended CRS consultation paper	FSTB + IRD	9 Dec 2025	Consultation closed 6 Feb 2026; followed by the bill	Proposed RCASPs; CRS financial institutions	^{10,11}
Inland Revenue (Amendment) (CARF and Amended CRS) Bill 2026	LegCo / FSTB / IRD	Gazetted 22 May 2026; First Reading 3 Jun 2026	Bill before LegCo	Hong Kong RCASPs (Part 2); reporting financial institutions (Part 3)	^{12,1,13}
IRD CARF web guidance	IRD	Undated (reflects bill)	Bill before LegCo	RCASPs	¹
Tax concessions for funds and family-owned investment holding vehicles (FIHVs) to cover digital assets	FSTB / Financial Secretary	26 Jun 2025; 25 Feb 2026	Stated target	Privately offered funds; FIHVs; single-family offices	^{7,8}

Key facts

- On 13 December 2024, the government told the OECD's Global Forum on tax transparency that it would implement CARF. ¹⁴ It aimed to have local law in place by 2026 and first data exchanges from 2028. ¹⁴ It committed to two-way exchanges, and only with partners that protect data. ¹⁴
- The December 2025 consultation paper proposed amending Hong Kong's main tax law, the Inland Revenue Ordinance (Cap. 112). ¹⁵ The changes covered both CARF and the amended CRS. ¹⁵ Comments closed on 6 February 2026. ¹⁵
- The consultation described CARF and the amended CRS as finalised global standards. ¹⁶ It asked for views only on choices for putting them in place locally. ¹⁶

- The bill appeared in the Gazette on 22 May 2026.¹ It went to LegCo for its First Reading (the formal first step in LegCo) on 3 June 2026.¹³ LegCo's notice for that sitting said the Second Reading debate would be adjourned (put off to a later date).¹³
- If passed, Part 2 of the bill (CARF) would start on 1 January 2027, and Part 3 (amended CRS) on 1 January 2028.¹² The rest would start on the day the new law is published in the Gazette.¹²
- The bill defines an RCASP as any individual or entity that, as a business, carries out crypto exchange transactions for customers.¹⁷ This covers acting as the other side of the trade, acting as a broker, or running a trading venue.¹⁷
- Under the bill, an RCASP with any of the following Hong Kong links would be a Hong Kong RCASP (HKRCASP):¹⁸
 - it is tax resident in Hong Kong;
 - it is set up under Hong Kong law, and is either a legal person or a tax-return filer with the IRD;
 - it is managed from Hong Kong;
 - it has a regular place of business in Hong Kong;
 - it carries out the relevant transactions through a Hong Kong branch.
- The bill would require an HKRCASP to register with the Commissioner of Inland Revenue (the head of the IRD).¹⁹ The deadline is 31 January of the year after it first meets a Hong Kong link test (a "nexus" test).¹⁹
- CARF covers three kinds of reportable transaction: crypto-to-fiat exchanges (crypto for ordinary money), crypto-to-crypto exchanges, and transfers.²⁰ Central bank digital currencies (CBDCs) and specified electronic money products (certain digital forms of ordinary money) are outside CARF.²⁰
- RCASPs would have to get a tax-residence self-certification from each new customer and check that it is reasonable.²¹ A self-certification is the customer's own statement of where they are tax resident.²¹ For existing users, they would have 12 months after the rules start.²¹
- The bill proposes that records be kept for six years after the related return's due date.²² If a former RCASP entity is dissolved (closed down), its last directors would have to make sure the records are still kept.²²
- An HKRCASP would commit an offence if it failed, without reasonable excuse, to register, do due diligence or file a return.²³ On conviction, the fine would be at level 3 (a band on Hong Kong's standard scale of fines).²³ Using a service provider would not, on its own, be a reasonable excuse.²³
- Extra fines would apply.²⁴ A registration, return or notice failure would cost a further HK\$500 a day while it continues after conviction.²⁴ A due-diligence breach could instead bring a fine of HK\$1,000 per affected user or controlling person.²⁴ This applies if that total is higher than the level 3 fine.²⁴ A controlling person is someone who controls a customer that is an entity.
- The bill also proposes a financial penalty, set by the Commissioner, in place of prosecution.²⁵ The firm could make its case in writing and appeal to the Board of Review (an independent tax appeals body).^{25,26}
- Under the amended CRS, CBDCs and specified electronic money products join the "depository account" category (the CRS term for deposit-type accounts).⁶ Derivatives that reference crypto-assets become financial assets.⁶ Crypto-assets become eligible investments for investment entities, such as funds.⁶
- The consultation covered entities that are both a CRS reporting financial institution and an RCASP.²⁷ It proposed that they report crypto sale or redemption proceeds under both regimes, not once.²⁷
- The government's Policy Statement 2.0 on digital assets said it would propose a change to profits tax concessions.⁷ The change was to add specified digital assets to the qualifying transactions for privately offered funds and FIHVs.⁷ It was to take effect from the 2025/26 year of assessment, if LegCo approves.⁷
- The 2026-27 Budget said a bill was due in the first half of 2026.⁸ That bill would class digital assets as qualifying investments for these concessions.⁸ The target is the 2025/26 year of assessment.⁸

What your bank must or should do

These duties bind only once the bill passes and takes effect. The bill is not yet law.

Obligations

- ☐ Map whether any group entity carries out crypto exchange transactions for customers as a business.²⁸ Include acting as a go-between.²⁸
- ☐ Test each such entity, including branches, against the Hong Kong link (nexus) rules.¹⁸
- ☐ Plan to register by 31 January of the year after the entity first meets a nexus test.²⁹
- ☐ Plan for due diligence from 1 January 2027.³⁰ Collect self-certifications from existing users within 12 months.²¹
- ☐ Prepare CRS systems for amended CRS due diligence from 1 January 2028.^{31,32}

Controls & monitoring

- ☐ Keep CARF due-diligence evidence and reporting records for six years after each return's due date.²²
- ☐ Keep oversight of any outsourced CARF work.³³ Under the bill, using a service provider would not in itself be a reasonable excuse.³³
- ☐ Plan to send test data files to the IRD for checking if the bank uses its own in-house software.³⁴ The consultation's timetable set the fourth quarter of 2027 for this testing.³⁴

Notify / consult HKMA or SFC

- ☐ Note that CARF registration and returns would go to the IRD, not to the HKMA or SFC. ³⁵ The IRD's planned CARF Portal is the channel for them. ³⁵ Watch for the portal and the data schema (the technical format for the data). ³⁵

Counterparty due diligence

- ☐ Note that a crypto trading platform or broker the bank partners with may itself be an RCASP with its own reporting duties. ³⁶

Talking points

To the CCO

- The CARF bill had its First Reading on 3 June 2026. ¹ If passed, CARF duties would start on 1 January 2027, and amended CRS duties on 1 January 2028. ¹
- Using a vendor for CARF work is not, in itself, a reasonable excuse for failing to register, check customers or report. ³³

To business heads

- Offering crypto exchange services to customers as a business could make an entity an RCASP. ²⁸ That is true even when it only acts as a go-between. ²⁸
- New crypto customers will need to give a tax-residence self-certification. ²¹ Existing customers will need to give one within 12 months of the start date. ²¹

To the CEO

- Hong Kong committed to CARF in December 2024. ⁹ It targets first data exchanges from 2028. ⁹
- The government linked CARF to Hong Kong's reputation as a financial centre. ³⁷

To Risk / CRO

- Under the bill, fines could add up. ²⁴ A failure that continues after conviction could cost HK\$500 a day. ²⁴ A due-diligence breach could instead cost HK\$1,000 per affected user or controlling person. ²⁴
- The consultation proposed that entities in both regimes report crypto proceeds under both CARF and CRS. ³⁸

Common misunderstandings

- **Myth:** CARF is already law. **Fact:** CARF is in a bill before LegCo. The IRD says the dates apply only if the bill passes. ¹
- **Myth:** Registration is due by 31 December of the year the link is first met. **Fact:** That date was the consultation's main proposal. ³⁹ The bill sets 31 January of the year after the link is first met. ²⁹
- **Myth:** Amended CRS starts in 2029. **Fact:** Its duties start on 1 January 2028. ^{32,31} The first exchange of amended CRS data is in 2029. ³²
- **Myth:** CARF covers CBDCs and e-money. **Fact:** CARF leaves them out. The amended CRS brings them in instead. ⁴⁰
- **Myth:** The HKMA or SFC supervises CARF. **Fact:** The IRD runs registration, returns and penalties. ⁴¹

Official documents to read first

1. **Inland Revenue (Amendment) (CARF and Amended CRS) Bill 2026** — LegCo / IRD, gazetted 22 May 2026. Read Clause 1 (start dates). Read ss.50M-50R (definitions, Hong Kong link, registration, due diligence, returns). Read ss.80R, 82E-82F (offences, financial penalty). This is the text that would become law.
[https://www.ird.gov.hk/eng/pdf/carf/Inland%20Revenue%20\(Amendment\)%20\(Crypto-Asset%20Reporting%20Framework%20and%20Amended%20Common%20Reporting%20Standard\)%20Bill%202026\(eng\).pdf](https://www.ird.gov.hk/eng/pdf/carf/Inland%20Revenue%20(Amendment)%20(Crypto-Asset%20Reporting%20Framework%20and%20Amended%20Common%20Reporting%20Standard)%20Bill%202026(eng).pdf)
2. **IRD: Crypto-Asset Reporting Framework page** — IRD. Read the Overview and the sections on the Hong Kong link, due diligence, registration and penalties. It sums up the bill's proposals in plain language.
https://www.ird.gov.hk/eng/tax/dta_carf.htm
3. **FSTB/IRD consultation paper on implementing CARF and amending CRS** — FSTB/IRD, 9 Dec 2025. Read paras 4.3-4.18 (amended CRS and dual reporting). Read Chapter 6 (timeline). It sets out the CRS changes that matter to banks.
<https://www.gov.hk/en/residents/government/publication/consultation/docs/2026/crypto-framework.pdf>

Open questions

- The documents reviewed for this guide do not record the CARF bill passing as of 25 September 2026. ^{1,13}
- The consultation also proposed compulsory CRS registration for all reporting financial institutions (RFIs) from January 2027. ⁴² It also proposed heavier CRS penalties. ⁴² The bill's list of provisions in the documents reviewed shows no registration clause for RFIs. ⁴³ The documents do not say whether that proposal moved to other legislation.
- The IRD page does not say whether the final bill keeps the proposed default of reporting under both regimes.
- The IRD page says two lists will come in due course: reportable jurisdictions and partner jurisdictions. ⁴⁴ The CARF Portal and the data schema will also come in due course. ⁴⁴

- Concessions for funds and FIHVs: the 2026 Policy Address says a bill easing taxes has already passed.⁴⁵ That bill covers fund vehicles, single-family offices and people who earn carried interest (fund managers' share of profits).⁴⁵ No document reviewed for this guide has a bill text confirming how the enacted law treats digital assets.
- The documents reviewed do not say whether tokenised deposits (bank deposits recorded as digital tokens) count as specified electronic money products for CRS.

Related modules

A1, A3, C1, C5, D3, E1, E3

Notes

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PART E

Horizon and reference

PART E · MODULE E1

E1 What's coming: the pipeline

This module is for the bank's Head of Compliance (digital assets). After reading it, you can list what is still coming in Hong Kong digital assets. You can say how far along each item is. You can also quote the targets that the government and regulators have stated, and only those.

In 60 seconds

Four new licensing regimes for virtual asset (VA) services are coming. They cover dealing, custody (holding assets for clients), advisory and management. ¹ All four now have consultation conclusions (the published outcome of a public consultation). ^{2,3} The government says one bill for all four will go to the Legislative Council (LegCo) in 2026. ^{3,4}

An earlier plan proposed an over-the-counter (OTC) licence, run by Customs, for firms that trade virtual assets directly with customers. ⁵ That plan was revised into a wider dealing proposal under Securities and Futures Commission (SFC) licensing. ⁵

For trading platforms, the SFC has set out three things:

- a framework for licensed platforms to propose perpetual contracts for professional investors. ⁶ Perpetual contracts are derivatives with no expiry date. Professional investors are institutions and wealthy investors who meet legal thresholds.
- a pilot for secondary trading (buying and selling after first issue) of tokenised funds (fund units recorded as digital tokens). ⁷
- standards for platforms dealing in stablecoins from issuers licensed by the Hong Kong Monetary Authority (HKMA). ⁸ Stablecoins are tokens designed to hold a steady value against a currency.

The 2026 Policy Address sets three dated plans for market infrastructure. ⁹ The HKMA plans two upgrades to EnsembleTX (its project for settling tokenised deposits between banks) by around end-2026. ¹⁰ Tokenised deposits are bank deposits recorded as digital tokens. The upgrades are settlement in central bank money (money held at the central bank) and 24/7 operation. ¹⁰ The HKMA will also test tokenised Exchange Fund Bills (short-term HKMA debt) by year-end. ¹¹ CMU OmniClear (the company that runs the Central Moneymarkets Unit (CMU) bond settlement system) is to set up a digital asset platform in 2026. ¹²

The Crypto-Asset Reporting Framework (CARF) is a tax reporting standard for crypto-assets. A bill sets 1 January 2027 as the start date for its CARF rules. ¹³ The bill is before LegCo. ¹⁴ Customs plans digital-asset analytics systems by 2029. ¹⁵

Where things stand

As of 25 September 2026. Dates are as stated in each source. Targets are the government's or the regulator's own words. They are not forecasts.

Abbreviations and terms in this table:

- FSTB = Financial Services and the Treasury Bureau
- CCE = Commissioner of Customs and Excise
- ATMs = automated teller machines
- AIs = authorized institutions (banks under the Banking Ordinance)
- LCs = licensed corporations (firms licensed by the SFC)
- VATP = VA trading platform; VATPs = VA trading platforms
- RI = registered institution (a bank registered with the SFC); RIs = registered institutions
- Policy Address = the Chief Executive's yearly policy speech
- e-HKD = a digital form of the Hong Kong dollar
- HKEX = Hong Kong Exchanges and Clearing
- CrypTech = an SFC technology initiative with market and anti-money laundering surveillance parts
- RCASP = Reporting Crypto-Asset Service Provider (a firm with reporting duties under CARF); RCASPs = more than one RCASP
- CRS = Common Reporting Standard (the existing tax reporting standard for financial accounts)
- C&ED = Customs and Excise Department
- AML = anti-money laundering
- DATAS = Digital Asset Transaction Analytics System
- AMLAS = AML Analytics System
- FATF = Financial Action Task Force (the global standard setter against money laundering)
- VASP = VA service provider; VASPs = VA service providers
- DeFi = decentralised finance (financial services run by software on blockchains)

Instrument	Issuer	Date	Status (chip)	Applies to	Source
VA OTC licensing by CCE	FSTB	8 Feb 2024	Superseded	VA OTC shops, ATMs and online platforms (AIs, LCs, VATPs proposed exempt)	^{16,17}

Instrument	Issuer	Date	Status (chip)	Applies to	Source
VA dealing + VA custodian regimes	FSTB + SFC	Consulted 27 Jun 2025; conclusions 24 Dec 2025	Conclusions published	Dealers, custodians; banks register, HKMA is frontline regulator	18,2
VA advisory + VA management regimes	FSTB + SFC	Consulted 24 Dec 2025; conclusions 26 May 2026	Conclusions published	Advisers, managers; only banks may register	19,20
Single bill for the four regimes	Government + SFC	This year (stated 24 Jun 2026)	Stated target	As above	4
VATP perpetual contracts framework	SFC	11 Feb 2026	Issued; VATPs submit proposals to SFC	Licensed VATPs; professional investors only	6,21
Secondary trading of tokenised SFC-authorised products	SFC	20 Apr 2026	Issued (pilot framework)	Product issuers, intermediaries incl. VATPs	22
Tokenised gold and other real-world-asset products on licensed platforms	SFC (per Policy Address)	16 Sep 2026	Stated target	VATPs, product issuers	23
Relevant (HKMA-licensed issuer) stablecoins on VATPs	SFC	27 May 2026	Issued	VATPs, LCs (RIs via HKMA circular)	24
Stablecoin trading and use to settle tokenised money market funds	SFC (per Policy Address)	16 Sep 2026	Stated target	VATPs, fund managers	25
EnsembleTX tokenised-deposit pilot	HKMA	13 Nov 2025, through 2026	Pilot	Participating banks	26
EnsembleTX central bank money settlement + 24/7 operation	HKMA	Around end-2026	Stated target	Participating banks	10
Wholesale e-HKD payment solution for after-hours derivatives trading	HKEX with HKMA	Real-value transactions in 2026	Stated target	HKEX after-hours derivatives trading	27
Tokenised Exchange Fund Bills operational tests	HKMA	By end-2026	Stated target	Banks	11
CMU OmniClear digital asset platform	CMU OmniClear	2026	Stated target	Digital bond issuance and settlement	28,12
Tokenised bond legal review, phase 2	FSTB + HKMA	Second half of 2026	Stated target	Fixed income market	29
SFC digital-asset custody surveillance system	SFC	Second half of 2026	Stated target	SFC supervisory tool	30
CrypTech market and AML surveillance components	SFC	2027	Stated target	SFC supervisory tool	30
Tokenised-deposit Mainland trade-finance pilot transactions	HKMA	By end-2026	Stated target	Not specified in source	31
CARF (Part 2) / amended CRS (Part 3) start dates	Government bill before LegCo	1 Jan 2027 / 1 Jan 2028	Bill before LegCo	RCASPs; CRS financial institutions	32,14
C&ED DATAS and AMLAS analytics systems	C&ED	Phase 2 by 2029	Stated target	C&ED systems	15
FATF 7th targeted update on VA/VASP standards + DeFi report	FATF (relayed by SFC)	Approved at June 2026 Plenary	Approved; publication pending	For information of LCs and VASPs	33

Key facts

- The February 2024 OTC proposal would have created a licence run by the CCE.¹⁶ The licence was for businesses offering spot trading of virtual assets (VAs), meaning buying and selling for immediate delivery.¹⁶ Banks and other firms regulated by the SFC or the HKMA were proposed to be exempt.¹⁶
- The June 2025 dealing paper widened that plan.³⁴ It proposed covering simple conversions (one VA for another, or for ordinary money).³⁴ It also proposed covering more complex services, such as brokerage and block trading (large trades arranged privately).³⁴ The reason was that the consultation found more varied business models.³⁴
- For dealing and custody, the SFC will be the standard setter (the body that writes the rules).³⁵ The HKMA will be the frontline regulator (day-to-day supervisor) for registered banks and stored value facilities (licensed e-wallet and prepaid card operators).³⁵

- The December 2025 conclusions align VA dealing with Type 1 (dealing in securities), an existing SFC licence type.³⁶ The SFC will require VA dealers to keep client VAs with VA custodians regulated by the SFC.³⁶
- No arrangement is planned to let existing dealing or custody firms carry on while they apply. Each regime takes full effect on its start date.^{37,38} A faster approval process is planned for two groups:^{37,38}
 - VATPs, LCs and RIs already providing VA dealing.
 - VATP associated entities (the platform's group company that holds client assets) and banks already assessed for VA custody.
- Start dates are not set yet.³⁹ The government and the SFC will consider how long the market needs to adjust.³⁹
- VA advisory will align with Type 4 (advising on securities). VA management will align with Type 9 (asset management).⁴⁰ For these two services, only banks could register with the SFC instead of getting a licence.²⁰
- VA management will have no small-amount exception.⁴¹ Some Type 9 firms now manage portfolios whose VA share is below the current threshold.⁴¹ By the start date, these firms will need a licence or registration, or should wind down that business.⁴¹
- In June 2026, the government said the bill for all four regimes would go to LegCo that year.⁴ The bill is to cover stablecoins, among other VAs.⁴
- Under the SFC framework, VATPs should offer perpetual contracts only to professional investors.⁴² Margin collateral (assets a client posts to back its trades) should be one of these:⁴²
 - fiat money (ordinary government-issued currency)
 - stablecoins regulated by the HKMA
 - tokenised deposits regulated by the HKMA
- The first products under the SFC's tokenised-fund trading framework are expected to be tokenised money market funds (funds that hold short-term debt).⁴³ The SFC will then assess how they work before it considers a wider range of products.⁴³
- Relevant Stablecoins are specified stablecoins from HKMA-licensed issuers.⁴⁴ For these coins, the SFC does not require VATPs and LCs to apply the retail liquidity and index requirements.⁴⁵ Those are the tests a token normally has to pass before retail clients can trade it.⁴⁵ Disclosures to clients should still cover two things:⁴⁵
 - the stabilisation mechanism (how the coin keeps its value steady)
 - the redemption arrangements (how holders swap coins back for money)
- At first, EnsembleTX settles transfers of tokenised deposits between banks through the Hong Kong dollar (HKD) real-time gross settlement (RTGS) system.⁴⁶ RTGS means each payment settles in full, one by one, as it happens. Planned upgrades would move EnsembleTX to 24/7 settlement in tokenised central bank money.⁴⁶
- The 2026 Policy Address says the HKMA will test tokenised Exchange Fund Bills by year-end.¹¹ The aim is to help banks use the more than HK\$1.3 trillion of these bills round the clock.¹¹
- The SFC plans to launch its system for monitoring digital-asset custody in the second half of 2026.³⁰ The CryptTech market and AML surveillance components are to follow in 2027.³⁰
- C&ED plans to launch two systems by 2029: DATAS and AMLAS.¹⁵
- At its June 2026 Plenary (full meeting), the FATF approved two papers for publication.³³ One is a seventh targeted update on how countries apply its VA/VASP standards. The other is a DeFi report.³³ Both are to be published in due course.³³

What your bank must or should do

Obligations

- ☐ List your bank's current and planned VA dealing, custody, advisory and management activity. Firms now doing VA activities under SFC licence or registration conditions will need a licence or registration under the new regimes.⁴⁷
- ☐ Plan for a fixed start date with no transition. No arrangement is planned to let existing firms carry on while they apply.⁴⁸ Dealers that have not contacted the SFC or HKMA may have to stop operating on that date.⁴⁸
- ☐ Note the marketing ban that applies once the regimes are in force. Firms without a licence or registration will be prohibited from actively marketing VA advisory or management services to the Hong Kong public.⁴⁹

Controls & monitoring

- ☐ Note the SFC's stated plan to launch its system for monitoring digital-asset custody in the second half of 2026.³⁰
- ☐ Track the CARF start date for any group company that may be an RCASP. The bill sets that date as 1 January 2027.¹³

Notify / consult HKMA or SFC

- ☐ Note that the regulators encourage firms interested in VA dealing to approach the SFC early, or the HKMA where relevant.⁵⁰ The aim is to begin pre-application talks (informal talks before a formal application).⁵⁰
- ☐ Note that existing and would-be VA advisers and managers are strongly encouraged to start pre-application talks with the SFC early.⁵¹ This matters if your bank gives VA advice or manages VAs, or plans to.

Counterparty due diligence

- ☐ Under the dealing regime, check that the VA custodians holding client assets are regulated by the SFC.⁵²

- ☐ Know the scope of the SFC's 27 May 2026 circular. It covers only Relevant Stablecoins.⁴⁴ These are specified stablecoins issued by an HKMA-licensed issuer and authorised under its licence.⁴⁴ The circular does not cover other stablecoins.⁴⁴

Talking points

To the CCO

- All four VA regimes for intermediaries now have conclusions, and one bill is targeted for 2026.⁴ No arrangement is planned to let existing firms carry on while they apply.^{53,54}
- For dealing and custody, banks register with the SFC, and the HKMA is their frontline regulator.^{35,55}

To business heads

- VA management will have no small-amount exception. A manager will need a licence or registration even if VAs are only a small share of a portfolio.⁴¹
- Under the SFC framework, VATP perpetual contracts may take HKMA-regulated tokenised deposits as margin collateral.⁵⁶

To the CEO

- The HKMA plans central bank money settlement and 24/7 operation for EnsembleTX by around end-2026.¹⁰
- CMU OmniClear is to set up a digital asset platform in 2026 for issuing and settling digital bonds.²⁸

To Risk / CRO

- C&ED aims to launch its digital-asset transaction analytics system, DATAS, by 2029.¹⁵
- The FATF's next VA/VASP update and its DeFi report are approved but not yet published.³³

Common misunderstandings

- **Myth:** The Customs OTC licence is still coming. **Fact:** The 2025 dealing proposal revised that plan. It put VA dealing under SFC licensing instead.⁵⁷
- **Myth:** Conclusions mean the regimes are law. **Fact:** A bill is still to be introduced.⁴ Start dates are not set.³⁹
- **Myth:** Retail clients can trade VATP perpetual contracts. **Fact:** Under the SFC framework, only professional investors should be offered them.⁵⁸
- **Myth:** VA dealers will have the same custodian choice as VA managers. **Fact:** Dealers will have to use custodians regulated by the SFC.⁵² Private funds managed by VA managers, by contrast, keep the flexibility to appoint qualified custodians anywhere in the world.⁵⁹
- **Myth:** Policy Address items are rules with legal force. **Fact:** They are stated plans. The Policy Address says what the SFC and HKMA will do or are planning to do.⁶⁰

Official documents to read first

1. **Consultation Conclusions on VA dealing and further consultation on VA advisory/management** — FSTB + SFC, 24 Dec 2025. Read paras 3-5, 26, 29-36 and footnotes 9-10. They cover the core design, the custody rule, the transition and bank registration. <https://apps.sfc.hk/edistributionWeb/gateway/EN/consultation/doc?refNo=25CP12>
2. **Consultation Conclusions: VA advisory and VA management** — FSTB + SFC, 26 May 2026. Read paras 6-12, 32, 56-57 and 62-70. They cover scope, the lack of a small-amount exception, custody choice and start dates. https://www.fstb.gov.hk/fsb/en/publication/consult/doc/VASPVAMSP_consultation_conclusion_e.pdf
3. **The Chief Executive's 2026 Policy Address** — Hong Kong Government, 16 Sep 2026. Read paras 35-36, 49-51 and 99, and Annex (I) New Indicators, item 209. This is the latest official list of stated targets. https://www.policyaddress.gov.hk/2026/public/pdf/policy/policy-full_en.pdf

Open questions

- As of 25 September 2026, the documents reviewed for this guide include no bill text for the four VA regimes.
- Start dates for the VA regimes are not set.^{39,61}
- The SFC intends to align custodian requirements with those now applied to SFC-licensed VATPs.⁶² It will look at a flexible approach to custody technology and storage ratios (how much client VA is kept offline versus online).⁶² The detailed requirements are not in the documents reviewed for this guide.
- The CARF bill was introduced into LegCo on 3 June 2026.¹⁴ The Second Reading debate (where LegCo debates the bill's main principles) was adjourned.¹⁴ The documents reviewed for this guide do not record whether the bill has passed.
- The FATF seventh targeted update and DeFi report were not yet published as of the SFC circular of 14 July 2026.³³

Related modules

A1, A3, C1, C2, C3, C5, D5, E2, E3

Notes

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E2 Wholesale money, CBDC and cross-border projects

Central bank digital currency (CBDC) is money that a central bank issues in digital form. This module explains the CBDC work of the Hong Kong Monetary Authority (HKMA). It runs from the digital Hong Kong dollar (e-HKD) to the mBridge and Ensemble projects. The module is for the bank's Head of Compliance (digital assets). After it, you can say what compliance role the published designs give to banks.

In 60 seconds

The HKMA has worked on the e-HKD since 2017. ¹ Its first projects looked at wholesale use: money that moves only between banks and other financial institutions. ¹ It ran two rounds of market consultation on a retail e-HKD (one for the public) in 2021-2022. ² It also ran two industry pilot phases in 2023-2025. ² In October 2025 the HKMA said it would prioritise wholesale uses. ³ It has not yet decided whether or when to introduce a retail e-HKD. ⁴

Its cross-border work started with Project Inthanon-LionRock (a joint project with the Bank of Thailand). That project grew into mBridge, a multi-CBDC platform. A multi-CBDC platform is one shared system where several central banks' digital currencies can move. ⁵ The mBridge platform reached minimum viable product (MVP) stage, meaning a first working version, in June 2024. ⁶

Project Ensemble explores how banks settle tokenised deposits with each other. A tokenised deposit is an ordinary bank deposit recorded as a digital token. ⁷ EnsembleTX — the pilot phase — first settles these payments through Hong Kong's Real Time Gross Settlement (RTGS) system for HKD. ⁷ RTGS settles each payment between banks one by one, as it happens. EnsembleTX is to move in stages to tokenised central bank money. ⁷ Ensemble has tie-ups with the central banks of France, Thailand and Brazil. ^{8,9,10} It also has a memorandum of understanding (MoU), a formal cooperation agreement, with Shanghai bodies. ¹¹

In the mBridge designs, each bank runs its own anti-money laundering (AML), know-your-customer (KYC) and sanctions checks. ^{12,13} Each bank runs these checks off the platform, in its own systems. ^{12,13}

Where things stand

As of 25 September 2026.

Instrument	Issuer	Date	Status (chip)	Applies to	Source
Retail e-HKD (for the public)	HKMA	Study from Jun 2021. Pilots 2023-2025.	Exploratory	Public and banks. No decision to issue.	¹⁴
e-HKD for financial institutions (wholesale use now the priority)	HKMA	28 Oct 2025	Stated target	Banks and financial market infrastructures (core payment and settlement systems)	³
Project mBridge (multi-CBDC platform)	HKMA, Bank of Thailand (BoT) and Central Bank of the UAE (CBUAE). Also the People's Bank of China (PBoC) Digital Currency Institute (DCI). Also the Bank for International Settlements (BIS) Innovation Hub (BISIH) Hong Kong Centre. Saudi Central Bank joined the MVP platform.	MVP 5 Jun 2024	Pilot	Participating banks	^{15,16}
Project Ensemble / EnsembleTX	HKMA	7 Mar 2024. EnsembleTX 13 Nov 2025.	Pilot	Participating banks	^{17,18}
Project Inthanon-LionRock	HKMA + BoT	2019-2020. Renamed m-CBDC Bridge in Feb 2021.	Superseded	Participating banks	^{19,5}
Project Aurum (test version of a retail CBDC)	HKMA + BISIH + Hong Kong Applied Science and Technology Research Institute	Report Oct 2022	Exploratory	n/a (research)	²⁰
Project Sela (access to a retail CBDC)	HKMA + Bank of Israel + BISIH	Report Sep 2023	Exploratory	n/a (research)	^{21,20}
Project Genesis (trial of green bonds as digital tokens; green bonds fund environmental projects)	HKMA + BISIH	2021	Exploratory	n/a (research)	^{22,23}

Instrument	Issuer	Date	Status (chip)	Applies to	Source
Banque de France (BDF) tie-up under an MoU. It studies how DL3S (Distributed Ledger for Securities Settlement System) and the Ensemble Sandbox could work together.	HKMA + BDF	Announced 27 Jun 2024	Exploratory	n/a	²⁴
Bank of Thailand trial linking Ensemble and Project San	HKMA + BoT	28 Oct 2024	Exploratory	n/a	²⁵
Banco Central do Brasil (BCB) link to Drex, Brazil's CBDC	HKMA + BCB	28 Oct 2024	Exploratory	n/a	¹⁰
Cross-boundary e-CNY (digital renminbi) pilot	HKMA + People's Bank of China	Expanded 17 May 2024	Pilot	Retail users. Also banks offering top-ups via the Faster Payment System (FPS).	²⁶
Shanghai–Hong Kong MoU on digital cargo trade and trade finance	HKMA + Shanghai Data Bureau + National Technology Innovation Center for Blockchain	2 Mar 2026	Exploratory	n/a	²⁷

Key facts

- The HKMA's e-HKD work began in 2017 with Project LionRock. ¹ LionRock was a proof of concept, meaning a small test of whether an idea works. It involved the three note-issuing banks (the banks that issue Hong Kong banknotes) and Hong Kong Interbank Clearing Limited. ¹
- In October 2021 an HKMA technical paper proposed a two-tier design. ²⁸ Under it, the central bank issues e-HKD and banks distribute it. ²⁸ The paper said this design was not a blueprint. ²⁸
- The April 2022 policy paper noted that full anonymity is generally not seen as workable for a CBDC. ²⁹ The reason given was anti-money laundering and counter-financing of terrorism (AML/CFT) duties. ²⁹ The paper pointed to tiered wallets as a common approach. Tiered wallets have limits that rise as the user passes more identity checks. ²⁹
- In September 2022 the HKMA set out a three-rail approach, meaning three parallel work streams. ³⁰ It said early legal research suggested existing law was not adequate to issue a digital legal tender with enough certainty. ³⁰ Legal tender is money the law recognises for paying debts.
- Phase 1 of the pilot had 16 firms running 14 pilots. ³¹ It found possible value in three features. ³¹
 - Programmability: rules built into the money about when and how it moves.
 - Tokenisation: recording money or assets as digital tokens.
 - Atomic settlement: both sides of a deal settle at the same instant, or neither does.
- In September 2024 the project became Project e-HKD+. It covers both e-HKD and tokenised deposits. ³² Phase 2 ran 11 pilot groups. ³²
- On 28 October 2025 the HKMA made wholesale payments the priority for future e-HKD work, ahead of retail use. ³
- The HKMA's September 2026 CBDC page says it has not yet decided if, or when, it would introduce an e-HKD. ⁴
- Inthanon-LionRock ran in Q4 2019. ¹⁹ In February 2021 the PBoC DCI and the Central Bank of the UAE joined. ¹⁹ The project was then renamed the m-CBDC Bridge (multiple-CBDC Bridge). ¹⁹
- The HKMA page says the BISIH Hong Kong Centre gave 'strong support' as the project became mBridge. ⁵
- In the 2022 mBridge pilot, 20 banks in four jurisdictions made more than 160 payments and foreign exchange trades. ³³ These were worth over US\$22 million in total. ³³
- At MVP in June 2024, the listed project team was the HKMA, BoT, PBoC DCI, CBUAE and BISIH Hong Kong Centre. ³⁴ The Saudi Central Bank was welcomed as the next full participant. ³⁴
- In October 2025 the Government told the Legislative Council that mBridge had become part of Hong Kong's financial market infrastructure. ¹⁶ It also said participating Hong Kong banks set their own fees. ¹⁶
- Project Aurum built a two-tier test version: a wholesale system between banks, plus retail wallets. ²⁰ Project Sela tested a different design. Private go-between firms, called access enablers, connect directly to the central bank's CBDC ledger. ³⁵
- Project Ensemble explores settling tokenised money between banks, using the e-HKD as a wholesale CBDC. ³⁶ A wholesale CBDC is central bank digital money used only by banks and other financial institutions. Ensemble starts with tokenised deposits. ³⁷
- The Government's November 2025 digital green bonds had HKD and renminbi (RMB) tranches, or portions. ³⁸ Those tranches had an option to settle in tokenised central bank money, alongside traditional payment systems. ³⁸ The Government called it the world's first digital bond offering to use e-CNY and e-HKD in settlement. ³⁸
- Tier-4 personal e-CNY wallets for Hong Kong residents cap balances at RMB 10,000. ³⁹ They allow retail payments only, not person-to-person transfers. ³⁹
- By end-January 2026, about 80,000 e-CNY wallets had been registered with Hong Kong mobile numbers. ⁴⁰ In addition, 18 local banks let users top up these wallets through the FPS. ⁴⁰

What your bank must or should do

These are pilot and research designs, not binding rules. Neither the HKMA nor the Securities and Futures Commission (SFC) has made them rules. The lines below show what the published designs expect of participating banks.

Obligations

- ☐ On mBridge, run AML, counter-terrorist financing (CTF) and sanctions checks off the platform before sending a payment.¹² The receiving bank runs its own check before confirming the payment.¹²
- ☐ On mBridge, meet each jurisdiction's AML, CTF and sanctions laws.⁴¹ The platform attaches a pass or fail certificate to each transaction, based on the bank's own off-platform check.⁴¹

Controls & monitoring

- ☐ Keep KYC, AML and CTF checks in the bank's own systems, outside the mBridge platform ("off-bridge").¹³
- ☐ If the bank takes a role in distributing e-HKD, note the 2022 policy paper.⁴² It said a two-tier design could give customer-facing institutions two tasks: customer due diligence (checking who customers are) and record-keeping.⁴²

Notify / consult HKMA or SFC

- ☐ Banks may use the HKMA Supervisory Incubator for distributed ledger technology (DLT).⁴³ DLT is a shared record kept in step across many parties. The Incubator lets banks reaffirm their risk controls before a full DLT launch.⁴³ Tokenised deposits are a core focus.⁴³

Counterparty due diligence

- ☐ On mBridge, foreign banks can hold and use a CBDC.⁴⁴ Only domestic banks can swap their reserves at the central bank for that CBDC, or swap it back.⁴⁴ Check which role each counterparty has.

Talking points

To the Chief Compliance Officer (CCO)

- mBridge leaves AML and sanctions screening to each bank, off the platform.¹²
- The 2022 e-HKD policy paper said a two-tier design could task customer-facing institutions with customer due diligence.⁴²

To business heads

- The HKMA's e-HKD focus is now wholesale payments, to support tokenisation and cross-border payments.³
- In Phase 2, commercial banks leaned slightly towards tokenised deposits over e-HKD.⁴⁵

To the Chief Executive Officer (CEO)

- mBridge reached MVP in June 2024.⁶ The Government calls it part of Hong Kong's financial market infrastructure.¹⁶
- The HKMA has not decided to issue a retail e-HKD.⁴

To Risk / Chief Risk Officer (CRO)

- The 2022 mBridge pilot ran on one central cloud system in Hong Kong.⁴⁶ The pilot report said holding the data in a single cloud raised privacy concerns.⁴⁶
- In Phase 2, privacy tools using zero-knowledge proofs were tested on public blockchains. A zero-knowledge proof shows a fact is true without revealing the data behind it.⁴⁷ These tools made transactions up to 320 times more costly in gas fees, the fees paid to process each transaction.⁴⁷

Common misunderstandings

- **Myth:** Hong Kong is about to launch a retail e-HKD. **Fact:** The HKMA has made wholesale the priority. It has made no launch decision.^{48,4}
- **Myth:** mBridge screens payments for sanctions. **Fact:** Each bank screens payments itself, off the platform.¹²
- **Myth:** Any bank can create any CBDC on mBridge. **Fact:** Only domestic banks can request issuance or redemption of their home CBDC.⁴⁹
- **Myth:** e-CNY wallets work like general-purpose wallets. **Fact:** They do not allow person-to-person transfers.⁵⁰
- **Myth:** Inthanon-LionRock and mBridge are different projects. **Fact:** mBridge is the renamed later phase of the same project.⁵¹

Official documents to read first

1. **HKMA Central Bank Digital Currency (CBDC) page** — HKMA, updated Sep 2026. Read the policy stance, mBridge, Ensemble and Collaborative Projects sections. This is the HKMA's own current summary. <https://www.hkma.gov.hk/eng/key-functions/international-financial-centre/fintech/central-bank-digital-currency/>
2. **Project mBridge: Connecting economies through CBDC** — pilot report, Oct 2022. Read s.6.4 (privacy) and s.6.5.2 (payments). Then read s.7.1 and s.7.2 (sovereignty, legal, AML and sanctions). This report gives the clearest statement of bank

compliance duties on a CBDC platform. <https://www.hkma.gov.hk/media/eng/doc/key-information/press-release/2022/20221026e3a1.pdf>

3. **e-HKD Pilot Programme Phase 2 Report** — HKMA, 28 Oct 2025. Read the Executive Summary and Section 5 ('Path Forward'). It explains why the HKMA put wholesale use first. <https://www.hkma.gov.hk/media/eng/doc/key-information/press-release/2025/20251028e4a1.pdf>

Open questions

- No official Hong Kong document reviewed for this guide describes any change in BISIH's role in mBridge after June 2024. This module states BISIH's role only as of the 2024 MVP release and the HKMA's CBDC page.
- In October 2025 the HKMA said groundwork for a retail e-HKD would be finished in the first half of 2026. ⁵² Its September 2026 page says this preparation work is completed. ⁵³ The page gives no launch decision. ⁵³
- The e-HKD Industry Forum's planned common token standards (shared technical rules for tokens) are not yet in the documents reviewed for this guide. ⁵⁴
- The HKMA and the PBoC have been working on upgrading e-CNY wallets and raising their limits. ^{55,56} As of March 2026, this work had no finalised proposals or timetable. ^{55,56}
- None of the documents reviewed for this guide gives outcomes of the BDF, BoT, BCB and Shanghai collaborations.

Related modules

A1, C5, E1, E3

Notes

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PART E · MODULE E3

E3 Glossary and timeline

This page is a quick reference for the bank's Head of Compliance (digital assets). Look up a term in plain English. Or see where any document sits in the 2017–2026 sequence. Every line gives its official source. As of 25 Sep 2026.

How to use this page

Abbreviations used on this page:

- AI (AIs) = authorized institution(s)
- AML = anti-money laundering
- AMLO = Anti-Money Laundering and Counter-Terrorist Financing Ordinance
- BIS = Bank for International Settlements
- CBDC = central bank digital currency
- CFT = counter-financing of terrorism
- CMU = Central Moneymarkets Unit
- CP = consultation paper
- DLT = distributed ledger technology (shared databases, such as blockchains)
- e-CNY = the digital renminbi
- e-HKD = a possible digital Hong Kong dollar
- FATF = Financial Action Task Force
- FSTB = Financial Services and the Treasury Bureau
- HKMA = Hong Kong Monetary Authority
- IRD = Inland Revenue Department
- KYC = know your customer (identity checks)
- LC (LCs) = licensed corporation(s)
- LegCo = Legislative Council
- ML/TF: ML = money laundering; TF = terrorist financing
- MoU = memorandum of understanding (a formal agreement to work together)
- OECD = Organisation for Economic Co-operation and Development
- OTC = over the counter (trading directly with a dealer, not on an exchange)
- RI (RIs) = registered institution(s)
- SFC = Securities and Futures Commission
- SFO = Securities and Futures Ordinance
- VA (VAs) = virtual asset(s)
- VASP (VASPs) = virtual asset service provider(s)
- VATP (VATPs) = virtual asset trading platform(s)

How the page works:

- Part A defines about 80 terms. Each one points to the official document and paragraph that sets out the idea.
- Part B lists about 100 dated events from 2017 to September 2026. Each event is a fact about what was published or done. Targets appear only as the source states them.
- Dates are as the source gives them. If a source gives only a month or a year, so does this page.

Part A: Glossary

Institutions and legal status

Term	Plain definition	Source
Authorized Institution (AI)	A bank or other institution that the HKMA has authorised. The HKMA's anti-money laundering guideline (its AML/CFT Guideline) sets the standards AIs should meet, including AIs that are also RIs. The HKMA issues that guideline under s.7 of the AMLO and s.7(3) of the Banking Ordinance.	¹
Registered Institution (RI)	An AI that the SFC has registered to carry on one or more regulated activities (types of securities business, such as dealing or advising). The HKMA supervises RIs day to day, as frontline supervisor. Ultimate responsibility stays with the SFC.	²
Licensed corporation (LC)	A firm that the SFC has licensed to carry on regulated activities. The joint circulars cover LCs and RIs together, calling both 'intermediaries'.	³
HKMA	The Hong Kong Monetary Authority, Hong Kong's banking regulator. Among its other roles, it grants licences to stablecoin issuers under the Stablecoins Ordinance.	^{4,5}

Term	Plain definition	Source
SFC	The Securities and Futures Commission, Hong Kong's securities regulator. It licenses VA trading platforms. The Government proposes that the SFC lead licensing and standard-setting for VA dealing and VA custody (safekeeping).	6,7
FSTB	The Financial Services and the Treasury Bureau, the government bureau for financial policy. It issued Policy Statement 2.0. It runs the VA licensing consultations jointly with the SFC.	8,9
Frontline regulator	The body that supervises a firm day to day. This is the HKMA's proposed role for banks under the coming VA dealing and custody regimes. Under these regimes, the HKMA would supervise banks, while the SFC sets the standards.	10
SB-1	A chapter of the HKMA's Supervisory Policy Manual (its supervision handbook). It covers how the HKMA supervises RIs' regulated activities. It is a statutory guideline, issued under s.7(3) of the Banking Ordinance.	11
Executive officer	A person who directly supervises a regulated activity at an RI. The RI appoints this person with the HKMA's written consent. Each activity needs at least two.	12

Virtual assets and platforms

Term	Plain definition	Source
Virtual asset (VA)	The legal term for crypto and similar digital tokens. The AMLO defines it in s.53ZRA. Policy Statement 2.0 (June 2025) says the Government will now say 'digital assets' instead.	13,14
Digital asset (HKMA custody usage)	A broad term in the HKMA's custody guidance. It covers VAs, tokenised securities and other tokenised assets (assets recorded as digital tokens). It also covers the keys, seeds and backups (the secret codes that give access) used to reach those assets.	15
VASP	A business that provides VA services, such as trading or transfers, to customers. The HKMA expects banks to assess each VASP customer's ML/TF risk on its own facts. That assessment includes extra due diligence (deeper checks) where needed.	16
VATP	An online platform where people buy and sell VAs. In SFC usage, it is a company licensed under the SFO for Types 1 and 7 (dealing in securities, and automated trading services). A company holding an AMLO VA service licence also counts.	17
Deemed-to-be-licensed	A platform that may keep operating while the SFC decides its licence application. It was operating before 1 June 2023 and met the conditions for this status. It is not licensed and may never be.	18
Non-contravention period	A grace period of 12 months, from 1 June 2023 to 31 May 2024. VATPs already running, with a genuine Hong Kong presence, could operate during it. Doing so did not breach the AMLO licensing rule.	19
Associated Entity	A company that holds a VATP's client assets on trust (for the clients, not for itself). It is a Hong Kong subsidiary wholly owned by the VATP. It does no other business.	20
Cold storage	Keeping the keys to VAs offline, away from the internet. The SFC expects VATPs to keep 98% of client VAs in cold storage.	21
Compensation arrangement	Cover that repays clients if their VAs are lost. A VATP should hold an SFC-approved arrangement of this kind. It should cover potential loss of 50% of client VAs in cold storage. It should also cover 100% of those in hot storage (kept online) and other storage. For bank custody, the HKMA's May 2026 guidance instead expects the bank to be liable to clients and to have adequate financial resources.	22,23
Professional investor	An institution, or a wealthy person or firm, that meets a legal test. The SFO defines the term in Schedule 1, Part 1, s.1. Any other person is a 'retail client'.	24
Complex product	An investment product whose terms and risks are hard for a typical investor to understand. It triggers the SFC's complex-product rules. These include a suitability check (whether the product fits the client), even if the firm did not solicit (actively offer) the sale. The joint circular says VA-related products are very likely complex.	25
Joint circular	A notice from the SFC and HKMA together on intermediaries' VA activities. The December 2023 version replaced the January 2022 and October 2023 versions. A supplement followed in September 2025.	26,27
Staking	Locking a client's VAs into a proof-of-stake network to earn rewards. In such a network, holders who lock up tokens help check and confirm transactions.	28
Shared order book	One pool of buy and sell orders shared by an SFC-licensed VATP and an overseas platform in its group. Every order is fully pre-funded (paid for up front). Trades settle delivery-versus-payment: the asset and the payment change hands together.	29
Perpetual contract	A contract that tracks a VA's price, uses leverage (borrowed exposure) and has no end date. Under the SFC's February 2026 framework, licensed VATPs may propose to offer them. They should be offered to professional investors only.	30
Funding rate	Regular payments between the two sides of a perpetual contract. One side gains if the price rises (long) and the other if it falls (short). The payments keep the contract's price near the spot (current market) price. The SFC expects settlement at least once every 24 hours.	31
Travel Rule (VA transfers)	The rule that sender and recipient details travel with a transfer. For banks, the HKMA Guideline sets customer due diligence (checks on the customer) for one-off VA transfers of HK\$8,000 or more. It points to AMLO Schedule 2 s.13A. RIs must also take into account the VA parts of Chapter 12 of the SFC AML Guideline.	32
Unhosted wallet	A VA wallet (software or hardware) through which the owner holds and moves VAs, keeping the private key (the secret code that moves the VAs). The HKMA's May 2025 consultation proposed a check by licensed stablecoin issuers. They would check whether each customer's wallet is custodial (run by a provider) or unhosted.	33

Term	Plain definition	Source
Suspicious VATPs list	A public SFC list of suspicious trading platforms. It helps the public spot suspicious platforms doing business in Hong Kong.	34,35

Coming VA regimes

Term	Plain definition	Source
VA dealing service	Dealing in VAs (buying and selling them) as a business. The June 2025 proposal covers this business in Hong Kong. It runs from simple conversion (swapping one asset for another) to brokerage and block trades (very large deals). Banks would register with the SFC, with the HKMA as frontline regulator.	36
VA custodian service	Keeping VAs safe for others as a business. Under the December 2025 conclusions, it means holding, for others, the private keys or similar tools that can move VAs. Trustees or managers that only hand custody to someone else are out of scope.	37
VA advisory / VA management	Advising clients on VAs, and managing VA portfolios for them. Both are proposed licensing regimes. Their scope will match the SFO regimes for advising on securities (Type 4) and asset management (Type 9).	38
Deeming / grandfathering	Letting firms already in business carry on under a new regime, as if licensed, while they apply. None is planned for the VA dealing or VA custodian regimes.	39,40
Expedited approval	A faster route to approval. It is promised for SFC-licensed VATPs. It is also promised for LCs and RIs that already provide VA dealing services.	41
MPC (multi-party computation) provider	A technology firm that splits control of a private key among several parties. Whether it needs a custodian licence depends on the facts of each case. The main tests are whether it can move client VAs on its own, and whether clients can always reach their assets independently.	42
VA OTC regime	A scheme to license OTC VA trading businesses. The February 2024 proposal was for the Commissioner of Customs and Excise to license spot VA trading (buying and selling for immediate delivery). The proposal also covered shops and crypto cash machines. The June 2025 dealing proposal revised the scheme.	43,44

Stablecoins and bank capital

Term	Plain definition	Source
Stablecoins Ordinance (Cap. 656)	Hong Kong's stablecoin law. Stablecoins are tokens designed to hold a steady value. The law set up licensing for regulated stablecoin activities and came into force on 1 August 2025.	45
Fiat-referenced stablecoin (FRS)	A stablecoin whose value is tied to one or more fiat currencies (ordinary government-issued money). An HKMA licence is needed to issue one in Hong Kong as a business. A licence is also needed to issue one tied to the Hong Kong dollar as a business, in or outside Hong Kong.	46,4
Relevant Stablecoin	A stablecoin issued by an HKMA-licensed issuer under its licence. It is a 'specified stablecoin', a category set out in law.	47
Register of licensed stablecoin issuers	The HKMA's public list of licensed stablecoin issuers. The HKMA keeps it under s.21 of Cap. 656.	48
Stablecoin issuer sandbox	A controlled space where would-be stablecoin issuers could test their plans with the HKMA. The HKMA launched it in March 2024 to share its supervisory expectations. Admission was not an HKMA endorsement. Participants had to apply separately for a licence.	49
Cryptoasset (capital rules)	In the bank capital rules, a digital form of value. It relies mainly on cryptography (code-based security) and DLT or similar technology. It can be used to pay, to invest, or to access goods or services.	50
Group 1a / 1b	Classes of cryptoasset treated like the traditional asset behind them. Group 1a is tokenised traditional assets. Group 1b is stablecoins with effective stabilisation mechanisms (ways to keep the price steady). Both carry the same capital requirements as the underlying traditional asset. An infrastructure add-on (an extra charge for technology risk) may apply on top.	51
Group 2a / 2b	Cryptoassets with the toughest capital treatment. They are unbacked cryptoassets, and tokenised assets or stablecoins that fail the classification conditions. They are fully capitalised: a 1,250% risk weight times the 8% minimum total capital ratio means the bank holds capital equal to the whole exposure ⁵² . Limited hedging (offsetting positions) is recognised for 2a, and none for 2b.	53
CRP-1	The HKMA's guidance on sorting cryptoassets into these groups. It is non-statutory (not issued under a law). If it differs from the Banking (Capital) Rules, the Rules prevail.	54
Negative vetting	LegCo's 28-day review of subsidiary legislation (detailed rules made under an existing law). The amendment rules on cryptoasset capital, disclosure and exposure limits completed this review in August 2025.	55

Tokenisation and digital money

Term	Plain definition	Source
Tokenised deposit	A commercial bank deposit in digital token form. The bank itself issues it.	56,57
Tokenised product (HKMA)	A digital token version of a real-world investment product, recorded on DLT. In HKMA usage, it covers products not regulated under the SFO, and excludes stablecoins. The sales rules for the underlying product generally apply to its tokenised form too.	58
Tokenised security (SFC)	A traditional security, such as a share or bond, wrapped in a digital token. The SFC judges whether it is complex by looking through to the underlying security.	59

Term	Plain definition	Source
Cash token	A digital token that stands in for cash. In Project Evergreen, the CMU minted (created) each token as a claim on the HKMA for one Hong Kong dollar.	60
Non-native issuance	A bond issued first in the normal way, then turned into tokens on a DLT platform. In Project Evergreen, the CMU made its book entries first. The investors' beneficial interests (ownership rights) were then recorded on the ledger.	61
CMU / CMU OmniClear	CMU: the Central Moneymarkets Unit, a bond settlement system. CMU OmniClear: the company that runs it for the HKMA. The HKMA owns the CMU. CMU OmniClear Limited is a wholly owned subsidiary of the Exchange Fund (Hong Kong's official reserves), set up in October 2024.	62
Digital Bond Grant Scheme	An HKMA grant for issuing digital bonds in Hong Kong. It pays up to HK\$2.5 million per eligible digital bond issue. It is open for an initial three years from November 2024.	63
Supervisory Incubator	An HKMA arrangement that lets banks check their DLT risk controls before a full launch. Banks can choose to run live trials.	64
DLT	Distributed ledger technology: a database shared and copied across many computers, such as a blockchain. The HKMA's non-binding considerations expect an AI's board and senior management to take full responsibility for DLT risks.	65
CBDC / e-HKD	CBDC: central bank digital currency, meaning money a central bank issues in digital form. The e-HKD is the HKMA's possible digital Hong Kong dollar, for wholesale and retail uses. The HKMA currently gives priority to wholesale use (between banks and other financial institutions).	66
Wholesale CBDC (wCBDC)	Central bank digital money used for settlement between banks. It is the basis of Project Ensemble.	67
Project e-HKD+	The new name for Project e-HKD from September 2024. The project widened from the e-HKD alone to new forms of digital money, including tokenised deposits.	68
Three-rail approach	The HKMA's three-part path for the e-HKD. Rail 1 lays the foundations. Rail 2 covers use cases and pilots. Rail 3 covers implementation planning.	69
Project Ensemble / EnsembleTX	Project Ensemble: HKMA work on settling deals in tokenised money. EnsembleTX: its pilot phase using real money, from November 2025.	70
Ensemble Architecture Community	A group the HKMA formed in May 2024. Its members are regulators, banks and technology firms. It develops industry standards so that systems can work together (interoperability).	71
mBridge	A shared platform for cross-border payments in several central banks' digital currencies. It settles payment-versus-payment (both currencies swap at once), in real time, 24/7.	72
Off-bridge compliance	Doing compliance checks outside the mBridge platform. Banks meet each jurisdiction's KYC and AML/CFT rules off the platform.	73
PvP / DvP	PvP: payment-versus-payment. DvP: delivery-versus-payment. In PvP, two payments in different currencies settle together. In DvP, an asset and its payment settle together. The Ensemble Sandbox was built to test both for settlement between banks. The SFC describes DvP as a simultaneous exchange of assets that lowers the risk of one side not delivering.	74,75
Atomic settlement	Settling both sides of a deal at the same instant. Each side depends on the other.	76
Purpose-bound money	Money with rules attached about how it can be used. It works as a 'wrapper' that sets conditions while leaving the underlying value intact. Phase 2 pilots examined it as an alternative to a natively programmable e-HKD (one with rules built into the money itself). A natively programmable e-HKD could weaken fungibility (every unit being interchangeable).	77
Access Enabler	In Project Sela, a new type of go-between that serves retail CBDC users directly. It handles tasks such as onboarding and KYC. It does not hold users' CBDC or its own liquidity (cash reserves).	78
e-CNY tier-4 wallet	A basic personal wallet for the digital renminbi. It is opened with a Hong Kong mobile number, without real-name checks. The balance is capped at 10,000 renminbi. It allows retail payments only, not person-to-person transfers.	79

Tax and financial-crime data

Term	Plain definition	Source
CARF	Crypto-Asset Reporting Framework (CARF): an OECD standard for tax authorities to swap crypto-asset tax data automatically each year.	80
RCASP / HKRCASP	RCASP: a reporting crypto-asset service provider. HKRCASP: an RCASP that meets a test of its link to Hong Kong. Under the 2026 Bill, an RCASP is a business that carries out crypto exchange transactions for customers.	81
CRS / AEOI	CRS: the Common Reporting Standard. AEOI: automatic exchange of information. The CRS is the OECD model for swapping financial account information automatically each year. Hong Kong has run it since 2018.	82
RFI	Reporting financial institution (RFI): a financial institution that reports account data under the CRS. Under the amended CRS, these institutions report gross proceeds (total sale amounts) from sales of relevant crypto-assets by default.	83
SEMP	Specified electronic money product (SEMP): a type of e-money product. CARF leaves it out, but the amended CRS brings it in.	84
Board of Review	An independent appeal body. Under the 2026 Bill, an RCASP could appeal to it against a CARF financial penalty assessment.	85

Term	Plain definition	Source
DATAS / AMLAS	DATAS: the Digital Asset Transaction Analytics System. AMLAS: the Anti-Money Laundering Analytics System. Both are data-analysis systems the Customs and Excise Department has planned (by 2029).	86
CrypTech	An SFC technology initiative. Its big-data tools for watching markets and for AML surveillance are to switch on in 2027.	87
FATF targeted update	A regular FATF report on how countries apply its standards for VAs and VASPs. The sixth was published on 26 June 2025.	88

Policy frameworks

Term	Plain definition	Source
'Same activity, same risks, same regulation'	Activities with the same risks get the same rules, whatever form they take. The Government has applied this principle to VA activity since 2022.	89
LEAP	The four focus areas of Policy Statement 2.0. LEAP stands for Legal streamlining, Expanding tokenised products, Advancing use cases, and People and partnerships.	90
ASPIRe	The SFC's 2025 roadmap, with 12 initiatives. ASPIRe stands for its five pillars: Access, Safeguards, Products, Infrastructure and Relationships.	91
Fintech 2030	The HKMA's financial technology strategy, with over 40 initiatives. Its four pillars are data and payments, artificial intelligence, resilience, and tokenisation.	92

Part B: Master timeline 2017–2026

Date	Event	Issuer	Source
2017	The HKMA starts its e-HKD work with Project LionRock: a wholesale test with Hong Kong's three note-issuing banks.	HKMA	93
5 Sep 2017	The SFC says tokens sold in an initial coin offering (a crypto fundraising) may be securities under the SFO.	SFC	94
2017	The HKMA publishes its second whitepaper on DLT, after the first in 2016.	HKMA	95
21 Sep 2018	An HKMA keynote speech argues that crypto-currencies such as Bitcoin do not do the job of money, and calls them crypto-assets.	HKMA	96
1 Nov 2018	The SFC sets standards for VA portfolio managers and fund distributors, covering portfolios aiming to put 10% or more in VAs.	SFC	97
Sep 2019	The HKMA and the Bank of Thailand start Project Inthanon-LionRock with ten banks.	HKMA + Bank of Thailand	98
6 Nov 2019	The SFC, in a position paper, offers opt-in licensing to platforms that trade security tokens, with 98% held in cold storage.	SFC	99
16 Dec 2019	The HKMA issues a circular on the ML/TF risks of VAs and VASPs, replacing its 2014 letters.	HKMA	100
Jan 2020	The HKMA and the Bank of Thailand publish the Inthanon-LionRock report.	HKMA + Bank of Thailand	101
3 Nov 2020	The FSTB opens an AML consultation proposing licensing for VASPs, which closes on 31 Jan 2021.	FSTB	102
16 Dec 2020	The SFC licenses the first VATP, for professional investors only.	SFC	103
23 Feb 2021	The People's Bank of China Digital Currency Institute and the Central Bank of the UAE join, and the project becomes m-CBDC Bridge.	HKMA and partners	104
May 2021	The FSTB concludes that VA exchanges are to be SFC-licensed and, at first, serve professional investors only.	FSTB	105
8 Jun 2021	The HKMA launches Fintech 2025, which includes a study of the e-HKD.	HKMA	106
Jun 2021	The HKMA begins its study of a retail e-HKD (one for the public).	HKMA	107
2021	The HKMA and the BIS Innovation Hub run Project Genesis, a test of tokenised green bonds.	HKMA + BIS Innovation Hub	108,109
28 Sep 2021	The HKMA and its mBridge partners publish an interim report on faster, cheaper cross-border payments.	HKMA and partners	110
4 Oct 2021	The HKMA's e-HKD technical whitepaper explores a two-tier design (central bank plus banks), and the HKMA says it is not a blueprint.	HKMA	111
12 Jan 2022	The HKMA issues a discussion paper on crypto-assets and stablecoins, with comments due by 31 Mar 2022.	HKMA	112
28 Jan 2022	The HKMA sets out its approach to AIs' dealings with VAs and VASPs.	HKMA	113

Date	Event	Issuer	Source
28 Jan 2022	The SFC and HKMA issue their first joint circular on VA activities.	SFC + HKMA	114
27 Apr 2022	The HKMA publishes an e-HKD policy and design paper, with comments due by 27 May 2022.	HKMA	115
15 Aug 2022	The mBridge partners begin a six-week pilot with real money, running to 23 Sep 2022.	HKMA and partners	116
Sep 2022	The HKMA's paper 'e-HKD: Charting the Next Steps' sets out the three-rail approach.	HKMA	117
26 Oct 2022	The mBridge pilot report shows 20 banks in four jurisdictions, over 160 transactions and more than HK\$171 million.	HKMA and partners	118
Oct 2022	The HKMA and the BIS Innovation Hub publish the Project Aurum report on a two-tier retail CBDC prototype.	HKMA + BIS Innovation Hub	119
31 Oct 2022	The FSTB's Policy Statement on VAs adopts the principle 'same activity, same risks, same regulation'.	FSTB	89
Nov 2022	The HKMA launches the e-HKD Pilot Programme.	HKMA	120
7 Dec 2022	LegCo passes changes to the AMLO that create VASP licensing, in force from 1 June 2023.	LegCo / HKMA	121,6
20 Dec 2022	The HKMA circulates the Basel prudential standard (global bank safety rules) for cryptoasset exposures.	HKMA	122
31 Jan 2023	The HKMA's stablecoin consultation conclusion proposes compulsory licensing for key stablecoin activities.	HKMA	123
16 Feb 2023	The Government offers a HK\$800 million tokenised green bond.	HKMA	124
20 Feb 2023	The SFC consults on rules for VATPs, including access for retail investors.	SFC	125
18 May 2023	The HKMA starts e-HKD pilots with 16 firms.	HKMA	126
23 May 2023	The SFC's VATP conclusions allow retail investors in, with safeguards.	SFC	127
25 May 2023	The HKMA revises its AML/CFT Guideline for AIs, setting a HK\$8,000 threshold for VA transfers.	HKMA	128
1 Jun 2023	The AMLO licensing regime for VATPs and the SFC's VATP Guidelines take effect.	SFC	6,129
24 Aug 2023	The HKMA reports on bond tokenisation in Project Evergreen.	HKMA	130
12 Sep 2023	The HKMA, the Bank of Israel and the BIS Innovation Hub publish the Project Sela report.	HKMA + Bank of Israel + BIS Innovation Hub	131
13 Sep 2023	The SFC states that no JPEX group entity is licensed by it or has applied for a licence.	SFC	132
29 Sep 2023	The SFC publishes lists of VATPs, including applicants, and a list of suspicious VATPs.	SFC	133
20 Oct 2023	The SFC and HKMA revise the joint circular, and the HKMA forms a CBDC Expert Group.	SFC + HKMA	134,135
30 Oct 2023	The HKMA publishes the e-HKD Phase 1 report and an mBridge update.	HKMA	136,137
2 Nov 2023	The SFC's circular on tokenised securities replaces its 2019 statement on security token offerings.	SFC	138
22 Dec 2023	The SFC and HKMA issue the current joint circular, and the SFC issues a circular on VA funds.	SFC + HKMA	139,140
27 Dec 2023	The FSTB and HKMA consult on rules for stablecoin issuers, until 29 Feb 2024.	FSTB + HKMA	141
7 Feb 2024	The HKMA issues CP 24.01 on banks' cryptoasset exposures, with comments due by 6 May 2024.	HKMA	142
7 Feb 2024	The Government offers about HK\$6 billion of digital green bonds in several currencies.	HKMA	143
8 Feb 2024	The FSTB consults on licensing OTC VA dealers, with Customs as the licensing body.	FSTB	43
20 Feb 2024	The HKMA issues circulars on custody standards and on tokenised products; the custody guidance was replaced on 27 May 2026.	HKMA	144,145,146

Date	Event	Issuer	Source
29 Feb 2024	Deadline for VATPs already operating to apply for a licence if they want to be treated as licensed while the SFC decides.	SFC	147
7 Mar 2024	The HKMA unveils Project Ensemble.	HKMA	148
12 Mar 2024	The HKMA launches its stablecoin issuer sandbox.	HKMA	149
14 Mar 2024	The HKMA announces e-HKD Phase 2.	HKMA	150
16 Apr 2024	The HKMA sets out risk-management considerations for DLT.	HKMA	151
7 May 2024	The HKMA forms the Ensemble Architecture Community.	HKMA	152
17 May 2024	The HKMA expands the cross-boundary e-CNY pilot.	HKMA	153
1 Jun 2024	From this date, VATPs in Hong Kong must be SFC-licensed or treated as licensed while they apply, as the grace period is over.	SFC	154
5 Jun 2024	mBridge reaches minimum viable product stage (a first working version), and the Saudi Central Bank joins as a full participant.	HKMA	155
27 Jun 2024	The Banque de France and HKMA announce wholesale CBDC work under a new MoU, linking the Banque de France's platform (DL3S) to the Ensemble Sandbox.	HKMA + Banque de France	156
17 Jul 2024	The FSTB and HKMA publish stablecoin consultation conclusions, after 108 submissions.	FSTB + HKMA	157
28 Aug 2024	The HKMA launches the Ensemble Sandbox.	HKMA	158
23 Sep 2024	The HKMA starts e-HKD Phase 2 and renames the project e-HKD+.	HKMA	159
18 Oct 2024	The HKMA sets up CMU OmniClear Limited.	HKMA	160
28 Oct 2024	The HKMA announces tie-ups with Banco Central do Brasil (Drex) and the Bank of Thailand (Project San).	HKMA	161,162
28 Nov 2024	The HKMA launches the Digital Bond Grant Scheme.	HKMA	163
6 Dec 2024	The Government publishes the Stablecoins Bill in the Gazette, and the Bill gets its First Reading in LegCo on 18 Dec 2024.	Government	164
13 Dec 2024	Hong Kong commits to CARF, the crypto tax data-sharing standard.	FSTB	165
18 Dec 2024	The SFC revamps VATP licensing, using conditional licences.	SFC	166
8 Jan 2025	The HKMA launches its Supervisory Incubator for DLT.	HKMA	167
13 Jan 2025	The HKMA informally consults the banking associations on cryptoasset capital rules, intending them to apply from 1 Jan 2026.	HKMA	168
19 Feb 2025	The SFC publishes the ASPIRe roadmap.	SFC	91
7 Apr 2025	The HKMA and SFC each issue circulars on staking.	HKMA; SFC	169,170
21 May 2025	LegCo passes the Stablecoins Bill.	Government	171
26 Jun 2025	The FSTB issues Policy Statement 2.0, built around LEAP.	FSTB	172
27 Jun 2025	The FSTB and SFC consult on VA dealing and custodian licensing, until 29 Aug 2025.	FSTB + SFC	9
11 Jul 2025	The HKMA's cryptoasset rules on capital, disclosure and exposure limits are published in the Gazette.	HKMA	173
1 Aug 2025	The Stablecoins Ordinance and the HKMA's stablecoin guidelines take effect.	Government / HKMA	174,175
12 Sep 2025	The HKMA issues version 4 of SB-1.	HKMA	176
30 Sep 2025	The SFC and HKMA's supplemental joint circular lets LCs and RIs offer staking and trade through SFC-licensed platforms' off-platform services.	SFC + HKMA	3

Date	Event	Issuer	Source
8 Oct 2025	The Government says mBridge is part of Hong Kong's financial market infrastructure.	Government	177
28 Oct 2025	The HKMA publishes the e-HKD Phase 2 report and gives priority to wholesale uses.	HKMA	178
3 Nov 2025	The SFC issues circulars on shared liquidity and wider product offerings, and the HKMA launches Fintech 2030.	SFC; HKMA	179,180,181
11 Nov 2025	The Government offers about HK\$10 billion of digital green bonds, the first digital bond offering to settle using e-HKD and e-CNY.	HKMA	182
13 Nov 2025	The HKMA launches the EnsembleTX pilot.	HKMA	183
27 Nov 2025	The HKMA issues CRP-1, effective from 1 Jan 2026.	HKMA	184
9 Dec 2025	The FSTB and IRD consult on CARF and the amended CRS, until 6 Feb 2026.	FSTB + IRD	185,186
24 Dec 2025	The FSTB and SFC publish conclusions on VA dealing and custodian licensing, and consult on VA advisory and management.	FSTB + SFC	187
1 Jan 2026	The Basel cryptoasset rules and CRP-1 take effect.	HKMA	55,184
11 Feb 2026	The SFC lets VA brokers offer VA margin financing and permits affiliated market makers. It also sets a framework for VATP perpetual contracts for professional investors.	SFC	188
25 Feb 2026	The Budget plans a 2026 bill on VA dealing and custodian licensing, and a CARF amendment bill in the first half of 2026. It also plans a CMU OmniClear digital asset platform.	Government	189
2 Mar 2026	The HKMA, the Shanghai Data Bureau and the National Technology Innovation Center for Blockchain sign an MoU on digitised cargo trade and finance.	HKMA	190
9 Mar 2026	The HKMA expects each AI's board to endorse, within six months, a strategic business plan for digital transformation.	HKMA	191
10 Apr 2026	The HKMA grants the first two stablecoin issuer licences.	HKMA	5
20 Apr 2026	The SFC sets a framework to pilot secondary trading (resale after issue) of tokenised SFC- authorised products.	SFC	192
22 May 2026	The Government publishes the CARF bill in the Gazette, and introduces it into LegCo on 3 Jun 2026.	Government / IRD	193
26 May 2026	The FSTB and SFC publish conclusions on VA advisory and VA management.	FSTB + SFC	194
27 May 2026	The HKMA issues updated custody guidance, VA financing guidance and a Relevant Stablecoin circular for RIs, and the SFC issues its own Relevant Stablecoin circular.	HKMA; SFC	195,196,197,198
29 May 2026	The SFC's list shows 13 licensed VATPs.	SFC	199
3 Jun 2026	The HKMA clarifies para 2.6.4 of CRP-1, with immediate effect.	HKMA	200
5 Jun 2026	The HKMA convenes a Tokenised Bond Expert Group.	HKMA	201
29 Jun 2026	The FSTB and HKMA's first-phase review finds the law flexible enough for tokenised bond issuance. The next phase is to start in the second half of 2026.	FSTB + HKMA	202
9 Jul 2026	The SFC gives VATPs and internet brokers 12 months to bring in phishing-resistant login and device binding (tying accounts to known devices). Its circular states this as an expectation.	SFC	203,204
16 Sep 2026	The Policy Address says the HKMA is to test tokenised Exchange Fund Bills by year-end. The HKMA also plans to bring CBDC settlement and round-the-clock operation to EnsembleTX by around end-2026.	Government	205

Notes on sources

- Where a draft and a final text differ, this page uses the final. The January 2025 capital draft said permissionless-chain tokens (tokens on public blockchains that anyone can join) could not be Group 1. The final CRP-1 lets them qualify if extra measures are in place. ^{206,207}
- Policy Address references use the source's own paragraph numbers. For example, the Exchange Fund Bills item is para 35.

Related modules

A1, A2, A3, B1, C1, C2, C3, C5, C6, D3, D4, D5, E1, E2

Notes

1. HKMA. *Guideline on Anti-Money Laundering and Counter-Financing of Terrorism (For Authorized Institutions) (Revised May 2023)*, 25 May 2023. Paras 1.1, 1.3. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/20230525-4-EN>
2. HKMA. *SB-1 Supervision of Regulated Activities of SFC-Registered Authorized Institutions*, 12 September 2025. Paras 2.1.2, 2.1.3, 2.2.1. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20250909-3-EN/SB-1.PDF>
3. HKMA, SFC. *Supplemental joint circular on intermediaries' virtual asset-related activities*, 30 September 2025. Paras 4-6. <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20250930-1-EN/20250930-1-EN.pdf>
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PROJECTS

Official projects and initiatives

One profile for each official initiative: what it is, where it stands, and what it means for a bank.

PROJECT PROFILE

ASPIRe: the SFC's virtual-asset roadmap

EXPLORATORY Run by: SFC

The Securities and Futures Commission (SFC) published ASPIRe in February 2025. It is a roadmap of five pillars and 12 initiatives for Hong Kong's virtual-asset (VA) market. ¹ Some roadmap items, such as VA financing, now reach banks through Hong Kong Monetary Authority (HKMA) guidance. ² ASPIRe's licensing work also led to planned regimes under which banks would register with the SFC. ^{3,4}

At a glance

Item	Detail
Run by	SFC ¹
Status as of 25 Sep 2026	Exploratory (roadmap); several initiatives since delivered through SFC circulars and guidance ^{5,6,7}
Started	19 Feb 2025 ¹
Next official date	H2 2026: SFC digital-asset custody surveillance system to begin operating (stated target in the Policy Address) ⁸
Covered in	A3, C1, C3, C6, C7, E1

What it is

ASPIRe stands for five pillars: Access, Safeguards, Products, Infrastructure and Relationships. Together they hold 12 initiatives. ¹

- **Access** covers new licensing regimes for over-the-counter (OTC) VA dealing and for VA custody. OTC deals are agreed directly between two parties, not on an exchange. ³ ASPIRe says the government-led work to prepare the law for custodians aimed to finish by end-2025. ³
- **Safeguards** includes exploring custody standards that focus on results and do not favour any one technology. ⁹ It also includes a more flexible approach to cold-storage ratios, meaning the share of client assets kept offline. ⁹
- **Products** looks at: ¹⁰
 - new token listings
 - derivatives (contracts whose value tracks another asset) for professional investors
 - margin financing (lending to clients so they can buy assets)
 - staking (locking up tokens to help run a blockchain, for a reward)
 - borrowing and lending
- **Infrastructure** covers tools for regulatory reporting and surveillance. One example is wallet tracing, which follows tokens as they move between wallets. ¹¹

The SFC frames many initiatives as things it will explore or consider. ¹²

Timeline

Date	Milestone	Status	Source
19 Feb 2025	ASPIRe roadmap published	Exploratory	¹
7 Apr 2025	Staking guidance for VA trading platforms (VATPs) and VA funds, framed under Pillar P	In force	¹³
27 Jun 2025	VA dealing and custodian consultations (Pillar A); conclusions published 24 Dec 2025	Conclusions published	^{14,15}
15 Aug 2025	SFC custody circular to VATPs cites Pillar S, Initiative 3	In force	¹⁶
3 Nov 2025	Circulars on shared order books and on a wider product range (Pillars A and P)	In force	⁶
11 Feb 2026	VA financing, a framework for perpetual contracts, and platforms' own affiliates acting as market makers	Issued	¹⁷
H2 2026	SFC digital-asset custody surveillance system to begin operating	Stated target	⁸
2027	Parts of CrypTech (an SFC initiative) that use big data for market and anti-money laundering surveillance	Stated target	⁸

What it means for your bank

- The SFC calls the roadmap a plan that will keep changing, not a final destination. ¹⁸ Its initiatives take effect through separate circulars (SFC letters to firms) and guidance. Examples include the circulars on staking and VA financing. ^{19,7}

- VA financing now reaches banks too.² Registered institutions (RIs) are banks registered with the SFC. RIs that provide VA dealing services may lend to their securities margin clients for VA dealing. Margin clients are clients who borrow from the firm to invest.² The HKMA expects these RIs to observe standards similar to the SFC's.²
- Licensed and registered firms, including RIs, may offer staking to clients for whom they deal in virtual assets.²⁰ They should use only segregated accounts, kept apart from the firm's own assets.²⁰ Those accounts should sit at an SFC-licensed platform or at an authorized financial institution.²⁰
- The SFC's framework covers perpetual contracts on VATPs. These are derivatives with no expiry date. VATPs should offer them only to professional investors.²¹ Margin collateral is what clients post to back their trades. It should be fiat money (ordinary currency), or stablecoins or tokenised deposits regulated by the HKMA.²¹
- Pillar A's plans for OTC trading and custody became the proposed VA dealing and custodian regimes. Banks would register rather than be licensed, with the HKMA as frontline regulator.^{3,4} Two further proposed regimes cover VA advisory and VA management. Under those regimes too, only banks could register with the SFC.²²

Talking points

- **To the CCO:** ASPIRe is a roadmap. Its initiatives take effect through separate SFC circulars and guidance, so track those.^{18,7}
- **To business heads:** Items delivered so far include staking, shared order books, VA financing and perpetual contracts for professional investors.^{5,23,24}
- **To the CEO:** The SFC's Executive Director of Intermediaries called the roadmap-based approach essential to scaling Hong Kong's digital asset market.²⁵
- **To Risk:** The SFC still frames custody standards based on results as something to explore.⁹ But its August 2025 custody circular to VATPs took effect immediately.²⁶

Key documents

1. "A-S-P-I-Re" for a brighter future: SFC's regulatory roadmap for Hong Kong's virtual asset market — SFC — 19 Feb 2025 — read all five pillar sections — <https://www.sfc.hk/en/News-and-announcements/Policy-statements-and-announcements/A-S-P-I-Re-for-a-brighter-future-SFCs-regulatory-roadmap-for-Hong-Kongs-virtual-asset-market>
2. SFC sets out new roadmap to develop Hong Kong as a global virtual asset hub — SFC — 19 Feb 2025 — read paras 1-3 — <https://apps.sfc.hk/edistributionWeb/gateway/EN/news-and-announcements/news/doc?refNo=25PR20>
3. SFC launches trading initiatives to boost digital asset market vibrancy in Hong Kong — SFC — 11 Feb 2026 — read paras 2-4 — <https://apps.sfc.hk/edistributionWeb/gateway/EN/news-and-announcements/news/doc?refNo=26PR24>
4. The Chief Executive's 2026 Policy Address — Hong Kong Government — 16 Sep 2026 — read paras 49 and 51(iii) — https://www.policyaddress.gov.hk/2026/public/pdf/policy/policy-full_en.pdf

Related

Projects: va-licensing-regimes, relevant-stablecoins, policy-statements. Modules: A3, C1, C3, C6, C7, E1.

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PROJECT PROFILE

Crypto-Asset Reporting Framework (CARF) and amended CRS

BILL BEFORE LEGCO Run by: FSTB + IRD

A Hong Kong bill would update the Common Reporting Standard (CRS) and bring in the Crypto-Asset Reporting Framework (CARF). ¹ Since 2018, Hong Kong has used the CRS to exchange financial account information with other tax authorities each year. ² CARF is a yearly crypto-asset tax reporting standard from the Organisation for Economic Co-operation and Development (OECD). ¹ Why banks care: a group entity offering crypto exchange services to customers as a business can become a reporting crypto-asset service provider (RCASP). ³ If the bill passes, CARF duties start on 1 January 2027. ⁴

At a glance

Item	Detail
Run by	Financial Services and the Treasury Bureau (FSTB) and Inland Revenue Department (IRD) ⁵
Status as of 25 Sep 2026	Bill before LegCo (the Legislative Council, Hong Kong's law-making body). Gazetted (published in the official Gazette) 22 May 2026. First Reading (formal introduction) 3 Jun 2026. ¹
Started	Commitment to the OECD Global Forum, 13 Dec 2024 ⁶
Next official date	1 Jan 2027: CARF duties start, if the bill passes ⁴
Covered in	D5, A3, E1, E3

What it is

CARF is an OECD standard. Under it, jurisdictions automatically exchange crypto-asset tax information each year. ⁷ Hong Kong aimed to have its law in place by 2026 and to start exchanges from 2028. ⁸

Under the bill, an RCASP is a person that, as a business, carries out crypto exchange transactions for customers. ⁹ This includes acting as a counterparty (the other side of a trade) or an intermediary, or running a trading platform. ⁹

An RCASP with a Hong Kong nexus (a close link to Hong Kong) would have to: ¹⁰

- register;
- carry out due diligence (checks on its customers);
- file returns (reports to the tax authority);
- keep records.

Central bank digital currencies (CBDCs) and specified e-money products are outside CARF. ¹¹ The amended CRS brings them in instead. ¹¹ If the bill passes, CARF starts on 1 January 2027. The amended CRS starts on 1 January 2028. ¹²

Timeline

Date	Milestone	Status	Source
13 Dec 2024	Hong Kong commits to CARF; first exchanges from 2028	Stated target	13
9 Dec 2025	FSTB and IRD public consultation (open until 6 Feb 2026)	Superseded	14,5
25 Feb 2026	Budget: amendment bill in the first half of 2026	Stated target	15
22 May 2026	Bill gazetted	Bill before LegCo	1
3 Jun 2026	First Reading; Second Reading debate (on the bill's main principles) adjourned	Bill before LegCo	16,1
1 Jan 2027	Part 2 (CARF) starts, if passed	Bill before LegCo	4
1 Jan 2028	Part 3 (amended CRS) starts, if passed	Bill before LegCo	17

What it means for your bank

- Under the bill, any group entity would be an RCASP if, as a business, it carries out crypto exchange transactions for customers. Acting as an intermediary counts. ³
- The Hong Kong nexus tests look at: ¹⁸
 - tax residence;
 - incorporation;
 - management;
 - a regular place of business;
 - Hong Kong branches.
- A Hong Kong RCASP would have to register by 31 January of the year after it first meets a nexus test. ¹⁹
- An RCASP would need self-certifications of tax residence (customers' own statements of where they are tax resident) from new customers. ²⁰ For existing users, the same applies within 12 months of the rules taking effect. ²⁰

- Under the amended CRS, crypto-linked derivatives count as financial assets.²¹ CBDCs and specified e-money products are added to the definition of a depository account (a deposit-type account).²¹
- Registration and returns would go to the IRD through its planned CARF Portal.²²
- Hiring a service provider would not, on its own, be a reasonable excuse (a legal defence).²³ This covers failing to register, do due diligence or file returns.²³

Talking points

- **To the CCO:** The bill is not yet law.¹ If passed, CARF duties start on 1 January 2027 and amended CRS on 1 January 2028.¹²
- **To business heads:** A customer crypto exchange service run as a business can make the entity an RCASP. This applies even when the entity acts as an intermediary.³
- **To the CEO:** Hong Kong committed to CARF in December 2024, with first data exchanges targeted from 2028.⁸
- **To Risk:** Proposed fines can scale.²⁴ Some continuing offences carry a further HK\$500 a day after conviction.²⁴ For due-diligence offences, the fine is the higher of two amounts: a level 3 fine, or HK\$1,000 per affected user or controlling person.²⁴ A level 3 fine is a set point on Hong Kong's scale of fines.

Key documents

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2. Crypto-Asset Reporting Framework page — IRD — undated — read the Overview, due diligence, registration and penalty sections — https://www.ird.gov.hk/eng/tax/dta_carf.htm
3. Implementation of CARF and Amendments in Relation to CRS (consultation paper) — FSTB and IRD — 9 Dec 2025 — read paras 4.3-4.18 and Chapter 6 — <https://www.gov.hk/en/residents/government/publication/consultation/docs/2026/crypto-framework.pdf>
4. Hong Kong commits to implementing Crypto-Asset Reporting Framework — FSTB — 13 Dec 2024 — read paras 1-4 — <https://www.info.gov.hk/gia/general/202412/13/P2024121300491.htm>

Related

Projects: policy-statements, va-licensing-regimes. Modules: D5, A3, E1, E3.

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PROJECT PROFILE

CBDC research and cross-border digital money pilots

RESEARCH Run by: HKMA + BISIH

CBDC means central bank digital currency: money issued in digital form by a central bank. This page covers the Hong Kong Monetary Authority (HKMA) research projects on CBDC and tokenised money (money recorded as digital tokens on a shared ledger). The projects are Aurum, Sela, Genesis and Inthanon-LionRock (a joint study with the Bank of Thailand). ¹ The page also covers the cross-boundary pilot of e-CNY (the Mainland's digital renminbi). ² It also covers a 2026 memorandum of understanding (MoU) with Shanghai bodies. ³ Why it matters to your bank: 18 local banks in Hong Kong support top-ups of pilot e-CNY wallets. ⁴

At a glance

Item	Detail
Run by	HKMA, with the Bank for International Settlements Innovation Hub (BISIH), other central banks and Mainland bodies ^{5,2,3}
Status as of 25 Sep 2026	Research (Aurum, Sela, Genesis); Pilot (e-CNY); Exploratory (Shanghai MoU) ^{5,6,7}
Started	Q4 2019 (Inthanon-LionRock) ⁸
Next official date	None stated. The plans to upgrade e-CNY wallets and raise limits have no final timetable. ⁹
Covered in	E2, C5, E3

What it is

Project Aurum built a two-tier prototype with the BISIH and a local research institute. ⁵ It linked a wholesale system (for payments between banks) with retail e-wallets (for the public). ⁵ Its report came out in October 2022. ⁵

The HKMA ran Project Sela with the Bank of Israel. ¹⁰ Sela tested whether non-bank firms, called Access Enablers, could connect directly to a central bank's CBDC ledger (the record of who holds what). ¹⁰ Sela's report says it reflects no HKMA policy decision on a possible e-HKD (a digital Hong Kong dollar). ¹¹

Project Genesis built test platforms with the BISIH for tokenising green bonds (issuing them as digital tokens). ¹² Genesis ended in 2021. The Government's 2023 tokenised green bond built on its work. ¹³

Inthanon-LionRock studied CBDC for cross-border payments with the Bank of Thailand. It later grew into mBridge. ¹⁴

The cross-boundary e-CNY pilot lets Hong Kong residents open personal e-CNY wallets with a Hong Kong mobile number. ¹⁵ They top up the wallets through the Faster Payment System (FPS), Hong Kong's instant payment system. ¹⁵

Timeline

Date	Milestone	Status	Source
Q4 2019	Inthanon-LionRock starts with the Bank of Thailand	Superseded	⁸
2021	Project Genesis ends	Research	¹³
Oct 2022	Project Aurum report	Research	⁵
12 Sep 2023	Project Sela report	Research	¹⁶
20 Oct 2023	HKMA sets up a CBDC Expert Group with five local universities	Research	¹⁷
17 May 2024	Cross-boundary e-CNY pilot widened	Pilot	²
8 Oct 2025	Government says the e-CNY wallet upgrade is still under discussion	Pilot	¹⁸
2 Mar 2026	HKMA, Shanghai Data Bureau and a national blockchain centre sign an MoU on digital cargo trade and trade finance	Exploratory	⁷
25 Mar 2026	Government reports about 80,000 e-CNY wallets and 18 top-up banks	Pilot	⁴

What it means for your bank

- Sela's report says the project reflects no HKMA policy decision on a possible e-HKD. ¹¹
- Pilot wallets are "tier-4" personal wallets. Their limits, in Chinese renminbi (RMB), are:
 - RMB 10,000 balance;
 - RMB 2,000 per transaction;
 - RMB 5,000 a day;
 - RMB 50,000 a year. ¹⁹

- Pilot wallets do not allow person-to-person transfers. Operating institutions may set lower limits.¹⁹
- 18 local banks in Hong Kong support FPS top-ups.⁶ The People's Bank of China (PBoC) and the HKMA are exploring wallet upgrades to raise limits. The proposals and timing are not final.⁶
- The Shanghai MoU says the parties will explore cross-border financial cooperation and electronic bills of lading (digital shipping documents) under Project Ensemble.²⁰ They will also study trade finance that uses cargo and trade data from linked data platforms.²⁰
- The Government says stablecoins, CBDC such as e-CNY, and tokenised deposits each have their own features and maturity. It says market forces will largely decide their future.²¹

Talking points

- **To the CCO:** Sela and Aurum were research projects. Sela's report says it reflects no HKMA policy decision on an e-HKD.^{5,11}
- **To business heads:** About 80,000 e-CNY wallets were registered by end-January 2026. 18 Hong Kong banks support FPS top-ups.⁴
- **To the CEO:** Under the 2026 Shanghai MoU, the parties will explore electronic bills of lading under Project Ensemble.²⁰
- **To Risk:** Pilot e-CNY wallets do not allow person-to-person transfers. They cap balances at RMB 10,000.¹⁹

Key documents

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2. Project Sela – An accessible and secure retail CBDC ecosystem — HKMA, Bank of Israel and BISIH — 12 Sep 2023 — read Section 1 and its footnotes — <https://www.hkma.gov.hk/media/eng/doc/key-information/press-release/2023/20230912e3a1.pdf>
3. Expanding the cross-boundary e-CNY pilot in Hong Kong — HKMA — 17 May 2024 — read paras 1-2 and Annexes 1-2 — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2024/05/20240517-3/>
4. Hong Kong Monetary Authority, Shanghai Data Bureau, and National Technology Innovation Center for Blockchain sign MoU to strengthen Shanghai-Hong Kong cooperation in digitised cargo trade and finance — HKMA — 2 Mar 2026 — read paras 1-2 — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2026/03/20260302-3/>
5. LCQ18: Development of digital Renminbi and stablecoins — Financial Services and the Treasury Bureau (FSTB) — 25 Mar 2026 — read Replies (1)-(3) — <https://www.info.gov.hk/gia/general/202603/25/P2026032500231.htm>

Related

Projects: mbridge, e-hkd, ensemble, digital-bonds. Modules: E2, C5, E3.

For general information only. Not legal or regulatory advice. Always check the official source.

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13. HKMA. *HK SAR Government's Inaugural Tokenised Green Bond Offering*, 16 February 2023. Quote from Eddie Yue. <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2023/02/20230216-3/>
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PROJECT PROFILE

CMU OmniClear digital asset platform and tokenised Exchange Fund Bills

STATED TARGET Run by: CMU + HKMA

CMU OmniClear (the company that runs Hong Kong's central bond settlement system) plans a digital asset platform. ¹ That system is the Central Moneymarkets Unit (CMU), Hong Kong's central securities depository. ² A central securities depository is where bonds are held and settled. Separately, the Hong Kong Monetary Authority (HKMA) intends to test tokenised Exchange Fund Bills. ¹ "Tokenised" means recorded as digital tokens on a shared ledger. Exchange Fund Bills are short-term debt issued by the HKMA. Why banks care: the Policy Address links the bill tests to how banks manage their assets and liabilities. ³ The platform is meant to be a one-stop service for issuing and settling digital bonds. ⁴

At a glance

Item	Detail
Run by	CMU OmniClear Limited runs the CMU on behalf of the HKMA. The HKMA runs the Exchange Fund Bills tests. ^{5,3}
Status as of 25 Sep 2026	Stated target ¹
Started	CMU OmniClear set up 18 Oct 2024 ⁶
Next official date	Platform: "this year" (2026). Exchange Fund Bills tests: by year-end 2026. Both are stated targets. ¹
Covered in	C5, A3, E1, E3

What it is

The HKMA set up CMU OmniClear to run the CMU under a contract with the HKMA. ⁷ At set-up, the Exchange Fund (Hong Kong's official reserves) wholly owned the company. ⁷ The HKMA stays the owner and system operator of the CMU. The HKMA also holds the legal relationships with CMU participants (the firms that use the CMU) and makes CMU policy decisions. ^{8,9}

Hong Kong Exchanges and Clearing (HKEX) is taking a 20% stake in the holding company, CMU OmniClear Holdings. The Exchange Fund keeps 80%. ²

The 2026-27 Budget said CMU OmniClear would set up a digital asset platform in 2026, for issuing and settling digital bonds. ¹⁰ The Budget said the platform would later cover other digital assets and link to other tokenisation platforms in the region. ¹⁰

The 2026 Policy Address repeats the platform target. ¹ It also says the HKMA will test tokenising Exchange Fund Bills by year-end. ¹ The purpose is to let banks use more than HK\$1.3 trillion of these bills at any hour. ¹

The Hong Kong Mortgage Corporation (HKMC) issued digital bonds in June 2026. ¹¹ The bonds were created on a distributed ledger technology (DLT) platform run by the CMU. DLT is a shared digital record kept in step across many computers. ¹¹ The CMU acted as the clearing and settlement system for these bonds. ¹¹

Timeline

Date	Milestone	Status	Source
16 Feb 2023	First tokenised Government bond clears through the CMU with statutory finality (settlement the law treats as final)	Issued	¹²
18 Oct 2024	HKMA sets up CMU OmniClear Limited	In force	⁶
4 Mar 2025	CMU OmniClear and HKEX sign a memorandum of understanding (MoU) on post-trade systems	Exploratory	¹³
12 Nov 2025	HKEX to take 20% of CMU OmniClear Holdings	Announced	²
25 Feb 2026	Budget: digital asset platform to be set up in 2026	Stated target	¹⁰
10 Jun 2026	HKMC digital bonds priced; created on a DLT platform run by the CMU	Issued	¹⁴
16 Sep 2026	Policy Address: platform this year; tokenised Exchange Fund Bills tests by year-end	Stated target	¹

What it means for your bank

- Nothing is binding yet. Both items are stated targets. ¹ The sources reviewed show no platform rulebook and no test design. ¹
- The Policy Address links the Exchange Fund Bills tests to how banks manage their assets and liabilities. ³
- The Digital Bond Grant Scheme is an HKMA subsidy for digital bond issues. Issuing on a DLT platform run by the CMU meets one of its two alternative Basic Requirements. ¹⁵ The HKMA decides case by case whether a platform counts. ¹⁵
- The law treats the CMU as a designated clearing and settlement system. So its settlements have statutory finality. ¹⁶ Another DLT platform gets statutory finality only if the HKMA designates it. Otherwise, the parties can agree on finality in their contract. ¹⁶

- The HKMA's February 2024 circular on tokenised products does not cover products regulated under the Securities and Futures Ordinance (the main securities law).¹⁷ Those products follow the relevant Securities and Futures Commission (SFC) and HKMA requirements.¹⁷

Talking points

- **To the CCO:** No rules are out yet for the platform or the Exchange Fund Bills tests. Both are stated targets.¹
- **To business heads:** The platform is meant to be a one-stop service for issuing and settling digital bonds.⁴
- **To the CEO:** The HKMA plans tests of tokenised Exchange Fund Bills by end-2026. This is to help banks use more than HK\$1.3 trillion of these bills round the clock.³
- **To Risk:** A DLT platform has statutory finality only if the HKMA designates it. Otherwise, finality rests on contract.¹⁸

Key documents

1. The Chief Executive's 2026 Policy Address — Hong Kong Government — 16 Sep 2026 — read para 35 (pp.22-23) — https://www.policyaddress.gov.hk/2026/public/pdf/policy/policy-full_en.pdf
2. 2026-27 Budget — Financial Secretary — 25 Feb 2026 — read paras 112-114 — https://www.budget.gov.hk/2026/eng/pdf/e_budget_speech_2026-27.pdf
3. HKMA Establishes CMU OmniClear Limited — HKMA — 18 Oct 2024 — read paras 1-3 — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2024/10/20241018-5/>
4. HKMA introduces HKEX as a strategic shareholder in CMU OmniClear Holdings Limited — HKMA — 12 Nov 2025 — read paras 2 and 6 — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2025/11/20251112-3/>

Related

Projects: digital-bonds, digital-bond-grant-scheme, tokenised-bond-expert-group, ensemble. Modules: C5, A3, E1, E3.

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PROJECT PROFILE

Digital Bond Grant Scheme (DBGS)

IN FORCE Run by: HKMA

The Digital Bond Grant Scheme (DBGS) is a subsidy from the Hong Kong Monetary Authority (HKMA). It refunds part of the cost of issuing a digital bond in Hong Kong. ¹ A digital bond is a bond whose ownership is recorded on a shared digital ledger. For a bank that arranges or issues digital bonds, the scheme's conditions affect whether a deal can qualify for a grant.

At a glance

Item	Detail
Run by	Hong Kong Monetary Authority (HKMA) ²
Status as of 25 Sep 2026	In force (initial three-year period) ²
Started	Applications opened 28 Nov 2024. Bonds issued on or after 16 Oct 2024 can apply. ^{3,4}
Next official date	End of the initial three years from 28 Nov 2024. The sources reviewed show no decision on renewal. ⁵
Covered in	C5, E3

What it is

The DBGS refunds half of the eligible costs of issuing a digital bond. ⁶ A Half Grant pays up to HK\$1.25 million. It applies when the bond meets only the Basic Requirements (the entry conditions). ⁶ A Full Grant pays up to HK\$2.5 million. It applies when the bond also meets all the Additional Requirements. ⁶ Each issuer, counted together with its associates, can get grants for two issues at most. ⁶ Associates are, broadly, firms that control the issuer, firms the issuer controls, and firms under the same control as the issuer. ⁶ To qualify at all, half or more of the lead arrangers (the firms that organise and sell the issue) must be recognised arrangers. ⁷ Recognised arrangers are, in general, arrangers with substantial bond market operations in Hong Kong. ⁷ The bond also needs one of two things. ⁷ One is a distributed ledger technology (DLT) team with a substantial Hong Kong presence. ⁷ The other is issuance on a DLT platform run by the Central Moneymarkets Unit (CMU), the HKMA's bond settlement system. ⁷ DLT is a shared digital record kept in step across many computers. The HKMA reserves the absolute right to decide whether a bond meets the requirements and how much to grant. ² The HKMA may also adjust the scheme. ²

Timeline

Date	Milestone	Status	Source
16 Oct 2024	Scheme announced in the Policy Address; bonds issued from this date can apply	Announced	⁴
28 Nov 2024	HKMA launches the DBGS and opens applications	In force	³
28 Nov 2024	Guideline on the DBGS issued	In force	²
25 Feb 2026	Budget says the HKMA will use the DBGS to encourage more digital bond issues	Stated target	⁸
16 Jul 2026	HKMA one-page scheme summary published	Reference	⁹
Nov 2027	Initial three-year period ends (three years from 28 Nov 2024)	Stated period	⁵

What it means for your bank

- Arranger roles matter if the bank arranges bonds. Half or more of the lead arrangers must be recognised arrangers for the issue to qualify. ⁷
- The Full Grant needs a DLT platform provider that is not one of the issuer's associates. ¹⁰ So a bank issuing on its own group's platform would not meet that test. ¹⁰
- The Full Grant has three more conditions: ¹¹
 - an issue size of at least HK\$1 billion; ¹¹
 - five or more investors not associated with the issuer or the platform provider; and ¹¹
 - a listing on the Stock Exchange of Hong Kong, or on a virtual asset (crypto) trading platform licensed by the Securities and Futures Commission. ¹¹
- Two kinds of cost are not eligible expenses: ¹²
 - fees paid to DLT platform providers or arrangers that are associates of the issuer; and ¹²
 - costs covered by other grant schemes. ¹²
- A green digital bond (one that funds environmental projects) can claim general issuance costs under only one scheme. ¹³ The choice is the DBGS or Track I of the Green and Sustainable Finance Grant Scheme. ¹³
- The issuer, a lead arranger or the DLT platform provider may apply formally within three months after issue. ¹⁴ An optional consultation with the HKMA is available before applying, either before or after issue. ¹⁴

Talking points

- **To the CCO:** The grant is a subsidy. The HKMA reserves the absolute right to decide eligibility and the amount. ²
- **To business heads:** Clients can recover half of eligible expenses, up to HK\$2.5 million per issue. Each issuer, with its associates, can do this for two issues at most. ⁶
- **To the CEO:** The 2026-27 Budget says the HKMA will use the scheme to encourage more digital bond issues in Hong Kong. ⁸
- **To Risk:** An issuer that uses a DLT platform provided by its own associate cannot get the Full Grant. The Half Grant is then the most it can get. ¹¹

Key documents

1. Guideline on the Digital Bond Grant Scheme — HKMA — 28 Nov 2024 — read ss.1-5 on amounts, conditions, expenses and timing — https://www.hkma.gov.hk/media/eng/doc/key-functions/ifc/bond-market-development/Guideline_on_the_Digital_Bond_Grant_Scheme.pdf
2. HKMA launches Digital Bond Grant Scheme — HKMA — 28 Nov 2024 — read paras 1-3 — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2024/11/20241128-3/>
3. Digital Bond Grant Scheme (summary sheet) — HKMA — Jul 2026 — a one-page checklist of conditions — https://www.hkma.gov.hk/media/eng/doc/key-functions/ifc/bond-market-development/DBGS_Eng.pdf

Related

Projects: digital-bonds, tokenised-bond-expert-group, cmu-omniclear. Modules: C5, E3.

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PROJECT PROFILE

Digital bonds: Genesis, Evergreen and the public-sector issues

ISSUED Run by: HKMA + HKMC

Digital bonds (also called tokenised bonds) are bonds whose ownership is recorded as digital tokens on a shared ledger. Hong Kong's work on them began with a 2021 test called Project Genesis.^{1,2} Since then, the Government has issued three green bonds in digital form, and the Hong Kong Mortgage Corporation (HKMC) issued its own digital bond in 2026.^{1,2,3} For banks, the section below on what it means for your bank covers the custody, settlement and licensing points.

At a glance

Item	Detail
Run by	Hong Kong Monetary Authority (HKMA), acting for the Hong Kong Government on its bonds; HKMC for its own issue ^{4,3} . Official titles say HKSAR (Hong Kong Special Administrative Region) Government.
Status as of 25 Sep 2026	Issued (latest issue dated 15 Jun 2026). The Policy Address says digital bond issuance will be made regular. ^{5,6}
Started	2021 (Project Genesis proof of concept, a small test of whether the idea works) ^{1,2}
Next official date	No date given. The Budget says tokenised bonds will keep being issued on a regular basis. ⁷
Covered in	C5, E2, A3, E3

What it is

The HKMA started work on bond tokenisation in 2021.¹ That first step was a proof of concept run with the Bank for International Settlements (BIS) Innovation Hub Hong Kong Centre.¹ Under Project Evergreen, the HKMA then helped the Government issue tokenised green bonds (bonds that raise money for environmental projects).⁸ The first was a HK\$800 million bond in February 2023.⁹ It was described as the first tokenised green bond issued by any government.⁹ It settled on a T+1 basis, meaning one business day after the trade date.¹⁰ Settlement ran through the Central Moneymarkets Unit (CMU), the HKMA's bond settlement system.¹⁰ Settlements in the CMU carry statutory settlement finality: the law treats them as final.¹⁰ The HKMA's August 2023 report reviewed Hong Kong statutes.¹¹ It found none that sets the form debt securities (such as bonds) must take when issued.¹¹ A multi-currency issue (one sold in several currencies) of about HK\$6 billion followed in February 2024.¹² In November 2025, a HK\$10 billion issue became the first digital bond to offer settlement in tokenised central bank money.¹³ The two options were e-HKD (a digital form of the Hong Kong dollar) and e-CNY (a digital form of China's renminbi).¹³ In June 2026, the HKMC priced about HK\$12 billion of digital bonds.¹⁴ The bonds were created on a distributed ledger technology (DLT) platform run by the CMU.¹⁴ DLT is a shared digital record kept in step across many computers.

Timeline

Date	Milestone	Status	Source
2021	Project Genesis proof of concept with the BIS Innovation Hub	Research	1,2
31 Oct 2022	Policy Statement names a tokenised green bond pilot	Historical	15
16 Feb 2023	HK\$800m tokenised Government green bond settles	Issued	16
24 Aug 2023	HKMA report "Bond Tokenisation in Hong Kong" released	Research	17
7 Feb 2024	About HK\$6bn multi-currency digital green bonds offered	Issued	12
By 28 Nov 2024	EvergreenHub (HKMA digital bond knowledge library) launched	Launched	18
10 Nov 2025	HK\$10bn digital green bonds priced, with an option to settle in e-HKD or e-CNY	Issued	19
10 Jun 2026	HKMC prices about HK\$12bn digital bonds (issue date 15 Jun 2026)	Issued	20
16 Sep 2026	Policy Address: digital bond issuance to be made regular	Stated target	6

What it means for your bank

- In Evergreen, only custodians (firms that hold securities for clients) could open token accounts on the platform.²¹ Each custodian had to be a CMU participant and be onboarded (signed up and approved) to the platform.²¹ Other investors held the bonds through those custodians. The custodians recorded those investors' interests in their own books.²¹
- The report also covers platforms where investors are onboarded themselves.²² There, the report's starting point is for the platform operator to run know-your-customer checks (confirming who each client is). Custodians share this role, as appropriate.²² The same starting point applies to the steps that help clients meet anti-money laundering and counter-terrorist financing rules.²²
- By law, the CMU is treated as a designated clearing and settlement system (a system the HKMA formally oversees).²³ So its settlements have statutory finality.²³ Another DLT platform gets that legal finality only if the HKMA designates it. Otherwise, the parties can agree finality in their contracts.²³

- The report says existing securities licensing and offering rules also apply to issuing or distributing digital bonds.²⁴ These rules sit in the Securities and Futures Ordinance (SFO), Hong Kong's main securities law.²⁴
- The HKMA's February 2024 circular (formal notice to banks) on tokenised products does not cover products regulated under the SFO.²⁵ Those products follow the relevant requirements of the Securities and Futures Commission (SFC) and the HKMA.²⁵ One example is the SFC's November 2023 circular on tokenised securities.²⁵

Talking points

- **To the CCO:** The Evergreen report says existing SFO licensing and offering rules also apply to digital bonds.²⁴
- **To business heads:** Sixteen financial institutions arranged the HKMC deal, and settlement fell from T+5 to T+3 (five business days to three). Investors could use existing CMU links to Euroclear and Clearstream, two international settlement systems.²⁶
- **To the CEO:** The Policy Address says Hong Kong-issued digital bonds took nearly half the global market from 2025 to mid-2026.²⁷
- **To Risk:** The Evergreen report notes that the new capabilities of DLT platforms are largely untested in financial markets. It suggests continuity plans, including for a move to another platform.²⁸

Key documents

1. Bond Tokenisation in Hong Kong (Project Evergreen report) — HKMA — 24 Aug 2023 — read paras 23-47 on law, custody and settlement — <https://www.hkma.gov.hk/media/eng/doc/key-information/press-release/2023/20230824e3a1.pdf>
2. HKSAR Government's Third Digital Green Bonds Offering — HKMA — 11 Nov 2025 — read paras 1-10 and key features — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2025/11/20251111-6/>
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Related

Projects: digital-bond-grant-scheme, tokenised-bond-expert-group, cmu-omniclear, ensemble, cbdc-research. Modules: C5, E2, A3, E3.

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11. HKMA. *Bond Tokenisation in Hong Kong*, 24 August 2023. Para 28, p.12. <https://www.hkma.gov.hk/media/eng/doc/key-information/press-release/2023/20230824e3a1.pdf>
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PROJECT PROFILE

e-HKD (digital Hong Kong dollar)

RESEARCH Run by: HKMA

e-HKD is the Hong Kong Monetary Authority (HKMA) study of a possible Hong Kong central bank digital currency (CBDC). ¹ A CBDC is digital money issued by a central bank. It matters to your bank because the work now focuses on wholesale use by financial institutions such as banks. ¹ The HKMA has not decided whether to launch an e-HKD. ²

At a glance

Item	Detail
Run by	HKMA ³
Status as of 25 Sep 2026	Research (for retail use by the public, groundwork is done but there is no launch decision); wholesale use between financial institutions is the stated priority ^{4,5}
Started	2017, with Project LionRock (an early wholesale test) ³
Next official date	2026: real-value e-HKD payments for after-hours derivatives trading with Hong Kong Exchanges and Clearing (HKEX) (stated target) ⁶
Covered in	E2, A3, E1, E3

What it is

The HKMA began in 2017 with Project LionRock. ³ It was a proof of concept (an early test that an idea works) on large-value payments and delivery-versus-payment settlement. ³ Delivery versus payment means an asset and its payment change hands at the same moment.

The HKMA then consulted on a retail e-HKD, meaning one for the public. It did so through a 2021 technical paper and a 2022 policy paper. ⁷ The technical paper proposed a two-tier model, in which commercial banks distribute e-HKD. ⁸ The paper said its design was not a blueprint. ⁸

In September 2022 the HKMA set out a three-rail approach (three parallel tracks of work). ⁹ Its early legal research suggested existing law may not give enough certainty to issue a digital form of legal tender. ⁹ Legal tender is money that the law recognises for paying debts.

Industry pilots ran in two phases. ¹⁰ In September 2024 the HKMA renamed the project e-HKD+ so that it also covers tokenised deposits (digital versions of bank deposits). ¹⁰ In October 2025 the HKMA said the near-term priority is wholesale payments rather than retail use. ⁴ The HKMA has not decided whether, or when, it will introduce an e-HKD. ²

Timeline

Date	Milestone	Status	Source
2017	Project LionRock wholesale proof of concept	Research	³
4 Oct 2021	Technical paper proposes a two-tier design	Superseded	¹¹
27 Apr 2022	HKMA publishes a policy and design paper	Research	¹²
20 Sep 2022	HKMA sets out the three-rail approach	Research	¹³
18 May 2023	Phase 1 pilots start with 16 firms	Research	¹⁴
30 Oct 2023	Phase 1 report	Research	¹⁵
23 Sep 2024	Phase 2 starts; project renamed e-HKD+	Research	¹⁰
28 Oct 2025	Phase 2 report; wholesale uses become the priority	Research	⁴
11 Nov 2025	Government digital green bonds offer an option to settle in e-HKD	Issued	¹⁶
H1 2026	Target to finish groundwork for possible retail use. The HKMA's CBDC web page now says this work is done.	Research	^{17,18}
2026	Real-value e-HKD payments for after-hours derivatives trading with HKEX	Stated target	⁶

What it means for your bank

- The HKMA has made no policy decision on whether, or when, it would introduce an e-HKD. ² The 2021 technical paper says its design is not a blueprint for e-HKD. ¹⁹
- The April 2022 paper said full anonymity is not a realistic option. ²⁰ The reason is the requirements against money laundering and terrorist financing. ²⁰ It noted that tiered wallets are a common answer. ²⁰ Tiered wallets give users higher limits when they share more identity details.

- The same paper looked at a two-tier model.²¹ It said customer-facing institutions could be given the job of customer due diligence (checking who customers are) and record-keeping.²¹
- Phase 2 found that the public sees e-HKD and tokenised deposits in a similar light, because people trust banks highly.²²
- The HKMA says it will publish common token standards (shared technical rules for digital tokens) from the e-HKD Industry Forum.²³

Talking points

- **To the CCO:** No decision exists to introduce an e-HKD.² The 2022 paper saw the firms that distribute e-HKD as the ones that could handle customer due diligence.²¹
- **To business heads:** The HKMA's e-HKD focus is now wholesale payments, supporting tokenisation and cross-border settlement.⁴
- **To the CEO:** The Government's November 2025 digital green bonds offered settlement in e-HKD and e-CNY (the Mainland's digital renminbi). No digital bond offering anywhere had offered this before.¹⁶
- **To Risk:** In Phase 2, privacy tools called zero-knowledge proofs made transactions up to 320 times costlier in gas fees (network transaction fees).²⁴

Key documents

1. Central Bank Digital Currency (CBDC) — HKMA — web page, updated Sep 2026 — read the policy stance and e-HKD sections — <https://www.hkma.gov.hk/eng/key-functions/international-financial-centre/fintech/central-bank-digital-currency/>
2. HKMA completes e-HKD Pilot Programme and outlines future direction of e-HKD — HKMA — 28 Oct 2025 — read paras 3-6 — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2025/10/20251028-4/>
3. e-HKD Pilot Programme Phase 2 Report — HKMA — 28 Oct 2025 — read the Executive Summary and Sections 4-5 — <https://www.hkma.gov.hk/media/eng/doc/key-information/press-release/2025/20251028e4a1.pdf>
4. e-HKD: A Policy and Design Perspective — HKMA — 27 Apr 2022 — read Sections 5.3-5.4 on privacy and intermediaries — https://www.hkma.gov.hk/media/eng/doc/key-functions/financial-infrastructure/e-HKD_A_Policy_and_Design_Perspective.pdf

Related

Projects: mbridge, ensemble, cbdc-research, digital-bonds. Modules: E2, A3, E1, E3.

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PROJECT PROFILE

Project Ensemble

PILOT Run by: HKMA

Project Ensemble is a Hong Kong Monetary Authority (HKMA) project on wholesale central bank digital currency. It supports settling tokenised money (money held as digital tokens) between banks. ¹ It matters to your bank because it is now a live pilot with real-value deals (EnsembleTX). ² The HKMA invites parties with real-value uses for tokenised deposits to take part. ³

At a glance

Item	Detail
Run by	HKMA, advised on standards by an industry group called the Architecture Community ⁴
Status as of 25 Sep 2026	Pilot (EnsembleTX is to run throughout 2026) ⁵
Started	7 Mar 2024 ¹
Next official date	Around end-2026: 24/7 operations and settlement in central bank digital currency (CBDC) under EnsembleTX (stated target) ⁶
Covered in	C5, E1, E2, A3, E3

What it is

Ensemble explores new market infrastructure, meaning the shared systems that banks use to settle deals. ⁷ It tests how banks can settle tokenised money with each other using wholesale CBDC (wCBDC). ^{7,8} Wholesale CBDC is digital central bank money that only financial institutions use. Ensemble's first focus is tokenised deposits. ⁷ These are digital versions of ordinary commercial bank deposits.

The HKMA set up the Architecture Community in May 2024 to develop shared industry standards. ⁹ A Sandbox (a test environment) followed in August 2024. ¹⁰ Banks in the Architecture Community connected their tokenised-deposit platforms to it. ¹⁰ They were then ready to run two kinds of interbank test. ¹⁰

- Payment versus payment (PvP): both sides of a currency deal pay at the same moment.
- Delivery versus payment (DvP): an asset and the payment for it change hands at the same moment.

In November 2025 the project moved to EnsembleTX, a pilot that uses real value. ¹¹ It starts with trades in tokenised money market funds and with real-time treasury and liquidity uses. ¹¹ At first, banks settle with each other through the Hong Kong dollar real-time gross settlement system. ¹² That system settles each interbank payment in full, one by one, as it happens. The HKMA plans a gradual move to round-the-clock settlement in tokenised central bank money. ¹²

Timeline

Date	Milestone	Status	Source
7 Mar 2024	HKMA unveils Project Ensemble	Superseded (by EnsembleTX)	¹
7 May 2024	HKMA forms the Ensemble Architecture Community	Pilot (still a partner forum)	^{13,14}
27 Jun 2024	HKMA and Banque de France (BDF) announce joint work to link DL3S (the BDF's wholesale CBDC platform) with the Ensemble Sandbox. The work falls under a recent memorandum of understanding (MoU).	Exploratory	¹⁵
28 Aug 2024	HKMA launches the Ensemble Sandbox, with four test themes	Superseded (by EnsembleTX)	^{16,17}
28 Oct 2024	Tie-ups with Brazil's central bank (Banco Central do Brasil, on its Drex project) and the Bank of Thailand (on Project San)	Exploratory	^{18,19}
13 Nov 2025	HKMA launches the EnsembleTX real-value pilot	Pilot	²⁰
25 Feb 2026	The Budget says the HKMA will keep upgrading EnsembleTX to support 24/7 settlement	Stated target	²¹
2 Mar 2026	The HKMA, the Shanghai Data Bureau and a national blockchain centre sign an MoU. Electronic bills of lading (digital shipping documents) are to be explored under Ensemble.	Exploratory	²²
Around end-2026	24/7 operations and CBDC settlement in EnsembleTX	Stated target	⁶
By end-2026	Pilot deals done for trade-finance uses of tokenised deposits, studied with the Mainland	Stated target	²³

What it means for your bank

- The HKMA lists seven Tokenised Deposit Banks.²⁴ These banks are going to offer tokenised deposits to Hong Kong customers.²⁴ They will also settle interbank tokenised-deposit deals through EnsembleTX with real value.²⁴ The HKMA invites others with real-value uses for tokenised deposits to take part.³
- When customers place tokenised deposits, the HKMA says banks should also meet its circular on tokenised products.²⁵ That circular expects due diligence, disclosure, risk controls and early discussion with the HKMA.²⁵
- The liquidity coverage ratio (LCR) tests whether a bank holds enough cash-like assets to get through a short period of stress. Under the LCR, a bank may treat qualifying tokenised deposits as deposits or unsecured funding.²⁶ "Qualifying" means a legally binding claim on the bank that can be cashed in at full face value.²⁶ These deposits cannot count as stable retail deposits.²⁶
- The HKMA has a non-binding note on distributed ledger technology (shared digital record-keeping). It sets out what the HKMA would expect in four areas.²⁷ These are network choice, smart contracts, private-key security, and legal risks such as settlement finality.²⁷ Smart contracts are programs that run by themselves on the ledger. Settlement finality is the point at which a payment becomes final and irreversible.
- Before a full launch, a bank can use the Supervisory Incubator to check its risk controls with a dedicated HKMA team.²⁸ Tokenised deposits are a core focus of the Incubator.²⁸

Talking points

- **To the CCO:** EnsembleTX is a pilot, not a rulebook.² Customer tokenised deposits still fall under the HKMA's tokenised-products circular, which expects early discussion with the HKMA.²⁹
- **To business heads:** The pilot starts with tokenised money market funds and real-time treasury uses.³⁰ The HKMA invites proposals for new real-value uses of tokenised deposits.³⁰
- **To the CEO:** The 2026 Policy Address says the HKMA plans 24/7 operations and CBDC settlement for EnsembleTX by around end-2026.⁶
- **To Risk:** Tokenised deposits cannot get the LCR treatment for stable retail deposits. If holders cannot always be identified, they count as other unsecured wholesale funding.³¹

Key documents

1. HKMA announces the new phase of Project Ensemble to support real-value transactions in tokenised deposits and digital assets — HKMA — 13 Nov 2025 — read paras 1-5 — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2025/11/20251113-3/>
2. Annex A and Annex B to the EnsembleTX release — HKMA — 13 Nov 2025 — read both for participant lists and bank roles — <https://www.hkma.gov.hk/media/eng/doc/key-information/press-release/2025/20251113e3a1.pdf>
3. HKMA unveils Project Ensemble — HKMA — 7 Mar 2024 — read paras 1-6 for the original aims — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2024/03/20240307-5/>
4. HKMA launches Project Ensemble Sandbox — HKMA — 28 Aug 2024 — read paras 1-3 and footnote 1 for test themes — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2024/08/20240828-3/>
5. The Chief Executive's 2026 Policy Address — Hong Kong Government — 16 Sep 2026 — read paras 50 and 99 — https://www.policyaddress.gov.hk/2026/public/pdf/policy/policy-full_en.pdf
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Related

Projects: mbridge, e-hkd, supervisory-incubator-dlt, digital-bonds, cbdc-research, policy-statements. Modules: C5, E1, E2, A3, E3.

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PROJECT PROFILE

Project mBridge

PILOT Run by: HKMA and partners

Project mBridge is a shared platform where several central banks each issue their own central bank digital currency (CBDC). ¹ A CBDC is digital money issued by a central bank. It matters to your bank because banks can use the platform to settle cross-border payments and foreign exchange (FX) trades directly. ¹ The Government calls it part of Hong Kong's financial market infrastructure. ²

At a glance

Item	Detail
Run by	The mBridge project team. Its members are the Hong Kong Monetary Authority (HKMA), the Bank of Thailand (BoT), the Central Bank of the United Arab Emirates (CBUAE), the Digital Currency Institute of the People's Bank of China (PBC), and the Bank for International Settlements Innovation Hub (BISIH) Hong Kong Centre. In June 2024 the Saudi Central Bank was welcomed as the next full participant. ³
Status as of 25 Sep 2026	Pilot (at the minimum viable product stage, meaning a first working version). The Government calls it part of Hong Kong's financial market infrastructure. ²
Started	Q4 2019 as Inthanon-LionRock (a joint study by the HKMA and the BoT); renamed in Feb 2021 ⁴
Next official date	None stated. The Government says wider public and private participation will come gradually. ²
Covered in	E2, E3

What it is

The project began as Inthanon-LionRock, a study by the HKMA and the BoT on using CBDC for cross-border payments. ⁴ In February 2021 the PBC's Digital Currency Institute and the CBUAE joined. ⁵ The project was then renamed the m-CBDC Bridge. ⁵

The platform tests FX deals in which both payments settle at the same moment (payment versus payment). ⁶ It tests these deals in real time, around the clock, across several jurisdictions. ⁶

In the 2022 pilot, 20 banks in four jurisdictions made more than 160 payment and FX trades. ¹ The trades were worth over US\$22 million in total. ¹

The platform reached minimum viable product (MVP) stage in June 2024. ⁷ Each founding central bank's jurisdiction hosts a validating node, meaning a computer that checks and records platform transactions. ⁷ In October 2025 the Government told the Legislative Council that participating Hong Kong banks set their own fees for mBridge payments. ²

Timeline

Date	Milestone	Status	Source
Q4 2019	Inthanon-LionRock starts (HKMA and BoT)	Superseded	⁸
Jan 2020	Inthanon-LionRock report	Superseded	⁹
23 Feb 2021	The PBC's Digital Currency Institute and the CBUAE join; project renamed m-CBDC Bridge	Superseded	⁵
28 Sep 2021	Interim report on faster, cheaper payments	Research	¹⁰
15 Aug 2022	Six-week real-value pilot begins	Pilot	¹¹
26 Oct 2022	Pilot results published	Pilot	¹²
Oct 2023	mBridge update brochure	Pilot	¹³
5 Jun 2024	MVP reached; Saudi Central Bank welcomed as next full participant	Pilot	¹⁴
8 Oct 2025	Government says mBridge is part of Hong Kong's financial market infrastructure	Pilot	²

What it means for your bank

- Each bank runs its own compliance checks off the platform before it sends or confirms a payment. ¹⁵ These include anti-money laundering (AML), counter-terrorist financing (CTF) and sanctions checks. ¹⁵
- Each participating bank must follow the AML, CTF and sanctions laws that apply to it. ¹⁶ The platform only attaches a pass or fail certificate from the bank's own off-platform check. ¹⁶
- Banks keep know-your-customer checks (confirming who customers are), AML and counter-terrorist financing compliance off the platform. ¹⁷ Each jurisdiction's own rules apply. ¹⁷
- Foreign banks can hold and use another jurisdiction's CBDC. ^{18,19} Only that jurisdiction's domestic banks can ask its central bank to issue or redeem it. ^{18,19}
- Private firms can propose add-on technology or new uses through a BISIH participation form. ²⁰

Talking points

- **To the CCO:** On mBridge, AML and sanctions checks stay with each bank, off the platform.²¹
- **To business heads:** Participating Hong Kong banks set their own fees for mBridge payments.²
- **To the CEO:** Project mBridge reached MVP in June 2024.²² The Government calls it part of Hong Kong's financial market infrastructure.²
- **To Risk:** The 2022 pilot ran on a single central cloud in Hong Kong. The report says keeping data in one cloud raised privacy concerns.²³

Key documents

1. Project mBridge: Connecting economies through CBDC — BISIH, HKMA and partner central banks — Oct 2022 — read sections 6.5.2, 7.1 and 7.2 — <https://www.hkma.gov.hk/media/eng/doc/key-information/press-release/2022/20221026e3a1.pdf>
2. Project mBridge reaches MVP stage — HKMA — 5 Jun 2024 — read paras 1-4 and footnote 1 — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2024/06/20240605-4/>
3. Project mBridge Update: Experimenting with a multi-CBDC platform for cross-border payments — BISIH and partners — Oct 2023 — read pages 2-3 — https://www.hkma.gov.hk/media/eng/doc/key-functions/financial-infrastructure/mBridge_publication.pdf
4. LCQ21: e-CNY (digital renminbi) wallets — Hong Kong Government reply to a Legislative Council question — 8 Oct 2025 — read Reply (4) — <https://www.info.gov.hk/gia/general/202510/08/P2025100800250.htm>

Related

Projects: e-hkd, cbdc-research, ensemble. Modules: E2, E3.

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PROJECT PROFILE

Government policy statements and Policy Address items

STATED TARGET Run by: FSTB

These are the Government's own strategy papers on digital assets. They include the 2022 Policy Statement, Policy Statement 2.0 in 2025, and the digital-asset targets in the 2025 and 2026 Policy Addresses. ^{1,2} A Policy Address is the Chief Executive's yearly speech setting out Government policy. For banks, Policy Statement 2.0 proposed the Hong Kong Monetary Authority (HKMA) as frontline regulator for banks' digital-asset dealing and custody. ³

At a glance

Item	Detail
Run by	Financial Services and the Treasury Bureau (FSTB) for the policy statements; Chief Executive for Policy Addresses ^{4,5,6}
Status as of 25 Sep 2026	Stated target (Policy Statement 2.0 and 2026 Policy Address); 2022 statement superseded by Policy Statement 2.0, which builds on it ⁷
Started	31 Oct 2022 ¹
Next official date	Bill on virtual asset (VA) dealing, custody, advisory and management to be introduced in 2026 (stated target) ⁸
Covered in	A3, A1, E1, E3

What it is

The 2022 Policy Statement adopted a simple principle: the same activity and the same risks get the same regulation. ⁹ It also announced work on a licensing regime for VA service providers. ⁹ It listed three pilots:

- an issue of non-fungible tokens (unique digital tokens) ¹⁰
- a tokenised Government green bond, meaning a bond recorded as digital tokens ¹⁰
- e-HKD (a possible digital Hong Kong dollar) ¹⁰

Policy Statement 2.0 (June 2025) set out the LEAP framework. LEAP stands for four areas of work: ¹¹

- Legal and regulatory streamlining
- Expanding tokenised products
- Advancing use cases and cross-sector collaboration
- People and partnership development

Policy Statement 2.0 proposed the Securities and Futures Commission (SFC) as lead authority to license and register digital-asset dealers and custodians. ³ It proposed the HKMA as frontline regulator for banks. ³ Policy Statement 2.0 also switched the Government's term to *digital assets*. ¹² *Virtual asset* is still the term defined in the Anti-Money Laundering and Counter-Terrorist Financing Ordinance (AMLO). ¹³ The 2026 Policy Address adds targets for the HKMA and SFC, some with dates. ¹⁴

Timeline

Date	Milestone	Status	Source
31 Oct 2022	Policy Statement on Development of VA in Hong Kong	Superseded	^{1,15}
26 Jun 2025	Policy Statement 2.0 (LEAP)	Stated target	¹⁶
17 Sep 2025	2025 Policy Address: bill for dealing and custodian licensing in 2026	Stated target	¹⁷
25 Feb 2026	2026-27 Budget repeats the 2026 bill target. It plans a bill to amend the law for the Crypto-Asset Reporting Framework (global crypto tax reporting rules)	Stated target	¹⁸
16 Sep 2026	2026 Policy Address: HKMA tests of tokenised Exchange Fund Bills (short-term debt the HKMA issues) by year-end. A digital asset platform this year from CMU OmniClear, the company that runs the Central Moneymarkets Unit (CMU) for the HKMA	Stated target	¹⁹
16 Sep 2026	2026 Policy Address: SFC to widen VA licensing, tokenised gold, trading of stablecoins (tokens meant to keep a steady value against a currency)	Stated target	²⁰
Around end-2026	EnsembleTX (the HKMA's pilot for settling tokenised money between banks): settlement in central bank digital currency and round-the-clock operation	Stated target	²¹
By 2029	Customs and Excise Department systems to analyse digital-asset transactions and anti-money laundering data	Stated target	²²

What it means for your bank

- Policy Statement 2.0 said the HKMA would be the frontline regulator for banks. The HKMA was to supervise banks' digital-asset dealing and custody. ³ Policy Statement 2.0 proposed the SFC as the lead authority for licensing and registration. ³

- The 2025 Policy Address said the HKMA would encourage banks to introduce tokenised deposits. These are bank deposits recorded as digital tokens.²³ The HKMA would also promote live deals in tokenised assets, such as settling tokenised money market funds with tokenised deposits.²³
- The same paragraph said the HKMA would encourage banks to use the supervisory sandbox to improve their risk management. The sandbox lets banks test new technology with HKMA oversight.²³
- Separately, the HKMA expects the board of each authorized institution to oversee a strategic business plan on technology change. Authorized institutions are the banks and deposit-takers the HKMA authorizes.²⁴ The board should sign off the plan within six months of the HKMA's 9 March 2026 circular.²⁴

Talking points

- **To the CCO:** The Government now says *digital assets*. But *virtual asset* is still the defined term in AMLO.^{12,13}
- **To business heads:** The 2026 Policy Address says the SFC will promote trading of regulated stablecoins on licensed platforms. It will also promote their use to settle tokenised money market funds.²⁵
- **To the CEO:** The Government's stated 2026 target is one bill for VA dealing, custody, advisory and management licensing.⁸
- **To Risk:** Customs plans a system to analyse digital-asset transactions by 2029. The system is part of the Customs anti-money laundering big-data platform.²²

Key documents

1. Policy Statement 2.0 on the Development of Digital Assets in Hong Kong — FSTB — 26 Jun 2025 — read paras 3-16 — https://gia.info.gov.hk/general/202506/26/P2025062600269_500089_1_1750909574183.pdf
2. Policy Statement on Development of Virtual Assets in Hong Kong — FSTB — 31 Oct 2022 — read paras 4-11 — https://gia.info.gov.hk/general/202210/31/P2022103000454_404805_1_1667173469522.pdf
3. The Chief Executive's 2026 Policy Address — Hong Kong Government — 16 Sep 2026 — read paras 35, 49-51 and 99 — https://www.policyaddress.gov.hk/2026/public/pdf/policy/policy-full_en.pdf
4. 2025 Policy Address — Hong Kong Government — 17 Sep 2025 — read paras 103-104 and Annex item 22 — https://www.policyaddress.gov.hk/2025/public/pdf/policy/policy-full_en.pdf
5. 2026-27 Budget — Financial Secretary — 25 Feb 2026 — read paras 97-114 — https://www.budget.gov.hk/2026/eng/pdf/e_budget_speech_2026-27.pdf

Related

Projects: aspire, va-licensing-regimes, ensemble, cmu-omniclear, carf, stablecoin-regime. Modules: A3, A1, E1, E3.

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PROJECT PROFILE

Relevant Stablecoins: dealing, advice and trading

IN FORCE Run by: HKMA + SFC

Relevant Stablecoins are stablecoins issued under a Hong Kong Monetary Authority (HKMA) licence. ¹ A stablecoin is a digital token meant to keep a steady value, usually against an official currency. In May 2026, the HKMA and the Securities and Futures Commission (SFC) eased how their virtual-asset (VA) conduct rules apply to these coins. ^{2,3} This page also covers the stated plan for trading them on licensed platforms. ⁴ Why it matters to your bank: some VA rules are lighter for these coins. For example, dealing only in these coins needs no Type 1 registration (the SFC registration for dealing in securities). ⁵

At a glance

Item	Detail
Run by	Hong Kong Monetary Authority (HKMA) for banks; Securities and Futures Commission (SFC) for trading platforms and licensed corporations ^{6,7}
Status as of 25 Sep 2026	In force (since 27 May 2026) ^{2,1}
Started	27 May 2026 ^{2,3}
Next official date	None fixed. The Chief Executive's Policy Address says the SFC will promote stablecoin trading on licensed platforms (stated target) ⁴
Covered in	C1, C4, B2, C7, E1

What it is

A Relevant Stablecoin is a specified stablecoin (a class defined in the law) issued under a licence granted under the Stablecoins Ordinance. ¹

After the Ordinance came into force, the HKMA and the SFC reviewed how their joint circulars on VA activities should apply to these coins. ⁸ They took into account that the coins are pegged to a currency. ⁸

The HKMA's circular to registered institutions (RIs) sets out the changes. RIs are banks that the SFC has registered for securities business. ⁹ Updated terms and conditions are in Appendices A1 and A2. ⁹

A separate HKMA letter points all authorized institutions (AIs) to the same standards. AIs are the banks and deposit-taking companies the HKMA authorizes. ¹

The SFC's circular 26EC26 covers virtual asset trading platforms (VATPs) and licensed corporations (LCs), meaning firms licensed by the SFC. ¹⁰ It refers RIs to the HKMA circular. ¹⁰

The HKMA letter says its guidance should not be read as treating these coins as investment products. ¹

Timeline

Date	Milestone	Status	Source
1 Aug 2025	Stablecoins Ordinance comes into force	In force	¹¹
10 Apr 2026	First two issuer licences take effect	In force	¹²
27 May 2026	HKMA circular to RIs, with Appendices A1/A2	In force	²
27 May 2026	HKMA letter to all AIs	In force	¹
27 May 2026	SFC circular 26EC26 to VATPs and LCs	In force	¹³
16 Sep 2026	Policy Address: SFC to promote stablecoin trading on licensed platforms, and their use to settle tokenised money market funds (cash-like funds in token form)	Stated target	⁴

What it means for your bank

- RIs may now deal in a Relevant Stablecoin through the licensed issuer, not only through a VA trading platform. ¹⁴
- Dealing only in Relevant Stablecoins needs no Type 1 registration. ⁵ The conduct terms in Appendix A1 still apply. ⁵
- No VA knowledge test (a check that the client understands VA) is needed for accounts clearly ring-fenced (kept separate) for Relevant Stablecoins only. ¹⁵ If the account adds any other VA, the full rules apply again. ¹⁵
- When dealing or advising, the bank should disclose material information on how each coin keeps its value stable. It should also disclose how redemption (cashing in) of the coin works. ¹⁶

- Advice should rest on thorough analysis, such as what the client wants to use the coin for.¹⁷ Commission rebates or other benefits should not be the main reason to recommend a coin.¹⁷
- The HKMA reminds RIs to give it and the SFC advance notice before they start these activities or change them materially.¹⁸ The HKMA reminds all AIs to discuss these activities with it in advance.¹⁹
- The changes do not apply to other stablecoins.²⁰ The joint-circular rules and the HKMA circular to RIs also do not apply to:
 - AIs that are not RIs;
 - a licensed issuer, for its own coin.²⁰
- The HKMA expects both of these groups to meet similar standards that it issues separately.²⁰

Talking points

- **To the CCO:** As a registered institution, we follow the HKMA circular to RIs. Circular 26EC26 sets standards for VATPs and LCs.¹⁰ RIs are still reminded to notify both regulators in advance.¹⁸
- **To business heads:** Clients with Relevant-Stablecoin-only accounts need no VA knowledge test. They also need no VA exposure limit (cap on a client's VA holdings). Offering those clients any other VA brings back the full rules.²¹
- **To the CEO:** The Policy Address says the SFC will promote trading of regulated stablecoins on licensed platforms. That includes their use to settle tokenised money market funds.⁴
- **To Risk:** Only coins issued under an HKMA licence qualify.²² The HKMA register lists the licensees.²³

Key documents

1. Virtual asset-related activities in relation to relevant stablecoins (circular to RIs) — HKMA — 27 May 2026 — read all nine pages, especially paras (1)-(9) and Implementation — <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-2-EN/20260527-2-EN.pdf>
2. Relevant Stablecoin-related Activities (letter to AIs) — HKMA — 27 May 2026 — read both pages — <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260527-4-EN/20260527-4-EN.pdf>
3. Circular on provision of Relevant Stablecoin service by VATPs and LCs (26EC26) — SFC — 27 May 2026 — read paras 2-12 for counterparty rules — <https://apps.sfc.hk/edistributionWeb/api/circular/openFile?lang=EN&refNo=26EC26>
4. The Chief Executive's 2026 Policy Address — Hong Kong Government — 16 Sep 2026 — read para 49 — https://www.policyaddress.gov.hk/2026/public/pdf/policy/policy-full_en.pdf

Related

Projects: stablecoin-regime, va-licensing-regimes, aspire, policy-statements. Modules: C1, C4, B2, C7, E1.

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23. HKMA. *Granting of stablecoin issuer licences*, 10 April 2026. Para 4. <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2026/04/20260410-4/>

PROJECT PROFILE

Stablecoin issuer regime (Stablecoins Ordinance, Cap. 656)

IN FORCE Run by: HKMA + FSTB

The Stablecoins Ordinance (Cap. 656, its chapter number in Hong Kong's laws) is Hong Kong's licensing law for firms that issue fiat-referenced stablecoins. These are digital tokens meant to keep a steady value against an official currency, such as the Hong Kong dollar. The Hong Kong Monetary Authority (HKMA) grants the licences. ¹ This page traces the regime from the 2024 sandbox (a supervised test run) to the first licences. It also covers the public register, the review tribunal and complaint handling. Why it matters to your bank: authorized institutions (AIs) may offer licensed coins to customers. ² AI is the legal term for banks and deposit-taking companies authorized by the HKMA. An AI can also apply to issue its own coins. ³

At a glance

Item	Detail
Run by	HKMA, which grants licences ¹ . A Stablecoin Review Tribunal reviews specified (listed) HKMA decisions. The Financial Services and the Treasury Bureau (FSTB) hosts its web page. ⁴
Status as of 25 Sep 2026	In force (since 1 Aug 2025) ⁵
Started	HKMA discussion paper, 12 Jan 2022 ⁶
Next official date	None fixed. Licensed coins were expected to launch between mid-2026 and the second half of 2026. That timing was based on the issuers' business plans. ⁷
Covered in	C4, B2, C3, D1, D3, E3

What it is

The Ordinance requires any business that issues a fiat-referenced stablecoin (FRS) in Hong Kong to hold an HKMA licence. ¹ The same applies to an FRS linked to the Hong Kong dollar, wherever it is issued. ¹

A licensee must keep a separate reserve pool (the assets that back the coins) for each type of coin. ⁸ Each pool's market value must always be at least the par value (face value) of the coins in circulation. ⁸

Holders must have a right to redeem (cash in) their coins at par. ⁹ The issuer should process valid requests within one business day, unless the HKMA approves otherwise. ⁹

Only permitted offerors may offer these coins. An AI is one of them. ¹⁰

The HKMA licensed the first two issuers with effect from 10 April 2026. ¹¹ It says that if it grants more licences, the total will stay very limited. ¹²

Timeline

Date	Milestone	Status	Source
12 Jan 2022	HKMA discussion paper on crypto-assets and stablecoins	Superseded	⁶
27 Dec 2023	FSTB and HKMA consult on the issuer regime (comments due by 29 Feb 2024)	Superseded	¹³
12 Mar 2024	HKMA opens a sandbox for would-be stablecoin issuers	Superseded	¹⁴
17 Jul 2024	FSTB and HKMA publish consultation conclusions	Superseded	¹⁵
18 Jul 2024	HKMA names the first sandbox participants (three entries; one is a group of three firms)	Superseded	¹⁶
6 Dec 2024	Stablecoins Bill published in the Government Gazette	Superseded	¹⁷
21 May 2025	Legislative Council (LegCo) passes the Bill	Superseded	¹⁸
1 Aug 2025	Ordinance and HKMA guidelines come into force	In force	^{5,19}
1 Nov 2025	Current term of Stablecoin Review Tribunal members starts (runs to 31 Oct 2028)	In force	²⁰
10 Apr 2026	First two issuer licences take effect. HKMA points the public to its register	In force	^{21,22}
Mid-to-late 2026	Launch of licensed coins expected	Stated target	⁷

What it means for your bank

- As a permitted offeror, the bank may offer coins from licensed issuers to retail and professional investors. ² Other specified stablecoins (a class defined in the law) may go to professional investors only. ²
- An AI can apply to issue coins. ³ An AI incorporated overseas needs no local subsidiary. ³ Some minimum criteria, such as financial resources, do not apply to AI applicants. ³
- The HKMA keeps a public register of licensees. It tells the public to use the register to check claims about licensees. ²³
- A place in the sandbox did not mean the HKMA endorsed the firm. Sandbox firms had to apply separately for a licence. ²⁴

- For its own holdings, the bank must notify the HKMA when it acquires a new type of cryptoasset.²⁵ The bank must treat the asset as Group 2b (the crypto group with the strictest bank capital treatment) until the HKMA agrees its classification.²⁵
- The HKMA may assess complaints about an issuer that the issuer has not handled properly.²⁶ The HKMA generally does not order an issuer to pay compensation.²⁶

Talking points

- **To the CCO:** Only coins from licensed issuers may be offered to retail investors. AIs are permitted offerors.² The HKMA register lists who is licensed.²³
- **To business heads:** Two issuers hold licences that took effect on 10 April 2026.²¹ The HKMA says any further licences will stay very limited in number.¹²
- **To the CEO:** An AI may apply to issue coins. The financial-resources and business-activities criteria do not apply to it.²⁷
- **To Risk:** A licensee must give holders a right to redeem at par. It should process valid requests within one business day. Reserves should be held under trust arrangements with qualified custodians (firms that safekeep assets).²⁸

Key documents

1. Explanatory Note on Licensing of Stablecoin Issuers — HKMA — Jul 2025 — read Chapters 2 and 3 on scope, offerors and exceptions for AIs — https://www.hkma.gov.hk/media/eng/doc/key-functions/ifc/stablecoin-issuers/Explanatory_Notes_on_Licensing_of_Stablecoin_Issuers_eng.pdf
2. Guideline on Supervision of Licensed Stablecoin Issuers — HKMA — 1 Aug 2025 — read sections 2-3 on reserves and redemption — https://www.hkma.gov.hk/media/eng/doc/key-functions/ifc/stablecoin-issuers/Guideline_on_supervision_of_licensed_stablecoin_issuers_eng.pdf
3. Register of Licensees under the Stablecoins Ordinance — HKMA — revised 23 Apr 2026 — lists current licensees — <https://www.hkma.gov.hk/eng/regulatory-resources/registers/register-of-licensed-stablecoin-issuers/>
4. Granting of stablecoin issuer licences — HKMA — 10 Apr 2026 — read paras 1-5 — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2026/04/20260410-4/>
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Related

Projects: relevant-stablecoins, va-licensing-regimes, policy-statements. Modules: C4, B2, C3, D1, D3, E3.

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PROJECT PROFILE

Supervisory Incubator for DLT

PILOT Run by: HKMA

The Supervisory Incubator for distributed ledger technology (DLT) is a Hong Kong Monetary Authority (HKMA) scheme for banks. DLT is a shared digital record kept in step across many computers, such as a blockchain. A bank can use the Incubator to check the risk controls for a DLT project with a dedicated HKMA team before full launch. ¹ Why banks care: the HKMA says six banks have launched tokenised deposit services through the Incubator. ² Tokenised deposits are bank deposits recorded as digital tokens.

At a glance

Item	Detail
Run by	Hong Kong Monetary Authority (HKMA) ³
Status as of 25 Sep 2026	Pilot: Authorized Institutions (AIs: banks and deposit-takers authorized by the HKMA) may apply to join. ⁴ The HKMA was still promoting the Incubator in March 2026. ⁵
Started	8 Jan 2025 ⁶
Next official date	None stated
Covered in	B2, B3, C5, E2, E3

What it is

The Incubator is a supervisory arrangement. It helps banks manage the risks of adopting DLT. ⁷ It pays close attention to risks in services that span DLT and older, existing systems. ⁷ Tokenised deposits were a core focus from the start. ⁷

For each bank, the Incubator offers a single contact point at the HKMA. ¹ Through it, the bank can reconfirm that its risk controls are adequate before launch. ¹ The bank works with a dedicated HKMA team and can choose to run live trials. ¹ Trials take a hands-on, step-by-step approach. ⁶

For the industry as a whole, the Incubator is to share good practice through guidance, sharing sessions and research. ⁸ In an HKMA inSight article on 24 October 2025, the HKMA said six banks had launched tokenised deposit services through the Incubator. ²

Timeline

Date	Milestone	Status	Source
16 Apr 2024	HKMA issues non-binding DLT risk-management considerations	In force	⁹
8 Jan 2025	Incubator launched at FiNETech4 (an HKMA fintech event); circular (formal HKMA letter) sent to AIs	Pilot	^{10,6}
24 Oct 2025	HKMA reports six banks' tokenised deposit services launched through the Incubator	Pilot	²
9 Mar 2026	Business-model circular says banks' plans may include small real-world trials through the Incubator	In force	¹¹
9 Mar 2026	HKMA event on Project Ensemble and the Incubator for around 60 banks	Pilot	¹²

What it means for your bank

- Joining is voluntary. AIs that want to use the Incubator contact the HKMA. ¹³ The purpose is to reconfirm risk controls before a full launch. ¹
- The HKMA is prepared to give AIs in the Incubator some supervisory flexibility (room in how rules apply). The HKMA decides this case by case. ¹⁴ One factor is whether the bank can meet operating principles similar to those for Fintech Supervisory Sandbox trials. The Sandbox is an existing HKMA scheme for limited fintech pilots. ¹⁴
- That flexibility depends on the bank managing trial risks in line with the trial's scale, scope and nature. ⁶
- Some existing rules might not fit DLT well. Where that mismatch is unintended, the HKMA says it will consider whether rules need adapting or some flexibility is needed. ¹³ The HKMA will do the same where the mismatch goes against the principle of "same activity, same risk, same regulation". ¹³
- The HKMA's non-binding DLT considerations remain a reference. ¹⁵ They cover:
 - board responsibility;
 - network choice;
 - smart contracts (code on the ledger that runs by itself);
 - legal risks such as settlement finality (the point when a transfer is legally final);
 - private key security (protecting the secret codes that control digital assets).
- The HKMA expects AIs planning new digital-asset activities to discuss them with the HKMA before launch. ¹⁶

Talking points

- **To the CCO:** The HKMA decides any supervisory flexibility in the Incubator case by case. It depends on how the bank manages trial risks.¹⁴
- **To business heads:** The HKMA says six banks have launched tokenised deposit services through the Incubator.²
- **To the CEO:** The HKMA's business-model circular says a bank's strategic plan may factor in small real-world trials through the Incubator.¹¹
- **To Risk:** The HKMA's DLT considerations say the board and senior management carry full responsibility for DLT adoption and its risks.¹⁷

Key documents

1. Supervisory Incubator for Distributed Ledger Technology (DLT) — HKMA circular — 8 Jan 2025 — read both pages, including footnote 2 — <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20250120-1-EN/20250120-1-EN.pdf>
2. HKMA launches Supervisory Incubator to foster responsible adoption of DLT — HKMA — 8 Jan 2025 — read paras 2-4 — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2025/01/20250108-3/>
3. Risk management considerations related to the use of DLT — HKMA — 16 Apr 2024 — read the Introduction and items 1-10 — <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20240416-2-EN/20240416-2-EN.pdf>
4. Strategic Review of Business Models amid Digital Transformation — HKMA — 9 Mar 2026 — read letter body paras 4-5 — <https://brdr.hkma.gov.hk/eng/doc-ldg/docId/getPdf/20260309-1-EN/20260309-1-EN.pdf>

Related

Projects: ensemble, digital-bonds, policy-statements. Modules: B2, B3, C5, E2, E3.

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5. HKMA. *Hong Kong Monetary Authority - Welcoming Remarks at "Tokenisation: Banking the Future"*, 12 March 2026. Para 3. <https://www.hkma.gov.hk/eng/news-and-media/speeches/2026/03/20260312-1/>
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PROJECT PROFILE

Tokenised Bond Expert Group and the DLT fixed-income law review

EXPLORATORY Run by: HKMA and partners

Distributed ledger technology (DLT) is a shared digital record kept in step across many computers. The Tokenised Bond Expert Group (TBEG) is a Hong Kong Monetary Authority (HKMA) panel of industry experts on tokenised bonds. ¹ Tokenised bonds are bonds whose ownership is recorded as digital tokens on DLT. The group works alongside a joint review by the Financial Services and the Treasury Bureau (FSTB) and the HKMA. ¹ The review asks whether Hong Kong's laws and rules support using DLT in the bond market. ² For a bank that issues, arranges or holds tokenised bonds, the review shows where current law already fits. It also shows which legal questions are still open. Fixed income, in the title, means bonds and similar debt.

At a glance

Item	Detail
Run by	HKMA for the TBEG; FSTB and HKMA jointly for the review ^{3,2}
Status as of 25 Sep 2026	Exploratory (TBEG); review phase 1 conclusions published 29 Jun 2026 ^{4,2}
Started	The 2025-26 Budget first announced the review. The TBEG held its first discussions in May 2026 and was announced on 5 Jun 2026. ^{5,1}
Next official date	Phase 2 legal review in H2 2026, the second half of the year (stated target) ^{6,7}
Covered in	C5, A3, E1, E3

What it is

Policy Statement 2.0 said the FSTB and HKMA would lead a review of law and regulation on tokenisation, with bonds as the first focus. ⁸ Tokenisation means representing an asset, such as a bond, as a digital token. The 2026-27 Budget said the Government would issue guidance on registers of debenture holders (official lists of who holds a company's bonds). ⁹ The guidance is to confirm that these registers may be kept on a distributed ledger. ⁹ The Budget further said the Government would explore e-signatures for bond documents. ⁹ It also named digitised bearer bonds (bonds owned by whoever holds the certificate) as a topic to explore. ⁹ The HKMA announced the TBEG on 5 June 2026. ¹⁰ Its members come from: ¹⁰

- industry bodies;
- financial institutions;
- law firms; and
- infrastructure and technology providers.

The group's discussions in May 2026 gave input to the joint review. ¹¹ Phase 1 of the review found that current law and regulation are already flexible enough for tokenised bond issues. ² On 29 June 2026, when the phase 1 findings came out, the Companies Registry published answers to frequently asked questions (FAQs). ¹² The FAQs confirm that a register of debenture holders kept on DLT can meet the record-keeping rules in the Companies Ordinance (Cap. 622). ¹²

Timeline

Date	Milestone	Status	Source
26 Jun 2025	Policy Statement 2.0 commits to a tokenisation law review, starting with bonds	Stated target	⁸
25 Feb 2026	Budget sets review topics: DLT registers, e-signatures, bearer bonds	Stated target	^{9,5}
May 2026	First TBEG discussion sessions	Exploratory	¹¹
5 Jun 2026	HKMA announces the TBEG	Exploratory	³
29 Jun 2026	Phase 1 findings and Companies Registry FAQs	Conclusions published	¹³
H2 2026	Phase 2 law review (signing documents electronically; possession and transfer of tokens)	Stated target	¹⁴
16 Sep 2026	Policy Address: TBEG to launch the phase 2 review with the FSTB	Stated target	⁷

What it means for your bank

- Phase 1 created no new obligation. It found the current legal and regulatory setting already flexible enough for tokenised bond issues. ¹⁵
- The Companies Registry FAQs are the reference point for DLT registers of debenture holders. ¹² They matter if the bank keeps or relies on such a register for a Hong Kong company. ¹²
- Phase 2 will look at letting issuers sign tokenised bond issue documents electronically. One example is using electronic signatures to create trusts for tokenised bond and fund issues. ¹⁶ It will also look at how possession and transfer work for tokenised fixed-income instruments. ¹⁶
- The HKMA says it will review and update the group's membership when needed. ¹⁷

Talking points

- **To the CCO:** Phase 1 changed no law. It confirmed the current rules are flexible enough and added Companies Registry FAQs on DLT registers.¹³
- **To business heads:** Phase 2 will explore signing tokenised bond issue documents electronically. The goal is a more efficient and automated issuance process.¹⁸
- **To the CEO:** The HKMA set up the TBEG to explore policy measures, market practices and innovations with industry.¹⁰
- **To Risk:** Possession and transfer of tokenised instruments are topics for the phase 2 review. That review is set for H2 2026.¹⁹

Key documents

1. FSTB and HKMA to further unlock potential of DLT in Hong Kong's fixed income market — FSTB and HKMA — 29 Jun 2026 — read the whole release, especially 'Next phase' — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2026/06/20260629-4/>
2. HKMA establishes Tokenised Bond Expert Group — HKMA — 5 Jun 2026 — read paras 1-4 and the Annex of members — <https://www.hkma.gov.hk/eng/news-and-media/press-releases/2026/06/20260605-3/>
3. 2026-27 Budget — Financial Secretary — 25 Feb 2026 — read para 107 — https://www.budget.gov.hk/2026/eng/pdf/e_budget_speech_2026-27.pdf
4. Policy Statement 2.0 on the Development of Digital Assets in Hong Kong — FSTB — 26 Jun 2025 — read para 9 — https://gia.info.gov.hk/general/202506/26/P2025062600269_500089_1_1750909574183.pdf

Related

Projects: digital-bonds, digital-bond-grant-scheme, cmu-omniclear, policy-statements. Modules: C5, A3, E1, E3.

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7. Government. *The Chief Executive's 2026 Policy Address*, 16 September 2026. Para 35(iii). https://www.policyaddress.gov.hk/2026/public/pdf/policy/policy-full_en.pdf
8. FSTB. *Policy Statement 2.0 on the Development of Digital Assets in Hong Kong*, 26 June 2025. Para 9. https://gia.info.gov.hk/general/202506/26/P2025062600269_500089_1_1750909574183.pdf
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PROJECT PROFILE

New VA licensing regimes: dealing, custody, advisory and management

CONCLUSIONS PUBLISHED Run by: FSTB and partners

VA stands for virtual asset, such as a crypto token. Hong Kong has four planned licensing regimes for firms that provide dealing, custody, advisory or management services in virtual assets (VAs). One bill under the Anti-Money Laundering and Counter-Terrorist Financing Ordinance (Cap. 615) is to bring in all four. ^{1,2} This matters to banks because a bank offering VA dealing or custody would register with the Securities and Futures Commission (SFC). The Hong Kong Monetary Authority (HKMA) is set to supervise the bank day to day. ³

At a glance

Item	Detail
Run by	Financial Services and the Treasury Bureau (FSTB) and Securities and Futures Commission (SFC); Hong Kong Monetary Authority (HKMA) as frontline regulator for banks ⁴
Status as of 25 Sep 2026	Conclusions published (all four regimes) ^{5,6}
Started	Proposal to license VA over-the-counter (OTC) trading, 8 Feb 2024; revised in the 27 Jun 2025 consultations ^{7,8}
Next official date	One bill to the Legislative Council (LegCo) in 2026 (stated target); start dates not set ^{1,9,10}
Covered in	E1, C1, C3, A3, B2

What it is

Today the SFC adds VA terms and conditions to the licences and registrations of firms it already oversees. The dealing, advisory and management regimes will replace that practice. ¹¹ The current HKMA–SFC joint circular (a letter both regulators issued together) sets the requirements. Those requirements will become the starting point for these three regimes. ¹¹

The four regimes cover different services:

- **VA dealing** will line up with Type 1 (dealing in securities). ¹² The SFC will require dealers to keep client VAs with VA custodians the SFC regulates. ¹²
- **VA custody** means safekeeping VAs for others. The custodian licence will cover firms that keep private keys for others. Private keys are the secret codes that let someone move a VA. ¹³ The licence will also cover firms that keep other tools that let someone transfer VAs for others. ¹³ Custody of tokenised securities alone falls outside the licence. Tokenised securities are securities recorded as digital tokens. ¹³
- **VA advisory** will line up with Type 4 (advising on securities). **VA management** will line up with Type 9 (asset management). ^{14,15}
- **Banks only:** the further consultation said only banks could register with the SFC for advisory and management, rather than be licensed. ^{14,15}

An earlier proposal had the Commissioner of Customs and Excise license VA OTC spot trading. OTC means deals agreed directly between two parties, not on an exchange. The SFC dealing proposal replaced that approach. ^{7,16}

Timeline

Date	Milestone	Status	Source
8 Feb 2024	Consultation on licensing VA OTC trading (Customs to run it; banks exempt)	Superseded	17
19 Feb 2025	ASPIRe (the SFC's VA roadmap) lists OTC and custody licensing	Stated target	18
27 Jun 2025	Dealing and custodian consultations (to 29 Aug 2025)	Superseded	19
24 Dec 2025	Dealing and custodian conclusions; advisory and management consultation	Conclusions published	20
23 Jan 2026	Advisory and management consultation closes	Superseded	21
26 May 2026	Advisory and management conclusions	Conclusions published	6
24 Jun 2026	Government: one bill for all four regimes this year	Stated target	1
16 Sep 2026	Policy Address: SFC to improve VA licensing regimes	Stated target	22

What it means for your bank

- For VA dealing and custody, a bank would register with the SFC. The HKMA is set to be its frontline regulator, meaning the HKMA supervises the bank day to day. ³
- None of the four regimes is planned to let existing firms carry on while they apply. ^{23,24,25}
- Firms the SFC or HKMA already oversee for these services will get a faster approval process. That group includes registered institutions, which are banks registered with the SFC. ^{23,24,25}

- Banks are exempt from the custodians' rule on minimum financial resources. The reason is that HKMA capital requirements already apply to banks. ²⁶
- VA management will have no small-amount exception. It covers any business of managing a VA portfolio for others where the manager makes the investment decisions. ²⁷
- Advice on a portfolio that mixes VAs and securities will still need a VA advisory licence or registration for the VA part. ²⁸
- Once the regimes apply, no one may actively market these services to the Hong Kong public without an SFC licence or registration. ²⁹
- The FSTB and SFC encourage firms to talk early with the SFC, or the HKMA where relevant, before applying. ^{30,31,32}

Talking points

- **To the CCO:** All four regimes now have conclusions, and one bill is targeted for 2026. There are no plans to let existing firms carry on while they apply. ^{1,33,34}
- **To business heads:** Each of the four activities will need a licence or registration once its regime starts. VA management has no small-amount exception. ³⁵
- **To the CEO:** Start dates are not set yet. The Government and SFC will weigh how long the market needs to adjust. ^{9,10}
- **To Risk:** Under the dealing regime, the SFC will require client VAs to be held with custodians the SFC regulates. ³⁶

Key documents

1. Consultation Conclusions on VA dealing and further consultation on VA advisory and management — FSTB and SFC — 24 Dec 2025 — read paras 3-5, 26, 29-36 and footnotes 9-10 — <https://apps.sfc.hk/edistributionWeb/gateway/EN/consultation/doc?refNo=25CP12>
2. Consultation Conclusions: VA Custodian Services — FSTB and SFC — 24 Dec 2025 — read paras 6-16, 41-51 — https://www.fstb.gov.hk/fsb/en/publication/consult/doc/Custodian_consultation_conclusion_e.pdf
3. Consultation Conclusions: VA Advisory and VA Management — FSTB and SFC — 26 May 2026 — read paras 6-12, 21, 32, 56-70 — https://www.fstb.gov.hk/fsb/en/publication/consult/doc/VASPVAMSP_consultation_conclusion_e.pdf
4. LCQ11: Management of stablecoins — Hong Kong Government — 24 Jun 2026 — read Reply part (3) on the bill — <https://www.info.gov.hk/gia/general/202606/24/P2026062400325.htm>

Related

Projects: aspire, policy-statements, relevant-stablecoins, stablecoin-regime. Modules: E1, C1, C3, A3, B2.

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